Sterling (SWSOLAR)

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Call: Jul 2023

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July 18, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 (Equity)
Scrip Code: 725032 (CP) National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Sub.: Investors Call Q1 FY 2 4- Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/ Madam,

In continuation to our letter s dated July 07, 202 3 and July 14, 202 3, please find enclosed the Transcript of the Investors Call held on Friday , July 14, 202 3 at 12:00 Noon (IST) for the Unaudited Standalone and Consolidated Financial results of the Company for the quarter ended June 30, 202 3.

The same is available on the Company’s website at www.sterlingandwilsonre.com .

Request you to take the same on record s.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer

Encl.: As above

“Sterling and W ilson Renewable Energy Limited
Q1 FY ’24 Earnings Conference Call”
July 14, 202 3
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th July 2023 will prevail.

Moderator: Ladies and gentlemen, good day and welcome to the Sterling and Wilson Renewable Energy Limited Q1 FY24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These stateme nts are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sandeep T homas Mathew, Head of Investor Relations. Thank you and over to you.
Sandeep Mathew: Yes, thank you and a very good afternoon to all of you. I welcome you all to our Q1 FY24 Earnings Call. Along with me I have Mr. Amit Jain, our Global CEO and SGA, our Inv estor Relations Advisor. Our CFO Mr. Ba hadur Dastoor is on medical leave and therefore unable to attend the call today. He will be back from the next Earnings Call. We will start the call with an update on the operational highlights for the quarter and the solar industry outlook by Mr. Amit. Thank you and over to you, Amit.
Amit Jain: Hi. Thanks, Sandeep, and a warm welcome to all the participants on this call. I would like to give a quick update on our business operation and outlook on the solar industry.
To begin with, the company announced new orders totaling INR466 crores in Q1FY24 , aided by continuing ordering momentum seen in India. We obtained two orders from existing customers, Serent ica and Amplus in this quarter. The Serent ica order is a 319 megawatt DC project located in Bikaner, Rajasthan, and Amplus is a 72.5 megawatt DC project located in Jhansi, UP.
Our unexecuted order book as on 30th June, 2023, stands at INR4,902 crores with nearly 90% of the order book comprising domestic EPC projects , which are executable over the next 12 to 18 months. With the inclusion of Nigeria MOU that was announced in September 22, our order pipeline is anticipated to enhance significantly. We are working with various stakeholders to finalize the D&EPC agreem ent for the project by Q2 FY24.
Our order pipeline continues to remain very strong at approximately 22 gigawatt, of which India accounts for 58.4% and Australia 14.8%. Our business development teams are working very hard and remain focused to deliver the stro ng growth trajectory we are targeting in this year. Our strategic focus is to secure an impressive order booking of three to five gigawatt from the highly promising Indian market. In the international market, while we have been adopting a more cautious app roach with new orders, we are beginning to make headway with our clients as well.
As stated in earlier calls, we reiterate that lumpiness in order flow is to be expected with EPC company like ours. The timeline for achieving project closure could vary dep ending on a host of factors, including finalization of contract ual term s, financial closure, et cetera.

In terms of execution, our core operations have begun to show a turnaround, as we have hoped and indicated in the last quarter's call. We have begun to turn back to normalized margins in our EPC segment and hope to maintain a similar trend for the rest of the year.
We should also begin to see a meaningful pickup in revenue when our NTPC project begins to go full steam, which we anticipate from Q3 FY24. We have also been rationalizing overheads , to the extent necessary and the result of these efforts are mor

e likely to be visible from the second
half of this fiscal year.
Now moving to industry outlook, we have seen an unprecedented decline in prices of silicon, wafer cells and modules in last six months, with the module price now falling to nearly 18 cents per watt peak and is around the historic lows we have seen during the pandemic times. The recent downward trajectory marks a departure from the prolonged upward trend witnessed post

the pandemic. With the significant supply pressure due to emergence of new production capacities in China, industry analysts continue to anticipate module prices to remain depressed for some time.

The time remains ripe for more projects to come on stream aided by lower LCOEs. In its most recent solar market forecast, BloombergNE F project ed annual global installation to touch an estimated 344 gigawatt and is already up from 316 giga watt projected in January 2023.

Given the significant role that renewable energy plays in India 's energy transition , an immensely attractive opportunit y arises within the solar operation and maintenance (O&M) industry. The India solar footprint has experienced significant growth, expanding from a mere 3.7 gigawatt in 2015 to an impressive 60 gigawatt plus in FY23. Solar operation and maintenance (O&M) sector has emerged as a distinct and highly profitable market, boasting its own unique landscape and dynamics. With the steady rise of operational solar plants, the re -tendering of O&M contracts is becoming a burgeoning prospect f or providers such as ourselv es. We are consistently expanding our O&M portfolio, placing an enhanced emphasis on third -party O&M within global markets, utilizing both organic and inorganic strategies. With this, I will ask Sandeep to take you through the consolidated f inancial highli ghts. Thank you.

Sandeep Mathew: Thank you, Amit. So moving to the financial highlights, revenue for this quarter was INR515 crores. Revenue has improved substantially on a sequential basis aided by higher contribution from the domestic EPC segment. The company has also reported consolidated gross margin of 11.3% this quarter and this is after 9 quarters of losses and this has been primarily aided by the higher contribution from the domest ic EPC segment.

Our unexecuted order book which largel y comprises domestic projects currently , is likely to help sustain these gross margins going forward. Our domestic EPC margins as you may have seen has improved to 13% and is higher than average in this quarter , compared to our FY23 margin which was around 9.7%. International EPC margins have also moved to the green and in this quarter they were aided by reversal of certain cost and excess provisions that we ha d earlier made in two projects.

It is also worth noting that we have achieved standalone operation al EBITDA break -even in the first quarter. In O&M business which constitute about 9.2% of our revenue, the margin trajectory has begun to significantly improve. However, it still also remains impacted by a few projects where there is cost that is currently being incurred but no revenues have been recognized.

Moving to the balance sheet, as of June 30th, our net debt stands at approximately INR2,100 crores and cash and cash equivalents was about INR63 crores. We had a positive core working capital of about INR140 crores. However, we should note that net working capital would be at a negative INR402 crores , were the indemnity receivables to be excluded. We are targeting to significantly reduce our debt by Q4 FY'24 and this will be achieved through a combinati on of receivables recovery, indemnity inflows and the negative working capital cycle that we see in our new projects. In terms of outlook for the rest of the year, we hope to achieve commissioning and handover of our legacy international pr

ojects withou t any further delays and costs.

We are optimising our overhead costs which should get reflected in the coming quarters as Amit earlier alluded to. And we also aim to maintain gross margins of about 10 % to 11% which should be supported by almost 94% of our cur rently UOV comprising India orders. With this now we can open the floor to question s and answer s.

Moderator: Thank you very much. Our first question is from the line of Mr. Pun eet from HSBC. Please go ahead.

Puneet: Yes, thank you so much and congratulations for coming back on recovery path. My first question is with respect to the new project s, which you have taken. Do these projects have fixed price contract or is there a pas s-through of module cost there?

Amit Jain : I think can you repeat the question which project you mentioned? We missed that part.

Puneet: So the new project, for example, Serent ica, Amplus , that you talked about, and in general, not specifically about these particular projects only, are the new pr ojects which you have taken, do they have a pass -through clause or are they fixed -price contracts wit h respect to the module prices?

Amit Jain : So, Puneet, to give you a background, that India is a purely B oS market and module supply in all the orders which we have backed, rather NTPC, Serentica or Amplus , the module supply is not in our cost. So, there is no risk on part of modules in our scope and it is being supplied by the client.

All other materials whic h we are supplying, they are fixed price contracts, and we have placed orders on back -to-back basis to all our vendors. So practically, with respect to all scope of supply in all the projects which are under execution, we have no exposure or no risk on acc ount of any

materials at all.
Puneet: Understood. So how would you think that the margins that you've done this year are likely to sustain?

Amit Jain : Definitely, rather margins are likely to sustain or improve with the overhead rationalization and the further quarters, Q3 and Q4, we'll see a significant rise in revenues. So we expect margins to improve.
Puneet: And what are the other payment terms broadly for these orders in terms of advances, etcetera?
Amit Jain : All the orders we remain, as we have explained in various calls earlier also, that all the payment terms are adjusted in such a manner that we remain cash positive throughout the project execution.
Puneet: Understood. That's very helpful. And lastly, any progress on the Reliance projects that you're hearing in terms of execution?
Amit Jain : So, Reliance discussions are progressing. And as you must have read, there is a target to install more than 100 gigawatts by 2030.
So, with that run rate, I think the rollout should start soon and if we take the average rate also, it will be in the range of anywhere plus 10 gigawatts per year. But I will not be able to give you any finite or like any definite timeline to you. We expect the rollout to be annou nced soon.
Moderator: Thank you. Our next question is from the line of Bajrang Bafna from Sunidhi Securities. Please go ahead.
Bajrang Bafna: Yes, congratulations, Amitji, for, you know, coming in black, especially on the GP side, and I hope that this tren d continues. My first question pertains to, if we see the 22 gigawatt bid pipeline for you, what sort of success rate that we can perhaps build in for our understanding going forward. So that will be my first question.
And second on the fixed cost side, we were close to let's say INR400 crores kind of heavy run rate. With the initiatives that we are taking where we want to see it, maybe in FY '24 per se . So that will be really helpful if you could clarify?
Amit Jain : Yes. first of all, thanks to you . And with respect to the expected hit rate, so out of the current pipeline, a

lmost 60% we are expecting it from domestic market, the pipeline which is there. And we have hit rate of 18% to 20% in domestic market, the segment we are addressing. And the cumulative hit rate has been around 14% to 15% historically.
But with the improvement in the domestic market hit rate and the major portion of the orders coming from domestic market, we expect this hit rate to improve. So this year we are expecting 4 to 5 gig awatt from domestic market, and the rest of the orders will be from the markets, strategic international markets like Australia, Middle East, and Africa.
So we expect that we will remain upward s of 15%, which has been traditional. But this will be improved by significant contribution from domestic markets.
Bajrang Bafna: Got it. So INR4,000 crores to INR5,000 crores kind of order we can expect from domestic market.

Amit Jain : Yes. That's what the target is that we are expecting INR4,000 crores to INR5,000 c rores orders from the domestic market.
Bajrang Bafna: And similar from the international market except Nigeria.
Amit Jain : Yes, for the order book is we had given a guidance of earlier like we will target close to USD 1 billion - so both domestic and inter national put together excluding Nigeria. So we are striving to achieve the guidance which we had given in the last quarter.
Bajrang Bafna: Okay and sir if you could just guide us the Nigerian progress a little more because we were anticipating it to be somewhere in the beginning of the quarter, now it is getting little postponed.
So any precise reason for that because government is already there?
Amit Jain : So, there is no change in status. In the earlier call also we have guided that it will be either Q 1 or Q2. So we are expecting because it's a very large order and it can take a little bit of a few weeks or a month or so delay. So but we are expecting to get it concluded within this quarter toward s the later end. So right now, based on our feedback and discussions and interaction we gather is we're likely to conclude it , by the end of this quarter.
Bajrang Bafna: Okay. And so just one clarification on this Nigerian order earlier it was USD1.5 billion project . Now since you already alluded that the module prices have come down significantly and there is a currency devaluation that has happened in Nigeria. So what will be all these things - whether

this is going to impact on the value or on our earlier envisaged margins of this 10%, 12% . Any impact of that on our changes?

Amit Jain : No, no. No, sir. Because this project is being funded by Exim Bank of USA, and all the major components of the project are being imported from U.S. So the module prices have come down in China, but with respect to the modules to be supplied for Nigeria, they will not be sourced from China.

Either they will be sourced from, most probably from U.S. only. And in USA market, the module prices more or less remains at the level at which we had considered in our bid. So bid value will not come down. It will stay at the values or the guidance which we have given to the market. So it stays there. And there will be no impact on our margins . This is a negotiated bid. So all the subcontractor prices after negotiation and whatever the levels they were existing have been considered. And the margins will remain firm at the levels which they were considered.

Bajrang Bafna: Okay, got it, got it. And, sir, if we see the run rate, can we expect still to achieve INR6,000 crores to INR7,000 cro res kind of revenue in FY ‘24? Because the first quarter is a little bit slow. So is it still doable, considering we have a large bid pipeline?

Amit Jain : We are striving for a much higher, like we're striving for this number, but as you know that we have an unexecuted order book of almost INR5,000 crores right now. And we will hav

e book
and bill , also which will be added to this number. So we expect the revenue looking to significantly increase in Q3 and Q4, and we are striving for definitely for a much hi gher number.

Moderator: Thank you. Our next question is from the line of Faisal Zubair Hawa from H G Hawa and Company. Please go ahead.

Faisal Zubair Hawa: In the international strategy, I think the competition will rise due to the low module prices. And the module makers, as such will be very much attracted to doing the EPC themselves, as is the China model. How will you really fight that? Because this is really increasing the competitive intensity?

Amit Jain : Actually Mr. Hawa, I could not hear you clearl y. Your voice is breaking and very low. Could you repeat again?

Faisal Zubair Hawa: So, see, the module prices have now come down and this will result in a lot of competitive intensity in bidding for EPC contracts. So how will we now really be placed in the international market? Because what could really happen is that we bid at this time and win in a very competitive scenario and probably get caught again in large time horizon contracts?

Amit Jain : No. Actually, I would say that the correction in the mod ule prices will improve the EPC margins in the international markets. Because earlier, first of all, it will help us on two counts. The contract closure will be much faster, and more and more decisions will be taken due to the low module prices.

Second par t is that the EPCs were under a lot of pressure because of the higher module prices. Because of particular committed tariffs, all the developers are pushing EPCs for much lower and competitive numbers. But now, EPC margins will improve. And international b ids are generally with module pass -through.

So that's what we have indicated, that we will be either negotiating with the customer for pass through clause - whatever risk comes, we'll be able to claim through customers or we'll be going with much higher bo nds with our module suppliers.

So that we are fully protected with respect to module price rate, either by the pass -through to the customer or a higher amount of bonds from the suppliers.

Faisal Zubair Hawa: There are two further areas of concern. One is t hat the promoters are constantly selling shares on the market. So we are really worried that there could be two promoters who have just come into a marriage where there was no actual synergy. And there could be less skin in the game for the present promote rs now. That's one concern.

And the second concern is there is an interview in the press, saying that you would like to even raise more funds through equity. So where do we stand on both?

Amit Jain : So I would like to say there is a complete synergy betwee n both the promoters and both are providing strategic direction to the company. So we don't see any concern on that count. So Mr. Khurshed Daruvala is leading the company, and he's completely guiding us . As far as the complete board , constituting of the ea rlier promoters and new promoters is giving the direction to the company.

And I don't see any concern there. SP has raised a huge amount of capital recently, and whatever sale might have happened maybe due to address some urgent requirements, but I don't s ee that happening, and more comments on this can come from promoters.
Sandeep Mathew : Also, just with respect to the equity raise , I think we are looking at all options, keeping all options open at this point of time. That would be the context with respect to, I guess that media article that you are referring to. So, yes, we are keeping all options open, but that does not imply that there is anything impending at this moment at least.
Faisal Zubair Hawa: And third is sir, what is our bank

guarantee limit pr esently? Are we applying for more bank guarantee limits and how will we really get them with a negative net worth?
Amit Jain : Bank guarantee limits, sufficient bank guarantee limits are available with us. Bank guarantees have never been a concern with us , to address whatever amount of bids or orders we are expecting. So historically and even today, we don't feel any concern about that.
The standalone net worth is positive, so in Indian market, to pick orders of any magnitude is not an issue for us. And eve n in international markets, we are tying up with partners wherever the projects are to be. Otherwise, clients are comfortable to deal with us on a stand -alone basis as well.
So we are strategizing and are able to manage with a negative net worth on the con solidated for international projects.
Moderator: Thank you. Our next question is from the line of Gaurav Shah from Harshad Gandhi Securities. Please go ahead.
Gaurav Shah: Hi. Thanks a lot for the opportunity. I have a couple of questions. Firstly, on note number 7A in your notes to accounts with respect to the legal case pertaining to the wholly owned subsidiary claim of some INR793 odd crores. Sir, is this covered under the indemnity claim / agreement with the old promoters? First question is that.
And sec ond question is mostly on the sort of lessons we learnt from our legacy orders. Don't you think we require some sort of improvement in the way we draft our legal agreement just to control the risk we face as a company from like customers counterclaims and all that? So just wanted to have your views on that.
Amit Jain : So I think the point number one, Sandeep will address later on point number two, that the contracts were like drafted properly all the time, even in the past and even now, and due diligence is always taken care of. But certain circumstances which took us by surprise, either the pandemic or the complete break of supply chain in international markets, they were not addressed enough. But since we have learned from those two events, and now we are extremely cautious and revising our risk metrics, and all those elements are properly getting addressed in the contracts we are signing. So we have taken sufficient care, and the contract which we are signing gives us a very good level of protection in ter ms of various events.

Gaurav Shah: Okay, and on the first question, Sandeep?
Sandeep Mathew: Could you just repeat that, sorry?
Gaurav Shah: Yes, so this particular claim of INR793 odd crores, the case. So is this part of the indemnity agreement we have with our old promoters? It's case pertaining to our whol ly owned subsidiary where there is a lack of, we have incurred some cost, overrun cost of INR460 odd crores and there is a counterclaim from the customer like for INR157 crores?
Sandeep Mathew : Yes, we'll get back to you on this. Just give us some time.
Gaurav Shah: Okay. That's it for my side. Thanks a lot.
Moderator: Thank you. Our next qu estion is from the line of Abhineet Anand from Emkay. Please go ahead.
Abhineet Anand: Yes. Just trying to understand this indemnity in flows , what's the timeline this year, how much we are going to get? Let, assume 1H, 2H of this year, and what will left f or next year, if you can highlight?
Amit Jain : Yes. See, how the indemnity works is that all the crystallized claim s, till September of that particular year is paid by the promoters to the company. And this year, we expect it s in the range of approximately upward of INR250 crores, which will get crystallized. And will be paid by the promoters according to the indemnity agreement.
Abhineet Anand: So, this basically will be paid in H2 of this year right? This INR250 crores that you talked about, this will get in second half of this year.
Amit Jain : That's correct, second half of

this year.
Abhineet Anand: And again, second half of next year, the rest we will get, is it like that?
Amit Jain : Whatever amount gets crystallized, that will be paid accordingly in te rms of the indemnity agreement.

Sandeep Mathew : So, Abhineet, the indemnity amounts get crystallized on September 30th of every year and this amount that will be crystallized this time around will be essentially billed on September 30, and then promoters h ave I think, a month or so to make the payment. So it will definitely happen in Q3 or earlier than that.
Abhineet Anand: So by which financial year this gets zero?
Sandeep Thomas Mathew : We would expect it to get fully crystallized in maybe in another hopefully by 2024 or 2025. Another year or so. Another year or two. Most of it will get crystallized - bulk of the amount will get crystallized by September 2024.
Abhineet Anand: Okay. Second is, let's assume, this is hypothetical stuff. So Relianc e wants to do some 100 gigawatt by 2030. Now, even though let's assume that they do a 10 gigawatt every year, first point one is that do we have execution capabilities for doing a 5 gigawatt to 6 gigawatt beyond

a India opportunity that is there? And obvio usly Reliance will diversify by giving it to three, four players, right? So does that mean that if Reliance's market is 10 gigawatt as in tender, for us it implies around 3 gigawatt to 4 gigawatt . Is this understanding right or if you can throw some light on that?
Amit Jain : So, see Reliance, that you are right. Once the Reliance rollout happens, it will be a massive rollout. And we are fully geared to handle the rollout when it is planned. So our ramp -up plans are already in place. The execution strategy f or that kind of rollout is already in place. So whatever volume comes to us, we are fully geared up to handle and ramp -up can be done quickly. So the ramp -up plans are already in place, which we had already started earlier. So that's not an issue with us.
Now, what is the finally the strategy adopted by Reliance? I will not be able to comment on that, but we are very hopeful that we will be the re as strategic partner for the either complete or the major portion of the rollout.
Abhineet Anand: Okay, and on t his Nigeria contract, I just wanted some more details, sir. In terms of let's assume 2Q, we get this contract. And let us assume for the simplicity, it's USD1.5 billion. So I mean, in terms of revenue, if you can just split that into the next three years, four years, and now what percentage comes in 25 years? A very broad number, so that we really help such in that sense.
Amit Jain : We will sign the project in September, but then the financial closure with the US EXIM bank will take some time. So either the re will be very minimal portion of revenue this year, if it happens. But the bulk of the revenue will be booked in FY ‘25 and FY ‘26.
Abhineet Anand: So that's a two -year project only you're saying?
Management: Yes. Majority of the booking will take in FY ‘25 and FY ‘26.
Abhineet Anand: Okay. And in terms of risk to the module, there also, it will be a fixed price or module, how it will happen, sir?
Amit Jain No, it is that the provisions are sufficiently built in to take care of ,if there is any price variation happens. So, that has been addressed in the contract and we have sufficiently covered for the module price variations there.
Abhineet Anand: Okay, beca use it is a long gestation period, so I was just hoping that everything, so all pass - throughs will be there, especially from the module side, right?
Amit Jain : Pardon, again?
Abhineet Anand: I'm saying all, any high price of module will be a pass -through i n that contract?
Amit Jain : Yes. Absolutely, we are completely protected on that front.
Abhineet Anand: Okay, sir. Thanks. Those were the questions. Tha

nk you.

Moderator: Thank you. Our next question is from the line of Rabindranath Nayak from Sunidhi Secu rities. Please go ahead.
Rabindranath Nayak: Thank you for the opportunity and congratulations for a positive gross margin in the quarter. So whether we have started the execution of the NTPC order or part of the NTPC order in this quarter or it is expecte d to start within the coming quarters?
Amit Jain : No, NTPC -- we have got two orders for NTPC. First order, the work has already started. We are fully mobilized on ground and all the orders have been placed. So work is going on, on the site for the first p art. The second part, also the engineering has started. And we are starting the process of order placement and site mobilization for NTPC -2 project as well. But the major revenue will start com ing in the first month in Q3 and Q4. Major revenue will be book ed in the last two quarters for both NTPC projects.

Rabindranath Nayak: Okay. And sir, we come to understand that in India, as compared to the past, the solar EPC contractors are now insulated from major ity of the project risk, how far is it true, in your view, as far as the Indian market is concerned?
Amit Jain : Could you repeat your question again, please?
Rabindranath Nayak: So far as the major ity of project risk for the EPC contractor for the solar project, they are up to some extent insulated on the ma jor project risk. We have to just come to understand this, is it true? So you can give some views on this.
Amit Jain: So, there are two parts to it because the most of the like, in India is a BOS market and the modules are supplied by the developers. So, w e are completely insulated from the module price risk. We do not undertake the land aggregation risk on any project in India. So with respect to these are the two major risks in India which we are completely insulated from. Rest, we have very, very strong execution capabilities in India and have an extremely good vendor relationship. So that keeps us insulated from most of the project risks in India. And we have so far have been very, very successful in delivering projects in India.
Rabindranath Nayak: Okay . So then do you see the competitive space for the Indian utility solar market? A lot of players are going to enter in this market going ahead or it is not that case you are looking at?
Amit Jain: Again, I have to request you to repeat again.
Rabindranath Nayak: So the question is that if the Indian market is becoming favorable, because in the EPC contract, a lot of EPC contractors will enter into the market, particularly in utility solar, whether do you see this things emerging or it is not li kely?
Amit Jain: So they, a lot of people looking at the lucrative market may try to enter, but we have been there for the last one decade as the leading solar player in India. And we have consistently maintained our market share. And with our reputation, most of the new and established companies like to work with Sterling Wilson. So I expect, the market to grow. It is a growing market. We expect our market share to rather go up considerably than we have in the past.

Rabindranath Nayak: So you have stated t hat 60% of the business will come from India, right?
Amit Jain t: Yes, more than 50%. This year, the 60% of the pipeline is from India. And right now, the current unexecuted order book, more than 90% is from India.
Rabindranath Nayak: Okay. And sir, about t he indemnity that you mentioned the INR250 crores you are expecting this year. So, as per your estimate, because all the indemnity is related to the past projects, so if we might have considered that all the past projects, where we have done work, then wha t is the expected indemnity proceed now we are working in? So far, in

the consolidated basis, likely to get by FY '25 or FY '26.
Amit Jain : So I think, I will request Sandeep to answer that question.
Sandeep Mathew : So, see, indemnity inflows, as Amit had earlier alluded to, this September, by this September, what is crystallized as of now is roughly about INR270 -odd crores, right. And there is obviously another quarter to go. So whatever that final amount is , that will be billed to the promoters as of this September. There are multiple events happening in the background as well. There are some arbitration cases etcetera going on where we hope that there will be some favorable judgments etcetera coming in very soon. So that amount could go up as well by this particular September itself for example.
But however, because there are multiple cases etcetera that are going on, the timing of these will only be decided once we have a final decision as such. And you should be very clear that this amount will come from either the client or the promoter. It is not just the promoter that is liable. So if we are able to recover it from the client then we will do it at the earliest from them. So these settlement agreements are going on. There are negotiations happening. A large amount of the amounts are liquidated damages related etcetera. Once the projects are completed and handed over, which we expect will happen very soon, especially in the international market, then we will be able to sit acros s the table, get those agreements in place and get those monies back.
Rabindranath Nayak: No, that I understand, sir. Actually, I want to know, it is an ongoing process, it will continue. But the thing is that, where we are favorably get the order, get the money. So what is the amount? As of now, we have calculated that this will be the favorable judgment, to a favorable understanding from the company. This is the amount we will get. But it will subject to change when the time passes with the arbitration, w hat is that amount you are working on? Can you please give us a highlight on this?
Sandeep Mathew: So are you referring to the total amount that is under…
Rabindranath Nayak: Yes. Where we are favourably placed, what is the total amount we should expect?
Sandeep Mathew: Yes, it is about INR1,100 crores. The total amount that is in question.
Rabindranath Nayak: Okay. And sir, in reference to note number 6, is it your understanding right, that the stated amount cannot be recovered from the promoter unless the Supreme Court adjudicates ?

Sandeep Mathew: Sorry, which was this particular thing that you are referring to?

Rabindranath Nayak: Referring, it is note number six. Is it the understanding that…
Amit Jain : I have already clarified that. Till the time that it is crystallized and the dispute is completely settled at whatever level it is. So the dispute or like the client, once the matter is finally settled and accepted by the company. So it is the company which comes into play whether we have accepted the decision or where we want to escalate the dispute or the matter which has not been settled. And an appropriate forum, whenever it is decided the amount gets crystalized.
Rabindranath Nayak: Okay, now this amount again, NCLT has gone against us. So we have gone to the Supreme Court for this. It is on note number six. You might be referring to note number seven, or eight. I am not referring to number seven, eight. So you have answered that. But note number six, there is an understanding that the re covered amount, the NCLT has dismissed the case against us. So whether we will not get recovery for this amount or it is still we can go ahead with the recovery of the amount.
Sandeep Mathew: So, we will be…
Amit Jain : Yes, Sandeep, please continue.
Sande ep Mathew: Yes. So, these amounts, there is no question of them not coming to the company, right . It is just a matter of when the case gets finally settled. And we are trying to expedite and get these amounts at the earliest. So, this particular case that we filed in the Supreme Court is just to essentially expedite the whole process of recoveries.
Rabindranath Nayak: Okay, sir. Thank you and all the best for the future. Thank you.
Management: Thank you.
Moderator: Thank you. Our next question is from the l ine of Iqbal Khan from Nuvama. Please go ahead. Mr. Iqbal Khan, your line has been unmuted. You can go ahead with your question.
Iqbal Khan: Yes, hi. Sir, firstly, congratulations on the good set of results. Just one, I mean, all the questions are almost a nswered. One question I had is on the Indian project, you mentioned that you're targeting around 4 gigawatts to 5 gigawatts. So any work in progress that is happening in this 4 gigawatts to 5 gigawatt project that you're looking upon, can you just throw so me light or picture on this?
And similarly, for the international project, are you currently actively bidding somewhere or any thought process on those lines?
Amit Jain : So yes. So as we brief, we are targeting 4 gigawatt to 5 gigawatt in this market. And out of 22 gigawatt, almost 60% of the project pipeline is from India, which is 13 gigawatts to 14 gigawatts. So we are actively working on the bids. For likes for the Q2 itself, we are working for more than 4 gigawatt of bids.
More and more projects are getting ann ounced. And we expect public sector entities this year to announce more than 13 gigawatt of bids, which we are likely to see this quarter onwards. So

market is robust and we are working on all the fronts and we see the sufficient market, the project pipeli ne is there, which will help us in achieving our targets.
Iqbal Khan: Okay. So if I may just slip in one more question. The indemnity you mentioned, upwards of INR250 crores will get crystallized. So will this entirely be booked to the promoters, or it wil l be a mix of promoters and the customers?
Amit Jain : So INR250 crores, which has been crystallized, will be paid by promoters.
Iqbal Khan: All right…
Sandeep Mathew : So Iqbal, the amount that has crystallized as of June is about INR270 crores, which is essentially the amount that are likely to be paid by the promoters . There will be, as I said, other cases that are going on. And we are, in fact, expecting some favorable outcomes as early as, let say, even this month. So if those do materialize as expecte d, that amount can go up as well. And as they crystallize, we can recover it either from the customer or from the promoter. So INR270 crores is the number as of June.
Iqbal Khan: All right. Thank you so much.
Moderator: Thank you. Our next question is fr om the line of Subrata Sarkar from Mount Intra Finance. Please go ahead.
Subrata Sarkar: Yes. Hello, most of the questions has been answered. Just one query on the Nigerian side. So after there is a change in government, whether there is some, like, will t hat have some impact or will there be some again re -evaluation or some stage, which may now come into play because

of the change in the government?
Amit Jain : No, actually, in Nigeria, the same party, which was earlier in power, has been re -elected. And the policies and the t hrust is going to be the same. The current government is also very bullish on renewable projects. And they have introduced some more favorable amendments for the implementation of renewable projects. So a new government is also equally bullish on new energy projects. And we don't see any problem with respect to the projects, with respect to the new government. It's not a change in the government because same parties with the same policies continuing in power.
Subrata Sarkar: Yes, but th ere is a change in the President, yes, sir?
Amit Jain : Yes, change in the Pr

esident .is there, but the policies remain the same and it is receiving the same amount of traction and US Government is also strongly backing the project. So we don't see any problem at all there.
Subrata Sarkar: Okay, sir.
Moderator: Thank you. Our next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Hello sir. Thank you for the opportunity. Two questions from my side sir. Ju st like first is this NTPC order book, what is the timeline of executing the same once the work starts and also the same, once we wrap up our Nigerian project , I mean add it to our order book, what would be the timeline of executing the Nigerian project a s well?
Second question is, I wanted to understand would Nigerian project have gross margins in range of 11% to 12%?
Amit Jain : Could you repeat the last part of the question?
Vignesh Iyer: Yes, so the Nigerian project, I just wanted to understand, since international projects, we have lower gross margins, I wanted to understand, would Nigeria have the same level of gross margins or would it be like higher around 12%?
Amit Jain : Yes. To start with NTPC orders, as explained in my earlier reply, that, NTPC -1 project execution has already started. Site has been fully mobilized, and we have placed majority of the orders.
The bulk of the revenue from NTPC -1 and NTPC -2 projects will be coming in Q3 and Q4 of this year. The project execution has a timeline of almo st 18 months, and we expect to complete by second half of next year. So both the NTPC projects will be completed.
Coming to Nigeria, the majority of the revenue for Nigeria projects will be booked in FY ‘25 and FY ‘26. So Nigeria project is a negotiated project, and we expect margin in Nigeria project to be in line with our domestic project. So, we expect better margin than other international projects in Nigeria project.
Vignesh Iyer: Sir, what is the timeline of the execution for Nigerian project?
Amit J ain: Nigeria project, we expect to sign in by end of Q2, and then there is a period of financial closure.
So, we expect the major execution will happen in FY ‘25 and FY ‘26, and bulk of revenue will also be booked in FY ‘25 and FY ‘26.
Vignesh Iyer: Okay, sir. Thank you. That’s all from my side. All the best, sir.
Amit Jain : Thank you.
Moderator: Thank you. Our next question is from the line of Vikram from Niveshaay Investment Advisors. Please go ahead.
Vikram: Yes, hi, sir. Thank you for the opportunity. So my question was, the current EPC order book of INR4,900 crores we have, so what is order book in megawatt terms? And also I wanted to know, like what kind of EBITDA per megawatt we are targeting in our domestic business, sir?
Amit Jain : So, as we have said that EBITDA, we are targeting in the range of 10% to 11% in domestic market and the order book in terms of gigawatt is upward of 4 gigawatts as of now.
Vikram: Approx?
Amit Jain : Approx 4 gigawatts.

Vikram: Okay. Thank you.
Moderator: Thank you. Our next question is from the line of Bajrang Bafna from Sunidhi Securities. Please go ahead.
Bajrang Bafna: Thanks for the follow -up opportunity. Sir, the question pertains to, we are a formidable player in the solar side. We also ta lked about, in your some media interactions about wind, BoS and as well as battery storage and management services. So if you could just guide us that, when we

are targeting, how these opportunities can crystallize for us and by when we expect some tractio n there .

So those are I know that, those are the futuristic opportunities for us but any progress that we have made so far in that direction will be really helpful for us to understand and whether any capital or the capex requirements will be

there to come up in those areas. So if you could guide on that, it will be really helpful?

And second is that, we are talking about 4 gigawatt s to 5 gigawatt s kind of opportunity in India. So suppose, we are talking about 13 gigawatts, 14 gigawatts could be the award t his year, but going by the government targets, they are talking about very tall numbers going into next couple of years. So what kind of capacity, we can cater to? Suppose tomorrow, if we are given an opportunity to go for 20 gigawatts in a year, are we pr epared for that, including Reliance or something like that? What is that capacity constraint, that is there in this business, just to understand from a scalability perspective? Thank you, sir.

Amit Jain : Okay, so what was the first part of your question? L ike I think the question has become too lengthy. Can you repeat the first part of your question?

Bajrang Bafna: So two angles to first part. The wind, BoS opportunity, and the…

Amit Jain : So let me start with the new areas. So as far as battery energy sto rage systems is there, we have already executed small projects in international markets for battery energy storage systems. And in various international markets, huge standalone projects and projects coupled with solar facilities have started coming up.

We are already working on multiple bids in Australia, with respect to battery energy storage system projects. And one of the projects, we are very close, or in the final stages of negotiation with the client. So within this financial year, you can see us closing one of the big projects in international market with respect to battery energy storage systems.

As far as the BoS for wind is concerned, so multiple hybrid projects are getting announced in India. We are working with our customers. So any opportunity on the wind project associated with hybrid projects, we'll pitch for that and that's the plan. And we hope that, within this fiscal year, we may land up that opportunity in India, with respect to wind BoS.

So, we are purely EPC and there will not be any significant capex requirement for entering into both the businesses. So, we'll be sourcing the batteries or like and BoS is there, so the wind turbine manufacturer or the client will undertake all those respo nsibilities. We'll remain restricted

to pure play EPC segment. So only with respect to adding more manpower and asking our engineering teams, we don't see much bigger capex on those two counts.

As far as the capacity addition, we view to address the enhan cement or explosion of new bids in Indian market. So we are keeping constant eye on, what the market rollout is.

So we are expecting this year, it will be 14 gigawatts to 15 gigawatts from which, we'll be able to bag 4 gigawatts to 5 gigawatts. We have suf ficient capacity at this point of time to address that kind of rollout. But as and when, we see that market is expanding, so we are fully geared up to enhance or ramp up our execution and engineering teams.

Most of the execution on the ground is carried ou t by subcontractors. So we have a huge subcontractor base, which can also be very quickly ramped up to address the rollout on ground. We have mapped the complete manufacturing from our vendor s for supply of those products. So, we are very confident that, e ven with that much more capacity addition happening in Indian market, we are fully geared up to address the market.

Bajrang Bafna: Got it. Thank you, sir, for a beautiful explanation. Thank you very much and all the very best, sir.

Amit Jain : Thank you.

Moderator: Thank you. Our next question is from the line of Dhyey from Niveshaay Investment. Please go ahead.

Dhyey: Congratulations for the great gross margin, sir. My only question is that, are we looking for any collaboration, when we go for the Wind BoP and are we prepared for the

subcontractors' agreement already?

Amit Jain : Yes, see, as I was saying, we will address at this point of time, the wind BoS opportunity coupled with hybrid projects. So, we have in -house like engineering capability and we unde rstand how the contracts work with respect to BoS associated with the wind and we are prepared for that.

Dhyey: Okay. Thank you all the best for the future, sir.

Management: Thank you.

Moderator: Thank you. That was the last question of our question and answer session. I would now like to

hand the conference over to Mr. Amit Jain for closing comments.
Amit Jain: I would like to thank everybody for joining the call. I hope, we have been able to add ress all your queries. For any further information, kindly get in touch with Mr. Sandeep ThomasMathew or SGA, our investor relation advisors. Thank you once again and have a great day. Thank you.
Moderator: Thank you. On behalf of Sterling and Wilson Renew able Energy Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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November 01, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 (Equity)
Scrip Code: 725032 (CP) National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Sub.: Investors Call Q2 FY 2 4- Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/ Madam,

In continuation to our letter s dated October 20, 2023 and October 26, 2023 , please find enclosed the Transcript of the Investors Call held on Thursday , October 26 , 202 3 at 09:30 a.m . (IST) for the Unaudited Standalone and Consolidated Financial results of the Company for the quarter and half year ended September 3 0, 2023 .

The same is available on the Company’s website at www.sterlingandwilsonre.com .

Request you to take the same on record s.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer
Encl.: As above

“Sterling & Wilson Renewable Energy Limited
Q2 FY2024 Earnings Conference Call ”

October 2 6, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 26th October 2023 will prevail.

MANAGEMENT : MR. AMIT JAIN – GLOBAL CHIEF EXECUTIVE OFFICER
MR. BAHADUR DASTOOR – CHIEF FINANCIAL OFFICER
MR. SANDEEP THOMAS MATHEW – HEAD - INVESTOR
RELATIONS

 Moderator : Ladies and gentlemen, good day and welcome to Sterling & Wilson Renewable Ene rgy Limited 's Q2 FY2024 Earnings Conference Call. This conference call may contain forward -lookin g statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mo de and there will be an opportunity for you to ask questions after the presentation conclu des. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sandeep Thomas Mathew, Head - Investor Relations for his opening remarks . Thank you and over to you Sir!

Sandeep Mathew : Good morning everyone and welcome to our Q2 FY 2024 Earnings Call . Along wit h me I have Mr. Amit Jain, our Global CEO ; Mr. Bahadur Dastoor, our CFO and SGA, our Inves tor Relations Advisor. We will start the call with the key operational highlights for the quarter and outlook by Mr. Am it and then followed by the financial highlights by Mr. Bahadur post which we will open up for Q&A. Thank you and over to you Amit !

Amit Jain : Thanks Sandeep and a warm welcome to all the participants on this call. I would like to give a quick update on our business operations an d outlook on the solar industry. Beginning with our order book the company announced new orders totaling approxim ately Rs.2640 Crores in Q2 FY 2024 aided by strong ordering momentum seen in India. Coupled with ou r order inflow of Rs.466 Crores announced i

n Q1 our total order inflow in H1 FY 2024 is Rs.3106 Crores . All the orders announced in the first half are from domestic market. We received an order for an approximately 375 megawatt project in K havda, Gujarat from NTPC in Q2 FY 2024. This is the third order from NTPC and it is strategically located between the first two projects we had earlier announced in FY 2023. This project is on turnkey EPC basis including supply of the modules . The total contract price includ ing operation and mai ntenance for three years is Rs.1535 Crores and this amount is inclusive of taxes. We also won our first order from Gujarat Indus trial Power Company Limited, GI PCL in Q2 FY 2024 for a 750 megawatt DC project again located in Khavda region of Gujarat. Scope of work in this project is BOS only. Total bid v alue including operation and maintenance for three years is Rs.1130 Crores . Coupled with NTPC projects , SWR EL has won and will be executing nearly 4.2 gigawatt of projects in Kha vda region of Gujarat including N TPC and GIPCL. We are targeting to maintain our historical domestic margins in these projects as well. In addition to Khavda projects the company has also received a new order of approximately 490 megawatt DC for another B OS project f rom Indian subsidiary of French Power Major Engie . As stated e arlier total EPC contract value of the project s won in Q2 FY20 24 is approximately Rs .2640 Crores. W ith these new orders our

 unexecuted order book as on September 30, 2023 has increased to approximately 6835 Crores with nearly 98% of the order book comprising of domestic EPC projects which are

executable ov er the next 12 to 18 months.
With the inclusion of Nigeria MO U that was announced in September 2022 our order pipeline is anticipated to enhance significantly. We are working with various stake holders to finalize the D&EPC agreement for the project . In terms of outlook, our domestic order pipeline has grown very strongly and is alone approximately 16 Gigawatt , the PSUs contributing more than 55% and private sec tor IP P 45%. Our business development teams are working very hard and remain focus ed to deliver the strong growth trajec tory we are targeting this year. In the international market while we have been adopting a more cautious approach with new orders we are beginning to make headway with our clients for p rojects aligned w ith our r isk metrics. As stated in earlier calls we reiterate that lumpiness in order flow is to be expected with EPC companies like ours and timeline s for achieving project closure could be vary depending on a host of factors including finalization of contractual terms, financial closure, etc.
Now moving to industry outloo k, we continue to witness an unprece dented decline in price of silicon, wafer cells, and modules in the last 12 months and as per the industry report s with module price no w falling to near ly 15 cents per watt peak and is even below the historic lows we have seen during the pre -pandemic times. With significant supply pressure due to emergence of new production capacities in Chin a, industry analysts continue to anticipate module prices to remain depressed for some time. The time remain s ripe for some projects to come on stream aided by lower LCOEs, which should translate into more work for EPC players like us. The Indian solar EPC market continue s to remai n in a very attractive position and we are hopeful of capitalizing on the strong order pipeline . Solar operation and maintenance sector has emerged as a distinct and highly profitable market boasting its own unique landscape and dynamics. With the steady rise of operational solar plants the re -tendering of O&M contracts is becoming a burgeonin g prospect for providers such as ourselves. We remain focused on expanding our O&M portfolio,

placing an
enhanced emphasis on third -party O&M within global markets, utilizing both or ganic a nd inorganic stra tegies. With this I will ask Bahadur to take you through the consolidated financial highlights. Thank you very much.
Bahadur Dastoor : Thank you Amit. I will start with an update on the key qua rterly results. Revenue from operations for the quarter ended September was 759 Crore s. Revenue has improved signif icantly both year -on-year and sequential basis aided by higher contributions from the domestic EPC segment. Revenues were up 88% Y -o-Y and 47% quarter -on-quarter. Company has reported a co nsolidated gross margin of 8.6% in the second quarter FY 2024 and gross margins in the first half FY 2024 are approximately 10%. Domestic EPC margins
 in the second quarter FY 2024 were also approximately 10%. Our unexecuted order book continues to comprise over 98% of domestic EPC business. International EPC margins were nega tive 2% in 2Q FY 2024. O &M segment margins rebounded this quarter and touched more than 23% and are now more in line in what we are hoping to be stead y state margins in this segment. Compan y reported a posi tive consol idated EBIT DA in the second quarter FY2024. PAT loss during the quarter was 54 Crores. On a standalone basis the company achieved EBITDA breakeven and was also PAT positive.
Now co ming to the balance sheet and our debt situation. As on September 3 0, 2023 our net debt stood at 2123 Crores and ou r net worth stood at negative 415 Crore s. The company and its subsidiaries had loan p ayments of 329 Crore s to various banks in the month of September 2023. Out of the above , the company mad e payments of 194 Crore s. Company had availed 250 Crore s short -term loan for w orking capital for one year, which was due on September 30, 2023. The company was able to repay 115 Crore s from internal accruals a nd an amount of 135 Crore s remains overdue as at date. Rating downgrades post our BG invocation in July 2023 made s ourcing loans more expensive and difficult.
With respect to our results, the auditors have made certain observations in the consolidated and standalone financial statements as Emphasis of Matter. The comp any incurred losses during the previous year and has continued to incur losses during the six months ended September 30, 2023. Further, as on September 30, 2023 the company had a repayment due of a short -term loan for working capital purposes from a bank amounting to 250 Crores of which 135 Crores is yet t o be repaid as at date. The af oresaid events results in cross default in respect of certain other loans bearing a fixed maturity period. Consequently non current loans aggregating to 516 Crores have also be en classified as current borrowings in the statement even though the company has not rece ived notice of recall of loans.
The company is working towards a resolution plan with its lenders by w ay of funds to be raised from equity or debt issue and amounts recoverable from the promoter selling shareholders i n accordance with the indemnity agreement. The management is confident of

successful ly consummating the above plans. In the standalone financial statement the Emphasis of Matter reads the company' s investm ent in a subsidiary and loans given with the accrued interest thereon and other receivables aggregates to 2395 Crores as of September 30, 2023 . We are confident that these amounts are good for recoveries based on the projected cash flows expected from revenue contracts where letters of intent or memorandum of understanding have been signed, refund of encash bank guarantees, recovery of remediation costs incurred on projects and amounts recoverable under the indemnity agreement with the prom oter selling shar eholders. The Board of Directors of the company had at its meeting

held on September 27, 2023 considered an d approved raising of funds by way of issuance of equity shares, global depository recei pts, depository receipts,

 foreign currency convertible bonds, f ully partly convertible debenture s, non convertible debentures and/ or any other financial instrument convertible into equity shares including warrants o r a combination of any of the securities mentioned above in one or more tranches through one or more publi c and /or private offerings including by way of a qualified institutional placement or any combination thereof or any other method a nd may be permitted under applicable laws to eligible investo rs for an aggregate amount not exceeding 1500 Crores in one or more tranches subject to regulatory statutory approvals as may be required including the approval of the shareholders of the company through a postal b allot, which is presently in process. With this we can now open the floor to questions and answers.

Modera tor: Thank you very much Sir. We will now begin the question and answer session. We wi ll take the first question from the line of Bajrang Bafna from Sunid hi Securities. Please go ahead.

Bajran g Bafna : Congratulations for good set of numbers during the last quarter and the good guidance in the coming quarters as well. Sir my first question pertains to the kind of visibility that you are getting from the domestic market because to our understanding the order pipeline for the PSUs itself stand s closer to 20000 sort of megawatt on a yearly basis and we have secured close to 3000 Crore s of orders in the first half , so sort of pipeline that is visible for the second half and considering the rating dow ngrades what implications it would have on the new order intake as far as domestic orders are concerned and some visibility on the overseas orders would be really appreciated , so that i s the first question and my s econd question purely pertains to sort of margins that is visualized because I believe th at the K havda you have got a lot of capabilities now in terms of resource mobilization because th e Reliance orders are also anticipated to come maybe in the near to medium -term, so in terms of margin trajector y how are you seeing the margin trajectory for th ese domestic orders, would it be equally interesting and my third question pertains to purely on the build up of your O&M revenues because I think the progression of orders is going very robust in the near to medium -term so what sort of trajectory th at yo u are seeing for the build up of this annuity O&M revenue and what sort of margins are predictable on the O &M side mayb e from next two to three years perspective that will be really appreciated ? Thank you Sir.

Amit Jain : Good morning. To start with the order for pipeline in India I would say the pipeline is very robust and at this point of time the pipeline is 16 Gigawatt and as you rightly said the major portion of the pipeline is coming out of PSU s, so as you would have seen from our performance in last th ree quarters that we have been consistently performing well and very competitive in PSU bids. So looking at past performance we are hopeful that we will be able to maintain our competitive approach in the bidding and we will be equally successful as we would have been pas t. So we are very hopeful and expect that our performance is

 going to be as robust as it has been with respect to public sector and IPP segment , so order pipeline is going to remain very, very robust. Now coming back to i nternational pipeline , so we are working in multiple geographies with various clients including Aus tralia, Africa and Middle East, s o we are working on those projects and South Africa and Africa

is also emerging as a very , very strong market, s o we are favorably placed in some of the projects and we have received LNTP that is called limited notice to proceed for a rework on some of the projects , so we are progressing well on intern ational markets as well. Now coming to your question on profitability and con centration in Khavda you are absolutely right , so we have achie ved a significant scale in Khavd a and with like concentration of the project in one location there would be optimization of overhead s and we expect to incre ase our margins on the projects, which we get in Khavda . It is in public domain that Reliance Industries are also going to be allocated land in K havda, so whenever the projects are announced and whenever we get the o rder, so we hope if we work on those projects of course using the economies o f scale we will be improving our mar gins on those projects as well. Now coming to O&M with the significant EP C portfolio and retendering of the project which has completed earlier and some of the projects a huge portfolio being implemented by EPC we expect the strong robust growth in our O&M business portfolio , so I think it would be growing at a much faster rate than it has grown in the past , so that i s what we would like to say. So all the business trajectory bot h EP C as well as O&M look for a very, very strong and robust growth and we will be able to maintain our historical margins which we have maintained in domestic markets.

Bahadur Dastoor : Just to add to what Mr. Amit has said in terms of O &M we expect the portfolio to actually give us revenue, which will be about 2 .5 to 3 times in about two years.

Bajrang Bafna : Thank you Sir.

Moderator : Thank you. We will take the next question fro m the line of Puneet from HSBC. Please go ahead.

Puneet : Thank you so much for the opportunity. My first question is with respect to the de bt shortfall that you are experiencing is there any thought from the promot ers perspective to infuse funds and secondly related to that is since there has been a default do the other debt covenants also come into force which might drive other defaults?

Bahadur Dastoor : I already mentioned that because of the covenants the lenders do have a right to recall the loans ; however, none of the lenders have recalled the loans, so to meet the requirements of the accounting standard these loans have been classified as current. As far as the promoter inflows are concerned the company has raised a claim on the promoters under the indemnity

 agreement for 418 Crores , the correct due date for receipt of this is November 30 , 2023, we are of course in discussions with them requesting an early repayment.

Puneet : Any flows from the 40% Reliance promo ter, are they infusing anything to support the company?

Bahadur Dastoor : The comp any is anyway loo king at a long -term solution which is what we mentioned the Board has approve d and right now is with the shareholde rs under a postal ballot , so we are looking at more long -term solution rather than something which is just a short g ap.

Puneet : My second question is with respect to the business. In your new contracts y ou hav e once again taken projects which have module price risk and what is the thought process behind it, and if you can also talk about what is the price of module that you talked about 15 cents and for what delivery period does it pertain?

Amit Jain : As far as the dome stic market is concerned so we have the complete backup of pricing for these projects, w hich we have taken with module , so there is absolutely no risk at all , the modules are being sourced from Indian suppliers and we hav e backup for supplies from Chinese suppliers as well. So as far as this particular project is concerned we are fully protected , and as fa

r as the downtrend is concerned we are seeing the continuous correction becau se there is a glut in the market and significant additional capacity addition in the Chinese market and they have huge stockpile of modu les in European market , so that i s why module prices are coming down and we expect at least in the short -term this trend to continue.

Puneet : For the NTPC project w ould you have to take Indian modules or do you have the option to take Chinese modules as well ?

Amit Jain : For the projects to be completed till March we have an option of tak ing Chinese modules wherever it i s ther e, but after that if there is no change in the policy we have to go with the Indian supplier s and India also now we have significant capacity and for this project we are backed up by Indian suppliers also.

Puneet : Just a bit on the technical side issue, do you import modules before March 31, 2024 , but the COD gets delayed beyond March, who bears the project risk because the government will not in that case allow the COD right?

Amit Jain : No, i f the scheduled completion is before March then we are allowed to import , but in this particular case as per the policy guidelines we have to sourc e modules from India i f there is no further extension or waiver of ALMM by the Government of India.

 Puneet : Just lastly and what is the price fr om Indian module manufacturers?

Amit Jain : Indian module manufacturer pri ces are varying from 21 cents per watt peak to 23 cents per watt peak.

Puneet : Understood. That i s very helpful. Thank you so much.
Moderator : Thank you. We will take the next question from the line of Rabindra Nat h Nayak from Sunid hi Securities. Please go ahead.
Rabindra Nath Nayak : Thank you and congratulations for better number as compared to the first quarter. My question regarding this gross margin there is a contraction in gross margin from 11 .4% in Q1 to 8.7% in th e second quarter , so how you see the gross margin going ahead in the coming quarters that is the first question and if there is a positive EBITDA margin in this quarter so the other expenditure is compound substantially , so whether this is related to some provision write -back or foreign exchange gain, which is reflecting in t he cash flow statement, is it correct to give the things in that way , so that is my second question and the third question is about in the indemnity do you see other financ ial assets have gone up from 1260 Crore s in the y ear Q1 to around 17 and 18 Cro res so what is the indemnity proceed in this item so can you please clarify the balancing line item for the indemnity process and fourthly about the rise of unbillable revenue , so you have actually this other current assets there is a unbillable revenue, which was actually 818 Crores in end of FY20 23 it has gone up to 130 3 Crores so what is the unbilled revenue in this item if you can clarify that would be helpful an d about the NTPC projects that you have now depleting whether the projects are the receivables are back in there or it is after the completion the majority of the project would be given or it is based upon the project completion you will get the orders receipts particularly can you please clarify all the se things? Thank you very much.
Bahadur Dastoor : Rabindra y ou will have to repeat because there were far too many questions and I would need you to just repeat them one -by-one. The first question regarding gross margins why the gross margins are around 8%? If yo u see o ur investor presentation, which was uploaded yesterday , in the domestic segment we have got 567 Crores of revenue with 57 Crores of gross margin, which means the domestic gross margins are maintaining the 10% trajec tory which we have been talking about. There is however 141 Crores of interna tional EPC revenue for which there is

no gross margin except for a small loss of 3 Crores and that is what is suppressing on an arithmetical basis your overall gross margin S o that is the answer to your first question. If you do not mind if you could quickly repeat your second and so I will answer each question as and how it comes.
 Rabindra Nath Nayak : Positive EBITDA whether there is some write -back or foreign exchange gain that you have booked in this quarter ?
Bahadur Dastoor : Foreign exchange gain is bo oked quarter -on-quarter as and how it arises, again if you look at our financials our operational EBITDA on a consolidated basis is shown before the forex gain, there was a forex gain of 22 Crores in this quarter for Septe mber 2023.
Rabindra Nath Nayak : Is there any write -back on provisions or there is no write -back in the provisions because it is reflecting in yo ur cash flow statement that you are asking ?
Bahadur Dastoor : There is a write -back of excess provisions in projects to the extent they are not req uired so that has been done in case of our Australia and US project s. Similarly there are always some small additional provisions which are made, for example in our Africa proj ect. These are things which go on happening an d they sort of balance themselves out. There is a provision write -back but that is in the project and in the gross margin. So as you can see the gross margins in the domestic business as I mentioned are maintainin g themselves and there is just a negative 3 Crore s margin in terms of the i nternational. There is no write -back of provision s in case of overheads as such.
Rabindra Nath Nayak : About the indemnity due so because the line item ha s gone up from 1260 Crores to 718 Crores so what is the line item for th e indemnity process for the end of this second quarter?
Amit Jain : So indemnity items are put out at various line items and there is no single line item as such because there is no heading called indemnity items as per the schedule three to financial statements, they are there in receiva bles, they are there in taxes, direct and indirect , they are there in other financials and other current assets as well. The total indemnity receivables which are lying as assets as on September 30, 2023 are roughly 1400 Cro res out of which 400 Crores has been claimed from the promoters post September 30, 2023 . So after that in terms of what is lying in the balance sheet would be a number of about 1000 to maybe 1050 Crores .
Rabindra Nath Nayak : So that means this 17 18 Crores, 1400 Crores, potentially indemnity proce eds right?
Bahadur Dastoor : No. I said it is there in various places and it is not in a single place. Other current and financial assets also include unbilled receivables which are put over there.
Rabindra Nath Nayak : This line item unbilled revenue particularly the current assets carrying unb illed revenues that has gone up from 818 Crores to 13 03 Crores so how should we see this thing panning out in the comi ng quarters and the year ahead?

 Bahadur Dastoor : Unbilled revenue gets converted almost on a monthly basis from unbilled to billed , so these items will keep panning out. You are looking at it a s an absolute number, but month -on-month if it gets put in unbill ed in t he next month generally it moves to bil ling an d therefore receivables.

Rabindra Nath Nayak : So whether it will be linked to the same, you do not say there is some linkage in the sales for this item ?

Bahadur Dastoor : Unbilled revenue is worked out on the basis of percentage of completion. What moves to sales is on the basis of ag reed milestones with customers.

Rabindra Nath Nayak : So that means the 1303 Crores is going to decline in the coming quarters or it is going to remain higher because we are go ing to increase the sales so whether this will increa se or it will remain consol idated in total ?

Bahadur Dastoor : It will depend on the milestone which is achieved on every quarter end. There could be a decline if the milestones are significantly reached or in case there is material supply which has been sent out for which the billing happ ens in the next month then there could be an unbilled revenue also which comes, so there is no positive or negative trend that can be attributed it all depends on the circ umstances.

Rabindra Nath Nayak : About NTPC projects whether the project receivables are back ended or it is in a mil estone basis it is there ?

Bahadur Dastoor : They will always be milestone basis. All projects, the recei vables are always milestone basis , which is agreed with the customer at th e time of signing the contract.

Rabindra Nath Nayak : Thank yo u very much.

Moderator : Thank you. The next question is from the line of Mahesh Bendre from LI C Mutual Fund. Please go ahead.

Mahesh Bendre : Hi, Sir. Thank you so much for the opportunity. So you just mentioned a bout the O &M business so w hat is the current contribution to our sales and if you could elaborate on how much this opportunity can become maybe three or five year down the line and what will be our role in that?

Bahadur Dastoor : O&M is made out of two major parts one is wh ere we do the O &M during the defect liability per iod and is a part of our contract and the second is what we call it as third party O&M where we actually go and bid for EPC plants which have been built by someone else or when our DLP is ov er and it is out for an open bid. So as of r ight now the O &M

 trajectory is expected to be in the range of about 200 to 250 Crores in the current financial year with the new inflows that we have got, both which are part of our contracts and which are projects which are expe cted to be completed we expect that number should go to about 2.5 times in a couple of years.

Mahesh Bendre : The margin in this case will be higher, right ?

Bahadur Dastoor : It is an average 25 % to 30% gross margin business. There is a slig htly higher margin in the international side as compared to the domestic side, s o it all depends on the mix, but that is the range that we are in. This is a gross margin; there are very lit tle overheads in terms of the O&M business.

Mahesh Bendre : So EBIT DA margins will be like 20% ?

Bahadur Dastoor : Yes, approximately.

Mahesh Bendre : If I look at three maybe five year down the line, so many solar plants are coming up all over India so the install ed base is going to go u p significantly from here on, s o maybe five year down the line how much this bus iness can become for us, I a m not looking for a number as such purely from directional purpose how things will pan out maybe five year down the line?

Amit Jain : As Bahadur alluded in the next couple of years we are expecting this b usiness to become 2-2.5 times, s o even in next two years based on the orders which we are booking and we are expecting more and more complete d plants which had initial O&M contracts will go for retendering. We expect this order book to go significantly, but as you said over five years or 10 years down the line more and more contracts which are constructed by other EPC players or which have been in operation by other operator s will come for retende ring. So with the installed base this market of O&M wherein e ven if we are not doing EPC growth significantly and we expect this number to grow exponentially. So as you rightly said we are not putting any number but in this particular segment we see a very, very strong and robust growth, s o 2.5 times you can imagine yourself what kind of numbers it can be , number s can be pretty , pretty good, w e can average, we are taking 10% to 12% CAG R in other segments, s o it can be 20 % to 25% C AGR in even beyond two years in this particular segment of O&M.

Mahesh Bendre : On O&M side in terms of size are we the largest in India and w ho are the m ain competitors in the segment?

 Amit Jain : We are like other players in organized sector I would say we are the largest one and the competition is from the smaller players an d the other s like other in the beginning I woul d say the developers who ar e managing their own portfolio, o therwise for third party and self EPC segment we are among the largest not even in India globally we are among the largest players.

Mahesh Bendre : So maybe five year down the line or maybe business structure the revenue structure will change in favor of more O& M business that is high margins ?

Amit Jain : The O&M business will contribute significantly to the bottomline, but EPC portfolio will also grow s ignificantly in India. So as far as the revenue contribution is there O&M will rise significantly but so as EPC, s o I would say EPC will remain to be a major contributor, but on the bottom line O&M will add significantly t o the bottomline having the high topline and the hi gh bottoml ine.

Mahesh Bendre : Because this business will have predictable cash flows, high margins and…

Amit Jain : Absolutely right, so that is what I a m saying this business will grow significantly so it will have a sizable pie, r ight now we are at 200, 250 Crores, so this may grow significantly , but EPC busines s will also grow significantly, s o both the business put toget her the topline will be great, but to the bottomline in proportionate to the topline O&M will be contributi ng much more to the bottomlin e as a percentage of revenue.

Mahesh Bendre : Last question from my end . This O&M opportunity we are onl y looking into India or is it that globally also we are looking at this mar ket?

Amit Jain : So we are like as we said in our opening remarks that we are looking at both organic and inorganic route and we are addressing this inte rnationally. So in the geographies where we are working, when we are doing EPC, we are doing O &M for those projects, we are doing O&M in the South America, we are doing O&M in Africa, we hav e done O&M in Middle East and Australia. So we are active in all the geographies and now we are working to get and that is one of the things which we are working actively to increase our third party portfolio for O&M in international marke ts. So we will be operating globally wherever there was footprints are for O&M business as well.

Bahadur Dastoor : Just to give you further statement the O &M for both d omestic and international is roughly half and half , so it is not that we are not operating O &M in the inte rnational space .

Mahesh Bendre : Sure Sir. Thank you so much .

 Moderator : Thank you. The next question is from the line of Harshad Gandhi from Harshad H Gandhi Securities Pr ivate Limited. Please go ahead.

Harshad Gandhi : Just a clarification . Does this default hamper our eligibility to participate in fut ure tenders in India or abroad ?

Amit Jain : Yes. We are engaging with our customers and I think we are working on the funding options, s o we will eligible to quote for all the domes tic and international project s.

Harshad Gandhi : But has this default hampered o ur eligibility currently?

Amit Jain : No, as of now no thing has been impac ted and all the bidding process, negotiation with the customer wherever we were in that process is continuing as usu al, we are engaging with all our customers and keeping them abreast of

all the developments and what all the actions we are taking, s o customers are in loop and so far nothing has been impacted.

Harshad Gandhi : No, I was just asking whether in future if we want to particip ate in any tender we will be able to participate ?

Bahadur Dastoor : This is a short -term default which t he company is wo rking expeditiously to overcome along with as I said discussions with the promoters so this is not something that is goi ng to extend for a long period o f time, besides also approved by the Board we are looking at a long -term solution for a fundraise of a significant value not exceeding 1500 Crores to solve all of these problems. The bal ance sheet will then get fixed, t he cash flow issues wi ll no longer exist impeding our ability to att ract more business, s o what you are seeing right now is a short -term or near -term issue w hich we are working to resolve.

Harshad Gandhi : One question is about the outstanding indemnity amount f rom Mr. Khursh ed since 2021 ever since Reliance became the largest shareholder have we received any amount? I mean, what is the amount that I have actually been billed to him and what is the amount that we have actually received until today?

Bahadur Dastoor : Are you asking for both sets of promoters because you only mentioned Mr. Daruvala ?
Harshad Gandhi : I am asking for bo th sets of promoters.
Bahadur Dastoor : In terms of the indemnity agreement the claim has to be raised on 30th September of each year. Th e first 300 Crores as has also been mentioned in our notes to the financial statements had to be borne by the company. The company had provided for the total amounting to 300 Crores in the quarter ended December 2021 . In September 2022 we raised the claim of 90 Crores on t he promoters because the total amount claimable at that

 point of time was 390 Crores of which 300 had t o be borne by the company. The company received the 90 Crores. In this September the company has raised a claim of 418 Crores out of tha t the company has already received about 43 Crores from the promoters , the balance is to be received and as I said the last date f or receipt is 30th of November. Have I answered your question?
Harshad Gandhi : Is the company confident to receive?
Bahadur Dastoor : Yes, the c ompany is confident of receiving the money because they have paid in the past on time.
Harshad Gandhi : That is all from my side. Thank you and best of luck.
Moderator : Thank you. The next question is from the line of Deepak Purswani from S van Investments. Please go ahead.
Deepak Purswani : Good morning Sir. Just wanted to seek the clarity in terms of the funds requirement over the next three to six months in terms of the debt repayment and is this amount of erstwhile promoter indemnity clause would be suffic ient enough to meet these obliga tions?
Bahadur Dastoor : The total amount which will be required from no w til l say end of March is roughly 1300 Crores , the amount receivable from promoters is roughly 400 Crores and that is why the company i s working on the fundraising plan which has been mentioned in the financial statements.
Deepak Purswani : In that context downgrade from the debt rating would have any implicat ion in terms of the fundraising ?
Bahadur Dastoor : The company is right now in discussions doing wh atever it can to its best abilities to make sure that the fundraising happe ns in the manner it is plann ed.
Deepak Purswani : Thanks a lot for clarification.
Moderator : Thank you. The next question is from the line of Balasubramanian from Arihant Capital . Please go ahead.
Balasubramanian : Good morning Sir. Thank you so much for the opportunity. Sir I just want to understand about the Nigerian order like when the order will start for execution and when it will complete and what kind of pote

ntial we have, what are the ch allenges we have in that order?

 Amit Jain : So Nigeria order as you know M oU was signed in last Se ptember and we are still discussing with the newly formed cabinet for the finalization of the EPC agreement and we expect it to get concluded soon. So we are still working on it to get it signed and once it is signed we expect revenues either in Q1 FY 2025 or Q2 FY20 25 the revenues will st art flowing in for the project.
Balasubramanian : Thank you.
Moderator : Thank you. The nex t question is from the line of Rahul Kothari from Gri t Equities. Please go ahead .
Rahul Kothari : Sir, c an you give me some guidance on the hybrid opportunity and also pure wind sector are we exploring opp ortunities in both the domains?
Amit Jain : No. As far as the hybrid is concerned as and when now we have started looking at them but the hybrid pipeline is not like is de veloping at thi s point of time, p rojects are getting announced and as you would have note d we already have executed project for battery energy storage systems, s o we are working on multiple bids in some of the select geographies like Australia on battery energy storage system project s coupled with solar or standalone projects. So as and when these projects we announced our pipeline we develop we will start working on those projects, but at this point of time I will not be able to give a concrete number for that pipeline, b ut we shortly expect to final ize in one of the projects of BESS systems in one of the international geographies
Rahul Koth ari: Can you give me any further development or guidance with regards to Reliance project or anything on that front?
Amit Jain : Reliance project s like as we know the land has been allocated we are in discussions and we will announce whenever the orders are received f rom Reliance.
Rahul Kothari : Thank you. That is all.

Moderator : Thank you. The next question is from the line of Namit Arora from Indgrowth Capital . Please go ahead.
Namit Arora : Yes, t hank you for the opportunity. S ir my question was around int ernal communication in terms of your engagement with the senior management team and the middle management team given the current sort of issues at the company, if you could give us some color of your level of engagement and your efforts to maintain employee morale an d momentum in these c urrent difficult circumstances ?
 Amit Jain : I would say that all the senior management, middle management and across all the management levels teams are fully engage d and the moral e are very high considering the strong order book and kind of success we have seen in the domestic market. This resurgence in domestic order book the moral e are very, very high , this will see that whatever the current financial position whi ch has happened with this short -term phenomena and we are working very a ggressively to address this, Board has already given its mandate to work on all kind of options for fundraise. So this has been communicated across the organization. All the senior and middle management teams are fully engaged in those discussio ns and they are being made abreast of all the developments from time -to-time. So we see no issues with the moral e of the team and teams are like very bullish on the business going forward.
Namit Arora : Got it. Thank you very much Sir for your detail ed answer and all the very best to the entire team.
Moderator : Thank you. The next question is from the line of Megh Shah from Prospero Tree Finan cial Services. Please go ahead.
Megh Shah : Good morning S ir, and c ongrats for a good set of numbers. What I want to k now are two questions amongst the 329 Crore s of loan repayment which we had to pay i

n September
what amount of this was prote cted under the indemnity clause ?
Bahadur Dastoor : Some of the loans are protected under the indemnity clause, indemnity items are more for receivables, liquidated damages, etc. Loans were taken as a bridge to meet the past losses of the company, so loans cannot be indemnified they are a means to cash flow.
Megh Shah : This 130 0 Crore s, which we have to pa y until March what about that?
Bahadur Dastoor : Also that none of the loans are indemnified .
Megh Shah : That is loan, right ?
Bahadur Dastoor : Yes, they are all loans, when I said 1300 Crores that is the total loan i ncluding this amount includes the present overdue s.
Megh Shah : Yes, got it. Thank y ou.
Moderator : Thank you. The next question is from the line of Faisal Hawa from HG Hawa & Company. Please go ahead.
 Faisal Hawa : Sir there has been this drop in solar panel prices and other key raw materials also , so in the order that we have a lready taken from most of these energy PSUs what is the kind of EBITDA margin improved that we expect in the next year or so?
Amit Jain : Most of the orders are like domestic as you must have noted 98% of the order book is domestic and we maintain historical 10 % to 11 % margins in those pr ojects.
Bahadur Dastoor : Also the fact tha t the domestic orders are all B OS, so therefore there is no module in that. The only one order which we have very recently picked up is this NTPC order. So leaving that aside module price does not affect the margin improvements on our existing projects though of course the team has worked towards improved efficiency because in the Khavda region now we have almost 3 plus gigawatt of work happening simultaneously.
Faisal Hawa : Suppose even the Rel iance project is in the same neighborhood whenever it does come up ?
Bahadur Dastoor : It is expected to be i n that neighborhood, of course.
Faisal Hawa : Would it be a right statement to make that even the battery opportunity and its EPC opportuni ty is almost as big as the solar opportunity?
Amit Jain : Battery opportunities also I would not say as we put it is going to be significantly high because as we move into round the clock or hybrid , so there we expect that, that market will be significant size to be h andle d both in India and international.
Faisal Hawa : Can you give a very frank answer to this we are almost having like 3 promoters and all three promoters are big industrialists in the ir own right , so is the professional management not finding it difficult going to report and with this whole turf war of the promoters themselves having to even pay amounts for as indemnities causing a lot of problem in operating ?
Bahadur Dastoor : So firstly I do not believe there is any turf war bet ween any of the promoters , they a re all

working together, they are all participating in B oard meetings , I am also a member there and it is done in a complete professional manner. The management also does not fac e any challenges in talking to all three sets of promoters j udiciously as and how required or give them whatever information is sought from them. As far as the indemnities are concerned, there is a very clear agreement the management works towards crystallizing of those items as expeditiously as possible. Once the claim is ra ised it is sent out to all the promoters including Reliance in copy, a nd the payments are being made, s o I am not seeing any turf war that we as management are finding difficult to han dle or anything of that sort.

 Amit Jain : As we have alluded in our earlier calls also the Board is providing a strategic guidance and right directions to the company and we see no problems in that regard at all.

Moderator : Mr. Haw

a, any further questions?

Faisal Hawa : No further questions. Thank you .

Moderator : Thank you Sir. Ladies and gentlemen a s there are no further questions, with that we conclude today’s conference call. O n behalf of Sterling & Wilson Renewable Energy Limited that concludes this confe rence. We thank you for joining us. Y ou may now disconnect y our lines.

Call: Jan 2024

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January 24, 202 4

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Dear Sir/ Ma'am,

Sub.: Investor s Call Q 3 FY 2 4- Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

In continuation to our letter dated January 15 , 2024 and January 18, 2024 , please find enclosed the Transcript of th e Inves tors Call held on Thursday , January 18, 2024 at 04:00 p.m. for the Unaudited Consolidated and Standalone Financial results of the Company for the quarter and nine months ended December 31 , 2023 .
The same is available on the Company's website at www.sterlingandwilsonre.com
Request you to take the same on record s.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer

"Sterling and Wilson Renewable Energy Limited
Q3 FY '2 4 Earnings Conference Call"
January 18, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 18th January 2024 will prevail.

MANAGEMENT : MR. AMIT JAIN – GLOBAL CHIEF EXECUTIVE OFFICER

MR. BAHADUR DASTOOR – CHIEF FINANCIAL OFFICER
MR. SANDEEP THOMAS MATHEW – HEAD INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day, and welcome to Sterling and Wilson Renewable Energy Limited Q3 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectat ion of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Thomas Mathew, Head Investor Relations, for his opening comments. Thank you, and over to you, sir.
Sandeep Thomas Mathew : Yes. Good afternoon, everyone. Welcome to our Q3 FY '24 Earnings Call . Along with me, I have Mr. Amit Jain, our Global CEO; Mr. Bahadur Dastoor, our CFO; and SGA, IR Advisors.
We will start the call with the key operational highlights for the quarter and the industry outlook by Mr. Amit followed by the financial highlights by Mr. Bahadur, post which we will open up for Q&A. Thank you, and over to you Amit .
Amit Jain: Thanks, Sand eep, and a warm welcome to all the participants on this call. I would like to give a quick update on our business operations and outlook on the solar industry, and I will begin with our order book.
The company announced new orders and LOIs totalling approximately INR2,421 crores in Q3 FY '24 aided by continued ordering momentum in India and also the first large international EPC order in nearly 3 years.
Coupled with our order inflow of INR3,106 crores announced in the first half, our total order inflow, including LOIs in first few quarters of FY '24 has now touched approximately INR5,527 crores . We are very excited to announce our first large international BOS order for a 221-megawatt DC project in Spain. Through this project, SWREL has achieved a key breakthrough in the European solar market.
The scope of work include design, engineering, supply, excluding PV modules and transformer, construction, erection, testing and commissioning. The total contract value, including 3 years operation and maintenance is approximately EUR112 million. The order was bagged from ENI Plenitude . This is one of the major European utilities giant with fast -growing presence in the renewable segment.
In the domestic market, we achieved another breakthrough by winning a 220 -megawatt DC floating solar project, which also happens to be one of the single -largest floating solar block s awarded till date in the country. The scope of the project includes module s and EPC work and the proj ect is located in the state of Jharkhand.
We have also been able to leverage the strength of our ongoing relationship s by bagging another project from Sembcorp India subsidiary for a 528-megawatt DC project in Rajasthan. This also

happens to be one of the largest projects of our customers in India. We are happy to be able to partner and provide customized solutions for our customers in their large projects being executed across the country.
With these new orders, our unexecuted order book as on 31st December 2023 has increased to approximately INR8,750 crores with nearly 87% of the order book comprising domestic EPC projects, which are executable over the next 12 to 18 months.
With the inclusion of the Nigeria MOU that was announced in September 2022, our order pipeline is anticipated to enhance significantly. We are working with variou s stakeholders to fi

nalize the D&E PC agreement for the project.
In terms of outlook, our domestic order pricing continues to grow very robustly, and we are expecting almost 40 gigawatt of big pipeline to be bid out in the domestic market alone by FY '25 with the major chunk anticipated to come from PSUs.
The international market is beginning to gather a lot of steam with a slew of projects being bid

across geographies as developers look to tap into significantly lower module price environment.
In the Middle East alone, we are seeing several gigawatt field projects taking shape across Saudi Arabia, UAE, Oman, et cetera, which should bid out in the next 12 months. We are hopeful of tapping into big opportunity of mega projects subjec t to them matching our risk profile.
In the international markets, while we have been adopting a more cautious approach with new orders, we are beginning to make headway with clients , as the first order win in Europe shows.
Our business development teams are working very hard and remain focused to deliver the strong growth trajectory, we are targeting in this year. As stated in earlier calls, we reiterate that lumpiness in order inflow is to be expected with EPC company like ours and timeline for achieving project closures could vary depending on a host of factors, including finalization of contractual terms, financial closure, et cetera.
Now moving to industry outlook. We have witnessed a significant decline in the price of module in the last 12 months , with module price now falling to less than $0.13 per watt peak . With significant supply pressure due to emergence of new production capacities in China, industry analysts continue to anticipate module prices to remain depressed for some time. As stated in earlier calls this year the time remains ripe for more projects to come up onstream aided by a lower LCOE, which should translate into more work for EPC players like us. With a strong balance sheet that has been achieved this quarter, we remain well positioned and are hopeful of achieving our targets set out earlier this year.
With this, I will ask Bahadur to take you through the consolidated financial highlights. Thank you very much.
Bahadur Dastoor : Thank you, Amit. I will start with an update on the key quarterly results. Revenue from operations for the quarter ended September was INR583 crores. Revenue has improved significantly on a year -on-year basis. However, it was lower sequentially due to the execution challenges we faced from tight working capital conditions seen during the course of the third quarter.

The situation operationally has since improved, aided by 3 key factors: first, the QIP proceeds of approximately INR1,500 crores in December. Second, the promoter indemnity inflows in end of November. And third, proceeds from settlement with a vendor which was received in middle of December.
The company has reported consolidated gross margin of 11.2% in the third quarter FY '24.
Domestic EPC margins in the third quarter were approximately 9.5% and stand at about 10.5% for 9 months FY '24. Our unexecuted order book continues to comprise approximately 87% of domestic EPC business. International EPC margins improved in third quarter FY '24 primarily due to exchange gains. O&M segment margins were approximately 15% for this quarter due to certain one -off expenditures incurred post monsoon. The company reported a second consecutive quarter of positive consolidated EBITDA in the third qu arter FY '24. PAT loss during the quarter was INR62 crores.
Now coming to the balance sheet. As on December 31, we had cash and cash equivalents of approximately INR550 crores, and our net debt stood at INR27 crores and our net worth at INR982 crores.
In fact, if we exclude suppliers' credit of approximately INR49 crores, then we had a positive net cash b

alance. We have repaid a large portion of our debt, including all the overdue debt from the QIP proceeds in December itself and have earmarked deposits for upcoming debt payments.
The total repayments as at date, including those with earmarked fixed deposits is about INR1,800 crores. Our working capital situation, which had tightened in Q3 has now started to improve, and our projects continue to operate in a negative working capital cycle.
With this, we can now open the floor to questions -and-answers.
Moderator : Thank you very much. We will now begin question -and-answer session . First question is from the line of Dhawal Doshi from Dymon Asia. Please go ahead , sir.
Dhawal Doshi : Just a few clarifications. I missed the initial comments. You mentioned 40 gigawatt of bid pipeline in the domestic. And in the international, what was the figure?
Amit Jain: 15 gigawatt of pipeline in there itself in Middle East and Africa for this year, and we have roughly 8 gigawatts of pipeline in other geographies. But as we have stated in all of our investor calls and speeches that we are being very cautious with respect to taking international projects.
So, we are evaluating risk s and margin profile before bidding and concluding any project.
Though pipeline continues to remain very, very robust. And which you'll see, the pipeline there a sudden spurt of projects and module prices coming down, we are hoping that in coming quarters a nd next fiscal year, will be addressing -- we'll be getting, receiving far more number of bids, which match our risk profile and margin profile, and we'll be able to bid out far more

higher numbers than we have done this year.
Dhawal Doshi: Okay. And the order inflow number for this quarter, you said was INR2,700 crores, right? Did I hear you correctly?

Amit Jain: This quarter is INR2,421 crores is the order number. And for the next quarter, there is a significant bid pipeline of 6 gigawatts as we have said that orders remains -- order booking remains lumpy based on various quarter s. So next quarter itself has a huge bid pipeline, which some of the tenders that have been already submitted, which we are awaiting for reverse auction and a lot of bids are yet to be submitted in this quarter, with quite a few we are expecting to conclude within this quarter.
Dhawal Doshi: Okay. So Q4 could actually be quite a sizable number.
Amit Jain: It could be sizable in terms of bidding if decision happens timely. So Q4 is -- can be a very, very good quarter.
Dhawal Doshi: Okay. Sir, in terms of the timelines for the Nigeria order, I'm assuming 6 gigawatt is excluding the Nigeria project.
Amit Jain : So, all the numbers are excluding Nigeria and Reliance projects. These are pure plays like all other our third -party clients, PSU and private IPP s. So, with respect to Nigeria project, we are expecting it to get concluded soon, discussions are -- at very high level are still going on, and we expect to get it concluded soon.
Dhawal Doshi: So do we expect something in this quarter itself? Or you think this could further get delayed?
Amit Jain: We expect that to happen within this quarter. We expect that to happen. But we are again, having the ministerial level discussion there. So , we'll be able to update you after those discussions. So , what are the timelines we are looking at, but we are expecting it to happen very soon.
Dhawal Doshi: And what about Reliance, sir, when do you think the order inflows would start and any...
Amit Jain: So, land allocation is happening now -- the land allocation approvals happened. Now, the land allocation process is taking place. And as Reliance have stated, they have a very ambitious plan, and we should see the rollout on ground in coming months.
Dhawal Doshi: Okay. But this year's order seems difficult, probably Q1 is what..

.
Amit Jain: No, we are not saying that looks difficult, but I don't want to put definite timeline there. But we may -- we are expecting orders this quarter, but I'm not putting any timeline to it, but saying in coming months, we can see a rollout from that account.
Dhawal Doshi: Thank you sir. I have more questions. I'll call back in the queue.
Amit Jain: Thank you.
Moderator : Thank you. Next question is from the line of Rahul Kothari from Grit Equities. Please go ahead.
Rahul Kothari : Yes, hi sir. This is Rahul Kothari. Can you help us understand more -- individually on the sectors like wind where loss of traction is appearing and also into the hybrid and battery energy storage. How Sterling is looking into it?

Amit Jain: So we are -- as you know, we are already working on hybrid projects involving batteries. So in various geographies, we are bidding for those projects and in-house capability exists for stand -alone battery projects or battery projects coupled with solar.
So we are like fully capable of delivering those projects. So that capability exist s in the organization. Now as we have stated in our earlier investor calls, we are actively considering, we are looking at what format we can participate in wind BOS projects. So still strategic discussions are going on how to address that particular segment of market - both with respect to EPC as well as O&M .
Rahul Kothari : Okay. And sir, what about green hydrogen.
Amit Jain: Green hydrogen see -- major projects are yet to take off the ground, major action, whatever is happening is right now electrolyser manufacturing space. So whenever the substantial project s start hitting the market, so we'll address that accordingly.
Rahul Kothari : Okay. And sir, just one thing more regarding on the Australia front, can we expect some traction in Australia since we are one of the largest players over there as well?
Amit Jain: Yes. So we are like already received letter for early work in one of the projects. So we are actively engaged with some of the clients. And we can expect traction with respect to stand -alone battery project and the pure solar projects, both in Australia an d New Zealand markets.
Rahul Kothari: Okay. That's it. I'll come back in the queue sir. Thank you.
Moderator : Thank you. Next question is from the line of Aejas Lakhani from Unifi Capital Private Limited.

Please go ahead.
Aejas Lakhani : Yes, hi, congratulations on the results. Two questions here that point number 1 is in the new orders that you have taken, could you guide what is the gross margin range that you have taken in domestic orders? And for the unexecuted order book that you have, what is the gross margin range that we are thinking about? That's question o ne.
Bahadur Dastoor : So for the gross margins that we have taken in this quarter, it continues to fall within our domestic range of between 9% to 10%. In the case of the international project, it is -- this project is a slightly higher one. It is lower double digits. As far as our unexecuted order value is concerned, most of it being from the domestic front, continues to remain in that same range, which I have said earlier.
Aejas Lakhani : Got it. Point number 2 is that now since the bulk of our debt is either repaid or is in the process of getting repaid, will the reduction in interest cost be visible from the fourth quarter? Or will the full effects be visible in the first quarter?
Bahadur Dastoor : So, we had roughly INR2,178 crores of debt as on September end. By end of December, we had paid out INR1,600 crores out of that, and we had prepaid another INR125 crores in January, which means that our debt is roughly INR450 crores, of which INR75 crores is protected by

fixed deposits ea

rmarked for that. So , we have a net debt of about INR377 crores, which is a substantial reduction as compared to the INR2,178 crores.
Since all of this has already been accomplished by end December, early Jan, we will definitely be seeing the effects of a reduction of interest in this quarter.
Aejas Lakhani : Perfect. Could you also talk about the 2 events of last quarter, which we had seen in your notes to accounts on the customer with which we had a surety bond assurance. And what is the situation on that because we could enforce that surety bond, but I'm -- my understanding is it was delayed for some reason. So could you comment about that issue specifically?
Amit Jain: So in that regard, litigation is already in process. To give you a brief -- with that particular subcontractor where the surety bond was enforced. So already, we -- there are 2 separate legal matters going on, One against the subcontractor, which defaulted, and second with the surety company. So both -- there was no delay from our end.
It was the delay from the end of the surety company, the company which issued the bond, and we are in litigation with that. Some of the favourable decisions have come and it is proceeding in the courts in USA. And there is an arbitration which is separately proceeding for which the arbitration hearing will start in Q3 FY '25.
Aejas Lakhani : Okay. Okay. And the other matter was where 2 customers that invoked bank guarantees -- I mean, I mention...
Amit Jain: That was our customer in USA. So it was one customer for which we were executing 2 projects. And there also , matter is proceeding in the local courts. One is in Washington and Oregon. So , we have filed liens on the project s and filed separate complaints in the local court s, and both the matters are under litigation.
Aejas Lakhani : Okay. So basically, any resolution from that will help in incremental cash flow to the company in FY '25? Is that understanding correct?
Amit Jain: Absolutely, we have been cashed out on all those accounts. So any gain from those resolution of these issues will further add to cash flow s of the company.
Aejas Lakhani : Perfect. And just if you could speak with regards to the O&M business and how that is scaling up, what was the one -off that took place in -- because we understood that margins are 25%, 30%. So could you call out what was that one -off? And how do you see th e O&M trends?
Bahadur Dastoor : The one -offs were essentially a high cost of cleaning, grass cutting, et cetera, post monsoon, which always happens. Thus, there were other CIEG and other one -off expenses, which had to be incurred as part of the compliance, which went to depress the margin. If those one -offs were excluded, the margins would have been upwards of 20%, and that is the reason for this suppression in this particular qu arter.

Aejas Lakhani : Got it. And could you just call out how the India market is evolving today, if there is any qualitative aspect that you can call out or how the market is shaping up, what speed it is picking up, anything on that front?
Amit Jain: Can you repeat your question, please?
Aejas Lakhani : Yes, I just wanted to understand how is the India domestic market shaping up? Is there any

qualitative comments you have on the shape up of the India market?
Amit Jain: Absolutely. So India markets have -- I think there is an extremely robust growth and we see, like this year, we have addressable market of 15 gigawatts to the projects which come and which are in our range, which we are going to address and bid for that . That will increase from 15 gigawatts in FY '24 to 24 gigawatts in FY '25. So total bid pipeline we expect in next 5 quarters is more than 40 gigawatts.
So market is going to be extremely exciting and our addressable market size is also increasing substantially.

So it is 15 to 24, so there is a huge growth of the 60% in our addressable market as well. So we are very excited about Indian market going forward.
Aejas Lakhani : Got it. And anything on the pledge for the principal shareholders coming down? Is there any scope for that in this year?
Bahadur Dastoor : Pledge by the principal shareholders, which is essentially, Shapoorji Pallonji, is for loans which they have taken against which those shares have been pledged. We have no information as to whether those pledges will get reduced because those are long -term loans. So while the expectation is they will continue to remain pledged. We do not have any definitive answer on this question.
Aejas Lakhani: Noted. Thanks and done.
Moderator : Thank you. Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri : Hi, good evening. So hope, I'm audible.
Amit Jain: Yes. You're audible.
Darshil Jhaveri: Yes, hi. Thank you so much for taking my question. It was just a wonderful commentary. So from what I could understand, the next 5 quarters, we are going to be a lot bullish in terms of our partaking. So just wanted to know, next year, we would be able to breakeven -- because you would also have -- substantially reduced our interest cost and you would be on track, right?
Bahadur Dastoor : So I will start off by saying that things that are being planned right now. We do believe that this quarter itself will be a profitable one. And once this quarter is a profitable one, I think it is fair to say what will happen in the next financial year.
Darshil Jhaveri: Perfect. That's great to hear, sir. And sir, our current unexecuted pipeline of around INR8,700 crores. That would -- what would be the timeline to execute that, sir?

Amit Jain: That will be next 12 to 18 months, this order book plus whatever we book this quarter - will be executed in next 12 to 18 months.
Darshil Jhaveri: That's great to hear. So I just wanted to ask question -- sir, in terms of our revenue recognition, we would be recognizing revenue as we complete the project or in terms of percentage completion, sir?
Bahadur Dastoor : That's percentage completion only. So the standard way to recognize revenue for an EPC contract is percentage completion as the project progresses.
Darshil Jhaveri: So we would be able to see uptick in terms of revenue as the quarters go by. So if that would be -- and what kind of OPM margins could we expect because if our gross margin is around 10%, what kind of operating profits , margins could we expect going forward?
Bahadur Dastoor : You mean EBITDA?
Darshil Jhaveri: Yes, EBITDA.
Bahadur Dastoor : So it's a function of turnover. I'll just give you an example. So right now our overheads, which were about INR360 crores are expected to come down significantly this year. Let's say, it is somewhere between INR300 crores to INR320 crores. If you have in the next year, a INR10,000 crores top line, just giving an example, you will have a 10% gross margin, but only 3% overhead. So that will give you 7% EBITDA.
So, our overheads don't increase in line with the revenue increase. And therefore, as revenue increases in the next year, as it is expected to, we will be seeing a lot of operating leverage moving gross margin to EBITDA.
Moderator : Next question is from the line of Danesh Mistry from Investor First Advisors.
Danesh Mistry : And congratulations on successful QIP. I just had 1 question, which is that as -- Bahadur, as you mentioned, clearly, our -- we are net worth positive now with roughly INR900 crores on the shareholder fund size. And our balance sheet is far lighter than maybe what it was even in March '19. So in terms of our balance sheet now, how much of revenue do you think we can do on a simple pro rata basis.
Because if I cycle b

ack to March '19, we have done about INR8,000-odd crores of the top line, with about an 8% margin. And that -- and the borrowing was far higher than what it is today. So

just trying to understand here, basis our balance sheet, no guidance expected, of course. But in terms of the balance sheet, how much do you think we can do on an annual basis in terms of revenues ? That's it from my end.
Bahadur Dastoor : So the essential part is what kind of non -fund limits would you have to execute the projects that you want to do . So after a lot of pressure, we are seeing normalcy returning on that front, and the company continues to work to enhance its non -fund limits. So with this present balance sheet and the non -fund limits that we have, it's safe to say what we have on hand pl us some is what

we can easily execute. Net worth is not really a criteria as far as getting jobs are concerned, except for bankability purposes outside India.
In India, our net worth is sufficient to meet all the project requirements and prerequisites. Amit can add if I have missed anything. But it is not the net worth , but the requirement of limits, which is now seeing a massive improvement compared to what we had in the last quarter.
Danesh Mistry : Got it. And just to understand -- sorry, sorry, Amit, please go ahead, sorry.
Amit Jain: No, no, I said Bahadur has covered whatever was asked in your question.
Danesh Mistry : And also in terms of -- so right now, we are in the midst of paying back our loans -- but do we plan to also because -- take some working capital financing, et cetera, or just limited to n on-fund base even in the future?
Bahadur Dastoor : So the company does have sanctioned working capital limits, which are presently nil. It will all depend on what is the drawing power availability and whether the company needs to take anything. See, right now, we have paid off all our loans or have parked fixed deposits, such that the earliest loan repayment will start only in December '24 and that too in instalments , which is spread over almost 2 years.
So there is no requirement that we see to borrow because we have negative working capital. All our existing projects are cash flow positive. We do not foresee any need to do any kind of incremental borrowing at this stage. However, there is working capital sanction limits available if drawing power permits and there is a need, which we don't foresee though, there is a possibility we can borrow.
Danesh Mistry : Okay. All right. But will it be to the extent...
Bahadur Dastoor : No requirement to borrow at this stage. We do not foresee it happening .
Danesh Mistry : You do not foresee it. Got it. And last question from my end. You've talked about loans due for the next 12 months have been paid off or fund earmark against them. So you mentioned that we paid off roughly INR1,400 crores, if I'm not mistaken, on the call. Outside of that -- sorry, INR1,800 crores. Yes, till January, I think. So for the next year, and I'm assuming next 12 months, how much is left to be repaid to just clear it all out?
Bahadur Dastoor : So we have -- in terms of term debt, we have INR328 crores of term debt which is required to be paid post December '24. So December '24, we would have something like INR29 crores. Then in the next quarter, we would have another INR50 crores and that means the entire next financial year, you don't have a number greater than INR75 crores to be paid out in instalments .
Danesh Mistry : Got it. So that's tranched out payment over 2 years when you are talking about the INR320 crores term loan. Okay. Okay. And this term loan was again some equipment we had bought or some...
Bahadur Dastoor : No, no, it was an unsecured working capital term loan which was taken.

Danesh Mistry: Got it. Great. Thank you so much. Thank you and wish you and Amit the best of luck in the coming quarter s. Thank you very much. Thank you.
Amit Jain: Thank you.
Moderator : Thank you. Next question is from the line of Iqbal Khan from Nuvama. Please go ahead.
Iqbal Khan : Yes, hi. Congratulations on very good set of numbers. Just 1 question I have, like you mentioned that your order book execution timeline is 12 to 18 months. So is it possible for you to provide some kind of revenue guidance for, say, Q4, Q4 itself. I mean, the near -term guidance, I'm talking about. I think for this 9 months, you have already done around INR1,700 crores of -- sorry, for the 9 months, you've already done around INR1,700 crores of revenue, right?
So what kind of guidance would you like to provide? Or is it possible for you to provide for Q4 near term. FY '25 we all see that with this healthy order books, there is high possibility for you to turn around both at EBITDA and PAT. But can you guide us for the Q4 revenue guidance?
Bahadur Dastoor : So I would not want to give a guidance as such, but all I can say is we will be catching up on whatever we lost in Q3, and it should be the best quarter that we will have in the year.

Iqbal Khan: Okay, understood. Thank you so much.
Moderator : Thank you. Next question is from the line of Mr. V.P. Rajesh from Banyan Capital Advisors. Please go ahead.
V.P. Rajesh : Hi, thanks for the opportunity and congratulations on the QIP. Most of my questions have been answered, but just wanted to get clarification on a couple of things. So the call-up that you did in September '23 with the promoters in terms of indemnification proceeds, has all that money come in or something staying outstanding?
Bahadur Dastoor : Everything has come in by the due date of it having to come in.
V.P. Rajesh : Okay. Wonderful. And I know in the past you have given some guidance about what you expect in September '24. So if you can just update on that front, that would be helpful?
Bahadur Dastoor : So in terms of indemnity, as things stand now, the company is still cash out somewhere between INR850 crores to INR875 crores. Some of it might get crystallized in this coming September and the balance maybe in the September thereafter.
If I were to hazard a guess, I would say somewhere around INR400 crores max INR450 crores is something that could crystallize by this September. But this is a very preliminary statement from my side. But that's more or less what it would be.
V.P. Rajesh : Got it. So if this number holds then what I'm hearing is -- sorry, is it better now?
Moderator : Can you come a little closer.
V.P. Rajesh : Yes. I am very close to the phone now.

Moderator : Better.
V.P. Rajesh : Thank you. So my other question is what I'm hearing is that given the debt position you've talked about, you will be essentially a net cash company by, let's say, December quarter next year. Is that a fair way to think about this?
Bahadur Dastoor : So if I leave out my suppliers' credit, which is a recurring thing, you will see that we are already net cash in this quarter itself. It is only because we have a supplier's credit balance of about INR49 crores. That is why we became a net debt of about INR27 crores. Otherwise, we were already net cash here itself.
But if we get our indemnity money, if we get our inflows from the projects, there is no reason why this loan should not be repaid. The first priority will obviously be to ensure that all project flows go to meet the requirements of the projects. If there i s a surplus, which we believe is there in the long term, yes, we would definitely take care and become debt -free. Net debt free, we are almost at.
V.P. Rajesh : Understood. And then on the order book, you talked about INR8,000 crores plus -- INR8,500 crores,

I think you said. So my question is, are all the projects negative working capital, meaning you will not have put any money upfront into any of these projects? Is that the way to understand it?
Bahadur Dastoor : All of these projects are negative working capital. They are all cash positive.
V.P. Rajesh : Okay. So then you will be generating a lot of free cash next year, if that is the situation, right? I mean, is that sort of a logical conclusion here?
Bahadur Dastoor : Yes. Your conclusion is correct.
V.P. Rajesh : Okay. All right. And then on the Nigeria side, if you can just elaborate because this has been stuck for last several quarters -- so what exactly is the issue that is preventing the government to move forward over there with this project?
Amit Jain: So as we explained in earlier calls, there is no single issue, which is like delaying the project, the Power Minister had himself tweeted about the project, which you all would have seen. So if project value is so high and multiple ministries are involved, so we are just giving the final touches to the – with the D&EPC agreement which is to be signed and we expect it to be get signed soon. So we are involved and the ministerial level discussions are going on, and we expect it to be concluded soon.
V.P. Rajesh: Great. Wonderful. Thank you and all the best.
Moderator : Thank you. Next question is from the line of Mayank Chaturvedi from HSBC Mutual Fund. Please go ahead.
Mayank Chaturvedi : Yes, hi. Thanks for the opportunity. Just one question from my end. I joined the call a little late so I missed your comments on the revenue...

Amit Jain: We are not able to hear it clearly. Can you come closer to the mic.

Mayank Chaturvedi : Hello, is this better?
Amit Jain: Yes.
Mayank Chaturvedi : So I joined the call a little late, so I probably missed your comments on the revenue execution for this quarter. So if you could maybe just elaborate -- I think it was expected that the NTPC or the execution will pick up from the third quarter and the revenue was expected to be much higher. So any particular reason for revenue being lower than the earlier quarter.
Bahadur Dastoor : The revenue was lower than the earlier quarter, primarily because of the difficulties which we faced when there was a rating downgrade caused by missing of an installment of loan , that created a lot of flutter. Banks had clamped down on certain amount of limits, which made it difficult to meet the execution targets that we have.
Having now done the QIP paid off all the overdue debt, in fact, paid off all debt such that you have nothing to pay till almost December of this year. We are seeing that there is a change. Our discussions are on with banks to work out enhanced limits to meet the requirements of the revenue and cost for this quarter and the coming quarters. As I have mentioned, while we are not giving a guidance, we will be catching up on the revenue loss of the previous quarter in the current one, plus whatever we had antic ipated to do in this current quarter.
Mayank Chaturvedi : Okay. Great. So I think this lower fund base limits would have also affected your execution up until now in January, right? And that will pick up in the next the months maybe? Is that conclusion correct?
Bahadur Dastoor : Yes, there was a bit of stress in some of the projects, but it was being managed. However, we have utilized all the cash flows not only to pay off debt, but even if there were any vendors and subcontractors, which could have been paid out to increase the p ace of execution of the projects.
Mayank Chaturvedi: Sure. So that's all from my end.
Bahadur Dastoor: Thank you.
Moderator : Thank you. Next question is from the line of Rahul Jain from JM Financial PMS. Please go ahead.
Rahul Jain : Yes. So , sir thank you for the opportunity. I

just wanted to understand that if not for the working capital challenges , which we faced on the execution front in Q3, wanted to understand how much of the execution did we miss if you can share some numbers on that side?
Bahadur Dastoor : Let's say, I'm giving a ballpark number, we would have achieved roughly 2/3 of what we would have wanted to achieve.
Rahul Jain : Okay. And sir, some more bookkeeping question which I had. So , in the segmental result, what is the unallocable expenditure , if you can share some things on that side?

Bahadur Dastoor : They are on the first page, Rahul, it is your employee benefit expense, finance costs, depreciation and other expenses, I think INR253 crores. Essentially, the overheads plus interest and depreciation.
Rahul Jain : This will significantly come down with interest expenses coming down, okay.
Bahadur Dastoor : Yes.
Rahul Jain: Sir, thanks for the clarification. That’s it from my side and all the best.
Bahadur Dastoor: Thank you.
Moderator : Thank you. Next question is from the line of Nikhil Abhyankar from ICIC Securities. Please go ahead.
Nikhil Abhyankar : Thank you. Thanks for the opportunity. Sir, t he module prices in the international markets have fallen to $0.13, $0.14 a watt . Is it also -- what are the domestic prices for domestically sourced modules?
Amit Jain: So domestic prices right now in the range of $0.20 to $0.22, but with the more capacity additions happening in India, -- there will be a movement towards like to cover the bridge between international pricing and domestic pricing. So we expect that module prices in India also will be competitive in coming quarters.
Nikhil Abhyankar : Understood. Sir, basically, 90% of our order book is domestic as so we have to source those modules domestically? Is that the case?
Amit Jain: Yes. Absolutely for projects with modules, which we win in India, we'll be sourcing models from India.
Bahadur Dastoor : And just let me add to what Amit has said, as of right now, we have only 2 projects where there is modules. One is what we have won last with NTPC and the other one is what we are the L1 for a floating solar job.
Nikhil Abhyankar : Sir, what is the total order value for these orders?
Amit Jain : Around total -- close to INR2,000 crores.
Nikhil Abhyankar : And sir, regarding Nigeria orders, since the module prices have fallen internationally, should we expect that $1.5 billion order to reduce in size?

Amit Jain: So right now, the agreement is getting concluded, but we have no such indications from the client side.
Nikhil Abhyankar : Okay. And just going back to your initial remarks, you mentioned that Reliance is in the process of finalizing their RE plans. So can you just throw some light on that and quantify what kind of plans these are ...

Amit Jain: I would not like to -- see, I will not like to indicate - because the Reliance plans are in public domain. We expect the rollout to start in coming months, but I would not like to specifically state anything on behalf of Reliance. And I will limit my statement to that.
Nikhil Abhyankar : Okay. So any quantum of orders that we are expecting?
Amit Jain: The rollout is -- everybody is expecting the rollout, the plan is in public domain, rollout is going to be huge -- investment plans are huge . So, of course, the order rollout of the orders which we'll receive, we'll come and get it to that.
Nikhil Abhyankar : Okay. And sir, just a final question. The other expenses have increased sequentially. So can we put that purely because of QIP expenses?
Bahadur Dastoor : No, no, it's not because of QIP expenses. The other expenses were there in the region of between INR25 crores to INR30 crores. Sometimes there is a forex gain e

lement in that. Sometimes there is a forex loss element in that. There were certain reversals which we had to do in the previous quarter and hence, it is not completely comparable with the INR8.42 crores in the previous quarter. The other expense trend will be anywhere between INR25 crores to INR30 crores per quarter.
Nikhil Abhyankar: Okay , sir. Understood. Thank you and all the best .
Moderator : Thank you. Next question is from the line of Mr. Hiren Ved from Alchemy Capital Management. Please go ahead.
Hiren Ved : Hi, and t hanks for taking my question and for stabilizing your operations this quarter. You mentioned early on that you're being very careful about taking on international projects or bidding for international projects, -- what is the minimum gross or EBITDA margin below which you will not take a project internationally?
Amit Jain: So I would say our threshold earlier used to be 8% to 10%. And we are maintaining that because the market has become very, very competitive in Middle East in between with the interest of Chinese players. Margin level has dropped down. So you have seen that we have not picked up any project due to drop in margins.
So we'll still consider that margins will remain in 8% to 10% threshold, which we had indicated earlier and the project which we have won in Europe is in double digits that we have indicated. So we are trying to be in lower double digits with respect to in ternational project s.
Hiren Ved : And do you still see the same level of Chinese competition in Middle Eastern and other markets?
Amit Jain: So what we are witnessing in Middle East market s that the project volume is going to triple, almost like this year, we are expecting 10 to 15 gigawatts. And like from this quarter till end of FY '25 close to between 10 to 15 gigawatts of mega projects will be there. Chinese have not delivered to the exp ectation of many IPPs, project delays have happened. So the Indian -- big Indian EPC players are getting a lot of traction from the IPPs in both in Saudi and UAE and Oman everywhere.

So we now expect the rationalization of our contract terms and conditions as well as the margin profile in the Middle East. So we expect it to get better, and we expect that we should be able to conclude some of the projects in Middle East in FY '25.
Hiren Ved : And are there any Indian players that compete with you when you bid for these projects, now that the volumes are going to go up dramatically?
Amit Jain: Primarily L&T will be there.
Hiren Ved : L&T.
Amit Jain: Yes.
Hiren Ved : Okay. And I think if we were to not look at this year or next year, but let's say, look out 2 to 3 years, -- is there an aspirational gross or EBITDA margin level that we would want to work towards? And what would that be?
Amit Jain: So we will try to improve where we are right now, what we are maintaining in domestic and international market s. Obviously, the aspiration of any management is to optimize the cost , build on the economies of scale, make operations more efficient and improve gross and EBITDA

margins. And that's what we'll be striving for. That's best I can say at this point of time.
But with the revenue base broadening our overhead proportion like allocation will be on a much wider base. So that itself will take our EBITDA margin s up . And with other operational efficiencies, we expect both gross margins and EBITDA margins going up considerably.
Hiren Ved : And would it be fair to assume that from here on whether international or domestic business that you would take on would all be negative working capital?
Amit Jain: That's how has been the business model traditionally, and that's what we are targeting for. The nature of business itself is that it becomes a negative working capital.
Hiren Ved: Got it. Thanks, and all the best.
Amit

Jain: Thank you.
Moderator : Thank you. Our next question is from the line of Mr. Faisal Hawa from HG Hawa and Company. Please go ahead.
Faisal Hawa : Sir, my first question is that are we embarking on any kind of cost reduction and if at all there is the cost reduction - how much can be squeezed out more ? That's one. Second is FY '25, what do we expect our exact or approximate interest outgo to be?
And second one but is there any thought process within the company now to totally avoid overseas contracts because that is where the variables are really too many and that is what we have faced maximum problems in the company in the past also. So at least or probably, we should have a much better margin to balance out the extra risk that is there from such orders.

Bahadur Dastoor : So I'll try to answer the first two questions. As far as the strategy for overseas market, I will let Amit respond. So your first question was on overheads. Yes, definitely, there is a lot of work going on internally to reduce overheads. And that is why while last year's overheads were a much larger number, we are seeing at least a 15% to 20% reduction in overheads in the current year.
Next year, the target is to reduce it even further from there. So yes, there is a concentrated effort being made to optimize overheads and to use low -cost overheads in place of front -ending high cost overheads. So that is definitely an ongoing exercise.
Faisal Hawa : Can you give a number to the reduction in overhead s which we are targeting for FY '25?
Bahadur Dastoor : So FY '24, let me say, while the previous year was close to INR360 crores , this time, it will be somewhere between INR300 crores to INR320 crores , okay? I don't want to give anything very specific , but it will be somewhere there. And next year, it will be sub INR300 crores . How much we can bring it sub INR300 crores - we are just doing the final working , so before we can tell you that. That is as far as the overheads are concerned ..
As far as interest is concerned, if you're saying INR328 crores is what remains and if you are taking an average cost of borrowing, which ranges between 9.5% to 11.5%, I think it is quite clear what will be the interest cost that will be there for FY '25.
If, however, we get our advances, and we are very sure that they are not required for the project purposes, yes, we may deploy that towards reducing some of our overheads or we will wait to receive some indemnity proceeds by November of this year and then reduce our loans. So we will see how most ideally that can be done. I hope I've answered your first 2 questions, then I'll ask Amit to answer your third.
Amit Jain: So Mr. Hawa with respect to international markets, as we are repeatedly saying that what the international projects, whatever we are looking now we are carefully examining what is the risk profile of the project and we have a revised risk metrics, which ha s been developed with the deliberation along with the Board and risk management committee - if the project fits or meets our risk requirement or we are able to negotiate that only then we are taking the project, and we are very careful about the margins also.
But having said that, if you see that the majority of the order book is now comprising of the domestic orders. Having said that, we cannot ignore international markets as well. So there is a lot of strength and the client relationships we have, and we have executed projects successfully and make money as well in international markets. It's not that we have only lost money. But the problem set, which was there specifically was due to multiple black swan events happening at that particular point of time, when those particular orders were being executed. But now the world is in a different kind of a situation - supply chain problems and all

other execution
problems, which arose because of the corona, don't exist anymore.
Having said that, we are very, very careful and we'll capitalize on only very good opportunities, which can strengthen our top line and bottom line, and we are very, very careful about that . But

we'll continue to be present in all of our traditional markets, which we have been addressing.
But all the order booking will be done with a lot of caution.
Faisal Hawa : Sir, actually, most smaller EPC companies in the solar space totally admit that they didn't have the ability to do 1 GW projects or more than that. And they say that you have except for Sterling Wilson and L&T, nobody has the ability also. So I mean, with such a kind of opportunity and so many orders all coming in at 1 time as a tailwind because the government has also mandated their own PSU s to commence these orders.
So I mean would it not absolutely make sense to have lower overheads, lower risk and do only domestic orders for the next 3 to 4 years because I mean, this is definitely looking like a huge tailwind, which will come towards you -- and I mean, even we can see clearly that you can actually pick and choose your orders. So I really don't see the -- without a better reward, why take a huge risk with overseas orders.
Amit Jain: So Mr. Hawa you are seeing it, and we are actually implementing - if you see for the last 3 years, we have not picked up a single international order. And the focus has been on domestic market. So wherever the good opportunities, which meets our objectives and company's strategy, the strategy will be continuously involve d on that basis.
So we cannot like take a particular stand at a particular point of time. But as you said, like right now, the total focus is on domestic market. And we are doing very, very slow international markets, only in some of our marquee clients with very good project , minimum risk profile offers us projects and if you are able to pick up those opportunity only then we are going forward for it. Otherwise, we are not looking at international projects. This is the first project this quarter, which we have booked - is the first order in last 3 years, and we'll be fully capitalizing on domestic market.
And we'll also see how the project portfolio is to be balanced. If we are fully booked in India and have like order book exceeds our expectations, then we might be specifically focusing on the Indian market, who knows. So that's how -- it's an evolving strategy and will address as per the market conditions and in consultation with the Board and the other shareholders.
Faisal Hawa : And one more thing is what is the order inflow that we are targeting for calendar year 2024? And sir, would it be a right statement to say that now given that our debt is almost clear and plus Reliance is backing that we could actually have a situation in which w e could get as many bank guarantees as we want as a quantum -- do we have something like tap which is just open for us unlimited or if that's not a right statement?
Bahadur Dastoor : Nothing is unlimited Mr. Hawa, everything takes efforts. You know the position that we were in, in the last quarter. Things have substantially improved from there. And we are going to continuously work to improving it as much as we can.
But there is nothing like a tap has opened and everything is available as much as we want - sufficiently available to execute what we need to do, and we are also looking forward to build up our limits to take care of our future requirements.

Faisal Hawa : Sir, would give a number to the bank guarantees that we can open at the very maximum?
Bahadur Dastoor : No. So first of all, are there any outstanding bank guarantees today, there are none. We've opened all the bank guarantees that are required for our projects, which are there at the moment.
Faisal Hawa : So -- okay. So I mean, that itself could be an advantage to us that a bank guarantees are much more freely available?
Bahadur Dastoor : So it's always non -fund limits, which is the fuel for this business. The company keeps looking forward to work on enhancement of limits to take care so that none of the project suffer.
Faisal Hawa : And sir, if you could answer on the order book that you are targeting for calendar year 2024?
Amit Jain: 2024, as you have seen, we have already booked like INR5,527 crores of order book. We have roughly 6 gigawatts of pipeline, which will be closed out in Q4. So we are pretty sure that underpins a significant order book, which is to be addressed in Q4, bid pipeline.
Faisal Hawa : So Q4, we are expecting maximum orders.
Amit Jain: Yes-- we are expecting to quite an exciting quarter. That depends on how many contracts get closed - 2 of the projects bids have already been submitted . We are waiting for reverse auctions with our clients. And some of the bids with huge PSU tenders are to be submitted. And then we have to see -- how much we are able to close within this quarter. But certainly that we are addressing, and there is bid pipeline from IPPs as well. So total bid pipeline, we are addressing, is 6 gigawatts, and we'll see how much we can close within this quarter.

Faisal Hawa: Thank you so much sir. Really appreciate.
Moderator : Thank you. Our next question is from the line of Mr. Kunal from DAM Capital. Please go ahead.
Kunal : Yes, hi sir. Congratulations on a good set of numbers. Sir, just a couple of clarifications. The se 6 gigawatt that you're talking of in the domestic market. Now these are largely BOS or these are projects with modules as well, right? What is the sort of mix over here.
Amit Jain: So this is in the mix of both. Most of the private IPP pipeline is pure play BOS. But in PSU tender, it's a mix of both BOS and complete EPC including modules.
Kunal: Understood. And sir, just a qualitative - there's been a competitive intensity, especially in the 300-megawatt plus orders that could be limited to the 3 or 4 players as well, right? I mean that's what the experience is, I mean, totally right now.
Amit Jain: You are right. Absolutely correct. Within the order size exceeds or the bid side exceeds 300 - megawatt plus, the competitive incentive intensity comes down and there are very few players which are competing in that segment.
Kunal : Understood, understood. And sir, just one comment on this overhead reduction, so about INR300 crores, INR320 crores odd comment for this year at closing and early attempts to even optimize that. I'm just trying to understand on one side we are sort of in the scale up mode, right? I

mean -- and I do understand the mix going towards more of domestic less of international and obviously, the overheads over year are much lower. But looking at this sort of order book -- I'm just trying to understand what's on this INR300 crores, INR320 crores of overhead s, what revenue execution can we do just from a bandwidth perspective.
Bahadur Dastoor : So I'll give you a comparative. When we said INR8,250 crores, our overheads to INR220 crores. So essentially, it is not all about overheads. Overheads do not exponentially rise nor fall on the base of what kind of revenue you can achieve. So , it is all about your execution strength. Your overhead back -end strength is enough to take care of whatever we foresee in the foreseeable future. Of course, we are still not going to rest at that. We are still working on optimizing as I answered to the previous question.
Kunal : Understood. And sir, there's one last bit. In terms of these performance bank guarantees, could you just help m

e like what exactly would be the quantum of the like percentage of the project size that goes in as a performance bank guarantee?
Bahadur Dastoor : I will just start out, Amit can add. So typically, we see 10% advance and 10% performance bank guarantees. The quantum may vary project to project. Sometimes you do get higher advanced bank guarantees. Sometimes if the margin is better, there is a slightly higher performance bank guarantee that is required.
But on an average, it would be 20% of bank guarantee - split half and half between advance and performance. Amit, if I have missed something, you may please add.
Amit Jain: You're right, Bahadur.
Kunal: Understood. Thanks a lot. This is really helpful.
Bahadur Dastoor : Advance bank guarantee falls pretty quickly over the execution of the project.
Kunal: Thanks a lot , sir. This is really helpful and all the best.
Moderator : Thank you. Ladies and gentlemen, that was the last question of the day. With that, we conclude today's conference call. On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. We thank you for joining us.

Call: Feb 2024

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January 24, 202 4

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Dear Sir/ Ma'am,

Sub.: Investor s Call Q 3 FY 2 4- Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

In continuation to our letter dated January 15 , 2024 and January 18, 2024 , please find enclosed the Transcript of th e Inves tors Call held on Thursday , January 18, 2024 at 04:00 p.m. for the Unaudited Consolidated and Standalone Financial results of the Company for the quarter and nine months ended December 31 , 2023 .
The same is available on the Company's website at www.sterlingandwilsonre.com
Request you to take the same on record s.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer

"Sterling and Wilson Renewable Energy Limited
Q3 FY '2 4 Earnings Conference Call"
January 18, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 18th January 2024 will prevail.

MANAGEMENT : MR. AMIT JAIN – GLOBAL CHIEF EXECUTIVE OFFICER

MR. BAHADUR DASTOOR – CHIEF FINANCIAL OFFICER
MR. SANDEEP THOMAS MATHEW – HEAD INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day, and welcome to Sterling and Wilson Renewable Energy Limited Q3 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectat ion of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Thomas Mathew, Head Investor Relations, for his opening comments. Thank you, and over to you, sir.

Sandeep Thomas Mathew : Yes. Good afternoon, everyone. Welcome to our Q3 FY '24 Earnings Call . Along with me, I have Mr. Amit Jain, our Global CEO; Mr. Bahadur Dastoor, our CFO; and SGA, IR Advisors.

We will start the call with the key operational highlights for the quarter and the industry outlook by Mr. Amit followed by the financial highlights by Mr. Bahadur, post which we will open up for Q&A. Thank you, and over to you Amit .

Amit Jain: Thanks, Sand eep, and a warm welcome to all the participants on this call. I would like to give a quick update on our business operations and outlook on the solar industry, and I will begin with our order book.

The company announced new orders and LOIs totalling approximately INR2,421 crores in Q3 FY '24 aided by continued ordering momentum in India and also the first large international EPC order in nearly 3 years.

Coupled with our order inflow of INR3,106 crores announced in the first half, our total order inflow, including LOIs in first few quarters of FY '24 has now touched approximately INR5,527 crores . We are very excited to announce our first large international BOS order for a 221-megawatt DC project in Spain. Through this project, SWREL has achieved a key breakthrough in the European solar market.

The scope of work include design, engineering, supply, excluding PV modules and transformer, construction, erection, testing and commissioning. The total contract value, including 3 years operation and maintenance is approximately EUR112 million. The order was bagged from ENI Plenitude . This is one of the major European utilities giant with fast -growing presence in the renewable segment.

In the domestic market, we achieved another breakthrough by winning a 220 -megawatt DC floating solar project, which also happens to be one of the single -largest floating solar block s awarded till date in the country. The scope of the project includes module s and EPC work and the proj ect is located in the state of Jharkhand.

We have also been able to leverage the strength of our ongoing relationship s by bagging another project from Sembcorp India subsidiary for a 528-megawatt DC project in Rajasthan. This also

happens to be one of the largest projects of our customers in India. We are happy to be able to partner and provide customized solutions for our customers in their large projects being executed across the country.

With these new orders, our unexecuted order book as on 31st December 2023 has increased to approximately INR8,750 crores with nearly 87% of the order book comprising domestic EPC projects, which are executable over the next 12 to 18 months.

With the inclusion of the Nigeria MOU that was announced in September 2022, our order pipeline is anticipated to enhance significantly. We are working with variou s stakeholders to fi

nalize the D&E PC agreement for the project.

In terms of outlook, our domestic order pricing continues to grow very robustly, and we are expecting almost 40 gigawatt of big pipeline to be bid out in the domestic market alone by FY '25 with the major chunk anticipated to come from PSUs.

The international market is beginning to gather a lot of steam with a slew of projects being bid across geographies as developers look to tap into significantly lower module price environment.

In the Middle East alone, we are seeing several gigawatt field projects taking shape across Saudi Arabia, UAE, Oman, et cetera, which should bid out in the next 12 months. We are hopeful of tapping into big opportunity of mega projects subjec t to them matching our risk profile.

In the international markets, while we have been adopting a more cautious approach with new orders, we are beginning to make headway with clients , as the first order win in Europe shows.

Our business development teams are working very hard and remain focused to deliver the strong growth trajectory, we are targeting in this year. As stated in earlier calls, we reiterate that lumpiness in order inflow is to be expected with EPC company like ours and timeline for achieving project closures could vary depending on a host of factors, including finalization of contractual terms, financial closure, et cetera.

Now moving to industry outlook. We have witnessed a significant decline in the price of module in the last 12 months , with module price now falling to less than $0.13 per watt peak . With significant supply pressure due to emergence of new production capacities in China, industry analysts continue to anticipate module prices to remain depressed for some time. As stated in earlier calls this year the time remains ripe for more projects to come up onstream aided by a lower LCOE, which should translate into more work for EPC players like us. With a strong balance sheet that has been achieved this quarter, we remain well positioned and are hopeful of achieving our targets set out earlier this year.

With this, I will ask Bahadur to take you through the consolidated financial highlights. Thank you very much.

Bahadur Dastoor : Thank you, Amit. I will start with an update on the key quarterly results. Revenue from operations for the quarter ended September was INR583 crores. Revenue has improved significantly on a year -on-year basis. However, it was lower sequentially due to the execution challenges we faced from tight working capital conditions seen during the course of the third quarter.

The situation operationally has since improved, aided by 3 key factors: first, the QIP proceeds of approximately INR1,500 crores in December. Second, the promoter indemnity inflows in end of November. And third, proceeds from settlement with a vendor which was received in middle of December.

The company has reported consolidated gross margin of 11.2% in the third quarter FY '24. Domestic EPC margins in the third quarter were approximately 9.5% and stand at about 10.5% for 9 months FY '24. Our unexecuted order book continues to comprise approximately 87% of domestic EPC business. International EPC margins improved in third quarter FY '24 primarily due to exchange gains. O&M segment margins were approximately 15% for this quarter due to certain one -off expenditures incurred post monsoon. The company reported a second consecutive quarter of positive consolidated EBITDA in the third qu arter FY '24. PAT loss during the quarter was INR62 crores.

Now coming to the balance sheet. As on December 31, we had cash and cash equivalents of approximately INR550 crores, and our net debt stood at INR27 crores and our net worth at INR982 crores.

In fact, if we exclude suppliers' credit of approximately INR49 crores, then we had a positive net cash b

alance. We have repaid a large portion of our debt, including all the overdue debt from the QIP proceeds in December itself and have earmarked deposits for upcoming debt payments. The total repayments as at date, including those with earmarked fixed deposits is about INR1,800 crores. Our working capital situation, which had tightened in Q3 has now started to improve, and our projects continue to operate in a negative working capital cycle.

With this, we can now open the floor to questions -and-answers.

Moderator : Thank you very much. We will now begin question -and-answer session . First question is from the line of Dhawal Doshi from Dymon Asia. Please go ahead , sir.

Dhawal Doshi : Just a few clarifications. I missed the initial comments. You mentioned 40 gigawatt of bid pipeline in the domestic. And in the international, what was the figure?

Amit Jain: 15 gigawatt of pipeline in there itself in Middle East and Africa for this year, and we have roughly 8 gigawatts of pipeline in other geographies. But as we have stated in all of our investor calls and speeches that we are being very cautious with respect to taking international projects. So, we are evaluating risk s and margin profile before bidding and concluding any project. Though pipeline continues to remain very, very robust. And which you'll see, the pipeline there a sudden spurt of projects and module prices coming down, we are hoping that in coming quarters a nd next fiscal year, will be addressing -- we'll be getting, receiving far more number of bids, which match our risk profile and margin profile, and we'll be able to bid out far more

higher numbers than we have done this year.
Dhawal Doshi: Okay. And the order inflow number for this quarter, you said was INR2,700 crores, right? Did I hear you correctly?

Amit Jain: This quarter is INR2,421 crores is the order number. And for the next quarter, there is a significant bid pipeline of 6 gigawatts as we have said that orders remains -- order booking remains lumpy based on various quarter s. So next quarter itself has a huge bid pipeline, which some of the tenders that have been already submitted, which we are awaiting for reverse auction and a lot of bids are yet to be submitted in this quarter, with quite a few we are expecting to conclude within this quarter.
Dhawal Doshi: Okay. So Q4 could actually be quite a sizable number.
Amit Jain: It could be sizable in terms of bidding if decision happens timely. So Q4 is -- can be a very, very good quarter.
Dhawal Doshi: Okay. Sir, in terms of the timelines for the Nigeria order, I'm assuming 6 gigawatt is excluding the Nigeria project.
Amit Jain : So, all the numbers are excluding Nigeria and Reliance projects. These are pure plays like all other our third -party clients, PSU and private IPP s. So, with respect to Nigeria project, we are expecting it to get concluded soon, discussions are -- at very high level are still going on, and we expect to get it concluded soon.
Dhawal Doshi: So do we expect something in this quarter itself? Or you think this could further get delayed?
Amit Jain: We expect that to happen within this quarter. We expect that to happen. But we are again, having the ministerial level discussion there. So , we'll be able to update you after those discussions. So , what are the timelines we are looking at, but we are expecting it to happen very soon.
Dhawal Doshi: And what about Reliance, sir, when do you think the order inflows would start and any...
Amit Jain: So, land allocation is happening now -- the land allocation approvals happened. Now, the land allocation process is taking place. And as Reliance have stated, they have a very ambitious plan, and we should see the rollout on ground in coming months.
Dhawal Doshi: Okay. But this year's order seems difficult, probably Q1 is what..

.
Amit Jain: No, we are not saying that looks difficult, but I don't want to put definite timeline there. But we may -- we are expecting orders this quarter, but I'm not putting any timeline to it, but saying in coming months, we can see a rollout from that account.
Dhawal Doshi: Thank you sir. I have more questions. I'll call back in the queue.
Amit Jain: Thank you.
Moderator : Thank you. Next question is from the line of Rahul Kothari from Grit Equities. Please go ahead.
Rahul Kothari : Yes, hi sir. This is Rahul Kothari. Can you help us understand more -- individually on the sectors like wind where loss of traction is appearing and also into the hybrid and battery energy storage. How Sterling is looking into it?

Amit Jain: So we are -- as you know, we are already working on hybrid projects involving batteries. So in various geographies, we are bidding for those projects and in-house capability exists for stand -alone battery projects or battery projects coupled with solar.
So we are like fully capable of delivering those projects. So that capability exist s in the organization. Now as we have stated in our earlier investor calls, we are actively considering, we are looking at what format we can participate in wind BOS projects. So still strategic discussions are going on how to address that particular segment of market - both with respect to EPC as well as O&M .
Rahul Kothari : Okay. And sir, what about green hydrogen.
Amit Jain: Green hydrogen see -- major projects are yet to take off the ground, major action, whatever is happening is right now electrolyser manufacturing space. So whenever the substantial project s start hitting the market, so we'll address that accordingly.
Rahul Kothari : Okay. And sir, just one thing more regarding on the Australia front, can we expect some traction in Australia since we are one of the largest players over there as well?
Amit Jain: Yes. So we are like already received letter for early work in one of the projects. So we are actively engaged with some of the clients. And we can expect traction with respect to stand -alone battery project and the pure solar projects, both in Australia an d New Zealand markets.
Rahul Kothari: Okay. That's it. I'll come back in the queue sir. Thank you.
Moderator : Thank you. Next question is from the line of Aejas Lakhani from Unifi Capital Private Limited.

Please go ahead.
Aejas Lakhani : Yes, hi, congratulations on the results. Two questions here that point number 1 is in the new orders that you have taken, could you guide what is the gross margin range that you have taken in domestic orders? And for the unexecuted order book that you have, what is the gross margin range that we are thinking about? That's question o ne.
Bahadur Dastoor : So for the gross margins that we have taken in this quarter, it continues to fall within our domestic range of between 9% to 10%. In the case of the international project, it is -- this project is a slightly higher one. It is lower double digits. As far as our unexecuted order value is concerned, most of it being from the domestic front, continues to remain in that same range, which I have said earlier.
Aejas Lakhani : Got it. Point number 2 is that now since the bulk of our debt is either repaid or is in the process of getting repaid, will the reduction in interest cost be visible from the fourth quarter? Or will the full effects be visible in the first quarter?
Bahadur Dastoor : So, we had roughly INR2,178 crores of debt as on September end. By end of December, we had paid out INR1,600 crores out of that, and we had prepaid another INR125 crores in January, which means that our debt is roughly INR450 crores, of which INR75 crores is protected by

fixed deposits ea

rmarked for that. So , we have a net debt of about INR377 crores, which is a substantial reduction as compared to the INR2,178 crores.
Since all of this has already been accomplished by end December, early Jan, we will definitely be seeing the effects of a reduction of interest in this quarter.
Aejas Lakhani : Perfect. Could you also talk about the 2 events of last quarter, which we had seen in your notes to accounts on the customer with which we had a surety bond assurance. And what is the situation on that because we could enforce that surety bond, but I'm -- my understanding is it was delayed for some reason. So could you comment about that issue specifically?
Amit Jain: So in that regard, litigation is already in process. To give you a brief -- with that particular subcontractor where the surety bond was enforced. So already, we -- there are 2 separate legal matters going on, One against the subcontractor, which defaulted, and second with the surety company. So both -- there was no delay from our end.
It was the delay from the end of the surety company, the company which issued the bond, and we are in litigation with that. Some of the favourable decisions have come and it is proceeding in the courts in USA. And there is an arbitration which is separately proceeding for which the arbitration hearing will start in Q3 FY '25.
Aejas Lakhani : Okay. Okay. And the other matter was where 2 customers that invoked bank guarantees -- I mean, I mention...
Amit Jain: That was our customer in USA. So it was one customer for which we were executing 2 projects. And there also , matter is proceeding in the local courts. One is in Washington and Oregon. So , we have filed liens on the project s and filed separate complaints in the local court s, and both the matters are under litigation.
Aejas Lakhani : Okay. So basically, any resolution from that will help in incremental cash flow to the company in FY '25? Is that understanding correct?
Amit Jain: Absolutely, we have been cashed out on all those accounts. So any gain from those resolution of these issues will further add to cash flow s of the company.
Aejas Lakhani : Perfect. And just if you could speak with regards to the O&M business and how that is scaling up, what was the one -off that took place in -- because we understood that margins are 25%, 30%. So could you call out what was that one -off? And how do you see th e O&M trends?
Bahadur Dastoor : The one -offs were essentially a high cost of cleaning, grass cutting, et cetera, post monsoon, which always happens. Thus, there were other CIEG and other one -off expenses, which had to be incurred as part of the compliance, which went to depress the margin. If those one -offs were excluded, the margins would have been upwards of 20%, and that is the reason for this suppression in this particular qu arter.

Aejas Lakhani : Got it. And could you just call out how the India market is evolving today, if there is any qualitative aspect that you can call out or how the market is shaping up, what speed it is picking up, anything on that front?
Amit Jain: Can you repeat your question, please?
Aejas Lakhani : Yes, I just wanted to understand how is the India domestic market shaping up? Is there any

qualitative comments you have on the shape up of the India market?
Amit Jain: Absolutely. So India markets have -- I think there is an extremely robust growth and we see, like this year, we have addressable market of 15 gigawatts to the projects which come and which are in our range, which we are going to address and bid for that . That will increase from 15 gigawatts in FY '24 to 24 gigawatts in FY '25. So total bid pipeline we expect in next 5 quarters is more than 40 gigawatts.
So market is going to be extremely exciting and our addressable market size is also increasing substantially.

So it is 15 to 24, so there is a huge growth of the 60% in our addressable market as well. So we are very excited about Indian market going forward.
Aejas Lakhani : Got it. And anything on the pledge for the principal shareholders coming down? Is there any scope for that in this year?
Bahadur Dastoor : Pledge by the principal shareholders, which is essentially, Shapoorji Pallonji, is for loans which they have taken against which those shares have been pledged. We have no information as to whether those pledges will get reduced because those are long -term loans. So while the expectation is they will continue to remain pledged. We do not have any definitive answer on this question.
Aejas Lakhani: Noted. Thanks and done.
Moderator : Thank you. Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri : Hi, good evening. So hope, I'm audible.
Amit Jain: Yes. You're audible.
Darshil Jhaveri: Yes, hi. Thank you so much for taking my question. It was just a wonderful commentary. So from what I could understand, the next 5 quarters, we are going to be a lot bullish in terms of our partaking. So just wanted to know, next year, we would be able to breakeven -- because you would also have -- substantially reduced our interest cost and you would be on track, right?
Bahadur Dastoor : So I will start off by saying that things that are being planned right now. We do believe that this quarter itself will be a profitable one. And once this quarter is a profitable one, I think it is fair to say what will happen in the next financial year.
Darshil Jhaveri: Perfect. That's great to hear, sir. And sir, our current unexecuted pipeline of around INR8,700 crores. That would -- what would be the timeline to execute that, sir?

Amit Jain: That will be next 12 to 18 months, this order book plus whatever we book this quarter - will be executed in next 12 to 18 months.
Darshil Jhaveri: That's great to hear. So I just wanted to ask question -- sir, in terms of our revenue recognition, we would be recognizing revenue as we complete the project or in terms of percentage completion, sir?
Bahadur Dastoor : That's percentage completion only. So the standard way to recognize revenue for an EPC contract is percentage completion as the project progresses.
Darshil Jhaveri: So we would be able to see uptick in terms of revenue as the quarters go by. So if that would be -- and what kind of OPM margins could we expect because if our gross margin is around 10%, what kind of operating profits , margins could we expect going forward?
Bahadur Dastoor : You mean EBITDA?
Darshil Jhaveri: Yes, EBITDA.
Bahadur Dastoor : So it's a function of turnover. I'll just give you an example. So right now our overheads, which were about INR360 crores are expected to come down significantly this year. Let's say, it is somewhere between INR300 crores to INR320 crores. If you have in the next year, a INR10,000 crores top line, just giving an example, you will have a 10% gross margin, but only 3% overhead. So that will give you 7% EBITDA.
So, our overheads don't increase in line with the revenue increase. And therefore, as revenue increases in the next year, as it is expected to, we will be seeing a lot of operating leverage moving gross margin to EBITDA.
Moderator : Next question is from the line of Danesh Mistry from Investor First Advisors.
Danesh Mistry : And congratulations on successful QIP. I just had 1 question, which is that as -- Bahadur, as you mentioned, clearly, our -- we are net worth positive now with roughly INR900 crores on the shareholder fund size. And our balance sheet is far lighter than maybe what it was even in March '19. So in terms of our balance sheet now, how much of revenue do you think we can do on a simple pro rata basis.
Because if I cycle b

ack to March '19, we have done about INR8,000-odd crores of the top line, with about an 8% margin. And that -- and the borrowing was far higher than what it is today. So

just trying to understand here, basis our balance sheet, no guidance expected, of course. But in terms of the balance sheet, how much do you think we can do on an annual basis in terms of revenues ? That's it from my end.
Bahadur Dastoor : So the essential part is what kind of non -fund limits would you have to execute the projects that you want to do . So after a lot of pressure, we are seeing normalcy returning on that front, and the company continues to work to enhance its non -fund limits. So with this present balance sheet and the non -fund limits that we have, it's safe to say what we have on hand pl us some is what

we can easily execute. Net worth is not really a criteria as far as getting jobs are concerned, except for bankability purposes outside India.
In India, our net worth is sufficient to meet all the project requirements and prerequisites. Amit can add if I have missed anything. But it is not the net worth , but the requirement of limits, which is now seeing a massive improvement compared to what we had in the last quarter.
Danesh Mistry : Got it. And just to understand -- sorry, sorry, Amit, please go ahead, sorry.
Amit Jain: No, no, I said Bahadur has covered whatever was asked in your question.
Danesh Mistry : And also in terms of -- so right now, we are in the midst of paying back our loans -- but do we plan to also because -- take some working capital financing, et cetera, or just limited to n on-fund base even in the future?
Bahadur Dastoor : So the company does have sanctioned working capital limits, which are presently nil. It will all depend on what is the drawing power availability and whether the company needs to take anything. See, right now, we have paid off all our loans or have parked fixed deposits, such that the earliest loan repayment will start only in December '24 and that too in instalments , which is spread over almost 2 years.
So there is no requirement that we see to borrow because we have negative working capital. All our existing projects are cash flow positive. We do not foresee any need to do any kind of incremental borrowing at this stage. However, there is working capital sanction limits available if drawing power permits and there is a need, which we don't foresee though, there is a possibility we can borrow.
Danesh Mistry : Okay. All right. But will it be to the extent...
Bahadur Dastoor : No requirement to borrow at this stage. We do not foresee it happening .
Danesh Mistry : You do not foresee it. Got it. And last question from my end. You've talked about loans due for the next 12 months have been paid off or fund earmark against them. So you mentioned that we paid off roughly INR1,400 crores, if I'm not mistaken, on the call. Outside of that -- sorry, INR1,800 crores. Yes, till January, I think. So for the next year, and I'm assuming next 12 months, how much is left to be repaid to just clear it all out?
Bahadur Dastoor : So we have -- in terms of term debt, we have INR328 crores of term debt which is required to be paid post December '24. So December '24, we would have something like INR29 crores. Then in the next quarter, we would have another INR50 crores and that means the entire next financial year, you don't have a number greater than INR75 crores to be paid out in instalments .
Danesh Mistry : Got it. So that's tranched out payment over 2 years when you are talking about the INR320 crores term loan. Okay. Okay. And this term loan was again some equipment we had bought or some...
Bahadur Dastoor : No, no, it was an unsecured working capital term loan which was taken.

Danesh Mistry: Got it. Great. Thank you so much. Thank you and wish you and Amit the best of luck in the coming quarter s. Thank you very much. Thank you.
Amit Jain: Thank you.
Moderator : Thank you. Next question is from the line of Iqbal Khan from Nuvama. Please go ahead.
Iqbal Khan : Yes, hi. Congratulations on very good set of numbers. Just 1 question I have, like you mentioned that your order book execution timeline is 12 to 18 months. So is it possible for you to provide some kind of revenue guidance for, say, Q4, Q4 itself. I mean, the near -term guidance, I'm talking about. I think for this 9 months, you have already done around INR1,700 crores of -- sorry, for the 9 months, you've already done around INR1,700 crores of revenue, right?
So what kind of guidance would you like to provide? Or is it possible for you to provide for Q4 near term. FY '25 we all see that with this healthy order books, there is high possibility for you to turn around both at EBITDA and PAT. But can you guide us for the Q4 revenue guidance?
Bahadur Dastoor : So I would not want to give a guidance as such, but all I can say is we will be catching up on whatever we lost in Q3, and it should be the best quarter that we will have in the year.

Iqbal Khan: Okay, understood. Thank you so much.
Moderator : Thank you. Next question is from the line of Mr. V.P. Rajesh from Banyan Capital Advisors. Please go ahead.
V.P. Rajesh : Hi, thanks for the opportunity and congratulations on the QIP. Most of my questions have been answered, but just wanted to get clarification on a couple of things. So the call-up that you did in September '23 with the promoters in terms of indemnification proceeds, has all that money come in or something staying outstanding?
Bahadur Dastoor : Everything has come in by the due date of it having to come in.
V.P. Rajesh : Okay. Wonderful. And I know in the past you have given some guidance about what you expect in September '24. So if you can just update on that front, that would be helpful?
Bahadur Dastoor : So in terms of indemnity, as things stand now, the company is still cash out somewhere between INR850 crores to INR875 crores. Some of it might get crystallized in this coming September and the balance maybe in the September thereafter.
If I were to hazard a guess, I would say somewhere around INR400 crores max INR450 crores is something that could crystallize by this September. But this is a very preliminary statement from my side. But that's more or less what it would be.
V.P. Rajesh : Got it. So if this number holds then what I'm hearing is -- sorry, is it better now?
Moderator : Can you come a little closer.
V.P. Rajesh : Yes. I am very close to the phone now.

Moderator : Better.
V.P. Rajesh : Thank you. So my other question is what I'm hearing is that given the debt position you've talked about, you will be essentially a net cash company by, let's say, December quarter next year. Is that a fair way to think about this?
Bahadur Dastoor : So if I leave out my suppliers' credit, which is a recurring thing, you will see that we are already net cash in this quarter itself. It is only because we have a supplier's credit balance of about INR49 crores. That is why we became a net debt of about INR27 crores. Otherwise, we were already net cash here itself.
But if we get our indemnity money, if we get our inflows from the projects, there is no reason why this loan should not be repaid. The first priority will obviously be to ensure that all project flows go to meet the requirements of the projects. If there i s a surplus, which we believe is there in the long term, yes, we would definitely take care and become debt -free. Net debt free, we are almost at.
V.P. Rajesh : Understood. And then on the order book, you talked about INR8,000 crores plus -- INR8,500 crores,

I think you said. So my question is, are all the projects negative working capital, meaning you will not have put any money upfront into any of these projects? Is that the way to understand it?
Bahadur Dastoor : All of these projects are negative working capital. They are all cash positive.
V.P. Rajesh : Okay. So then you will be generating a lot of free cash next year, if that is the situation, right? I mean, is that sort of a logical conclusion here?
Bahadur Dastoor : Yes. Your conclusion is correct.
V.P. Rajesh : Okay. All right. And then on the Nigeria side, if you can just elaborate because this has been stuck for last several quarters -- so what exactly is the issue that is preventing the government to move forward over there with this project?
Amit Jain: So as we explained in earlier calls, there is no single issue, which is like delaying the project, the Power Minister had himself tweeted about the project, which you all would have seen. So if project value is so high and multiple ministries are involved, so we are just giving the final touches to the – with the D&EPC agreement which is to be signed and we expect it to be get signed soon. So we are involved and the ministerial level discussions are going on, and we expect it to be concluded soon.
V.P. Rajesh: Great. Wonderful. Thank you and all the best.
Moderator : Thank you. Next question is from the line of Mayank Chaturvedi from HSBC Mutual Fund. Please go ahead.
Mayank Chaturvedi : Yes, hi. Thanks for the opportunity. Just one question from my end. I joined the call a little late so I missed your comments on the revenue...

Amit Jain: We are not able to hear it clearly. Can you come closer to the mic.

Mayank Chaturvedi : Hello, is this better?
Amit Jain: Yes.
Mayank Chaturvedi : So I joined the call a little late, so I probably missed your comments on the revenue execution for this quarter. So if you could maybe just elaborate -- I think it was expected that the NTPC or the execution will pick up from the third quarter and the revenue was expected to be much higher. So any particular reason for revenue being lower than the earlier quarter.
Bahadur Dastoor : The revenue was lower than the earlier quarter, primarily because of the difficulties which we faced when there was a rating downgrade caused by missing of an installment of loan , that created a lot of flutter. Banks had clamped down on certain amount of limits, which made it difficult to meet the execution targets that we have.
Having now done the QIP paid off all the overdue debt, in fact, paid off all debt such that you have nothing to pay till almost December of this year. We are seeing that there is a change. Our discussions are on with banks to work out enhanced limits to meet the requirements of the revenue and cost for this quarter and the coming quarters. As I have mentioned, while we are not giving a guidance, we will be catching up on the revenue loss of the previous quarter in the current one, plus whatever we had antic ipated to do in this current quarter.
Mayank Chaturvedi : Okay. Great. So I think this lower fund base limits would have also affected your execution up until now in January, right? And that will pick up in the next the months maybe? Is that conclusion correct?
Bahadur Dastoor : Yes, there was a bit of stress in some of the projects, but it was being managed. However, we have utilized all the cash flows not only to pay off debt, but even if there were any vendors and subcontractors, which could have been paid out to increase the p ace of execution of the projects.
Mayank Chaturvedi: Sure. So that's all from my end.
Bahadur Dastoor: Thank you.
Moderator : Thank you. Next question is from the line of Rahul Jain from JM Financial PMS. Please go ahead.
Rahul Jain : Yes. So , sir thank you for the opportunity. I

just wanted to understand that if not for the working capital challenges , which we faced on the execution front in Q3, wanted to understand how much of the execution did we miss if you can share some numbers on that side?
Bahadur Dastoor : Let's say, I'm giving a ballpark number, we would have achieved roughly 2/3 of what we would have wanted to achieve.
Rahul Jain : Okay. And sir, some more bookkeeping question which I had. So , in the segmental result, what is the unallocable expenditure , if you can share some things on that side?

Bahadur Dastoor : They are on the first page, Rahul, it is your employee benefit expense, finance costs, depreciation and other expenses, I think INR253 crores. Essentially, the overheads plus interest and depreciation.
Rahul Jain : This will significantly come down with interest expenses coming down, okay.
Bahadur Dastoor : Yes.
Rahul Jain: Sir, thanks for the clarification. That’s it from my side and all the best.
Bahadur Dastoor: Thank you.
Moderator : Thank you. Next question is from the line of Nikhil Abhyankar from ICIC Securities. Please go ahead.
Nikhil Abhyankar : Thank you. Thanks for the opportunity. Sir, t he module prices in the international markets have fallen to $0.13, $0.14 a watt . Is it also -- what are the domestic prices for domestically sourced modules?
Amit Jain: So domestic prices right now in the range of $0.20 to $0.22, but with the more capacity additions happening in India, -- there will be a movement towards like to cover the bridge between international pricing and domestic pricing. So we expect that module prices in India also will be competitive in coming quarters.
Nikhil Abhyankar : Understood. Sir, basically, 90% of our order book is domestic as so we have to source those modules domestically? Is that the case?
Amit Jain: Yes. Absolutely for projects with modules, which we win in India, we'll be sourcing models from India.
Bahadur Dastoor : And just let me add to what Amit has said, as of right now, we have only 2 projects where there is modules. One is what we have won last with NTPC and the other one is what we are the L1 for a floating solar job.
Nikhil Abhyankar : Sir, what is the total order value for these orders?
Amit Jain : Around total -- close to INR2,000 crores.
Nikhil Abhyankar : And sir, regarding Nigeria orders, since the module prices have fallen internationally, should we expect that $1.5 billion order to reduce in size?

Amit Jain: So right now, the agreement is getting concluded, but we have no such indications from the client side.
Nikhil Abhyankar : Okay. And just going back to your initial remarks, you mentioned that Reliance is in the process of finalizing their RE plans. So can you just throw some light on that and quantify what kind of plans these are ...

Amit Jain: I would not like to -- see, I will not like to indicate - because the Reliance plans are in public domain. We expect the rollout to start in coming months, but I would not like to specifically state anything on behalf of Reliance. And I will limit my statement to that.
Nikhil Abhyankar : Okay. So any quantum of orders that we are expecting?
Amit Jain: The rollout is -- everybody is expecting the rollout, the plan is in public domain, rollout is going to be huge -- investment plans are huge . So, of course, the order rollout of the orders which we'll receive, we'll come and get it to that.
Nikhil Abhyankar : Okay. And sir, just a final question. The other expenses have increased sequentially. So can we put that purely because of QIP expenses?
Bahadur Dastoor : No, no, it's not because of QIP expenses. The other expenses were there in the region of between INR25 crores to INR30 crores. Sometimes there is a forex gain e

lement in that. Sometimes there is a forex loss element in that. There were certain reversals which we had to do in the previous quarter and hence, it is not completely comparable with the INR8.42 crores in the previous quarter. The other expense trend will be anywhere between INR25 crores to INR30 crores per quarter.
Nikhil Abhyankar: Okay , sir. Understood. Thank you and all the best .
Moderator : Thank you. Next question is from the line of Mr. Hiren Ved from Alchemy Capital Management. Please go ahead.
Hiren Ved : Hi, and t hanks for taking my question and for stabilizing your operations this quarter. You mentioned early on that you're being very careful about taking on international projects or bidding for international projects, -- what is the minimum gross or EBITDA margin below which you will not take a project internationally?
Amit Jain: So I would say our threshold earlier used to be 8% to 10%. And we are maintaining that because the market has become very, very competitive in Middle East in between with the interest of Chinese players. Margin level has dropped down. So you have seen that we have not picked up any project due to drop in margins.
So we'll still consider that margins will remain in 8% to 10% threshold, which we had indicated earlier and the project which we have won in Europe is in double digits that we have indicated. So we are trying to be in lower double digits with respect to in ternational project s.
Hiren Ved : And do you still see the same level of Chinese competition in Middle Eastern and other markets?
Amit Jain: So what we are witnessing in Middle East market s that the project volume is going to triple, almost like this year, we are expecting 10 to 15 gigawatts. And like from this quarter till end of FY '25 close to between 10 to 15 gigawatts of mega projects will be there. Chinese have not delivered to the exp ectation of many IPPs, project delays have happened. So the Indian -- big Indian EPC players are getting a lot of traction from the IPPs in both in Saudi and UAE and Oman everywhere.

So we now expect the rationalization of our contract terms and conditions as well as the margin profile in the Middle East. So we expect it to get better, and we expect that we should be able to conclude some of the projects in Middle East in FY '25.
Hiren Ved : And are there any Indian players that compete with you when you bid for these projects, now that the volumes are going to go up dramatically?
Amit Jain: Primarily L&T will be there.
Hiren Ved : L&T.
Amit Jain: Yes.
Hiren Ved : Okay. And I think if we were to not look at this year or next year, but let's say, look out 2 to 3 years, -- is there an aspirational gross or EBITDA margin level that we would want to work towards? And what would that be?
Amit Jain: So we will try to improve where we are right now, what we are maintaining in domestic and international market s. Obviously, the aspiration of any management is to optimize the cost , build on the economies of scale, make operations more efficient and improve gross and EBITDA

margins. And that's what we'll be striving for. That's best I can say at this point of time.
But with the revenue base broadening our overhead proportion like allocation will be on a much wider base. So that itself will take our EBITDA margin s up . And with other operational efficiencies, we expect both gross margins and EBITDA margins going up considerably.
Hiren Ved : And would it be fair to assume that from here on whether international or domestic business that you would take on would all be negative working capital?
Amit Jain: That's how has been the business model traditionally, and that's what we are targeting for. The nature of business itself is that it becomes a negative working capital.
Hiren Ved: Got it. Thanks, and all the best.
Amit

Jain: Thank you.
Moderator : Thank you. Our next question is from the line of Mr. Faisal Hawa from HG Hawa and Company. Please go ahead.
Faisal Hawa : Sir, my first question is that are we embarking on any kind of cost reduction and if at all there is the cost reduction - how much can be squeezed out more ? That's one. Second is FY '25, what do we expect our exact or approximate interest outgo to be?
And second one but is there any thought process within the company now to totally avoid overseas contracts because that is where the variables are really too many and that is what we have faced maximum problems in the company in the past also. So at least or probably, we should have a much better margin to balance out the extra risk that is there from such orders.

Bahadur Dastoor : So I'll try to answer the first two questions. As far as the strategy for overseas market, I will let Amit respond. So your first question was on overheads. Yes, definitely, there is a lot of work going on internally to reduce overheads. And that is why while last year's overheads were a much larger number, we are seeing at least a 15% to 20% reduction in overheads in the current year.
Next year, the target is to reduce it even further from there. So yes, there is a concentrated effort being made to optimize overheads and to use low -cost overheads in place of front -ending high cost overheads. So that is definitely an ongoing exercise.
Faisal Hawa : Can you give a number to the reduction in overhead s which we are targeting for FY '25?
Bahadur Dastoor : So FY '24, let me say, while the previous year was close to INR360 crores , this time, it will be somewhere between INR300 crores to INR320 crores , okay? I don't want to give anything very specific , but it will be somewhere there. And next year, it will be sub INR300 crores . How much we can bring it sub INR300 crores - we are just doing the final working , so before we can tell you that. That is as far as the overheads are concerned ..
As far as interest is concerned, if you're saying INR328 crores is what remains and if you are taking an average cost of borrowing, which ranges between 9.5% to 11.5%, I think it is quite clear what will be the interest cost that will be there for FY '25.
If, however, we get our advances, and we are very sure that they are not required for the project purposes, yes, we may deploy that towards reducing some of our overheads or we will wait to receive some indemnity proceeds by November of this year and then reduce our loans. So we will see how most ideally that can be done. I hope I've answered your first 2 questions, then I'll ask Amit to answer your third.
Amit Jain: So Mr. Hawa with respect to international markets, as we are repeatedly saying that what the international projects, whatever we are looking now we are carefully examining what is the risk profile of the project and we have a revised risk metrics, which ha s been developed with the deliberation along with the Board and risk management committee - if the project fits or meets our risk requirement or we are able to negotiate that only then we are taking the project, and we are very careful about the margins also.
But having said that, if you see that the majority of the order book is now comprising of the domestic orders. Having said that, we cannot ignore international markets as well. So there is a lot of strength and the client relationships we have, and we have executed projects successfully and make money as well in international markets. It's not that we have only lost money. But the problem set, which was there specifically was due to multiple black swan events happening at that particular point of time, when those particular orders were being executed. But now the world is in a different kind of a situation - supply chain problems and all

other execution
problems, which arose because of the corona, don't exist anymore.
Having said that, we are very, very careful and we'll capitalize on only very good opportunities, which can strengthen our top line and bottom line, and we are very, very careful about that . But

we'll continue to be present in all of our traditional markets, which we have been addressing.
But all the order booking will be done with a lot of caution.
Faisal Hawa : Sir, actually, most smaller EPC companies in the solar space totally admit that they didn't have the ability to do 1 GW projects or more than that. And they say that you have except for Sterling Wilson and L&T, nobody has the ability also. So I mean, with such a kind of opportunity and so many orders all coming in at 1 time as a tailwind because the government has also mandated their own PSU s to commence these orders.
So I mean would it not absolutely make sense to have lower overheads, lower risk and do only domestic orders for the next 3 to 4 years because I mean, this is definitely looking like a huge tailwind, which will come towards you -- and I mean, even we can see clearly that you can actually pick and choose your orders. So I really don't see the -- without a better reward, why take a huge risk with overseas orders.
Amit Jain: So Mr. Hawa you are seeing it, and we are actually implementing - if you see for the last 3 years, we have not picked up a single international order. And the focus has been on domestic market.
So wherever the good opportunities, which meets our objectives and company's strategy, the strategy will be continuously involve d on that basis.
So we cannot like take a particular stand at a particular point of time. But as you said, like right now, the total focus is on domestic market. And we are doing very, very slow international markets, only in some of our marquee clients with very good project , minimum risk profile offers us projects and if you are able to pick up those opportunity only then we are going forward for it. Otherwise, we are not looking at international projects. This is the first project this quarter, which we have booked - is the first order in last 3 years, and we'll be fully capitalizing on domestic market.
And we'll also see how the project portfolio is to be balanced. If we are fully booked in India and have like order book exceeds our expectations, then we might be specifically focusing on the Indian market, who knows. So that's how -- it's an evolving strategy and will address as per the market conditions and in consultation with the Board and the other shareholders.
Faisal Hawa : And one more thing is what is the order inflow that we are targeting for calendar year 2024?
And sir, would it be a right statement to say that now given that our debt is almost clear and plus Reliance is backing that we could actually have a situation in which w e could get as many bank guarantees as we want as a quantum -- do we have something like tap which is just open for us unlimited or if that's not a right statement?
Bahadur Dastoor : Nothing is unlimited Mr. Hawa, everything takes efforts. You know the position that we were in, in the last quarter. Things have substantially improved from there. And we are going to continuously work to improving it as much as we can.
But there is nothing like a tap has opened and everything is available as much as we want - sufficiently available to execute what we need to do, and we are also looking forward to build up our limits to take care of our future requirements.

Faisal Hawa : Sir, would give a number to the bank guarantees that we can open at the very maximum?
Bahadur Dastoor : No. So first of all, are there any outstanding bank guarantees today, there are none. We've opened all the bank guarantees that are required for our projects, which are there at the moment.
Faisal Hawa : So -- okay. So I mean, that itself could be an advantage to us that a bank guarantees are much more freely available?
Bahadur Dastoor : So it's always non -fund limits, which is the fuel for this business. The company keeps looking forward to work on enhancement of limits to take care so that none of the project suffer.
Faisal Hawa : And sir, if you could answer on the order book that you are targeting for calendar year 2024?
Amit Jain: 2024, as you have seen, we have already booked like INR5,527 crores of order book. We have roughly 6 gigawatts of pipeline, which will be closed out in Q4. So we are pretty sure that underpins a significant order book, which is to be addressed in Q4, bid pipeline.
Faisal Hawa : So Q4, we are expecting maximum orders.
Amit Jain: Yes-- we are expecting to quite an exciting quarter. That depends on how many contracts get closed - 2 of the projects bids have already been submitted . We are waiting for reverse auctions with our clients. And some of the bids with huge PSU tenders are to be submitted. And then we have to see -- how much we are able to close within this quarter. But certainly that we are addressing, and there is bid pipeline from IPPs as well. So total bid pipeline, we are addressing, is 6 gigawatts, and we'll see how much we can close within this quarter.

Faisal Hawa: Thank you so much sir. Really appreciate.
Moderator : Thank you. Our next question is from the line of Mr. Kunal from DAM Capital. Please go ahead.
Kunal : Yes, hi sir. Congratulations on a good set of numbers. Sir, just a couple of clarifications. The se 6 gigawatt that you're talking of in the domestic market. Now these are largely BOS or these are projects with modules as well, right? What is the sort of mix over here.
Amit Jain: So this is in the mix of both. Most of the private IPP pipeline is pure play BOS. But in PSU tender, it's a mix of both BOS and complete EPC including modules.
Kunal: Understood. And sir, just a qualitative - there's been a competitive intensity, especially in the 300-megawatt plus orders that could be limited to the 3 or 4 players as well, right? I mean that's what the experience is, I mean, totally right now.
Amit Jain: You are right. Absolutely correct. Within the order size exceeds or the bid side exceeds 300 - megawatt plus, the competitive incentive intensity comes down and there are very few players which are competing in that segment.
Kunal : Understood, understood. And sir, just one comment on this overhead reduction, so about INR300 crores, INR320 crores odd comment for this year at closing and early attempts to even optimize that. I'm just trying to understand on one side we are sort of in the scale up mode, right? I

mean -- and I do understand the mix going towards more of domestic less of international and obviously, the overheads over year are much lower. But looking at this sort of order book -- I'm just trying to understand what's on this INR300 crores, INR320 crores of overhead s, what revenue execution can we do just from a bandwidth perspective.
Bahadur Dastoor : So I'll give you a comparative. When we said INR8,250 crores, our overheads to INR220 crores. So essentially, it is not all about overheads. Overheads do not exponentially rise nor fall on the base of what kind of revenue you can achieve. So , it is all about your execution strength. Your overhead back -end strength is enough to take care of whatever we foresee in the foreseeable future. Of course, we are still not going to rest at that. We are still working on optimizing as I answered to the previous question.
Kunal : Understood. And sir, there's one last bit. In terms of these performance bank guarantees, could you just help m

e like what exactly would be the quantum of the like percentage of the project size that goes in as a performance bank guarantee?
Bahadur Dastoor : I will just start out, Amit can add. So typically, we see 10% advance and 10% performance bank guarantees. The quantum may vary project to project. Sometimes you do get higher advanced bank guarantees. Sometimes if the margin is better, there is a slightly higher performance bank guarantee that is required.
But on an average, it would be 20% of bank guarantee - split half and half between advance and performance. Amit, if I have missed something, you may please add.
Amit Jain: You're right, Bahadur.
Kunal: Understood. Thanks a lot. This is really helpful.
Bahadur Dastoor : Advance bank guarantee falls pretty quickly over the execution of the project.
Kunal: Thanks a lot , sir. This is really helpful and all the best.
Moderator : Thank you. Ladies and gentlemen, that was the last question of the day. With that, we conclude today's conference call. On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. We thank you for joining us.

Call: Apr 2024

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April 25, 2024

BSE Limited
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Mumbai – 400 001
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Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051 Symbol: SWSOLAR

Sub.: Investors Call Q4 FY 2 4- Transcript
Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,
In continuation to our letter s dated April 17, 2024 and April 22, 2024, please find enclosed the Transcript of the Investors Call held on Monday, April 22, 2024 at 09:00 A .M. on the Audited Standalone and Consolidated Financial results of the Company for the quarter and financial year ended March 31, 2024.
The same is available on the Company's website at www.sterlingandwilsonre.com .
Request you to take the same on records .
Thanking you, Yours faithfully,
For Sterling and Wilson Renewable Energy Limited
Jagannadha Rao Ch. V. Company Secretary and Compliance Officer
Encl.: As above

"Sterling and Wilson Renewable Energy Limited
Q4 FY '2 4 Earnings Conference Call"
April 22 , 202 4

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MANAGEMENT : MR. AMIT JAIN – GLOBAL CHIEF EXECUTIVE OFFICER
MR. BAHADUR DASTOOR – CHIEF FINANCIAL OFFICER
MR. SANDEEP THOMAS MATHEW – HEAD INVESTOR RELATIONS

Moderator : Ladies and gentle men, good day and welcome to Ste rling and Wilson Renewable Energy Limited Q4 FY24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. The se statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing s tar then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Thomas Mathew, Head, Investor Relations, for his opening remarks. Thank you and over to you, sir.
Sandeep Thomas Mathew: Yes, good morning, everyone, and welcome to our Q4 FY24 Earnings Call. Along with me today, I have Mr. Amit Jain, our Global CEO, and Mr. Bahadur Dast oor, our CFO, and SG A our IR Advisors. We will start the call with the key operational highlights for the year and quarter and outlook by Mr. Amit, followed by the financial highlights by Mr. Bahadur, post which we open up for Q&A. Thank you and over to you, Amit.
Amit Jain: Thanks, Sandeep, and a warm welcome to all the participants on this call. I would like to give a quick update on our business operations and outlook on the solar industry. Beginning with our order book, we have been able to build on the order booking momen tum in FY24 and close the year at approximately INR6,023 crores of order inflows, totaling approximately 3.3 gigawatts. New order inflows have jumped 37% in this fiscal compared to a year ago when we bo oked orders of INR4,387 crores.
Our domestic order inflow continues to remain a key contributor and it has grown approximately 10% to INR4,854 crores compared to INR4,387 crores last year. We won two international BOS orders in FY24 from Spain and Italy respectively and these mark our first international orders after a gap of nearly three years. These international orders are in line with our revised risk matrices and we remain derisked from the mod ule price exposure in these projects.
Looking at Q4 in isolation, we have received two orders worth INR488 crore s including being declared L1 for a floating solar project in Jharkhand. This is our second floating solar project we have done this year and the scope of work includes module and E PC work. Our second project win in Q4 was from Enfinity in Italy for a EUR 20 million project. This project is of 45 megawatts. The scope of work include design engineering supply excluding the PV module and transformer, construction, erection, testing and commissioning.
While we had anticipated a strong Q4 for new orders in line with our nine month performance last quarter, a few large domestic projects have got delayed pushing them into FY25 pipeline. So we are expecting orders from our repeat customers and some of the P SUs which have now got pushed into April. Our un -executed order book stands at INR8,084 crore s with approximately 85% constituting domestic orders.

Our UOV continues to grow rapidly and coupled with a strong balance sheet, we are expecting to be able to capture a larg e share of the domestic solar EP C market. In terms of the outlook, our active order pipeline which comprises projects with high visibility of being bid out in FY25 looks pretty robust and we look to maintain a strong win ratio in the projects that we bid. We are actively pursuing project s totaling 25 gigawatts in India and 5 gigawatts in other internationa

l
geographies.
The Nigeria MOU was announced in September 22 and we continue to work with various stakeholders in finalizing the D&EPC agreement for the project. Given the size and the complexity of the project, it has taken longer than expected but considerable progress has been made in last few weeks and we remain confident of finalizing the same in near future. The spillover of ord ers from Q4 FY24 and the bid pipeline for FY25 give us a lot of confidence that the order booking for FY25 will be higher than what we have achieved in FY24.
With the expected addition of orders from RIL and Nigeria in FY25, we expect the order booking in the year to be very exciting. As stated in earlier calls, we reiterate that lumpiness in order in flow is to be expected with E PC companies like ours and timelines for achieving project closure could vary depending on a host of factors including finalization of contractual terms, financial closures etc.
Our O&M portfolio outlook continues to improve and we have seen our portfolio grow to 7.6 gigawatts as of March 24. The benefits of a large portfolio is expected to bear fruit in the coming quarters. Our EPC pipeline will continue to feed a large portfolio of O&M projects over the next 12 to 18 months.
Moving to the industry outlook, India continues to remain a very vibrant market and there are multiple large solar E PC projects beginning to take off with issues around land , transmission , etc getting addressed by the states and central government.
Gujarat and Rajasthan continue to be in the forefront in terms of new large solar projects and we have a strong established base which we hope to leverage on. Mod ule prices continue to remain very low globally and the time remains ripe for more projects to come on stream aided by lower LCOEs which should translate into more work for the E PC players like us.
With a strong balance sheet that has been achieved this year we remain well positioned to tap

the strong industry growth in both domestic and international markets. With this I will ask Bahadur to take you through the consolidated financial highlights. Tha nk you very much.
Bahadur Dastoor: Thank you Amit. Okay I trust I am better audible now. Despite the challenges we faced in FY24 we are happy to finally move back into profitability which was achieved in Q4 FY24.
We closed FY24 with a top line of INR3,034 crores which was 51% higher than the previous year. Gross margins came in at 10.3% aided by our domestic EPC business which has been the key driver of performance in FY24. With our sustained efforts on reducing overheads we have rationalized overheads to INR333 crores this fiscal and we were able to navigate back into positive EBITDA territory in FY24 closing the year at INR54 crores.

High interest expense in the first nine months affected our bottom line and we closed the year with a loss of INR210.7 crores. Our Q4 results have begun to reflect the execution pace pickup of our unexecuted order book which as of today stands at INR8,084 crores and is almost 65% higher than last year. With liquidity constraints easing post the QIP and a UOV largely comprising new projects with good margin profiles , we hope to maintain our profitability and growth going forward.
In terms of Q4 performance , revenue from operations for the quarter ended March was INR1,178 crores aided by a pickup in domestic EPC execution and our gross margin came in at 10.5%. Our Q4 EBITDA came in at INR59 crores an d EBITDA margin of 5% which is beginning to more reflect our steady state margin profile. While our P BT was INR33.7 crores our Q4 PAT was lower at INR1.4 crores due to a non -cash deferred tax charge in our books of almost INR32 crores due to the unabsorbed losses now being absorbed in the standalone which had a profitability of over INR120 crores.

Segment wise domestic EPC continues to operate at approximately 10.3% gross margin while international EPC margin was 9.8% in Q4. O&M margins during the quarter was 15%.
Coming to the balance sheet. Fixing our balance sheet in FY24 has been a key achievement for us. Our net debt as of March 2024 was INR116 crores compared to nearly INR2,000 crores net debt in the previous fiscal. We do not have any debt repayments till Q3 FY25 which have not been taken care of by placing fixed deposits and liquidity situation continues to improve. With this we can now open the floor to questions and answe rs.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rahul Jain from JM Financial PMS. Please go ahead.
Rahul Jain: Hi sir. Good morning and thank you for the opportunity as well as congratulations…
Moderator: Sorry to interrupt sir. May I request you to use your handset, sir? Your audio is not very clear.
Rahul Jain: Is it better now?
Moderator: Yes sir. You can go ahead, sir.
Rahul Jain: Yes sir. So sir, congratulations on the profitability in Q4. My first question is on the bid pipeline. So the bid pipeline has declined from 40 gigawatt last quarter to 30 gigawatt currently. So what has been the reason for this decline, whether the orders have been tendered out or is it the actual reduction?
Amit Jain: No. Actually the bid pipeline has not reduced. But we are focusing on the focus market which we will be concentrating on. That has been indicated as a bid pipeline for the company. So it is the 30 gigawatt which we anticipate will definitely be floated out without any delay in this particular year and we will be pitching for this. So the solar market is growing internationally and there is no question of reducti on of the bid pipeline.

Rahul Jain: Sure, sir. Sir my second question is, so now with the things in the right place, what is your outlook on the international orders? Which countries or regions can see ordering in the next two years and how are we placed in these locations?
Amit Jain: So right now, our increased focus is on Middle East, Africa and European markets. These markets are growing strongly and we are going to focus on these particularly three markets in coming two years.
Rahul Jain: Sure, sir. On the Nigeria order, I mean what is the -- when I see the Nigerian currency, Naira has depreciated significantly since the time we have signed the MOU. Is this the reason why we are facing delays in closing the negotiations of design and EPC an d finalization of orders or is it just there are several moving parts as you said on the finalization?
Amit Jain: Yes. No, actually that is -- the movement in Naira is not the reason because our contract was

always backed in dollars. So it is a US D contract and nothing has to do with the movement of Naira and it has no impact on us. So there has been some other bureaucratic changes as I indicated in last call also because of the NDP HC got merged with Ministry of Power and some of the other issues which we were sorting out with them. So which all we have, I think we have finalized the contract negotiation with NDP HC. So there is no issue on that part and last few weeks, things have moved considerably and we are very, very confident to finalize the Nigeria order very, very soon.
Rahul Jain: So can we expect it by Q2 itself?
Amit Jain: So I would not like to give you a date, but we are expecting it to conclude very soon.
Rahul Jain: Sure, sir. Sir, my last question will be what are you guiding for in FY'2 5 in terms of order inflow and will you stick to the guidance of 10% -11% gross margin and fixed cost of around INR250 crores -INR300 crores for the year? Also now onwards, what will be the interest cost?
Amit Jain: So I think part of the question will b

e answered by Bahadur and part I will address. So I think Bahadur, you can start and then I will pitch in.
Bahadur Dastoor: See as far as the interest cost is concerned, right now we are having approximately INR400 crores of term debt of which INR25 crores has already been paid, another INR50 crores has been earmarked by fixed deposits. On the remaining IN328 crores, the intere st cost would range between INR30 crores to INR35 crores on an annualized basis unless out of free cash flows, we end up prepaying it. This would be more or less the range of interest for the year.
Rahul Jain: Sure, sir. And on the guidance on order inflow, gross margin and fixed cost?
Amit Jain: So as far as the gross margins are concerned, we will be maintaining our historic gross margins which we have been maintaining in our international and domestic projects. And as far as the order book is concerned, we are expecting close to order book ings of INR8,000 crores this year in FY'25 which we expect to close.
Rahul Jain: Order inflow you meant, right?

Amit Jain: Yes, order inflow.
Rahul Jain: Okay. Thanks a lot, sir. That's it from my side.
Moderator: Thank you. The next question is from the line of Shiwani from Monarch Networth Capital. Please go ahead.
Shiwani: Hi, sir. Thank you for the opportunity. My first question is on the order book of FY'24, what percentage is the legacy order and what is the margin profile for those orders?
Amit Jain: Can you speak louder? I missed part of your question. Can you repeat again?
Shiwani: Yes, sure. I wanted to ask that the order book that we have of close to INR8,000 crores, what is the margin profile for those orders?
Bahadur Dastoor: Our margin profile would be consistent to the margins that we have declared. And as far as your question in terms of legacy orders, I trust you mean the old orders which were loss -making, they have all been provided for, Shiwani. So over there, the total q uantum would be in the region of INR70 crores to INR80 crores in this INR8,100 crores.
Shiwani: Sure. And my second question is on the other financial assets, other current financial assets and other current assets, what amount is the indemnity amount that comprise in such numbers?
Bahadur Dastoor: The total indemnity receivables which are there in various places, which are in trade receivables, other financial assets and other current assets are approximately INR900 crores.
Shiwani: Sure. Okay. Thank you. I'll move the line for the following question.
Moderator: Thank you. The next question is from the line of Kunal Shah from DAM Capital. Please go ahead.
Kunal Shah: Hi, sir. Congratulations on a good set of numbers…
Moderator: Sir, may I request you to use your handset, please? You're not very audible, sir. The line for Mr. Kunal Shah has dropped. Maybe move to the next participant. The next question is from the line of Deepak Purswani from Svan Investments. Please go ahead.
Deepak Purswani: Good morning, sir. Congratulations for a good set of numbers. Sir, just wanted to understand in terms of the order inflow you mentioned, this year we are looking at INR8,000 crores. And also we mentioned about we are very excited about the order inflow fr om the Reliance side as well. So just wanted to understand if you can throw some light in terms of contribution from the Reliance in this way. And also this INR8,000 crores also includes some contribution from the Reliance also.
Amit Jain: So actually this INR8,000 crores which we are guiding is excluding Reliance and Nigeria order book. So this is pure play which we are getting from other third parties by bidding in domestic and international markets. So INR8,000 crores doesn't include Reli ance and Nigeria at all.

Deepak Purswani:

Okay. And if you can also give us some understanding in terms of how should we look at the order inflow from Reliance in this year?
Amit Jain: Pardon? Can you repeat your question again? Your voice is breaking.
Deepak Purswani: If you can throw some -- if you can also give some understanding in terms of order inflow contribution we are looking from the Reliance in this year, how should we be looking to for the current year?
Amit Jain: So as we have repeatedly stated on our previous investor calls that discussions with Reliance is in progress and they have a huge rollout plan. But at this point of time, I would not like to guide on any numbers with respect to Reliance. We are expecting to conclude orders soon and it is going to be a huge rollout.
Deepak Purswani: Okay. And sir in terms of the O&M revenues, this year we did revenues of INR210 crores. I mean going ahead, how should we look into this O&M revenue trajectory given there has been sharp improvement in the O&M portfolio or order book?
Amit Jain: I am really sorry, but I am not able to hear you.
Moderator: Sorry to interrupt, Mr. Purswani. May I request you to use your handset? Sir, you are not audible, sir. Your line keeps breaking, sir.
Deepak Purswani: Hello. Is it better now?
Moderator: Yes, sir. Please go ahead.
Deepak Purswani: Yes. Sir, in terms of the O&M revenues, we did revenues of INR210 crores in this year. How should we look into this trajectory going ahead?
Amit Jain: We are looking at close to INR270 crores this year in O&M revenue.
Deepak Purswani: Okay. And from the tax rate perspective, I think this year we had some deferred tax expenses, tax asset. I mean going ahead what would be the effective tax rate we would be looking at now or this is just a one -time exercise?
Bahadur Dastoor: See, we had made certain provisions on unabsorbed losses a couple of years ago. Those reversed because on standalone basis we had a profit of over INR120 crores. This is a non -cash adjustment on reversal of carry forward losses.
We do not have much carry forward losses now because we have stopped providing for it from FY '23 and onwards. So, this as I mentioned non -cash, it will be significantly lower if at all in the next year. The tax rate continues to be 25 point odd percent and we have carry forward losses which would absorb a bulk of whatever will be our next year's profit on standalone basis.
Deepak Purswani: Okay. So, put it all together, sir, what would be the effective tax rate as a whole?
Bahadur Dastoor: The effective tax rate for the next year?

Deepak Purswani: Yes.
Bahadur Dastoor: I am not in a position to give you an exact guidance because the calculation will depend on how much of deferred tax gets charged and that is also on a standalone basis. But suffice to say the actual current tax outflow will not be much due to absorption o f carry forward losses.
Deepak Purswani: Okay. And sir, in terms of the finance charges, we mentioned on the debt of INR300 crores, there would be an interest expense to the extent of 30 % to 35% ...
Bahadur Dastoor: INR35 crores.
Deepak Purswani: Yes. And in terms of the BG charges and other charges, what would be the outflow we should build in?
Bahadur Dastoor: BG and LC charges are already built into the project cost. Therefore, the project margins that we have guided is after that.
Deepak Purswani: Thank you. Thanks a lot.
Moderator: Thank you. The next question is from the line of Kunal Shah from DAM Capital. Please go ahead, sir.
Kunal Shah: Yes. Hi, sir. Congratulations on a good set of numbers. I hope I am audible now. So my first question, you did mention that a couple of the projects were pushed back, which were from Q4 to let us say Q1 this year now. Could you sort of quantify what would be the quantum of those and

are those just domestic or i nternational projects both?
Amit Jain: So projects are domestic and they're in excess of 3 gigawatts worth of projects we are talking about which got pushed out. So that's because they are with our repeat customers as well as some PSU projects, which we are hoping to conclude in March. But we are now expecting either the end of April or first half of May, we should be moving ahead with those orders.

Kunal Shah: You mentioned 3 gigawatts, right?
Amit Jain: Yes, yes. That's a pretty big pipeline is there, which got pushed out, so which we hope to get concluded very soon.
Kunal Shah: Okay. And this 3 gigawatt again would be broadly what BOS , or end-to-end sort of how to read it like, you know, or a mix of both?
Amit Jain: No. most of our orders, which we are pursuing in domestic orders are like BOS.
Kunal Shah: Understood. And, you know, if you could just give some guidance with respect to closing order book of this INR8,000 odd crores, you know, broadly, how much would be the revenue conversion in F Y'25 from the same?
Amit Jain: Yes. So I would give you the revenue guid ance in two parts. The first part is UOV. It is INR8,000 crores. So we expect to convert out of this INR6,000 crores to INR7,000 crores of revenue out

of the unexecuted order book. And we expect to, like, we have given guidance of INR8,000 crores excluding Reliance and Nigeria, from which we'll be converting 25 % to 30 % into the revenue. So the revenue breakup will be in two parts. One is the unexecuted order book, and then it's the book and bill part.
Kunal Shah: This is very helpful. And also in terms of this commodity cost going up, you know, in the recent times, so one, is there any impact on the current ongoing orders? And two, will there be recalibration in terms of future bids, you know, considering those?
Amit Jain: So whenever we bid, we take current prices into account. So all of our bids, when we bid out, are based on the current prices. And as soon as we receive the orders, the orders are placed immediately.
So when we book, there is no impact. We take current market, prevailing market prices into account. And as soon as we receive the order, so we are totally protected from those metals or other price fluctuations in the market. And I don't think it is going to impact us at all going forward, or there will be any major recalibration of the prices.
Kunal Shah: Understood. And one last one from me. So in the last call, you had mentioned that there was some challenges in terms of the ability to tap non -fund-based limits, you know, during the early part of the year, given the balance sheet positioning, which obviou sly has improved now. But because of those constraints, is there any sort of timeline delay to commission the order backlog, which was in the starting of FY '24, or everything seems to be on time?
Bahadur Dastoor: So I will start off and then Amit can join as far as the commissioning aspect is concerned. We had expected a rating upgrade to happen during the quarter. Unfortunately, that has taken longer than expected.
The rating upgrade is expected shortly, which will be a significant improvement over the previous one is what we believe. However, that has taken the entire quarter, post which there will be discussions with banks for limit upgrades, and we are quite positive on that front. But this entire rating remaining in D for the quarter has caused constraints in terms of revenue, which could have been accomplished in Q4. As far as how it has affected the progress of projects, I'll just let Mr. Jain comment on that.
Amit Jain: So as far as the project revenues, we were expecting to realize more revenues in Q4, and which got impacted, but we expect that moving forward, that will be sorted out.
Kunal Shah: Understood, understood. And just one las

t one, if I can just push in, you know, we've spoken of this O&M business particularly, but you know, over the last four or five years, whatever be the conditions, you know, the portfolio has been between this 6.5 gigawatts to 7.5 sort of gigawatts, right? I mean, the O&M portfolio. So going ahead, you know, how do we sort of see this scaling up in that sense? And also, do we start targeting the wind O&M bid as well from here on?
Amit Jain: Yes, so I will answer both the parts. So as you see, our domestic EPC order book is growing. So as far as the domestic order book is selling and major contribution is coming from big PSU bids, which contains the provision for three years of compulsory O&M .

So when our Khavda portfolio, which is 4 gigawatts, when it comes into action, it will straight away contribute huge chunk to our O&M portfolio. So you will see a significant growth in O&M portfolios because year -on-year, we'll be delivering projects and adding it to this portfolio. So if you presume that every year, and it's a cycle of three years, so the portfolio will be constant, at least for a period of three years, and every year we are getting multiple gigawatt s into that.
So this O&M portfolio is going to grow significantly. So you will see a rapid addition to our

portfolio. So in the next year, if we commission four gigawatts of Khav da portfolio, that means straight away added into our O&M portfolio.

And next, this year we are targeting again a huge pipeline. So year on year, this will keep getting added, and portfolio is going to grow significantly. As far as wind O&M is concerned, we are working on that part, and we are considering it very, very seriously, how to enter O&M wind segment. So that we are seriously planning to enter.

Kunal Shah: Understood, understood. This is really helpful. Thanks a lot, and all the best.

Moderator: Thank you. The next question is from the line of Fai sal Hawa from HG Hawa and Company. Please go ahead.

Faisal Hawa: So sir, in the previous cycle, have you seen any kind of orders increasing due to solar panel prices going down, and does the crude prices going up also have an effect on solar panels, solar projects being sped up for bidding and project execution?

Amit Jain: Can you repeat again, Mr. Hawa? Last part of your question.

Faisal Hawa: So have you seen some connection between, you know, crude prices also going up and solar panels, projects being sped up for bidding?

Amit Jain: So actually, the first part when you're saying about the module prices going down, so definitely this is a very, very positive change, and L COE s have come down. So whatever we are seeing, that project rollout or the project closure is getting expedited, and we see the market for the numbers which we are putting in, they definitely are going to go up. So we are going to see far more project closur e.

As far as the crude prices are concerned, we said this journey, the renewable journey has started, and irrespective of crude prices, it will keep moving. However, from the energy security perspective, for more geographies which are getting impacted by high er crude prices , we will see far more momentum in this direction. So energy security, along with the green revolution or the renewable energies, both the factors put together is going to drive the market towards the higher trajectory.

Faisal Hawa: So, sir, why is our guidance for order inflow so tepid? It's only like INR8,000 crores. I know that it is ex -Reliance and Nigeria, but it's still looking very tepid, because fact remains that we are almost the only player or one of two players who can do 1 GW regular projects in India. So any comments on that?

Amit Jain: So we want to be

like that, frankly speaking, we have been very conservative whenever we are giving guidance, and that is based on INR8,000 crores now we have guided. So whatever the current bids are there, but we are expecting to beat this number. So this is the guidance for the time being from our side.

Faisal Hawa : Secondly, there are now some players, who are having the ambition to go above 1GW also. So are we seeing any kind of pressure on, our personnel being poached or, some attrition, because we did see some announcements during this quarter, sorry, the last quarter on, our one or two resignations at our end, and also , we are hiring some more people for the K utch projects.

Amit Jain: Yes, so we have a very robust leadership pipeline, and our execution and engineering staff continues to be very, very strong. So as far as manpower and organizational stability is concerned, we don't see any threat or any pressure on that side. So we have well -placed mechanisms in place with respect to the supplementing and developing manpower to carry out the volume of work and the growth path or the growth projections we have.

So there is no concerns at all on that front. We are fully geared up, and our systems are based on our projections. We keep adding and keep developing the organization accordingly. So we are pretty well -placed on that particular front.

Faisal Hawa: So, sir, just as a vision, and I will not hold you to that on any kind of figures, but what do you see could be a potential revenue that Sterling Wilson could be having three to four years down the line?

Amit Jain: We can, conservatively again, we can expect a growth of 15 % to 20 % on CAGR basis every year. This again, so this is the guidance we have given for the revenue as well as the order book this year, and on that basis, you can expect. But we are going to see the market expansion significantly in coming years.

Bahadur Dastoor: So, this what Amit is alluding to is without Nigeria and Reliance, sir.

Faisal Hawa: Yes, okay. So 15 %, 20% CAGR for next three to four years, provided we do not get any orders from Reliance and Nigeria.

Bahadur Dastoor: Yes, lets not put it so negatively. It is just putting a positive statement of fact here.

Faisal Hawa: Yes, yes, no, I understood. And secondly, sir, is there any progress on, this battery storage and, any R&D that we are doing or we have any kind of inputs from the Reliance side on how to execute these projects?

Amit Jain: So, actually the company already has capability to execute EPC project for battery energy storage systems. We have executed similar projects in Africa and we were bidding for these projects in multiple geographies, and we expect this market to come up significantly in India, for which we have, which has no t been factored into our projection so far.
We expect this market to grow significantly and we have in -house capabilities to address this market. So, because we started working many years back on this particular BESS part and we

are technology agnostic and we can address BESS projects, including any technology in any geography, so we are fully geared up for that.
Faisal Hawa: Sir, will we remain negative working capital for even this 15 %-20% growth in the next three, four years? Or we may need more in fusion of funds through equity?
Amit Jain: Business model will remain same. We are going to be asset -light and negative working capital dependen t.
Faisal Hawa: And definitely no equity additions.
Amit Jain: Pardon? I think business that percentage…
Moderator: May I request you to rejoin the queue for follow -up questions, please?
Faisal Hawa: Yes, sure. Thank you so much.
Moderator: Thank you, sir. The next question is from the line of Puneet from HSBC. Please go ahead.
Puneet: Thank you so much. Apologized I joined a bit late. Is

there any indication from Reliance as to
when the work will start flowing to you? And will you be the sole executor for those projects?
Amit Jain: So, I think I have already answered that question in the beginning of the call. That discussions are going on with Reliance and we remain the front runner for the execution of the portfolio .
And we expect the significant portion of the complete rollout to be done by Sterling Wilson.
And work should start soon.
Puneet: Okay. And would you also be executing wind for them?
Amit Jain: Pardon?
Puneet: Would you also be executing wind projects for them?
Amit Jain: Yes. So, all the options are under discussion. And as and when we finalize, we will inform you around that.
Puneet: Okay. Understood. My second question is, if you can talk about, availability of modules, given that ALMM is now in place, is there any risk to execution or pace of execution, given that there could potentially be a shortage of capacity on the module side?
Amit Jain: A significant capacity addition is happening in India. And I don't see any challenge on that particular front, with respect to EPC rollouts. Because whatever order is in hand, all the developers have secured modules. Even PSUs have secured modules. So, I don't have any concern, or I don't see any impact coming on our execution portfolio.
Puneet: Understood. That's very helpful. Thank you so much.
Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: I got dropped from the call earlier. I'm not sure that you've answered this question. So, sir, what portion of our current 30 gigawatt of pipeline is hybrid projects?
Amit Jain: Is which project?
Nikhil Abhyankar: Hybrid projects ?
Amit Jain: Hybrid projects. So, hybrid projects, right now, I will not put a number to that. But we'll see that that particular portfolio growing in coming years.
Nikhil Abhyankar: So, right now, there is no number? It is not included in the pipeline?
Amit Jain: Right now, it's part of the pipeline. But I would say, like, I would not like to put a number, because developers are also taking a call on various factors, how much wind, how much battery.
So, based on the various configurations, that number keeps changing. So, that's why we have not put a number to that.
Nikhil Abhyankar: Sure. And also, sir, are we also looking to get into pure wind EPC, because some of the OEMs are sticking to more of an equipment supply approach only. So, is there an opportunity which you are seeing and which we can look at?
Amit Jain: So, we will do wind without land. And of course, the OEM will be supplying the equipment.
But we will not be taking any responsibility for the land, which is rare. So, we'll be going only and only where the land risk is not in our portfolio.

Nikhil Abhyankar: Okay. The land is not in it. So, will we be bidding in the PSU bids? Something like NTPC or someone?
Amit Jain: So, all the PSU bids, we take one from case -to-case basis. So, how is our competitiveness and how well we are placed and whether all the risk matrices are getting complied to. And then, accordingly, we decide for every bid. So, this is decided on bid -to-bid.
Nikhil Abhyankar: Okay. And so, just a clarity on the revenue guidance that you gave earlier. So, you mentioned that out of the INR8,000 crores order book that we have, around 60 to 70 will get executed this year. Am I right?
Amit Jain: No, no. Not INR60 to INR7 0. INR7,000 crores from the unexecuted order book will be executed this year. We are expecting to book INR8,000 crores of order this year, out of which 2 5% to 30% will be converted into revenue. And all the numbers are excluding Reliance and Nigeria.
Nikhil Abhyankar: Okay. So, without Reliance and Nigeria, around 90 to

95 billion of revenue guidance for next year.
Amit Jain: Yes. So, whatever you desire. I'm not putting a hard number to it, but I have given you the broad range.
Nikhil Abhyankar: Sure, sir. No problem. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.
Aejas Lakhani: Yes. Hi, team. Thanks for the opportunity and congratulations. Could you specifically speak about the receivables, the surety bonds that had got enforced by the contractor, the invocation of those bank guarantees of about INR400 crores, the litigations that were going on, and could you specifically state where we are in that journey?
Bahadur Dastoor: All of those items are presently lying as current assets. The management has taken legal views or expert views to determine whether there is any provision required, and the decision was that there is presently no provision that is required against each of those matters.
Aejas Lakhani: Okay. But could you tell me what is the update in the courts because you're fighting this battle in the courts? Has there been a hearing? When is it likely? When can we expect the fructification of this? By what timelines?
Bahadur Dastoor: Amit, would you like to take this question since you're handling this.
Amit Jain: Yes. So as far as the timelines are concerned, so we are expecting because the legal process is always a lengthy process. So some of the cases are coming up for hearing in second and third quarter and some are coming in the Q4.
So that's how it is panning out. But there are always development and there can be some delays with respect to that. But as Bahadur alluded to earlier, we have consulted or hired law firms, most reputed law firms, international law firms for all of our cas es. We have taken opinion of legal and technical experts and we are very, I think, favorably placed in all those litigations.
Aejas Lakhani: Okay. The next question is earlier participants had asked about the need for maybe another fundraise in the next year, your thoughts on that. And if you could just provide some clarity that when Nigeria comes through, because you've stated that you're con fident, how should we understand the order booking in that the conversion to revenue, the timelines associated, the cost, the scope of work if you could just give some more understanding of that?
Bahadur Dastoor: As far as the fundraise is concerned, we do not see any need for any fundraise. Working capital is negative, operations are profitable. There is cash flow from operations, if you see the cash flow that we have presented. So we do not see any need for a fundraise. As far as Nigeria, I think Mr. Amit has already answered the question. But in case, Amit, you want to just follow up anything I leave it to you.
Amit Jain: No. So as Bahadur has alluded, we have already answered the question that we are working very closely with Nigerian authorities, very positive developments have taken place in last few weeks, and we are expecting it to conclude very soon.
Aejas Lakhani: Okay. Could you quantify that over what period because the timelines have moved, so over what period will we execute this? Will it be still spread out over 2 years? What will be the quantum that we may get in the first year, second year? Could you give so me more color on that?

Bahadur Dastoor: We will give color once the order is finalized. As of right now, it is a 2-year project. It continues to remain so.
Aejas Lakhani: Okay. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Subash from Value Investments. Please go ahead.
Subash: Hello, sir. Thank you for this opportunity and also congratulat ions on the numb

ers. So my first question is about I mean you mentioned that there would be an upgrade on your rating upgrades?
Moderator: Sorry, I request you to use your handset, sir. There's a slight disturbance from your line.
Subash: Are you able to hear me now?
Moderator: Yes, sir. Please go ahead.
Subash: Okay. So you mentioned about the ratings upgrade happening soon. So I wanted to know after the ratings upgrade, I think there will be no need to pledge the shares, a s the promoter shares because in the last quarter to get some loans from the banks for the projects, I think there was some pledge.
Bahadur Dastoor: Firstly, that is incorrect. There are no shares of the promoters that have been pledged to take any loans from the banks in the last quarter pertaining to this company.
In fact, in the last quarter after the QIP we have gone and reduced debt. The rating upgrade is expected shortly and as soon as it is there we will make the announcement to the stock exchanges.
Subash: Okay, sir. And also on the segmental revenue, I see you have EPC business and also the O&M operation and maintenance. So do you have any plans to build your IPP portfolio, like individual power production?
Bahadur Dastoor: I will start off. We are not developers. So we are essentially in the space of EPC whether it is EPC for solar, EPC for a hybrid project and O&M. We have no plans to be an IPP.
Subash: Okay. Thank you so much. And also my last question would be on the conversion of revenue on your order book? So you mentioned that 30 to – or 25% to 30% of the INR8,000 crores will be converted to revenue. So do you mean that is only for FY25. I could not understand clearly. Can you please explain what is the conversion of revenue?
Amit Jain: So let me correct you on that one. On the revenue conversion part there are two parts. I will state again. One is the unexecuted order book value, which is like INR8,000 crores is our UOV . Out of that INR6,000 to INR7,000 crores will be converted into revenue. The fresh order inflows which we are expecting to the tune of INR8,000 crores out of that we expect 25% to 30% will be converted to revenue.

So revenue conversion will be of these two parts. One is the order book which is in hand , and other is what should be booked during that year. So these two put together will constitute the revenue and this is excluding Reliance and Nigeria .
Subash: Sir if I could push just one more question so about your margins . I see that your EBITDA margin is 5% and the net margin is a little bit lower. So compared to the smaller EPC players who show net margins of over 10%, do you have plans to improve the margin? I clearly understand this is a very good turnaround considering the losses that you have posted previously, but I would like to understand about the future margins?
Amit Jain: So as we stated, we will continue to maintain our historic margins and with the economies of scale and portfolio going up. Definitely, there will be improvement on the margins. But I will not like to comment on other EPC players, but we have been in this market for long and we have consistently delivered margins, which we will continue to do so in the domestic market revenues.
Subash: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Darshil Pandya from Finterest Capital. Please go ahead.
Darshil Pandya: Hi, sir. Am I audible?
Moderator: Yes, sir. Please go ahead.
Darshil Pandya: Yes. Sir have you paid any debt in this quarter?
Bahadur Dastoor: We have paid out. You are talking of debt repayment?
Darshil Pandya: Yes.
Bahadur Dastoor: Yes. So whatever was the debt repayment which was scheduled, which was a commercial paper of INR100 crores and a term debt of 25 crores has been paid on time.
Darshil Pandya: You mean to INR125 crores of debt has be

en paid?
Bahadur Dastoor: Yes. But that was anyway earmarked with fixed deposits. So you'll not see a change in the net debt situation.
Darshil Pandya: Okay. And any guidance for overheads for this year, what will be the overheads for this year?
Bahadur Dastoor: No, we do not. We will keep it consistent. We don't want to give any kind of guidance at this stage.

Darshil Pandya: Okay. No worries. Thank you so much.
Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.
Rahil Shah: Hello. Hi. Am I audible?

Moderator: Yes, sir. Please go ahead.
Rahil Shah: Hi, sir. Just one question on the EBITDA margin, sir. What can we expect going forward for FY25?
Moderator: Sir, may I request you to speak up, sir? Your audio is very low.
Rahil Shah: Just a moment. Hello. Is it better?
Moderator: Yes, sir. Please go ahead.
Rahil Shah: Yes. Just one question on the EBITDA margin, sir and what can one expect going ahead for FY25? And it would be really helpful if you could explain the improvement quarter -on-quarter as well. How does the company see the margin shape up?
Bahadur Dastoor: So as we have given a revenue guidance and a gross margin guidance, we are not presently in a position to give an EBITDA guidance because we wouldn't want to do so. You can fairly well calculate it. How it flows quarter -on-quarter will depend on the pace o f execution of various projects across every quarter.
Rahil Shah: Okay. So please can you repeat the gross margin guidance I joined the call late?
Bahadur Dastoor: Yes. The gross margin we said would be consistent with the gross margins which we have reported.
Rahil Shah: For the entire year?
Bahadur Dastoor: Year and quarter are fairly consistent.
Rahil Shah: Okay. All right. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Danesh Mistry from Investor First Advisors. Please go ahead.
Danesh Mistry: Hi. Congratulations for a good set of results. I just had one question . It was regarding our working capital. If you were to see the consol working capital, there's been a great improvement. Just want to understand, there's been an increase in the trade payables a bit versus last year. So is this something that we can expect as an ongoing basis or is it just project end date kind of balance sheet year kind of number? That's it from my end?
Bahadur Dastoor: Sure. Thank you. You will see that a lot of the revenues have happened in this quarter and especially in the month of March leading to an increase in trade payables. Similarly, there is an increase in trade receivables plus unbilled, which lies in my other financial assets.
If you see the two of them in combination, it is consistent with what is there even in the previous year. So the reason for whilst one is shown on the face and the other is shown in a schedule in the receivable side the trade payable shows up straight on the face which is why it looks inconsistent, but which is not the case.

Danesh Mistry: Okay. All right. Thank you so much.
Moderator: Thank you. The next question is from the line of Parth Agrawal from Bastion Research. Please go ahead.
Parth Agrawal: Hi. Thank you for the opportunity and congratulations on a good set of numbers. My one question is, so what has been your historical order book win ratio, if you can highlight that part?
Amit Jain: See historic win ratio in the domestic market what we have seen when the trend in last few quarters is market share is 30% and our PSU strike rate is close to 50%. So we have been very successful in wherever the big PSU tenders we have participated, more than 50% and overall market, our a ddressable market share is 30%.
Parth Agrawal:

So if you're bidding for 30 gigawatts of project this year and with a win ratio of...
Moderator: Sorry to interrupt sir your audio is not clear. May I request you to speak up, sir?
Parth Agrawal: Is it better now?
Moderator: Yes, sir. Please go ahead.
Parth Agrawal: Okay. I'm saying that with the 30 gigawatts of order book bid that you're going to do this year in FY'25 and with 30% of success ratio of win ratio that you have. So don't you think your, probably your 8,000 crores of order in flow should be more than 12,000 crores, 15,000 odd crores?
Amit Jain: So see, the majority of the domestic market is BOS, in which like it is 1 crores per megawatt,

approximately with fixed tilt and 1.3 crores per megawatt with trackers. So this is the dominant market with some tenders coming out with modules. So with respect to that, we have estimated the number and given out to you . This number can like significantly improve as we go along the year. But we have, we kept the guidance to 8,000 crores at this point of time.
Parth Agrawal: Okay. Thank you. That's helpful. And just last question from my side. So in a pre -COVID, your gross margins used to be 14%, 15% level. And as you guided that, you're expecting around 10%, 11%, which you currently have clocked this quarter and this year. S o any reason why you're expecting a gross margin to be lower than what historically it has been?
Bahadur Dastoor: Our gross margins have always been historically in the 10% to 11% range. 14% has been when we have gone opportunistically into certain geographies where we have made high margins. However, if you go consistently year from year, it has always been in the ra nge of 10% to 11% and not 14%.
Parth Agrawal: Okay. Thank you. That's all from my side and best of luck for the future quarters.
Bahadur Dastoor: Before the next question comes up, since this is being asked repeatedly, I thought I'll just reiterate the whole thing. We do not have any equity fund ing planned for future. And just again, to put out the revenue expectation out of the UOV of 8,000 crores, we expect to close 6,000 crores to 7,000 crores. And out of the new order inflow of 8,000 crores, coincidentally, both are 8,000.

The second 8,000 is without Reliance and without Nigeria. We expect to close between 25% to 30% of that. Hence, you can say out of the UOV and book and bill, the revenue right now that we are expecting is between IND8,000 crores to IND9,000 crores, other t han Reliance, other than Nigeria. I just thought I will summarize this, because this is being asked repeatedly. Thank you.
Moderator: Thank you. Our next question is from the line of Dhyey from Niveshaay Investment Advisory. Please go ahead.
Dhyey: Hello, am I audible?
Moderator: Yes, sir. Please go ahead.
Dhyey: So, I had this question on the EBITDA margin side. So, what is the EBITDA margin that we earned in this quarter in the international markets?
Bahadur Dastoor: We don't give EBITDA by region. The overall EBITDA is about IN R 54 crores, which is what has been earned for the year, and which is fairly similar to what we have got in the quarter as well.
Dhyey: Correct, sir. I also wanted to understand on the fixed cost. So, let's say our revenue increases by a certain percentage. What are we expecting that number to be in terms of employee cost or other expenses? Can there be a multiplier to it?
Bahadur Dastoor: Our employee cost and other costs are not related to the increase in revenue, and we are not expecting the overheads to go up significantly from what has already been given for the current financial year.
Dhyey: Correct, sir. I also had this doubt related to the ALMM. There were problems of unavailability of good quality modules when ALMM was initially introduced, and that is why it was deferred. Do we expect to face any similar pro

blems going ahead?
Amit Jain: Could you repeat again, please?
Dhyey: So, when the ALMM was introduced initially, there were some issues related to the quality of the ALMM modules. So, are we expecting any similar kind of situations in the future?
Amit Jain: No, I don't expect any such question. I already answered this question. So, with respect to ALMM, because all the big industrial houses and fairly reputed manufacturers are coming into market, and their modules are being produced with the latest technology . So, I don't have any concern on availability or quality of the modules, and it will not impact project execution going forward. So, there are no concerns on that front at all.
Dhyey: Correct, sir. Also sir…
Moderator: Sorry to interrupt you today. May we request that you return to the question queue for follow - up questions, as there are several participants waiting for their turn. Thank you. Our next question is from the line of Aaryan Mehta from Mehta Investments. Plea se go ahead.

Aaryan Mehta: Hi, sir. Congratulations on the great quarter. Looking at the balance sheet, the other current liabilities have nearly doubled year over year. What is the reason for this? Thank you.
Bahadur Dastoor: Mr. Mehta, I'll just answer your question shortly. If you have any other question, you can ask in

the interim.
Aaryan Mehta: No, no more questions.
Bahadur Dastoor: So, I'll take the next question, and I will give you an answer shortly.
Aaryan Mehta: This is the only question I have.
Moderator: Okay, sir. Mr. Mehta, the management will answer your question. We move to the next question. The next question is from the line of Raj Rishi from DCPL. Please go ahead.
Raj Rishi: Yes, hello. There was a report which suggested that annual opportunity for solar…
Moderator: Sir, may we request you to use your handset, sir?
Raj Rishi: I'm using my handset only. Hello.
Moderator: Yes, sir. May I request you to speak a little louder, sir? Thank you.
Raj Rishi: There was a report recently that suggested that the Indian EPC solar opportunity from now till 2032 is around 65,000 crores per annum. Do you agree with this kind of report, this kind of opportunity?
Amit Jain: It's an opportunity. It can be like the valuations are arrived at considering various values. So, what we project is the BOS value for the project for this market. But I don't know on what basis this number has been calculated, but we expect market to be s ignificant in the range of 25 gigawatts g rowing 15% to 20% annually. So, from that basis, we can calculate the number. So, I don't know whether that EPC has been calculated on the turnkey basis or the whole project cost. So, that is very difficult to comment on that particular number.
Raj Rishi: So, sir, like your assessment of your opportunity, the market address ability from your side would be what from now till say next seven, eight years per annum in India?
Amit Jain: At this year, what we have projected, we are projecting around 25 crores to 30 crores, 25,000 to 30,000 crores and g rowing 15% to 25% CAGR, depending upon how the whole system, ecosystem is panning out.
Raj Rishi: This is the Indian opportunity for you?
Amit Jain: This is the Indian opportunity we are talking about.
Raj Rishi: Which includes everything, Reliance and everything?
Amit Jain: No, no. That is excluding Reliance and like and other. So, Reliance, whatever the numbers we are talking about here, whether our own projections or the big pipeline is excluding Reliance.

Moderator: Thank you. May we request you to rejoin the question queue for follow -up questions, Mr. Rishi? Thank you.
Bahadur Dastoor: I will just answer Mr. Mehta's previous question. The increase in other current liabiliti

es is
essentially because of advances received for projects to the tune of almost IN R900 crores.
Moderator: Thank you. The next question is from the line of Ashish Soni from Family Office. Please go ahead.
Ashish Soni: Sir, what are the few challenges you foresee in the execution in the next couple of years?
Amit Jain: Come again. Could you repeat your question?
Ashish Soni: Challenges, what do you see in terms of execution? Because everything I see is looking great in terms of tailwinds and everything. But what, according to you, are the challenges you might face during executions?
Amit Jain: Execution challenge, like what we had foreseen, that the talent market is going to be little bit on talent, so which we had already started addressing. So, with respect to even the field workers as well as our staff, the training initiatives which need to be taken. So, we are carrying out the technical development of our people and the project execution people.
So, that part is already happening. But I don't see, with respect to any other thing, we are fully geared up to handle the pipeline which is growing. And I don't see any significant challenge on that particular part.
Ashish Soni: And one more question, regarding geographies, international geographies, any reason you are not focusing on US?
Amit Jain: US and Australia, basically what we are finding that these markets where we are strong and the portfolio is growing significantly. So, we have chosen to address domestic market in a big way and markets in Middle East, Africa and Europe, where we can have f ar better contracts and much better margins. So, that we have decided for the time being in the short term to focus on these markets.
Moderator: Thank you, sir. Ladies and gentlemen, that is the last question for today. With that, we conclude today's conference call. On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. Thank you for joining us and you may now d isconnect your lines.

Call: Jul 2024

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July 24, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Dear Sir/ Ma'am,

Sub.: Investors Call Q1 FY 25- Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

In continuation to our letter dated July 12, 2024 and July 19, 2024 please find enclosed the Transcript of the Investors Call held on Friday, July 19, 2024 at 09:00 a.m. for the Unaudited Consolidated and Standalone Financial results of the Company for the quarter ended June 30, 2024.
The same is available on the Company's website at www.sterlingandwilsonre.com
Request you to take the same on records.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Bahadur Dastoor
Chief Financial Officer

"Sterling and Wilson Renewable Energy Limited
Q1 FY'25 Earnings Conference Call"
July 19, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 19th July 2024 will prevail.

MANAGEMENT : MR. AMIT JAIN – GLOBAL CHIEF EXECUTIVE OFFICER
MR. BAHADUR DASTOOR – CHIEF FINANCIAL OFFICER
MR. SANDEEP THOMAS MATHEW – HEAD INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day and welcome to Sterling and Wilson Renewable Energy Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Thomas Mathew, Head of Investor Relations, for his opening remarks. Thank you, and over to you, sir.
Sandeep Thomas Mathew: Good morning, everyone, and welcome to our Q1 FY '25 Earnings Call . Along with me, I have Mr. Amit Jain, our Global CEO; Mr. Bahadur Dastoor, our CFO; and SGA, our IR advis ors. We will start the call with the key operational highlights for the quarter and industry outlook by Amit, followed by financial highlights by Mr. Bahadur, post which we will open for Q&A.
Thank you, and over to you, Amit.
Amit Jain: Thanks Sandeep and a warm welcome to all the participants on this call. I would like to begin with a quick update on our business operations and outlook for solar industr y.
Beginning with our order book, we have started off the first quarter of this financial year on a strong note with INR 2,170 crores of new orders, building on the order booking momentum in FY '24, where we closed the full year at approximately INR 6,023 crores of orders inflow.
Q1 order inflow was a mix of international and domestic orders. We were able to achieve a strong breakthrough in the rapidly growing South African solar market with 2 turnkey project wins totalling USD140 million. First, was a 140 -megawatt DC project for AM EA Power , which is one of our customers with a long-standing relationship a nd the second was a 80 -megawatt AC project with the Energy Group.
As we have reiterated in the past, we only judiciously pursue international projects, which meet our risk -reward metrics, and these order wins are in keeping with the same philosophy. The pickup in international ordering activity seen in the recent quarters in select international markets like Africa and Europe is a culmination of our effort over the past few years, and we are happy to finally see it paying off.
Our India EPC business continues to remain a pillar of strength, and company has received new order and LOIs in 3 domestic projects worth INR 1,016 crores during the quarter. We were able to achieve another breakthrough with Serentica Renewables by bagging a 900-megawatt DC project in Rajasthan, which is one of their largest solar installations in the country. We continue to work with Serentica in multiple other projects across India and we are happy to be their preferred EPC of choice in this project.

We have commenced the pilot project for solar plus battery energy storage systems for Reliance Industries at Jamnagar, Gujarat. We look forward to engaging with them in large PV project installation across the country in the near future.
With the order wins announced in Q1 setting up a strong base, we remain confident of meeting our order inflow guidance of INR 8,000 crores that we have indicated during the previous conference call.
Further, in terms of execution, we anticipate to see a strong pickup in execution from Q2 onwards, and we will be targeting to achieve majority of our execution run rate in the

second
half of the fiscal year , with which we remain confident to deliver on the revenue guidance of INR8,000 crores plus as well.
We have a strong order book already in place and plans are in place to achieve the anticipated execution scale-up. Our unexecuted order book currently stands at INR 9,396 crores with approximately 71% constituting domestic orders. While the share of domestic order has declined this quarter due to higher inflow of international orders, we remain confident of domestic order inflow s in the forthcoming quarters picking up , especially as PSU order inflow activity was muted in Q1. We are, however, seeing a strong pipeline getting built with the new RFPs getting added, which leads to greater visibility on ordering activity pick up during this fiscal year.
Coupled with a stronger balance sheet, we are expecting to be able to capture a larger share of the domestic solar EPC market in this fiscal. In terms of pipeline, we are actively pursuing projects totalling 23 gigawatt in India and 5 gigawatt in other geographies, including Middle

East, Europe and Africa.
I know most of you are anxious to hear about the progress with the Nigeria project. Our teams are continuing to engage at the highest levels to achieve the closure. And while p ost our last investor call, the final terms have been negotiated, procedural steps are in progress. Also, as I have mentioned in our earlier calls, post order signing, we expect project to take six months to achieve financial closure.
We would like to reiterate that lumpiness in order inflow is to be expected with EPC companies like ours and the time lines for achieving project closure could vary depending on a host of factors, including finalization of contractual terms, financial closure s, et cetera.
Our operation and maintenance portfolio outlook remains strong, and we have seen our portfolio grow to 8.2 gigawatts as of June 2024. The benefit of a large portfolio is expected to bear fruit in the coming quarters as our EPC pipeline will continue to feed a large portfolio of O&M projects over the next 12 to 18 months.
Now moving to industry outlook. India remains our single largest focus market at the moment. The government's renewable energy push is driving up auctions, which continues to create a strong pipeline. India saw auction of 35 gigawatts of renewable projects in fiscal 2024, the highest -ever in a single fiscal year and solar remains at the forefront.

The demand for power is expected to continue to increase annually by 7% to 8% over the next 3 to 5 years. For renewable power to provide for this increase, the annual capacity addition become imperative.
There is no doubt in our minds that renewable energy is going to be a key driver of investments in the power sector in India for the next 6 to 7 years. The growth of renewable energy installations is anticipated to accelerate as the tendering and commissio ning of green energy projects gain momentum. A growing domestic order pipeline is reflective of the explosive market growth that is anticipated. Such rapid growth typically pushes player s to focus more on core competencies and execution. That's where established EPC players like ourselves is likely to gain.
Low module prices globally remains ripe for more projects to come on stream, aided by lower LCOEs, which should translate into more work for EPC players like us. With a strong balance sheet, we remain well positioned to tap the strong industry growth in both domestic and international markets.
With this, I will ask Bahadur to take you through the consolidated financial highlights. Thank you very much.
Bahadur Dastoor: Thank you, Amit. We are happy to report a second consecutive quarter of positive EBITDA, PBT and PAT at a consolidated level in Q1 FY '25.
We achieved a top -line growth of 78% year -on-year w

ith operating revenue of INR915 crores in Q1 FY '25, aided by higher execution in domestic EPC projects. Sequentially, top line declined by 22% due to tight liquidity conditions, which are expected to ease with improvement in credit ratings going forward. At this point, I would like to mention that Q4 is always the highest in a financial year due to push from vendors, contractors and developers. So it would be incorrect to look for sequential growth in a Q1 as compared to a previous year's Q4 .
As Amit highlighted earlier, our order book continues to grow rapidly, providing higher revenue run rate visibility for the forthcoming quarter. With anticipated ease of liquidity challenges, we still hope to be able to meet our annual revenue guidance, which implies a lot of execution pace pickup, which will be seen in the second half of this fiscal.
On the margins front, our reported gross margin was 11% in Q 1. We believe our gross margin will hover in the 10% range as seen in the domestic EPC margins for the quarter. Our O&M gross margins were enhanced due to one -off income of INR3 crores due to backdated revenue receipts and provision reversals. It is worth noting that in few of the previous quarters, we have taken a conservative stance on accounting for the O&M costs, but not revenue. And had guided that we will be able to b ill back dated revenue, which was seen in this quarter. Recurring O&M margin was 23% in the first quarter and has begun to trend towards more steady -state margins compared to FY '24 margin of 16.7%.
On the overhead front, we have continued to make further progress as seen in the lower quarterly run rate. We do believe bulk of the optimizations we ha d planned have been incorporated.

Reported Q1 EBITDA was INR 37 crores , at a 4% EBITDA margin, compared to a full year FY '24 EBITDA of INR 54 crores. Reported Q1 PAT of INR 5 crores, while significantly higher both year-on-year as well as quarter -on-quarter, remains impacted by a noncash deferred tax asset charge in this quarter of approximately INR 10 crores, as was the case in Q4 due to standalone profitability.
Now coming to the balance sheet. Our net borrowing has declined sequentially by about INR 19 crores, and therefore, our net debt stands at INR 97 crores as at June 2024. We do not have any debt repayment till Q3 FY '25, and we believe indemnity payments due by November '24 are largely likely to take care of repayments in FY '25.
With this, we can now open the floor to questions and answers.
Moderator: First question is from the line of Puneet from HSBC.
Puneet: Congrats on turning around. My first question is if you can give some colour on how different are the margins from your international business and domestic business based on the new orders that you are booking?
Amit Jain: Yes. So -- as we have explained in our previous calls, that in domestic market, margins remains from 10% to 11%. And now we are replicating the same margins for the international market - where the margins remain 10% to 12%. So margins, we are very, very careful about the margin profile s, and we are maintaining the same margin profile in both the markets.
Puneet: Okay. And there was, earlier, a thought that you would do only the BOS part in the Indian market and not do modules, does that still remain?
Amit Jain: We are aware. That's primarily because Indian market continues to be a BOS market. But wherever we are taking -- we have taken a couple of projects in domestic market with modules, but we are taking extreme cautions with Indian projects. We are choosing only Indian module manufacturers, where we have the long -standing relationships and they never renege on their contracts.
We have taken due care in taking the bank guarantees and used our relationships to get the orders for modules for the domestic markets.

Both orders we have picked up, we have placed our orders on reputed Indian manufacturers, and there is no risk. So we will choose to select -- we'll choose the projects very carefully, wherever we have to pl ace the orders with the modules included.
As far as the international projects are concerned, we are very, very choosy and passing on the risk to our customers. And we are also taking precautions as we have explained in our past calls, that we are taking very higher amount of bank guarantees to the tune of 15% from the module manufacturers, and we are choosing a make of 3 manufacturers minimum for every project. So there is no execution or price risk remains on the project.
Puneet: Okay. And you're still saying that despite taking the module linked orders for international businesses, you will still have a 10% to 12% margin ; on India without the modules, you will have 10% to 12% gross margin?

Amit Jain: That's absolutely correct. The margin profile of the projects will not change. Just that the value of the project per megawatt will change wherever the modules are included. The values per megawatt will be much higher as compared to the BOS projects.
Puneet: Understood. And secondly, if you can comment on how big is the RIL's pilot project? And what are you hearing from them in terms of...
Amit Jain: So it is like -- I would like to say it's a reasonable-size project with a good value, and we expect to complete this project within this fiscal year, and we are using multiple technologies. So this project is very, very important with respect to testing of multipl e technologies and this would become very handy in the rollout of the larger projects with RIL.
Puneet: And this is already a part of your order book?
Amit Jain: Yes, this is already part of our order book.
Puneet: So the INR 1,000 crores -order during the quarter would include this? Or was it already a part of - yes?
Amit Jain: Yes. It's part of that particular order book.
Puneet: Understood. And lastly, on the overheads side, assuming current business levels, are you -- have you reached a stable state of overhead s? Or is there further room for overheads to go down?
Bahadur Dastoor: As I just mentioned, we believe we have completed most of the optimization of our overheads and except for small increments, et cetera, we believe that they are now more or less stable.
Moderator: Next question is from the line of Shiwani from Monarch Networth Capital.
Shiwani: Congratulations on good results. My question is on the order book mix. So the domestic order input, can you give the split of other than Serentica from whom the order has come in. And also for the international order in Europe, order with Plenitude is exec uted? Or if not, then how long will it take to be executed?

Amit Jain: See, our order with Plenitude was received in December last year and projects has 18 months of time line. So project execution has started. We are well on track. We are finalizing. The engineering has been completed and orders have been placed, and we have started execution on the project. And we are very confident of completing the project ahead of the time lines . So that is the status with the Plenitude project.
As far as our order book is -- Indian order book is concerned, it includes Serentica, it includes Reliance, it includes AMPYR. So these are the projects included in our domestic pipeline.
And as far as the international project booking in this quarter is concerned, there are two projects from South Africa, one from A MEA Group and another is from the Energy Group.
Shiwani: Okay. Sure. And my next question is on the arbitration process that's going on for the international order. What's the status on that?

Amit Jain: So there are a fe

w arbitrations, which we are having in U.S. So we are proceeding ahead with arbitrations. And as and when there is a significant development there, we will inform the markets suitably at that point of time.
Moderator: Next question is from the line of Harsh from Nepean Capital.
Harsh : I just had two questions. Firstly, on the opportunity on the Reliance project that we have done, what is the future outlook and the opportunity size of that segment? And secondly, we've seen a very significant margin jump in our O&M portfolio. So is it as a one-off or how is that?, just 2 questions of mine. Thank you.
Amit Jain: So first off all, with respect to Reliance to start with, it's a pilot project, as we have stated and teams are continuously engaged with Reliance on rollout of mega projects in various regions in the country. As you know, the plans are in public domain, and it's moving f aster. Teams are engaged at much broader level. And we have specially created a particular SBU for Reliance. So we are hopeful that the mega project rollout will start soon and teams are fully involved into the discussions, and we will be at the forefront of the execution. And Bahadur will take -- answer on O&M margins.
Bahadur Dastoor: Yes. As I have mentioned in my speech, there is a one -off income of INR 3 crores due to backdated revenue receipts and provision reversals. Were that not to be included, the O&M margins would be close to 24%, which is close now to our steady- state O&M margins.
Harsh : And just lastly a bookkeeping question, y ou mentioned the South African project. What was the size of the project ?
Amit Jain: One is 140 -megawatt and another one, second one is 80 -megawatt project.
Moderator: Next question is from the line of Rohit from Aditya Birla Sunlife.
Rohit: So my first question is what are the credit limits, non -fund based limits and fund based limits? What is the negotiation with the bankers - where are we at this point in time, are they, like, unfrozen?
Bahadur Dastoor: So a few of them are unfrozen with the rating upgrade, which happened from D to BB+. Post these results, we will be pushing for a higher upgrade into the investment grade which gives us the confidence for unfreezing of the rest of the limits.
Rohit: Among the nonfund base d limits, what is the current level? And how much has it utilized at this point in time?
Bahadur Dastoor: The total nonfund limits are between INR 5,500 crores to INR 6,000 crores and roughly INR 3,800 crores to INR 4,000 crores stand utilized.
Moderator: Next question is from the line of Kunal Shah from DAM Capital Advisors.
Kunal Shah: So sir, one is on this revenue guidance for F Y '25. I think we are holding on the INR 8,000 crores mark, right, INR 8,000-plus. Now just could you guide how it would be phased over the next

three quarters? So would one assume that the second half would do something like a INR 6,000 crores sort of revenue?
Amit Jain: You are right that the revenue execution pace will pick up from Q2. We remain very, very confident about the revenue guidance we have given. As you know, Q1 is always muted in the EPC industry. Then there is no surprise in that. So revenue pace will pick up significantly from Q2 onwards and the second half will be very, very strong with the Q4 being the strongest.
Kunal Shah: Understood, sir. But in terms of sort of factoring in this, would there be an assumption of a rating upgrade that you're expecting now? Because let's say if there is some delay, could there be a spillover? I'm just trying to understand, would there be a de lay in terms of the execution of the

order backlog just because of the liquidity conditions?
Bahadur Dastoor: So we are trying to take various other steps. While the effort is obviously on for a further rating upgrade, as I have just ment

ioned. We are also looking at other contingencies to make sure business does not suffer.
Kunal Shah: Okay. Understood. And in terms of -- just from an order backlog execution time lines, could you guide if you are sort of, is everything on track? Or could there be some delay in terms of commissioning of those projects?
Amit Jain: So you are right. We don't see -- foresee any delay in execution of any project. We are delivering projects ahead of time, and we are always meeting our customer expectations. So we are very, very confident and all the projects will be delivered as per the contractual schedules. We don't foresee any delay in any of our projects.
Kunal Shah: Understood. And one last bit on this Nigeria projects now with the U.S. Elections around the corner. So now any guidance on that particular project and whether it can be delayed post elections now? Because the same might be perceived as a bit risky, becaus e on the order finalization especially because of a potential regime change. So there becomes a lot of ifs and buts over there. So could you just guide on this particular one?
Amit Jain: Yes, yes, I will guide on that. First of all, post our last call, contract terms and conditions have been finalized and we are in the last leg of approval. So that is happening and which is very, very positive. And there are multiple positive developments, which has had taken place and we cannot share everything on this call. So -- but project is moving on right track, and we expect it to close very soon.
Secondly, with respect to the regime change, there is no impact on the project financial closure with respect to the regime change in U.S.A. The Exim Bank Board remains in place. The Exim Bank of U.S.A. has already -- this project exists in their list, and it's an approved project.
So there is practically no risk at all, we don't see, with respect to the regime change in the project.
And don't see any uncertainty on that part on this particular project. And we remain very, very confident to close the Nigeria project very soon.
Moderator: Next question is from the line of Amish Kanani from JM Financial Capital.

Amish Kanani: Sir, can you give us some sense of what is the average execution time line of our order book? Because now with international order, maybe there are some longer order. As we understand, some projects will have 6 to 9 months, whereas some projects might have an 18 months project time line. So if you can give us some range of execution or break up your order book, which is, say, more than 1 year and less than 1 year, that will be helpful within domestic and international, sir?
Amit Jain: Yes. So let me start with domestic. The larger project -- larger PSU projects, which are in excess of 1 gigawatt, has a typical execution time line of 18 months. And the IPP projects in India, typically over 200 megawatts have a time line of 10 to 14 month s. So this depends upon the execution targets given by the client. It can vary from 10 to 14 months. PSU projects remain from 15 to 18 months. That's the typical range.
International projects also remain within the 15 to 18 months completion targets. So none of our projects exceed the completion time of 18 months up to 1.5 gigawatt and the minimum time line for execution of project is 6 to 8 months for the smaller -sized p rojects. So this is typical time lines on which we operate, and this is the typical cycle for revenue conversion as well. It all depends upon the size of the project and the completion targets given by the client.
Amish Kanani: Sure, sir. So in that context, sir, is it possible our current order book as of first quarter end, how much is more than 1 year? And how much is less than 1 year? Is it possible? Or average -- Can we take your average execution time line right now a s 15 months, sir, to simplify the things?

Amit Jain: Average execution time lines, you can take between 12 to 15 months.
Amish Kanani: Between 12 to 15 months. Okay. And both domestic and international flavour is similar? Or international will be likely longer than domestic?
Amit Jain: International is slightly longer.
Moderator: Next question is from the line of Nidhi Shah from ICICI Securities.
Nidhi Shah: I would like to ask you about the macro scenario of the world. So as the U.S. h as impose d the ULSD regulation, do you see any other countries, especially, say, in the EMEA region, trying to do something like that, number one? Number two, as of now, we know that these restrictions are purely on modules. Do you think that these restrictions could come in on sales? And would they then affect your projects outside of India?
Amit Jain: No. Actually, right now, we are not executing any project in U.S.A. So any particular regulatory impact in U.S. markets don't impact us. So we don't see like we are operating in Europe, and we are operating in right now as for the international projects ar e South Africa. So both the projects

are in Europe without modules. So whether any impact on cell or modules, that doesn't impact us. Our business is totally risk -free with respect to the modules there. In both the South Africa projects, we don't see that happening because that market doesn't have any domestic production at all. So both the projects, we are allowed to import modules from China.

So as far as our international market is concerned, we don't see any impact of these regulations on our business and projects, which are with us. And in any case, the custom duties and statutory risks are always passed through. We negotiate that very caref ully in our contracts so that they never impact us. So that is duly taken care of in any eventuality if a risk arises. So we are completely safe from all those exigencies.

Moderator: Next question is from the line of Jayesh Shah from OHM PMS. Please go ahead.

Jayesh Shah: Yes. My question is we're looking at executing INR 6,000 crores in the second half. You have a bank guarantee or nonfunded limits of also INR 6,000 crores, so is that enough? And even right now, when you have utilized INR 3,000 crores to INR 3,500 crores last year, your turnover is around that much. Is there a one -to-one correlation between your nonfunded limit utilization and sales?

Bahadur Dastoor: It's not necessary because generally, when you have a project, you will have a 10% advance and a 10% performance bank guarantee. Your advance bank guarantee tends to fall off within a year.
As far as your letters of credit are concerned, they are for significant equipments like trackers, steel, inverters, IDTs, et cetera, cables.
Now all of those are for 90 to 120 days. So there is always a churn of limits. At the same time, as we have mentioned, we are looking at additional limits as well for which discussions are on with several banks for a sizable portion. There will be bank gua rantees, which will fall off. There will be LCs, which will get paid. Limits are a continuous churn. So there is no 1:1 relationship. If I invest for a particular project, it would range to be somewhere between 45% to 50% of the project value at its peak, and then it will fall.

Jayesh Shah: I see. That's very useful. And broadly, the interest charges here would be close to 1%?

Bahadur Dastoor: So right now, we are paying slightly higher -- much higher than that. And that is because our rating was, at a point in time at the default grade, which is now upgraded to a BB+, but still below the investment grade. Once it comes to investment grade, which is what we are all working towards, we do believe that the figure that you mentioned will be the charges that'll happen going forward. All of these costs are built into our project costs and not as part

of interest
and finance charge.

Moderator: Next question is from the line of V.P. Rajesh from Banyan Capital Advisors.

V.P. Rajesh: First question about the Nigeria project. Do you foresee this project getting kicked off in this financial year, given the time line you mentioned? Or is it more likely to be in the next financial year?

Amit Jain: No, no. Definitely, we are saying that we expect to close it soon. And definitely within this financial year. That's very, very much within this financial year.

Bahadur Dastoor: The execution, however, will mostly happen in the next financial year.

V.P. Rajesh: Right. No, that's what I was trying to understand. And we'll close this year and then the execution. So the revenues will, essentially, come to us in the next financial year. Is that correct?

Bahadur Dastoor: That is right.

V.P. Rajesh: Not in Q4. Okay. And then just a longer -term question. G iven the opportunity you're seeing both in the domestic and the international markets , what's your prognosis on the growth that we can see in 3 to 5 year timeframe? Are we to expect that you can at least double in the next 4 years or something? Or if you could just give some colour as to how you think about the longer term, and relatively how you're building capacity internally for that kind of growth.

Amit Jain: So as you see, the market is seeing a robust growth within India and with the Nigerian opportunity. We foresee a significant growth in our revenues and what the size of the company is. But -- and we expect that within 4 to 5 years, we can very easily doubl e our revenues.

V.P. Rajesh: So let's say, if you are doing INR 8,000 crores this year, you're saying in 4 years or so, we can definitely look at our, doubling our revenue, right?

Amit Jain: We can easily can...

Bahadur Dastoor: Amit is talking about other than Nigeria and Reliance. Now once Nigeria comes in and Reliance comes in, obviously, there will be a huge growth in the revenue in FY '26 as compared to FY '25.

V.P. Rajesh: Right. No, that's exactly what I was trying to understand. That those orders will come next year in the order books. And therefore, from what you are saying that we will do a INR 8,000 cr this year at least in the next 2, 3 years, we should see meaningful growth, like maybe you double in 3 years. That's what I'm trying to get a sense of.
Bahadur Dastoor: Including Nigeria and Reliance, we will see a huge growth in FY '26 itself as compared to FY '25. Leaving those 2 aside, there will be significant growth as well on a year -on-year basis.
V.P. Rajesh: Okay. So just to make sure I got this right. You're saying that without these two, you will double in 4 years. But with these two, there will be significant growth next year itself . That's sort of the key takeaway?
Amit Jain: Exactly. Exactly. That's what Bahadur has gotten right.
V.P. Rajesh: Great. And then just last housekeeping question. On the indemnity payments, can you just refresh where do we stand on that? How much is pending? And what is the likely number in September?
Bahadur Dastoor: As of right now, we -- as we said before, also, there are roughly INR900 crores of indemnity payments, which are expected to be received over the next few years. We believe that we should be having a number in a certain range of about INR 200 crores to INR 220 crores have already crystallized and something more might crystallize from now until that point in time.

However, you have to remember that roughly in December last year, there was a reverse indemnity. In essence, the company received money for an item where the company had already claimed from the promoters. So we have to pay back about INR 130 crores, INR 135 crores. So the differential is what is the present crys

tallized value. It may go up slightly from now until November when the indemnity claims will finally be calculated. As we said, we expect that the interest on the term debt -- sorry, not the interest, the term debt payments in the second half will be largely met out of the indemnity payments.
V.P. Rajesh: Okay. So the indemnity payment that you're expecting is roughly INR 130 crores, INR 140 crores. And the rest will be coming to us over the following years, right? That's the way to understand it?
Bahadur Dastoor: In that range, yes.
Moderator: Next question is from the line of Avishek Datta from Anand Rathi Shares and Stocks.
Avishek Datta : I just wanted to understand, can you just update us on Reliance overall renewable energy targets of 100 gigawatt and how -- and your interaction with the company? How does it split between solar and other renewable energy sources?
Amit Jain: Yes. So as you know, the Reliance have the huge rollout plans, and we have already started the pilot project with them. We are engaged in discussions with them for mega rollouts in multiple geographies across India, and that discussions are taking place. B ut, at this point of time, we expect the rollout to start happen soon. But at this point of time, we are not in a position to share more than this.
Avishek Datta : But it will be a mix of solar and battery storage and other renewable sources? Or not?
Amit Jain: Yeah, yeah. It can be a mix of all the projects, but solar will be the majority portion. That's what we expect.
Avishek Datta : And we will partner with them for both solar as well as solar and battery storage part?
Amit Jain: Yes, we will be partnering with them, both for solar and battery storage.
Avishek Datta : And the margin profile will be the same for both the type of projects?
Amit Jain: Yes, we expect the margin profile to be the same as, like, which is the -- as per the market for the projects of similar size and nature.
Avishek Datta : And when you say that the Nigerian – the final con tours have been finalized for the Nigerian project, what is the final contract value? And has there been any change in the contract term value because of falling module prices?
Amit Jain: No, no. There is no change in the contract value and all terms and condition and values, which we have been indicating to the market remains same.

Avishek Datta : And can you just refresh us, like, it was quoted as $1.5 billion to $2 billion. That is the range which you're talking about?
Amit Jain: Yes. You are right. That's the range.
Avishek Datta : And any further update on -- beyond Phase 1? Because it was earlier quoted as a $10 billion opportunity. So have you heard anything more from them?

Amit Jain: There is no further update at this point of time. But as and when there is an update, we will update the market based on the developments which are taking place.
Bahadur Dastoor: Our first focus is to close this first phase. Then we will start talking, if necessary, about the second and beyond.
Moderator: Next question is from the line of Faisal Hawa from H.G Hawa and Co.
Faisal Hawa: So sir, the intensity of bidding in solar projects, particularly for PSUs orders have really gone up, like, a lot. It seems that we have also lost the Khavda order of second phase NTPC II either to Rays Solar or Vedanta Engineering. And there are lots of smaller companies are now bidding for larger projects.
So what is -- is this now that they are going into some kind of a negative territory or something, which we will not even touch now? And many companies are chasing orders, even to keep up with their market caps. So will it necessarily mean that even now the Reliance order also will be negotiated on terms, which are on par with this kind of bidding?
Amit Jain: So thanks, Mr. Hawa, for your question. So I would l

ike to start by saying the market size is pretty huge. So this year, the addressable market, which we are considering for domestic sector, is more than 23 gigawatt including some of the mega projects comi ng from PSUs. So as we have seen in mega PSU bids, which are coming, the competition is still limited. Very, very limited, and we continue to be very competitive.
We work on every project costing and estimates extensively, and we bid accordingly to the risk-reward ratio, which any project offers to us. So 1 or 2 projects where we felt that risk-reward ratio is not in our favor, the margin profile is not matching our expectations, so we have not gone ultracompetitive in this project. But the market -- the bid pipelines remain strong, and we have focused projects, which we will continue to bid and win in line with our past hit rates.
So we are very confident of maintaining and exceeding our order book. So we are not at all worried on that part. So we can address that part because market size remains very huge, and there is, like -- and we don't see any impact on our order book because of the new players entering in and some of the players going ultracompetitive in some of the PSU bids.
Having said that, Q1 was very muted with respect to public sector bids, and I see the high - intensity activity picking up in coming quarters. The Q2 and Q3 will see closures of multiple PSU bids, where we'll see us also succeeding in those bids. So that's w hat I'd like to add at this point of time.

Faisal Hawa: And sir, what would be the revenue that we would have lost in the first quarter owing to not having enough BG s?
Amit Jain: No, we have not lost any revenue. As you know, as Bahadur has already stated, that Q1 always remain muted. And we have not lost any revenue at all. We remain as within our plan to achieve INR8,000 crores of revenue in this financial year.
Bahadur Dastoor: In fact, it is 78% higher than the same quarter last year, Mr. Hawa.
Faisal Hawa: Okay. And sir, even if it doesn't concern us directly, but the promoters are continuously pledging shares and also reducing stakes at various points of time in the quarter, causes a lot of disturbance to, not only existing shareholders, but new shareholder s as well.
So, I mean, can they give any kind of statement saying what their strategy is, because we are one of few companies which is having 3 promoters. So that itself is something very rare. And then the promoter continuously selling, pledging - at least 2 sets of promoters going that . I mean, even though it doesn't concern you directly, there needs to be some statement from them regarding this.
Bahadur Dastoor: So Mr. Hawa, your concern is well noted. Unfortunately, we, as a company, cannot comment on what the promoter chooses to do with his stake for whatever purposes. We will, however, pass on this message to them appropriately. And if they choose to come out w ith a statement, we will leave it to their decision.
Moderator: Next question is from the line of Aejas Lakhani from Unifi Capital.
Aejas Lakhani : Could you please explain me the reversal of the indemnity? I haven't understood that.
Bahadur Dastoor: All right. In the past, in the very first year, there was a certain amount of liquidated damages, et cetera, which we had claimed from the promoters. Subsequently, in December of last year, we managed to win an arbitration against a vendor, in which those indemnities were reimbursed back to us.
Now obviously, we cannot profit twice. So since we had already claimed it from the promoter, it remains with the company to be set off against the indemnity claim, which we will now raise in September '24. So while there is a gross amount of roughly INR 200-plus crores, as I mentioned, of indemnity, it will have a negative on account of this, which we had already claimed before. Have

I answered your question?
Aejas Lakhani : Yes. The only sort of claim that I remember that you have received is from Jinka .
Bahadur Dastoor: That is the one.
Aejas Lakhani : Okay. So you're saying INR 135 crores of reversal is pertaining to the -- portion that Jinka portion and the rest that they had given were for other orders?
Bahadur Dastoor: Yes. So till today, in the very first year, they gave somewhere about INR 90-odd crores. In the second year, it was INR 400-odd crores, and the company had to bear the first INR 300 crores.

So all in all, you can say, close to INR800 crores of indemnity items have been settled from the beginning till date. And out of this, INR 137 crores is a kind of double dip, which will have to be reimbursed back in this coming indemnity calculation.
Aejas Lakhani : Okay. And in this coming indemnity calculation, which I think sets forth of October or the likes, is there anything that has to be claimed from them? Or is this just the reversal of INR 135 crores is the number as of date?
Bahadur Dastoor: I already mentioned that as of right now, the number, on a gross basis, stands somewhere around INR220 crores. We have roughly INR 135 crores of reversal. The net is the amount that we presently stand as crystallized and claiming. The amount may go up depending on further crystallizations from now till September 30.
Aejas Lakhani : Got it. So is it fair to understand that you mentioned the INR 220 crores - so INR220 crores less INR135 crores. That's the difference that you'll be receiving from them?
Bahadur Dastoor: As of today.
Aejas Lakhani : Got it. Perfect. The other one is that in our international business, barring what you mentioned where BG has been tak en to 15% and you have implemented more vendors from a replacement standpoint as a part of the contracts, are there any other sort of cladding that you have done so that episodes from the past do not repeat themselves.
Amit Jain: No. Actually, enough safeguards have been taken, and we don't expect any repeat from the past. We have chosen a mix of the modules. So we are allowed to use for the multiple suppliers and the MS A's terms and conditions are also very, very tough. So it is not very easy to renege on those contracts.
So it's a preapproved mix of 3 module suppliers, all Tier 1 whom we can go to if somebody chooses to renege on. We have sufficient amount of bank guarantees from the module suppliers to cover ourselves and a ccess to the module capacity across the world are very, very stable. So even despite considering that, though there is no risk perceived based on market conditions, but enough care has been taken with respect to bank guarantees, preapproved list of module manufacturers. So that is in place to address the risk. And we have already finalized the MSAs for the contracts we have got. So there is no uncertainty remains on that particular front.
Aejas Lakhani : Okay. The other one was pertaining to Nigeria. So I think in your opening remarks, you mentioned that as the orders get closed, there's 6 months of time that you are budgeting for financial closure. So on this, I wanted to understand that, I think, you've stated earlier that there is a financial bank, which is involved, and you have a domestic partner. So it seems that all the constituents required are already in place. And so I'm trying to understand that the 6 months, which is quite a long duration, what is the reason for that from a financial closure standpoint?
Amit Jain: This project is funded by Exim Bank of U.S.A. And it's a -- and the U.S. government approvals, which are involved. So just because of the multiple agencies from the Nigerian government and

Exim Bank of U.S.A. is involved, we are projecting a conservative time line

of 6 months for the financial closure.
Roughly 9 months to close because we have a model in place, Sun Africa has recently closed one Exim Bank -funded project in Angola, and Sun Africa has taken 9 months to close that project. But since that was the first project, we expect that the time lines for the Nigeria project would be expedited, and we'll be able to close it within 6 months' peri od.
Aejas Lakhani : Perfect. That's helpful. And lastly, you mentioned that the Reliance execution of the p ilot order that you'll be doing in FY '25, they have multiple technologies at play. So -- and you mentioned that larger execution for Reliance will take place in '26. Is there any chance that since there are multiple technologies at play, Reliance may sort of just wait to see the full impact of how these technologies play out from a generation capacity , before they decide on their chosen method and that could delay the visibility of orders from Reliance?
Amit Jain: No. Actually, that's not what we said. We said the revenues in FY '26 will be significantly higher with the Reliance

orders. So we never said that they will come only in FY '26. Right now, we are working on a small project, which is the pilot project, whic h is they're testing, which is part of any growing organization and any forward-looking organization, they want to test and be on the forefront of evolving technologies. So we should not relate that to the rollout of the future projects.

The projects, the future rollout projects on mega projects in multiple geographies are in advanced state, and we expect some orders to close soon. But we'd not like to give a definite time line to that, but we never said that the orders will come only in F Y '26. We expect, like, orders to close soon, some of the mega projects or orders to close soon, but I will not give a time line to that.

Aejas Lakhani : Noted. And this will be for the Khavda, Reliance. The projects will come from Khavda?

Amit Jain: That, I will not say. We are talking for a few geographies with them. And finally, Reliance will take a call which geographies the roll out to start, and that includes Khavda as well.

Moderator: Next question is from the line of Alisha from Envision Capital.

Alisha: Two questions. One with respect to Reliance pilot, having finished executing the pilot project . So when in this year, are we expecting to complete it?

Amit Jain: We have started the execution and we expect it to complete within this financial year.

Alisha: Okay. Understood. And earlier, because of what you said historically, we were more cautious of taking export orders, and while we continue to do that, in the order inflow that we're expecting for this year or going forward, how should we see the mix of exports? Because we did win some in this quarter and we're talking of maybe bidding for a few more. So how can we -- how should one assume the order book split between domestic and international markets going forward?

Amit Jain: As we have regularly stated, that domestic order -- the domestic market is booming and our main -staying strong focus remains on the domestic market. So the mix of the order book will be

heavily tilted in favor of the domestic market, and we will work very cautiously and selectively in picking the international orders.

So that way, only domestic will dominate and the international orders will be picked only after a heavy due diligence, checking the margin profiles and whether they're matching or meeting all the criteria of our revised risk metrics. So that's how we'll pick up international projects.

Domestic market will continue to dominate and will constitute majority of the order book.

Alisha: From a resource and bandwidth perspective, is there an internal target that we will probably not let export go 10% or 15% of thresholds?

Amit Jain: Could you pl

ease repeat your question?

Alisha: I was saying that from an allocation of resources and bandwidth perspective, is there an internal target stating where we will not let, say, exports go say 10% or 15% of our order book?

Amit Jain: So yes, it's around 20% to 30%.

Alisha: 20%, 30% of order book will be international?

Amit Jain: Yes, can be 20% to 30%. Order book can be international.

Alisha: And all of this we are discussing is excluding Nigeria, because I understand that, that can skew to order book?

Amit Jain: Come again?

Alisha: I think this is all excluding Nigeria?

Amit Jain: Yes, yes. This is excluding Nigeria. Of course, this is excluding Nigeria.

Moderator: Next question is from the line of A ashish from InvesQ. .

Aashish: Yes, sir, a lot of comments that have come on the nonfund -based limits that we have. So just to understand it clear, you said that at any stage, approximately 50% of the project value is required to be under BG. Is that correct? And if so, around INR 8,000, INR9,000 crores would need, say, INR4,500 crores, INR 5,000 crores of limits on a rolling basis. Is that correct understanding? Or something wrong here?

Bahadur Dastoor: No, no. That is not what I said. The bank guarantees are 20% of the project value typically. In fact, in some of the larger PSU projects, the performance bank guarantee is even less than 5%.

The performance bank guarantee is what remains for a period of ro ughly, let's say, 3 years. The advance bank guarantee falls off once a majority of your supplies are completed, which is typically a year.

What you need are LC limits for 90 to 120 days for critical equipment supplies. That is a churn. So all in all, put together, I said it could be around 40% to 50% at the peak of any project. It does not mean that if I need INR 8,000 crores of turnover, I need to have 50% of the limit at all points

in time. It is a churn. Now just as today, we have certain limits which have been unfrozen and we expect more to get unfrozen, we are also in talks with other banks to get incorporated into our consortium, considering that we are looking at a much larger t urnover going forward.
Aashish: So sir, so you said that Q1, the reason was not any problem with the availability of nonfund-based limits, but mostly seasonal. So going ahead, as our turnover increases, how comfortable are we in terms of the current limits that are there to achieve tha t INR8,000, INR9,000 crores this year. And because rating upgrades will take its own time. So that's what I wanted to understand.
Bahadur Dastoor: So rating upgrade has taken its time to move out of a default rating, which, while it is recommended at 90 days, it did take 90 days to come out of it. Now it is up towards the management and discussions with rating agencies to move quickly to an investment grade. One can never say with absolute certainty that a rating upgrade w ill happen. But management is very, very confident that the rating upgrade should happen very, very shortly. Once that happens, even those banks, which are looking for investment grade to start working with us , should start working with us. So we remain confident that we will have the limits for achieving the turnover that we have projected for the year.
Aashish: Okay. And lastly, if I can conclude on this, basically, next year, our growth will be much more. So we would be needing more of this to be there. So how sure are we that we can go to that extent where we -- the turnover reach will be 50% growth over FY '25? Then how do we plan to? And are we comfortable enough to achieve that requirement?
Bahadur Dastoor: Yes, we have to be - because if you are talking of a Nigeria project, which is, let's say, $1.5 billion to $2 billion, you will require limits of roughly $800 million to $900 million, for which we will be in touch with certai

n senior banks, not only in India, but also outside India. There are various options which are available to the company, and we will work on getting those limits in place well in advance.
Aashish: Okay. Sure. Just a request...
Bahadur Dastoor: And you have to also keep in mind that the projects are negative working capital. So you end up receiving your monies earlier. So there is always a churn as far as limits are concerned.
Aashish: Right, right, right. So I don't know how we address this, but any communication on this part within the quarters, if it is possible, just to give us a...
Bahadur Dastoor: Any upgrade have to statutorily be communicated. So once that happens, it is part of the LODR. So once that happens, we will keep you posted.
Moderator: Next question is from the line of Darshil Pandya from Finterest Capital.
Darshil Pandya : Sir, what would be the interest cost for this year?
Bahadur Dastoor: The interest costs will be significantly lower than what it was in the previous year. It should be in the region of about INR 50 crores, INR 55 crores all in put together.

Darshil Pandya : Okay. And sir, can you comment on this deferred tax. Can you please throw some light up what measures also we are taking on to use this?
Bahadur Dastoor: Deferred tax was created in the past for losses, both business losses and unabsorbed depreciation. However, it was not created on all the losses. It was created up to a point in time and then management decided not to create any more. A lot of the deferred tax was utilized in the previous year. As of the June quarter, we have utilized about INR 10 crores. We still have another INR 30 crores of deferred tax, which will get utilized.
And that is why the effective rate of tax of the company has fallen because we have a tax shelter. Not the entire tax shelter has a deferred tax creat ed against it. There is only about INR 30 crores more, which would need to be provided. It is a noncash item. It is a reversal of an accounting entry, which was done in the past.
Darshil Pandya : Okay. All right. And sir, just a request from, I guess, the majority of the analysts and the shareholders. If you can put up announcements for any orders that you have received, sir, during the quarter. It's like we are getting an update only after a quart er. So might be helpful for many here who are understanding the company. It would be a good, I guess, choice to put up this when the company receives an order or something.
Amit Jain: Yes. Yes, we take that feedback positively. And in the future, going forward, we'll do that.
Moderator: Ladies and gentlemen, due to time constraints, that will be the last question. I'll now hand the conference over to Mr. Amit Jain for closing comments.
Amit Jain: Yes. I would like to thank everybody for joining the call. And I would like to make the closing remark that with the 2 back -to-back quarters , PAT -positive quarters , we remain upbeat about the growth prospects of the company. And I take this opportunity to reiterate our guidance, both on order book and revenues. We are positively going to meet both the guidance with respect to order book and revenue of INR 8,000 crores plus within this financial years.
With this, I would like to close the call. And you kindly get in touch with Sandeep Thomas Mathew or Strategic Growth

Advisors, our Investor Relation advisers. Thank you once again, and have a great day. Thank you.
Moderator: Thank you very much. On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Thank you.

Call: Oct 2024

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October 22, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Sub.: Investors Call Q2 FY 25- Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letters dated October 10, 2024 and October 15, 2024, please find enclosed the Transcript of the Investors Call held on Tuesday, October 15, 2024 at 09:00 A.M. on the Unaudited Standalone and Consolidated Financial results of the Company for the quarter and half year ended September 30, 2024.

The same is available on the Company's website at www.sterlingandwilsonre.com .

Request you to take the same on records.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer
Encl.: As above

"Sterling and Wilson Renewable Energy Limited
Q2 FY '2 5 Earnings Conference Call"
October 15, 202 4
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 15th October 2024 will prevail.

MANAGEMENT : MR. AMIT JAIN – GLOBAL CHIEF EXECUTIVE OFFICER
MR. SANDEEP THOMAS MATHEW – HEAD INVESTOR
RELATIONS

Moderator : Ladies and gentlemen, good day, and welcome to the Sterling and Wilson Renewable Energy Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that a re difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Thomas Mathew , Head Investor Relations for his opening remarks. Thank you, and over to you, sir.

Sandeep Thomas Mathew: Good morning, everyone. Welcome to our Q2 FY '25 earnings call. Along with me, I have Mr. Amit Jain our Global CEO; and SGA our Investor Relations Advisor. We will start the call with the key operational highlights for the quarter and industry outlook by Mr. Amit followed by the financial highlights, post which we will open the floor for Q&A.

Thank you, and over to you, Amit.

Amit Jain: Thanks, Sandeep, and a warm welcome to all the participants on this call. I would like to begin with a quick update on our business operations and outlook. We have continued to build on the strong ordering momentum of Q1 by announcing an additional INR 2,044 crores worth of new orders in Q2. Our total new order inflow this fiscal have touched INR 4,214 crores thus far, and are happy to report that we remain on track to meet our full year order inflow guidance of INR 8,000 crores.

Our unexecuted order value now stands at over INR 10,500 crores, and it is the highest in the company's history. While Q1 ordering activity saw a mix of international and domestic orders, all our orders in Q2 were from domestic market.

One of our key order wins this quarter was the LOI for 2 x 250-megawatt AC stand alone BESS plant at Rajasthan by JSW. This project till date is India's largest battery energy storage project and one of the very few projects of gigawatt -hour scale in single location globally, which shall be executed by 2025.

This project win is a significant development as over the last 12 to 18 months, there have been multiple tenders and bids of projects for either standalone storage or hybrid that is renewable plus storage in India, making it a very important step for us as a company. This win depicts our in-house capabilities and knowledge for energy storage system engineering and execution and places us with a large advantage in the fast -growing solar and storage market.

Additionally, the company has also been awarded a LOI for 20 -megawatt floating solar project at Vijaynagar from JSW, which marks the third such floating solar project the company is currently executing in the country.

We achieved a key breakthrough with Brookfield, one of the leading global renewable private IPPs in the country through the balance of system order for i ts 633 -megawatt DC project in Rajasthan, India. Scope of work includes engineering, design, testing and commissioning the PV plant, along with supply and works for a 220 kV switchyard.

Repeat orders are a testimony of a good EPC contractor, and we are happy to have ba gged repeat orders from ENGIE and AMPYR for their PV projects in Gujarat and Maharashtra respectively.

The latest order, which we received yesterday was a turnkey project by NTPC for a 250-megawatt AC or 312-megawatt DC project in Rajasthan. With this order, we continue to strengthen our relationship with one of the biggest renewable developers in the country.

In terms of execution, we anticipate a very strong pickup in execution in the second half, as we had indicated in the previous conference call. We have all building blocks in place to meet our revenue guidance of INR8,000 crores for the year. We have significantly strengthened our engineering , execution and support team in India to achieve significant ramp -up in execution in H2.

The recent INR 500 crores loan sanctioned by IREDA and the credit rating upgrade received last night, moving us to investment grade, will go a long way in helping us achieve our revenue guidance.

Our unexecuted order book currently stands at INR 10,549 crores with approximately 78% constituting domestic orders, while our international UOV pertains to two projects in Europe and two projects in South Africa.

We are continuing to see a very strong bid pipeline in place for India with over 23 gigawatts of projects likely to be awarded in the next 6 to 12 months. Apart from the typically strong PSU pipeline, we are also seeing a strong pipeline of private IPP project coming to the f ore.

In H1, 11 out of 12 projects that we have won have come from private sector. Our existing private customers have exciting growth plans, and we are confident of growing the order book with them in H2. Simultaneously, majority of the PSU bids will get finali zed in Q3 and Q4, which will lead to a much larger addressable market for us in H2 as compared to H1.

We continue to judiciously evaluate projects in India and overseas and are mindful of having to remain patient in order to target profitable orders.

Moving to the Nigeria project , we are still awaiting final order signing, which we are expecting to happen soon. Also, as I have mentioned in earlier calls, post order signing we expect project to take 6 months to achieve financial closure.

We would like to reiterate that lumpiness in order inflow is to be expected with EPC company like ours and time lines for achieving project closure could vary depending on a host of factors, including finalization of contractual terms, financial closure, etcetera.

Our O&M portfolio outlook remains strong and portfolio stands at 7.8 gigawatts as of September 2024. The benefit of a larger portfolio is expected to bear fruit in the coming quarters as our EPC pipeline will continue to feed a large portfolio of O&M projects over the next 12 to 18 months.

Now moving to industry outlook. India has been our single largest focus market for the past 3 years, and we have been constantly endeavouring to grab a larger pie of the market. We are continuously recalibrating our strategy as market evolves. From only pure play BOS, we have also taken a few turnkey projects strategically and looking to tap into new opportunities like BESS. With a strong balance sheet, we remain well positioned to tap into strong industry growth in both domestic and international markets.

With this, I will ask Sandeep to take you through consolidated financial highlights. Thank you very much.

Sandeep Thomas Mathew: Thank you, Amit. We are very happy to report a third consecutive quarter of positive EBITDA, PBT and PAT at a consol level in this quarter. Our operating revenue for Q2 FY '25 was INR1,131 crores. Revenue grew 36% year -on-year and 13% sequentially. Our top line for the quarter was largely driven by domestic EPC execution.

On the margin front, our consol reported gross margin was approximately 10% in this quarter. However, it is important to note that while our domestic margins was lower at 9%, approximately 10% of this domestic revenue that was booked in this quarter was cost equal to revenue in some projects, which were yet to achieve the POCM threshold. If you adjust for the same, the blended gross margin for the domestic segment turns out to roughly about 10.5%. As stated in the previous conference calls, we believe that our domestic gross margins will hover in the 10% range in this fiscal year.

Our O&M gross margin at 28% was higher than average due to lower expenditure that was incurred in Q2. However, we anticipate these margins to normalize due to post monsoon maintenance that is likely in the second half of this year. Recurring O&M margins are trending towards more steady -state margins of approximately 25% that we have guided to previously. On the overhead front, we do believe bulk of the optimizations we had planned have been incorporated and current levels are likely to sustain.

Reported Q2 EBITDA was INR 51 crores at a nearly 5% EBITDA margin in this quarter. Our PAT of INR9 crores, while significantly higher both on a year -on-year and sequential basis continues to remain impacted by a non -cash deferred tax asset charge in this quarter as was in the case both in Q4 FY '24 and Q1 FY '25 due to the standalone profitability.

We are very excited to report a key development that has happened overnight, which is our upgrade in the credit rating. Our long -term ratings have been upgraded one notch to investment grade or BBB- from BB+ by ACUITE Ratings yesterday. This is a positive development, which is expected to give a favourable push to our execution plans in the forthcoming quarters, as Amit had alluded to earlier.

Our order book continues to grow rapidly, and we have achieved one of the highest unexecuted order value in the company history at INR 10,549 crores. And this provides a higher revenue run rate visibility for forth coming quarters.
With anticipated easing of the liquidity challenges, we still hope to be able to meet our annual revenue guidance, which as we had guided in the last quarter conference call aided by a strong execution pace pick up in the second half of this fiscal year.
We plan to achieve this execution scale up through the new INR 500 crores loan facility that we had availed from IREDA, fresh sanctions and restoration of non-fund -based limits with the credit rating upgrade that happened last night, and also through negotiation for open credit with large key vendors.
Now coming to the balance sheet. Our gross borrowings have increased this quarter due to the new INR500 crores loan facility that we had availed from IREDA. Our non -fund -based limits were constrained in Q2 as we had to pay some of our vendors in shorter cycles to ease up limits.
With our long -term rating back to investment grade, we are confident of obtaining fresh non - fund limits to scale up execution, as I had earlier alluded to. Total net debt stands at roughly INR326 crores as of September '24.
On the indemnity proceeds, there are approximately INR 109 crores, which has been billed and it is largely expected to take care of debt repayments due in the second half of this fiscal year.
The company continues to remain cash out on approximately INR 800 crores of indemnity-backed legacy projects, which we believe will crystallize fully over the course of the next 24 to 36 months.
With this, we can now open the floor to questions and answers.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Puneet from HSBC.
Puneet: Congratulations on good order wins. Can you talk a bit about what really do you mean by the LOIs that you won on the BESS project? Are these firm orders? And what should be the quantum and scope of these?
Amit Jain: Yes. All the orders announced by us are firm orders, either we have signed a contract or firm LOA has been received. So all the orders have been placed and the order which you are referring to is 2x 250 megawatt AC / 1,000 megawatt hour

or 1 gigawatt hour plant in Rajasthan by JSW.
Puneet: And would you be...
Amit Jain: And it's a balance of system plant and batteries to be supplied by the client for this project.
Puneet: Okay. But you also mentioned that there is some turnkey project that you're now beginning to take as a part of your change in strategy...

Amit Jain: Yes, turnkey projects because as you have seen in some past quarters also that some of the projects we have taken, which include the supply of modules. So that's what we mean by the turnkey projects. Some of the projects, which are coming -- being floated by public sector units are including modules. And yesterday, the LOA we have received it is also including the supply of modules. And that's what we mean by that we are now accepting turnkey projects also as a change in strategy. So, we are selectively taking the project both on supply, including module supply as well.
Puneet: Right. And can you also talk a bit about what is the competitive intensity in this space?
Amit Jain: So as market is growing significantly, there is -- like market is exploding completely. And as market is growing, more new players are also entering into the market. So competitive intensity is going up, but we have been very careful in picking up the orde rs. So, as you have -- we have alluded in our speech that H2 alone, the domestic market size is 23 gigawatts.
So, market is growing, number of players is growing, competitive intensity is going up, but there is enough space in the market so that we can pick the orders within our defined risk metrics and our expected margins level.
Puneet: Understood. And can you also define the size for the first half of the year? What was the market size, for example, 23 is what you claim for second half? What was the first half? And what was your market share there?
Amit Jain: Market size was roughly close to -- our addressable market, where we chose to not bid for some of the projects, wherever we bid our success rate was approximately 46% and the complete market share of the addressable market was 27%, the orders which we had won. You can say roughly INR16,000 to INR 17,000 crores was the addressable market size.

Puneet: In the first half alone?
Amit Jain: Yes. Yes.
Moderator: Thank you. The next question is from the line of Rohit from Aditya Birla Sun Life.
Rohit : Sir, my first question is more to do with the non -fund -based limits. Earlier, I was under the impression that your non -fund-based limits is quite low, probably that will restrict your execution in the second half. But now as things are improving, as you said in your opening remarks, and you seem to be confident about achieving the guidance or retaining the guidance -- earlier guidance. I would like to understand what exactly has changed in those aspects, especially on the non -fund -based limits. What are we -- at what position we are? And what does this rating upgrade imply? If you could throw more color on it ?
Sandeep Thomas Mathew : Sure. So, Rohit, see one thing that you have to understand is we have already been doing with the current limits about INR 1,000 crores run rate on top line . Over and above this, we have now got a fund-based facility for INR 500 crores from IREDA, which came in pretty much at the end of September. So that also gives us now further ammunition.

Now obviously, with the credit rating upgrade, we believe that some of the limits that were earlier frozen and also for fresh limits now that we move to investment grade, we will see a significant interest from banks, and we should be able to execute at th e run rate that is required to meet the execution guidance that we have given for the rest of the year.
So that will be a gradual pickup, but we

anticipate that things will begin to move very quickly. And the loan that we had also taken in place was a backup plan in case the rating upgrade which
happened overnight got delayed like it has had in the past. So that is what has effectively
changed. And we will also be relying on open credit to facilitate faster execution. And those are essentially the 3 things that will work for us going forward to be able to execute at a much higher pace than what we are doing currently.
Rohit: So I really appreciate these remarks. But just to help me understand the calculation. If I use INR10 billion non -fund -based limits, plus this INR 5 billion from IREDA. That is I get a limit
of -- I mean total funds, this exposure is INR 15 billion, which I churn at 4 times a year, INR 60 billion is the COGS and INR 66 billion is the revenue. Is that the working? And maybe with this credit rating upgrade and maybe some limits that gets unfrozen, eventually, it could move to that run rate of INR80 billion. That's the way it works like?
Sandeep Thomas Mathew: Over and above this, there will also be open credit Rohit, like I alluded to. So that will also come in to the picture. And this INR 1,000 crores that you're talking about, those numbers also will move up with the credit rating upgrade that has happened.
Amit Jain: So, on top of that, I would like to add that some of our key suppliers, key components, including the module supplier, tracker supplier and some of the most reputed cable supplies in the country are looking at our improving balance sheet and the order book ha ve agreed to offer us very good attractive open credit terms, which will help us significantly ramping up the revenues in next 2 quarters.
Rohit: Got it, sir. My second question is more to do with this credit rating upgrade only because we earlier also have had this credit rating upgrade. But the moment this consortium of bankers come on to the table, discuss and get things approved for you, what could be the time line that is from
this upgrade to that limit being unfrozen? What is that time frame?
Sandeep Thomas Mathew: So, Rohit, I mean, see, we have already been talking to banks. The process has been an ongoing one. But anywhere in the next 30 to 45 days, I think we should be having most of the incremental facilities that we're talking about in place. And like I mentioned, this is not a -- it happened yesterday last night, and then therefore, we are now going to start initiating.
There is already been a continuous dialogue with the banks . They are aware of the developments that are happening, the requirements that we need in terms of non-fund -based limits, etcetera.
And we found that most of our bankers have been extremely supportive of our case as well. So, we should start seeing things beginning to pick up very soon on that front.
Rohit: Got it. And my final question will be this Nigeria order is a big order. Would it entail any of your parting of this non-fund -based limits to that particular order because it's a big order and

they may also release some guarantees? I mean, advances to you and you may possibly require to submit some -- furnish some guarantees?
Sandeep Thomas Mathew: No, no. Not necessarily. There will be separate facilities because this will be done by our US subsidiary, as you may be aware.

Moderator: The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.
Aejas Lakhani : So, Amit and Sandeep, I wanted to understand if you could lay out the execution pipeline to whatever extent is possible because effectively till now, we were constrained with limits, which have now opened up. Order book was always good and enhancing, which ha s further got better. So could you please outline and nuance the exact execution details that you are going to entail over the next 6 months?
Amit

Jain: So, as we have guided that revenues for this year were going to be INR 8,000 crores. So, we have already achieved more than INR 2,000 crores in first 2 quarters, and that revenue guidance for the H2 remains INR 6,000 crores. So we'll execute the projects to achieve the guided revenue.
Now all the credit facilities and the rating upgrade has taken place, which will help us to achieve the desired revenue rate, which is required to meet the revenue guidance. Already, the execution teams and engineering teams are in place completely to hand le this volume of the projects. So, this INR6,000 crores is the quantum, which we'll be achieving in next 2 quarters.
Aejas Lakhani : Okay. Amit, could you nuance that with where are clients in that journey? Where are we? Have the procurement orders been placed? Which are the key strategies …
Amit Jain: So, most of the clients as of now are either in Gujarat or Rajasthan. And there are 4 international projects, two of them are going in Spain and two of them in South Africa. The Spain project is also -- both -- all the international projects are also moved ahead, except the one which we got recently for which we got LNTP a couple of weeks back.
So all the three projects are taking off. The orders and engineering has been finalized and the goods have been, like we have started shipping equipment to the sites. In India, the 4 gigawatt of portfolio we are executing in Khavda. So all the projects are in advanced stage, and we are expecting or we are targeting to commission all the projects in Khavda before the next monsoon.
The other projects for most of the private IPP players are in Rajasthan, which most of the -- quite a bit of portfolio is targeted to be commissioned before March. So that's how we plan to execute our entire portfolio and achieve the turnover of revenue of INR 8,000 crores before the financial year. And we have over INR 2,000 crores of open credit from the large vendors in addition to the credit facility and the rating upgrade, which has happened. So all this put together will help us in achieving the revenue guidance.
Aejas Lakhani : That's very helpful. Amit, could you also just sort of nuance the fact that out of the INR 6,000 crores of orders that you are likely to do, if it is possible, could you nuance that how much is likely to come from the private sector because that has a certainty of a deadline because, let's say, for any reason, Khavda and PSU could be delayed? Or is there scope for delay because, say,

evacuation sites are not ready or any such event because of which the revenue could spill over even further. So I'm trying to really understand that how tight is that...
Amit Jain: I would like to give you an exact clarification on that. Either the private or like as far as the PSU projects are concerned, even evacuation doesn't impact revenue guidance. So all the projects in Khavda are in advanced stage, the modules were to be suppl ied by NTPC. NTPC has now finalized all the orders and supplying modules to us.
So, on Khavda, either by NTPC or GIPCL, I don't see any concern there as far as the revenue part is concerned. So we'll be supplying our total part and completing the construction of the project. We are more than 95% - 97% of the revenue line. So on all the PSU projects, we'll be achieving revenue and I don't see any delay anywhere.
And similarly, on the private part also, we are not foreseeing any delay. So as far as the delay, either on account of evacuation or supply of materials, there is nt any concern on that front, and we are very confident of achieving those revenues. So we have carefully gone through all the project status, what can be constrained. And after considering all those factors only, we have given this guidance.
Aejas Lakhani : Okay. I take that. Sandeep, my next question is, could you c

larify the adjustment that you made or where you stated that on an adjusted basis, the gross margins would be 10.5%. Could you explain that again, please?
Sandeep Thomas Mathew: Yes. So, Aejas, if you had noticed our total revenue for this particular quarter in the domestic segment, right, EPC segment was INR 900-odd crores to which about roughly about INR 90 crores of revenue was cost equal to revenue because it had not -- because those projects, we are yet to recognize margin on those because they have not reached the threshold. So till they reach the revenue recognition threshold, we do it on a cost equals revenue basis. So in forthcoming quarters, you will see the margins on those projects come in and effectively your overall gross margins in the domestic segment normalize.

Aejas Lakhani : Got it. Lastly, could you just tell me if it is possible to disclose that how much of the non-fund - based limits have actually got released? And how many were locked on account of the credit rating upgrade which just came through?
Sandeep Thomas Mathew: So no . So, the credit rating upgrade has just happened last night, Aejas. So, give us some time. I mean, I think we'll be able to probably in the next quarter, give you a better clarity on what are the incremental limits that we have got in place. Like we had mentioned earlier, we have total limits of roughly about INR 4,000 crores that we have -- we have total limits of around INR 6,000 crores and roughly INR4,000, which was utilized. And we are working towards essentially freeing up further limits and also working on new limits. Almost, in fact, we're looking to double our existing LC limits that are available currently at this point.
Aejas Lakhani : Noted. Sandeep, the credit rating disclosure which you put out said that the total quantum was INR7,350 crores and you mentioned INR 6,000 crores. So could you explain me the difference?
Sandeep Thomas Mathew: So, this includes unallocated limits for the new banks.

Aejas Lakhani : Okay. So what you're saying is you were operating with about INR 4,000 crores of limits, INR6,000 is just -- I mean, INR 2,000 incrementally is just a release once the upgrade happened plus newer limits that you had -- you were trying to get?
Sandeep Thomas Mathew: Correct.
Aejas Lakhani : Okay. And how quickly do you foresee the limit enhancements by banks? Is it again going to probably take 1 month - 1.5 months?
Sandeep Thomas Mathew: So, see, some of the proposals have already received in principal approval. So, like I had indicated, we should, in the next month or so, be able to start utilizing some of them. We already have some additional limits in place for our international projects as well. So, they are already in play. And as we go along this particular quarter, I think by the end of this quarter, we will be able to give you a much better clarity on where we stand on the fresh limits that we have availed.
Aejas Lakhani : Perfect. Sandeep, just lastly, could you share that given that there was a constraint on limits, was that limiting our ability to participate for incremental order book?
Amit Jain: No, that was never a constraint for us because we were able to provide all the bank guarantees, which are required for public sector units. So that was never a constraint with us. So we have participated in the bids, which we chose are -- fits our target p ipeline.
Aejas Lakhani : Got it. All the best to the team for an execution in the second half.
Moderator: The next question is from the line of Deepak Purswani from Svan Investments. Please go ahead.
Deepak Purswani: Yes. Sir, just wanted to get the sense if you can throw some light in terms of the progress on the Reliance and how the things have been crystallized so far on that order front?
Amit Jain: So, as I discussed in my last earnings call that we ar

e working on pilot project for Reliance in which they are testing multiple technologies and multiple combinations, and we expect to complete that project in this quarter. And bigger rollout will take place after that. So, Reliance as it's in public domain is planning a huge rollout and it is expected to roll out either in the last quarter or next quarter. So as and when it gets finalized, we'll let you know. And teams are in discussion on the rollout for that particular big project.
Deepak Purswani: Okay. And secondly, sir, given the fact that there has been -- and in terms of the sector as a whole, there has been a sharp revival and there has been huge opportunities opening up. Just wanted to understand from the employee retention program at our end. I mean, how we are seeing it at the current juncture because that is something, which we are seeing across the sector that is a challenge which is faced by all the companies. So, what are our initiatives to retain the talent?
Amit Jain: So, we always have been like, I think, good at retaining our teams that the company is like one of the pioneers in this sector, and we have a very strong team. But what we have done is we have developed for the rollout multiple divisions, like there are separ ate team to execute, like in India, we have two particular teams led by two leaders to handle PSU front. We have developed two

teams, which handled the IPP fronts led by all senior leaders under the leadership of Mr. C.K. Thakur and we have added 1 team to handle the Reliance rollou t.
So, we have, in parallel, five execution teams, which are handling and they have been reinforced significantly. So -- and they are being backed up by one of the strongest engineering teams in the country. So, on that front, we are sufficiently well staffed, and we can address the growing market completely. And if we feel need, the teams can be ramped up. So there are multiple

fronts. So, we are taking care of employee in annual appraisals. There are retention plans like ESOPs. So, all possible measures, wh ich are there are being taken to retain and motivate the teams.

Deepak Purswani: Okay. And sir, also, since we have given the clarity for the FY '25 and we've also seen an improvement in the credit rating and opening above the credit time which will lead to an improvement in the execution for FY '25. But looking at the sector and oppor tunities of tailwinds and execution, how should we look into the FY '26 at the current juncture for the Sterling & Wilson ?

Amit Jain: So, see, we expect to open FY26 after achieving INR 8,000 crores of order book this year and achieving the revenue. So you can expect that we'll be opening with order book also close to INR8,000 to INR 10,000 crores and similar amount of order booking in that particular year . So as on conservative side, excluding Reliance and Nigeria, we can still grow at 15% to 20% CAGR annually on a very, very conservative basis.

Deepak Purswani: Okay. And sir, just a final question. If you just can also give some -- just wanted to seek some clarification on the recent sale of shares by the promoter especially in the contract , this year we do not have an indemnity clause liability from the promoter. If you can give some clarification on that part, that would be really helpful.

Amit Jain: So, as you must have read in papers, our most active promoter, Mr. Khurshed Daruvala has reiterated his position, that he's going to continue and is a long-term investor in the company, and he's going to be there. And there is no plan of any further sale of shares by him. So, for all other promoters I will not be in a position to comment. But as -- because Mr. Daruvala has stated publicly and this article has been published in all the major newspapers across the country that he is going to be there, and he's reaffirm

ed his com mitment to be the long -term player in the company.

Moderator: The next question is from the line of Gautam Gosar from Monarch AIF.

Gautam Gosar: So, my question is basically on execution. So, since majority of our order book is domestic, I basically wanted to understand how is the progress going on in the Khavda region as well as in the GIPCL ? So majorly, we won these orders 1 or 2 years back, and these orders are of big size of around INR 5,500 crores plus INR1,100 crores. So, if you could highlight how the execution has been going on? How much is executed and what is the expectation for the year? It would be really helpful.

Amit Jain: Yes. So as far as the Khavda portfolio is concerned, we are well on track to deliver as per the contractual time lines to the client. There have been like initially some delays in the supply of

modules. Projects are on track. And as I discussed earlier in the call that we expect to complete Khavda -- majority of the Khavda portfolio in this fiscal year. And before the monsoon, the entire construction of the entire Khavda portfolio will be complet ed. So that's where we stand. In addition to that, the other portfolio, majority of the IPP portfolio -- private IPP portfolio, which is in Rajasthan, will also be delivered before March so that we can achieve a revenue of INR8,000 crores in this fiscal. So all the projects execution plan has been put in place. All the engineering is complete, orders on the suppliers have been placed. So we are well positioned. All the teams have been mobilized to the project site. So, we are very, very well positioned to execute all the projects as per committed time lines and to achieve the revenue of INR 8,000 crores this fiscal.

Gautam Gosar: Okay. And sir, are there any orders in the order book, which are yet to start the execution?

Amit Jain: Yes, we received one order last night. Yesterday, o ne order was received from NTPC. So just LOA has been received. That will be started now. But as soon as we get the orders, the engineering and ordering on that orders start immediately . That's what our strength is that we are very, very nimble on execution. So before even -- once we feel that we are in the final stages of getting an award, the teams start working on the order.

And as soon as we get the orders, engineering and procurement actions start taking place on an immediate basis. So there is no other order except which was received yesterday. So we are progressing well as per the schedule on all the projects or orders backed by us.

Moderator: The next question is from the line of Bhavik Shah from MK Ventures. Please go ahead.

Bhavik Shah: The first question is on the Nigeria project. Like are we seeing any challenges there? Is there any chance of the Nigeria project not going through? Or like is it just delayed due to the bureaucracy?

Amit Jain: No. Actually, we are -- like Nigeria project is on track, and it is definitely coming. So there is no question of cancellation of Nigerian order. Just to give a background, Sun Africa, our partner, on this model, they have already signed 2 projects in Angola and last week they have -- this week, they're going to sign one very big order in Serbia.

So there were some -- like as you know, there are some particular domestic situation in Nigeria on the political front, which ha s got like -- we were expecting it to sign it last month, but somehow it has got delayed but we are expecting it to get concluded very, very soon.
The negotiation has been completed with NDPHC, and their new Board also has approved the project. So, there is no uncertainty about the project. Project has big support from the U.S.
government as a part of their various renewable energy and support Africa initiative. So there is no uncertainty about the project, and we are expecting to happe

n it very, ve ry soon.
Bhavik Shah: Got it, sir. And this was the final tranche of indemnity right? No further amount is expected?

Amit Jain: No, no. Indemnity tranches, I think Sandeep will share more details, but they will materialize from next 24 to 36 months. As and when the funds will get crystallized every year, the promoters will pay as per the crystallized amounts.
Bhavik Shah: Okay. So, what is the amount you can expect over the next, say, 12 months approximately?
Amit Jain: I think I will pass it on to Sandeep to share that exact figure.
Sandeep Thomas Mathew: Bhavik so right now, what we have indicated is that INR 109 crores has been billed as of September 30, which will be received by 30th of November . So that is the amount that is going to be received by us in this particular quarter. Now over and above this, there are multiple cases, which are essentially in various stages of settlement. Some of them we are trying to look and settle with the client.
In those cases, we will be able to achieve faster closure in which case, we will either receive the amounts from the client directly or like we have always indicated in the past, the promoters are finally just backstopping it. So if it's not from the client and the settlement happens, then the promoters will come in and backstop.
Now if we take the legal route, however, and go through the arbitration process, those tend to be slightly more time consuming. And that is why we have said that for full crystallization of the INR800-odd crores, which are still money that we are currently cash out, it could take a period of 24 to 36 months for full realization of the amount. It's very difficult to put a number at this point on what will exactly materialize -- crystallize in the next 12 months apart from what has already been billed to the promoters.
Bhavik Shah: Got it. And sir, what is the interest rate on the loan we have taken from IREDA?
Sandeep Thomas Mathew: About 11.6%.
Bhavik Shah: 11.6%. And sir, last question, so on the -- how are our margins on the RIL pilot project? What kind of gross margins do we have there?
Amit Jain: So margins are the same as we are like the project of similar nature in the market. So our margin on Reliance also are aligned with the margins of similar projects in the open market.
Bhavik Shah: Okay. And sir, say for FY '26, do we expect our gross margins to improve from the current levels?
Amit Jain: Yes, we do expect to improve because overhead is practically we have stabilized overhead, and we are continuously working to improve the overhead numbers but revenues will go up significantly. And rather, I would say, not even the next quarter onwards, revenues will be ramped up significantly. And you w ill see better like the gross margins will remain same but EBITDA numbers will improve significantly going forward in all the quarters.
Sandeep Thomas Mathew: Bhavik, just to add, I think on the domestic projects, we have already indicated that we will be targeting the 10% to 11% gross margin range. And we have our O&M projects where we have

said that the target steady state margins around 25%. So those are numbers that we have already indicated to you. That's where the gross margin number will be.
I think on an EBITDA margin front, since overheads are likely to remain the same, once you have higher revenue, there will be operational leverage that could kick in. And your EBITDA margin, therefore, may impro ve significantly. That is what has to be noted as we go ahead.
Bhavik Shah: Yes. So, one question, 7.8 gigawatt of O&M portfolio, can be ramped up to what gigawatt in say FY '26?
Amit Jain: So roughly more than 8 gigawatts of projects under execution. And if we say like in FY '26, major

ity of them will be commissioned. And in addition to -- on top of that, there will be third - party orders. So, all that will be added to our O&M portfolio.
Moderator: The next question is from the line of Mayank Chaturvedi from HSBC Mutual Funds.

Mayank Chaturvedi: Sir, just on this strategy change now that we're going for more turnkey projects, although it is largely from PSUs. And I understand that the prices for the modules in the Indian context, pretty much stabilized post this ALMM rollout that has happened. But how are you thinking about a possible price decline that might happen with the capacities that are coming up? And how are we protected in the turnkey orders that we are taking up from these PSUs because we have already suffer ed before, so I'm assuming that …

Amit Jain: So, there is one major change in strategy . Because earlier, the modules for the turnkey projects we are taking, we were procuring in international markets from China. Now we are buying all the modules from Tier 1 Indian suppliers. So the contracts are very, very strong with Indian suppliers, and they are en forceable.

Second, our relationship in the market is strong. And we are firming up the -- our orders with the module suppliers immediately, very, very soon after we are receiving our contract. So we are not taking any risk there. So, we are back -to-back protected. So as soon as we get our contracts, we are -- on that basis at those price levels prevailing in the market based on our -- on which we have submitted our bids, we are finalizing our orders.

So, there is no speculation there, and we are not exposed to any risk. And even either the rise or fall in the module prices does not impact our business models because bids are submitted on prevailing module prices in the market.

Mayank Chaturvedi: Okay. And these turnkey projects are only restricted to PSUs? Or are we also extending that...

Amit Jain: Right now, the market model in India is such that they are coming -- being floated by PSUs only. So far, no IPPs are not coming out with -- they're not asking for module supply from EPC. But if they come out with that, we can strategically at that point of time, we can take a call. But as of now, it is restricted to PSUs only.

Mayank Chaturvedi: Okay. Great, sir. And sir, just the second question on the Nigerian order since the U.S. entity is involved pretty much. And so do you expect that the signing of the order could be delayed post the elections of the U.S.A. and not much further?

Amit Jain: There is no possibility of risk of election s. So we have met senior EXIM Bank officials, senior other U.S. officials in this regard. U.S. Congress has committed funds of $120 billion for the EXIM Bank to support renewable energy projects in Africa . So this is kind of credit for the -- related to energy projects, which is available to U.S. EXIM Bank. The Congress has that support. The projects have been mandated to EXIM Bank. So we don't see any impact on the projects even post elections because it's the amount , which have been already being sanctioned by the Congress.

Moderator: The next question is from the line of Karan Sanwal from Niveshaay. Please go ahead.

Karan Sanwal: We have two questions, like any major reason for increase in other expenses and other income this quarter?

Amit Jain: So other -- there is one agreement with the SP Group that we have a particular gross charge to them, which has been charged in this particular quarter and that has led to extra income. And I think further clarifications can be given by Sandeep on that.

Sandeep Thomas Mathew: Yes. So, the onetime nonrecurring income that you have seen in the P&L that was uploaded in the investor presentation is the amount that Amit just alluded to.

Karan Sanwal: Okay. And also, if the interest cost, if you could

guide how could it shape for the full year like we are obviously ramping up the execution. So, we've been taking more non -fund -based limit or maybe more working capital limit. So, if you could guide what was the full year interest cost for us?

Sandeep Thomas Mathew: Okay. So, see, I had already mentioned that for the INR 500 crores facility that we have availed, the interest cost is 11.6% . Now over and above that, we have roughly about INR 380-odd crores of -- INR350-odd crores of term loans. Now part of these will be repaid with the indemnity proceeds that we will be expecting this quarter. So, an amount of the tune of almost INR 109 crores is what that amount will be. And yes, so this is what at least fund -based facilities are there at the moment. And roughly around 10% to 11% is what will be the number on the interest cost for that.

Moderator: The next question is from the line of Aashish from InvesQ PMS.

Aashish: Sir, just to clarify, there was quite some discussion on this bank guarantees limitations that we had. So, till now, the reason why we are stuck at INR 1,000 crores odd was that we had that much of limits available. Is that the right way to look at it? Or there were certain other things also which constrained us from achieving our target for the last 2 quarters?

Sandeep Thomas Mathew: No. So see, I mean, execution has been progressing as per plan. You should recall that Q2 is a seasonally weaker quarter as well because of the monsoons. And just like Amit had earlier mentioned, that bulk of our execution currently happens in Khavda, right . So we were expecting

-- and we had also guided in the earlier calls that, that execution will be second half heavy, which is what we are anticipating at the moment.
Thankfully, we do have now the ratings upgrade in place as well, which will ease up limits for us going forward and make execution and elongate credit cycles to some extent as well. So that is another thing that will happen and help our execution apart from the availability of limits open credit from vendors, etcetera, which we have already worked upon.
So, from -- at the start of the year itself, we had guided that it will be second half heavy, which is the case that is likely to happen with execution. And like Amit said, we are on -- pretty much on track for that.
Aashish: So, given we have achieved around a couple of thousand crores on the top line in H1, you're saying that maybe INR 2,000 crores in Q3 and INR 4,000 crores in Q4, something like that would happen in the next 2 quarters ? and that's pretty heavy to -- basically for us to understand. So you're okay with those kind of numbers you mentioned, right?
Amit Jain: No. We will not guide you to those numbers. Q3 will be much, much -- significantly better than Q2 and Q4 will be our best quarter. Beyond that we will not because all the projects will be executed as per their execution plan and the commitments made to the client. So we will not like to delay anything. So, but Q3 will be a strong quarter and Q4 will be our best quarter. Beyond that, I will not like to guide you on particular numbers for any quarter. But the final guidance for the revenue remains intact.
Aashish: Okay. One more thing on the notes to accounts and auditors' remarks INR 2,800 crores number that is there in some subsidiary. Just some clarity on that would help. What is it regarding? What is the note regarding?
Sandeep Thomas Mathew: Could you clarify what was the note number, please?
Aashish: Note number I'll have to check, but there's an amount of INR 2,811 crores in -- put in some subsidiary and there's some remark around that, both in your notes and your -- in terms of matter by the auditor. Some clarification would help. So that's what it is, the number is recent.
Sandeep Thomas Mathew: This would be, I think, in the

standalone that you are referring to, right, not on the consol? This is the loan to FZCO, which is a subsidiary INR 2,800 crores.
Aashish: Sorry, subsidiary this?
Amit Jain: FZCO, Sterling and Wilson Free Zone Company, which is our entity in UAE.
Aashish: Okay. So -- okay. So, it's normal business funding from the parent to the subsidiary for carrying on the business, is it?
Sandeep Thomas Mathew: Correct.

Aashish: Okay. Fine. Yes. And sir, anything to put remarks on the CFO exit that happened and the promoter selling and you have clarified on the promoter’s thing, but -- what's it regarding with the CFO exit in this quarter?
Amit Jain: I think our CFO, Mr. Bahadur Dastoor, has been a very valuable and long-term associate with the company. He has contributed in all the aspects of the functioning. But it's a part of, I think, one's personal aspiration, personal reasons and career growth, I think, which he has taken. He has cited a personal reason for moving ahead in his personal and professional journey.
So that would like to say that he has spent quite a long time with our company. And I think as a part of his personal plan, he has chosen to move ahead and company highly appreciates and value his contribution to the company.
Aashish: Okay. And the replacement for him right now, are we looking for outsiders? Or we have some plans in place from that?
Amit Jain: Yes. So , we are like working on -- we are working on mandate and looking for candidate from outside though a very strong internal team is in place, but CFO, we are looking from outside, and shortlisting will be completed fairly soon, and CFO will be resuming in co ming months.
Moderator: The next question is from the line of Shubham Shete from Jefferies Group. Please go ahead.
Shubham Shete: Yes. So, my first question is on margins. Pardon me if this question has been taken before. So, I just want to get a sense like what sort of margin profile that we have for domestic versus international EPC similar for O&M business?
Amit Jain: Our gross margins for domestic remains between 10% to 11%, and similar margin profile is there for international projects.
Shubham Shete: And what sort of EBITDA.

Amit Jain: On O&M margin is around 25%.
Shubham Shete: Okay. On blended, we can expect like 11% to 12% on the overall?
Amit Jain: You can expect 10% to 11% gross margins.
Shubham Shete: Okay. At EBITDA level, what can we expect?
Amit Jain: EBITDA level, I think our -- we are considerably improving our overhead numbers. And EBITDA will depend on that. So, we can expect between 7% to 8% EBITDA number going forward because heavy rationalization on overheads are going on. And we'll come back with exact numbers when the heavy revenue quarters will be there in the next 2 quarters. We'll come back with revised estimates on EBITDA numbers from next quarter.
Shubham Shete: Okay. Can we expect this 7% to...?

Sandeep Thomas Mathew: Just to clarify, so we've already indicated that overheads have -- most of the rationalizations in overheads have been completed . So, like Amit just mentioned, gross margins are 10% to 11% in domestic and similar for our international EPC business. For O&M it's 25%. Now overheads, what you have seen in Q1 and Q2 on a blended basis, I think, similar numbers are likely to continue heading back into the second half.
So, depending upon, obviously, what your top line is, there will be, like I mentioned earlier as well, that operational leverage kick in. And therefore, given that your overheads are likely to remain at a similar level, higher revenues will lead to higher EBI TDA margin as such .
Shubham Shete: So, to what level can this be upshift at?
Sandeep Thomas Mathew: Sorry?
Shubham

Shete: So, to what level can this margin can be pushed to, say, the north of 12%, 13%?
Sandeep Thomas Mathew: No, no. Gross margins, 10% to 11%. That is what we have indicated. So obviously, EBITDA will be lower than that, right, given that you have overheads as well.
Shubham Shete: Okay. And you see sustainability of this EBITDA margins at the level of 7% to 8% ?
Sandeep Thomas Mathew: So, once we reach a steady state in terms of execution, yes, you can expect EBITDA margins to stabilize at those levels. So, depending on top line.
Shubham Shete: Okay. So just a question, like why is this like a bit lower than what is there for the other peers, which are listed, like say, if I take an example of Waaree Renewables, they have a bit greater margins on EBITDA?
Amit Jain: So, I would like to clarify something here because we have our own addressable market, and there are projects, which are open in the market come with land and the ROW acquisition risk. We are not including that in our addressable market, and we are not execut ing such projects because we see a great risk associated with that. So, so far, we have not picked up those projects, and they are not part of our order pipeline.
Typically, the EPC players, which are taking projects with land and another associated ROW risk, they get usually higher margin, but it can lead to substantial losses as well. So as a part of risk mitigation practices or our risk metrics, we are not accept ing or taking those projects. So
our margins are normal EPC margin based on either BOS or turnkey projects, excluding land. So that's where they are. And we are choosing our projects very selectively. So I think we are
operating at best-in-class margins in the industry.
Shubham Shete: Sure. So , Amit, do you have any hybrid project in your portfolio, solar...
Amit Jain: As of now, no, but we are working on standalone BESS projects, but we are working on multiple hybrid projects in India and abroad foreign markets, international markets, which will
materialize soon. But as of now, we are on working on the largest standalone BESS project in India.

Shubham Shete: And would that give any further expansion to your margins?
Amit Jain: That depends on how the market grows. And usually, the margin level are still 10% to 11% in EPC space, but we'll see how the market evolves. But as of now, the gross margins will remain 10% to 11%.
Shubham Shete: Okay. Just one last question on battery storage business. Like, how is it going? And any plans on ramping up?
Amit Jain: So, market is growing. We have seen multiple bids in the last few quarters, and it is going to ramp up. As you see on IPP side, also the SECI and all the NTPC, everybody is coming out with bids for BESS, standalone BESS or hybrid. So, we see that market growing considerably, and it will form a good part of our portfolio in coming quarters.

Shubham Shete: Okay. So, what percentage of revenue can it be by FY '27?
Amit Jain: So, in that -- on that particular part, I will not be able to give you any specific number or revenue guidance particular to that. That depends on how many projects are floated and what is our hit rate for those particular projects. So, I think as the market evolves next in a quarter or 2, we'll give you a better guidance for those particular numbers related to BESS projects.
Shubham Shete: Okay. And we can expect the similar kind of margins for this business.
Amit Jain: Yes, sure. You can expect either similar or better margins for those projects.
Moderator: The last question is from the line of Deepak Rao from Qber Asset Advisor. Please go ahead.
Deepak Rao: Just wanted to get some light on the line item related to exchange differences translating in the financial statements. That seems to be there at every quarter and as a percentage of profit and revenue

, it is high. So, can you throw some light on what it is? Are you controlling it or you having hedging strategies, etcetera?
Sandeep Thomas Mathew: No. So these primarily relate to the projects in the international subsidiaries and effectively, the forex differences that arise on account of those projects. There isn't necessarily any requirement as such to hedge these. But yes, the forex differences translation that you're seeing is essentially on account of the branches and subsidiaries that we have in our international business and the projects that they are executing .
Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Amit Jain for closing comments.
Amit Jain: I would like to thank everybody for joining the call. For any further information, kindly get in touch with Mr. Sandeep Thomas Mathew or Strategic Growth Advisors, our Investor Relation Advisors. Thank you once again, and have a great day. Thank you.
Moderator: On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

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January 22, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Sub.: Investors Call Q3 FY 25- Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/ Madam,

In continuation to our letters dated January 13, 2025 and January 17, 2025, please find enclosed the Transcript of the Investors Call held on Friday, January 17, 2025 at 10:00 A.M. on the Unaudited Standalone and Consolidated Financial results of the Company for the quarter and nine months ended December 31, 2024.

The same is available on the Company's website at www.sterlingandwilsonre.com .

Request you to take the same on records.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer
Encl.: As above

"Sterling and Wilson Renewable Energy Limited
Q3 FY '25 Earnings Conference Call "
January 17, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 17th January 2025 will prevail.

MANAGEMENT : MR. CHANDRA THAKUR – GLOBAL CHIEF EXECUTIVE
OFFICER DESIGNATE
MR. SANDEEP MATHEW – INTERIM CHIEF FINANCIAL
OFFICER

Moderator : Ladies and gentlemen, good morning, and welcome to the Sterling and Wilson Renewable Energy Limited Q3 FY '25 Earnings Conference Call. This conference call may contain forward - looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance, and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Thomas Mathew , Interim Chief Financial Officer. Thank you, and over to you, sir.

Sandeep Mathew: Yes. Good morning, everyone, and welcome to our Q3 FY '25 earnings call. It gives me great pleasure today to introduce our new Global CEO, Mr. Chandra Kishore Thakur , or CKT as the team fondly calls him. Mr. Thakur has been with Sterling and Wilson for over 7 years and is an industry veteran who has held leadership roles within NTPC, Lanco and Punj Lloyd previously.

At SWREL, he was previously the CEO of Asia, Africa, Europe and Latin America, and a key architect of the India scale up. We al so have with us today, SGA, who are our IR partners.

We will start today's call with the key operational highlights for the quarter and industry outlook by Mr. Thakur, followed by the financial highlights, post which, we will open the floor for Q&A.

Thank you, and over to you, CK T.

Chandra Thakur: Thanks, Sandeep. A warm welcome to all the participants on this call. Let me begin with a quick update on our business operations and outlook.

Beginning with our order book. We have continued to build on the strong ordering momentum in the domestic market and won 2 new orders in the third quarter amounting to INR 1,465 crores.

We won a 400 -megawatt DC project in Rajasthan from Aditya Birla Renewables who have worked with us in the past. We hope to be able to partner with them in their ambitious PAN-India projects in future as well.

We also received a second letter of award from GIP CL for a 625 -megawatt DC BOS project in Gujarat. We are very excited to be working with them again, and provide s us an opportunity to showcase our capabilities in the Khavda region, which is becoming a key market for us.

With the 2 order wins announced this quarter, our total order inflows for the 9-month period has touched INR5,679 crores . Of this, the domestic market has contributed INR 4,525 crores, comprising 11 new projects.

Looking at the ordering momentum and bid pipeline, we remain confident of achieving our INR8,000 crores order inflow target, excluding Nigeria and RIL project s.

Our unexecuted order value now stands at over INR 10,167 crores and continues to provide good P&L visibility for the forthcoming quarters. Over 80% of this order book comprises domestic

Indian projects, while the international UOV comp rises primarily 2 projects, each in Europe and South Africa.

In terms of execution, while we continue to scale up our execution capabilities as is evident in the sequential pickup in revenues and the projects continue to progress on track, we have also, in few cases, realigned project time lines as per customer requirements, which is likely to result in execution spill over by 1 to 2 quarters in a few projects.

We have been making progress on some of the execution constraints we have faced in the past quarters, including releasing frozen non-fund ba

sed limits and achieving higher open credit terms with the key suppliers. We believe these factors will help us to progress on a sustainable execution growth in the forthcoming quarters.

We are continuing to see a very strong bid pipeline in place for India with over 21 gigawatts of projects likely to be awarded in the next 6 to 9 months. Our pipeline primarily captures projects which have a strong likelihood of coming to fruition in terms of an award. It is also important to bear in mind that in the just concluded third quarter , we have witnessed a fairly heavy project tendering activit y, especially by the large PSU like NTPC and of course, GIPCL, wh ere we have turned out to be a successf ul bidder as well. Thus, the solar EPC bid pipeline is continuously evolving with new projects getting added.

As pointed out in earlier calls by Amit, apart from typically a strong PSU pipeline, we are also seeing a strong pipeline of private IPP projects coming to the fore. In 9MFY 25, of the 11 domestic projects we won, 9 projects came from the private sectors. Our existing private customers have exciting growth plans, and we are confident of growing our order book with them.

Simultaneously, a large set of PSU bids are also likely to get finalized between now and June 2025, growing our addressable market. We continue to judiciously evaluate projects in India and overseas and are mindful of having to remain p atient in order to target profitable orders.

Our international business development team is also targeting a few select geographies like Europe and MENA regions for a few select projects, which are more strategic in nature and which we shall choose to pursue once our terms are agreeable to our developers.

Moving to the Nigeria project. We are still awaiting final order signing and closure. Also, as has been mentioned in earlier calls, post order signing, we expect the project to take 6 to 9 months to achieve financial closure.

We would like to reiterate that the lumpiness in order inflow is to be expected with EPC companies like ours, and timelines for achieving project closure could vary depending on a host of factors, including finalization of contractual terms, financial closures , etc.

Our O&M portfolio outlook remains strong, and our portfolio stands at 8.8 gigawatt as of December 2024. Our large str eam of EPC projects, which are nearing completion in the next few quarters, will also feed a good pipeline of new projects for O&M, which should aid a meaningful pickup in revenues in this segment from second half of FY '26.

Moving to industry outlook.

India continues to be our single largest focus market and one where we have also historically done very well and delivered. Apart from th e bid pipeline we have already indicated , which we believe is likely to get awarded over the next 2 to 3 quarters , the domestic EPC market continues to grow and remain very buoyant as we head into FY '26. It should therefore be no surprise if financial year 2026 turns out to be a stronger year than financial year 2025 in terms of EPC awarding.

Another potential growth area for us is the anticipated pickup in BESS projects across the country. There have been multiple BESS developer bids which have already been awarded. And given our head start of working on the largest BESS project awarded in the country till date, we remain confident to make further inroads in th is segment. With a fast -growing market and a strong balance sheet, we believe we are well positioned to tap the growth.

With this, I will ask Sandeep to take you through the consolidated financial highlights. Thank you very much.

Sandeep Mathew: Yes. Thank you, CKT. Moving to the financials. The company achieved its second highest quarterly revenue ever since listing and the highest quarterly revenue post CO

VID in 3Q FY '25.

Revenue grew 215% year -on-year and 78% sequentially to INR 1,837 crores, primarily aided by higher execution in the domestic EPC projects and the new international EPC projects.

On the margins front, our consolidated reported gross margin was approximately 9.4% in Q3. And for the 9-month period, it is now around 10%. If you look at it segment -wise, domestic EPC gross margins were at 9.7% in this quarter, and this is compared to about 9.1% last quarter and has begun trending towards our target range of approximately 10% for the domestic segment.

In the international EPC , gross margins in third quarter was impacted by a one -time cost, which we incurred to achieve final punch point costs and thereby, achieved project closure in a legacy project. Excluding this cost impact, gross margins in the ongoing international EPC projects is around 11%.

O&M gross margins during the quarter were at 25% and more indicative of the steady-state margins that we've been alluding to in this segment.

Our operational EBITDA, which is operating revenues less recurring overheads, amounted to about INR90 crores this quarter, and has picked up significantly compared to approximately INR23 crores in the second quarter and INR 21 crores in the first quarter.

With recurring overhead remaining steady and benefit of operational leverage kicking in, we believe that as execution pace picks up on the EBITDA side, there should be further gains.

Reported Q3 EBITDA came in at INR 73 crores at a 4% margin and is about 43% higher on a sequential basis. Q3 profit before tax of INR 41 crores has grown about 105% sequentially, or more than doubled.

Our reported PAT was INR 17 crores, which is while very significantly higher both year -on-year and Q -on-Q terms, remains impacted by a non -cash deferred tax asset charge, which was roughly INR18 crores in this quarter. And this has been the case, if you recall, since Q4 FY '24 due to the stand -alone profitability. The remaining deferred tax assets on book as of today is approximately INR33 crores.
As CKT alluded to in his opening remarks, we continue to make positive strides in our execution scale up and hope to rapidly build further on the current base we have achieved in this quarter.
Now coming to the balance sheet, our net debt has decreased, by approximately INR 150 crores this quarter , as we received about INR 109 crores indemnity proceeds from SP Group and Khurshed in November '24, which was, in turn, used to pay down some term debt. Positive cash flows from operations also pushed up the quarter end cash balance.
We continue to make progress on easing up limits on the non-fund -based side. However, the progress has been slower than what we had hoped for. On the positive side, our request to suppliers for open credit has been fairly encouraging. To reiterate our plan for Q4 and beyond, scale-up is being realigned with domestic customer requirements, which has led to some pushout in execution.
We are targeting about INR 2,300 crores to INR 2,500 crores in top line for the fourth quarter.
With this, we can now open the floor for question and answers.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and -answer session. The first question comes from the line of Subash from Value Investments.
Subash: Yes. Congratulations for the great set of numbers, especially on a quarter -on-quarter basis, as you had guided that Q3 is going to be significantly better quarter than Q2. I think you have showed the results. But you said Q4 would be the best quarter of the year. And also, throughout the year, I think everybody were more curious about the revenue guidance that you had given from the beginning.
Even during -- even after Q2, you said that you're very confident of achieving INR 8,000 crores reve

nue, there was no doubt in that. So now when I see the 9 months revenue, it is INR 3,800 crores. So -- but I think the last point in which you mentioned INR 2,500 crores to INR3,000 crores is the fourth quarter revenue projection. So , if you do only INR3,000 crores, then you will not be able to achieve the INR8,000 crores revenue guidance, right? Am I right?
Sandeep Mathew: So, -- that is correct. I think what we are -- if you sum up the numbers that we have given, you would get to about INR 6,000 crores to INR 6,500 crores range, which is what is the number that we believe can be achieved. And this is, like I said, primarily a function of 2 factors - One, which is not in our control, which is essentially the customers' requirements, the realignment in the plans as per the customer requirements.
And the second, obviously, the ones which are under our control are on the basis of non-fund - based limits and the increased open credit that we have been getting -- managed to get from the suppliers. Those have been progressing fairly well, and that is where we stand today.

Subash: Okay. So, then INR8,000 crores revenue is not achievable this year, right?
Sandeep Mathew: Yes, that number, if you add up what we've indicated, will indicate to like I said INR 6,000 crores to INR6,500 crores.
Subash: INR6,000 crores to INR6,500 crores is also fairly a good number for the year. But I mean as – since -- I was more excited was more excited about the INR 8,000 crores, this would be a disappointment. But my main question is about your first point, you mentioned that due to the customer realignment, could you elaborate more on that?
I mean why -- you said that during -- after Q2 in the I nvestor call, you said there was no problem in execution . And you are very confident of achieving INR 8,000 crores. So, what is it about the customer realignment - could you elaborate on this point?
Chandra Thakur : This is CK Thakur. When you say, customer realignment in some of the projects on the -- because of some difficulties on the land acquisitions and the evacuation capabilities getting ready, matching the project requirement. The customers had p hased out work for this. And therefore, we have necessarily realigned our -- the complete working strategy and all.
Subash: Okay. So , my last question is about the Reliance BESS pilot project that you are doing. You said that you would be able to complete it by end of this financial year. So, is that timeline still good?

Or do you need more time to execute it? And also, if you could give an update on the Nigerian project, more details on it, that would be helpful ?

Chandra Thakur : No. So , I think we are absolutely on track with respect to execution of Reliance pilot projects. I'm happy to say that the first set of the projects is already commissioned. Another set of projects is getting commissioned soon . And the rest of the projects are on -- absolutely on time as planned in this financial year, which will be completing the balance, the remaining portion of the project.

Sandeep Mathew: Subash , on Nigeria, procedurally, things are moving in a positive way. Now we just have to wait it out till the actual order gets announced.

Moderator: We take the next question from the line of Puneet from HSBC.

Puneet: My first question is on potential Reliance business. Do you have any indications of them scaling up? And are you keeping some sort of bandwidth separate for that, which is still driving recurring overheads? Or do you think that recurring overhead itself will start falling from next year onwards?

Chandra Thakur: Puneet, most of the information from Reliance is in the public domain, the kind of plan they have and all. Closely, if you follow us, so now there seems to be some traction on some of the projects. We are well poised, a

nd we are in discussion with them. And hopefully, something would be materializing soon.

Puneet: And what influence does it have on the recurring overheads? I think that is what I'm trying to understand.

Chandra Thakur : So, I mean, the revenues are increasing, obviously. W e will have to add some teams, right, for them. So , depending upon the business scale up and all, but that would be impacting on to the reduction of revenue overhead only, right? So, if the revenue goes up, the overhead, obviously, in the overall business number will come down as a p ercentage. That would be a positive sign.

Sandeep Mathew: So, Puneet, there are 2 aspects to this. One is on the fixed overhead's part, which is already part of the recurring overheads . Where we have already indicated in the past that up to a certain revenue run rate, which would probably be significantly higher than, let's say, our current quarterly run rate, right, I think till such time, say, about INR 10,000 crores to INR12,000 crores or plus, around thereabouts. Our recurring overheads are currently not going to increase till that level of a run rate in all likel ihood .

And a fair amount of optimization that we have done in the past has helped us bring the recurring overhead to where it is right now. And probably from here on, I think as a guidance, probably it will increase at the rate of inflation is probably the best guess, given that most of the optimization that we have done has already been largely completed.

Puneet: Understood. That's very clear. Second question is on the profitability and terms of PSU versus private orders. Is there a difference? Do we expect better margins, lower margins from private clients versus PSU clients? And how are the terms shifting there?

Chandra Thakur : So while PSU orders are most competitive. Sometimes you have seen some of the orders getting closed have witnessed a lower margin, of course. But the IPPs since -- I mean, the orders are mostly closed on the merit of the EPC company. And our order books, in the last few quarters, is mostly from the Private IPPs, so we are very selective also in order to decide the order bookings patterns . Whenever if it doesn't match to our requirements of profitabilit y, obviously, then we -- sometimes we decide to shy away.

Moderator: The next question comes from the line of Kunal Shah from DAM Capital.

Kunal Shah: Yes. Now just dissecting this point on the revenue slippage with respect to the guidance. So, what quantum of that slippage can be assigned to projects running slow from a developer side? And what percent due to our banking limit constraints? So just to understand how we can build up FY '26 basically?

Sandeep Mathew: So, Kunal, I think the simplest way to look at it would be that we were targeting about INR 6,000 crores over 2 quarters, right? And effectively, a 1 quarter delay or a slippage would essentially imply that you will basically do INR6,000 crores over 3 quarters.

Kunal Shah: No, I'm still unable to understand. Like initially, we were guiding for INR 8,000 crores, and now we closed roughly, let's say, between INR6,000 crores to INR 6,500 crores. What I'm trying to understand is this INR 1,500 crores shortfall versus our initial guidance, how much is due to the developers running slow? And how much due to our own banking limit constraints?

Sandeep Mathew: So, a large part of this -- if you just go by like what I was trying to explain to you, would essentially imply that a large part of this would be on account of the customer realignment that has happened.

Kunal Shah: Right. And -- okay, understood. And sir, now just this basis where we are in terms of the order book and the banking limits, how should F Y '26 sort of shape u

p on a conservative basis, ex
Reliance and ex Nigeria from a revenue perspective?
Sandeep Mathew: So, see, what we have targeting is essentially to -- essentially look at INR 2,300 crores to INR2,500 crores exit run rate of Q4. I think it will be a fairly good indicator of what we could look to do in a steady state.
Kunal Shah: Okay. And also just on the CFO appointment, I think last quarter, we were mentioning that we were nearing the finalization of that. Now by when can we sort of zero in on that as well?
Chandra Thakur : So -- we are in the selection process. So , the person has been identified. And he is serving the notice period in the previous company, and he will be joining after serving the notice period.
Kunal Shah: Any timeline here, sorry ?
Chandra Thakur : Let's say, 2 to 3 months.
Moderator: The next question comes from the line of Rohit Natarajan from Aditya Birla Sun Life Insurance.
Rohit Natarajan: My first question was on the non-recurring overheads. We have indicated some INR20-odd crores in this quarter. Any color on what exactly is this? And how do we -- I mean, do you still stick to that INR300 crore s annual recurring overheads that number? Is that intact?
Sandeep Mathew: So, Rohit, if you look at 9-month period, right? I mean, your total non-recurring overheads would, I think, amount to about INR 8 crores . This is because there was a gain, if you recall, last quarter of about other income rather of about INR 12 crores, which was an exceptional other income.
And then if you look at historically the numbers, I think in the last 2 years, they have largely been about INR 8 crores to INR 17 crores for a full year, which is the nonrecurring overhead number. So, I would still think that just overall basis, I think those numbers are fairly in line with what has been the case in the past years.
And I think overall, if you look at what our recurring overheads are, they have still been about INR80-odd crores. So -- and that's where we've been guiding to. So that INR 320 crores number still looks -- INR320 crores to INR 330-odd crores number still looks very much the case.
Rohit Natarajan: Really appreciate it. My second question has more to do with the interest part. So essentially, we were -- of the thesis that if we have to do some INR8,000 crores, INR 70 crores to INR 100 crores is what we support through churning of the non-fund -based limits. Now what is the interest -- I mean, the non -fund -based charges that we pay?
I mean, we were in talks earlier to negotiate downwards, I believe. What exactly will it be once that thing gets -- turned out to be true, like, I mean, all the negotiations if it goes through?
Sandeep Mathew: So, the charges will eventually settle at around 50 bps to a 1% Rohit.

Rohit Natarajan: Okay. So that will be -- at least, I believe right line, and what is the amount that you pay right now?
Sandeep Mathew: No, you're talking about the absolute amount that we pay out?
Rohit Natarajan: No, the percentage. That is post negotiation, it will be 0.5 %, but what is the outgo, as in the percentage right now for non-fund -based limits?
Sandeep Mathew: So, the moment we had defaulted, I think when rates had moved to card rate, which was higher -- significantly higher, about close to 1.5% to 2%. And since then, we've effectively started re - negotiating them, and they are moving towards the rate that I had earlier just mentioned, which is about 0.5% to 1%.
Rohit Natarajan: Okay. And what was it until 9 months or maybe what was in Q3 that may be possibly a good indicator to see how things unfold?
Sandeep Mathew: Sorry. Can you come again on that?
Rohit Natarajan: The 3Q, what was that charge effectively?
Sandeep Mathew: 3Q charge was about 1%
Moderator: The next question comes from the line of Aejas Lakhani fro

m Unifi Capital Private Limited.
Aejas Lakhani: Congratulations CK T and Sandeep on the elevation. A couple of questions. The first is that, Sandeep, could you call out that out of the INR7,300 crores of sanction limits, what exactly is the limit that is available to the company at present? And when do you expect the additional lines to open up, given that the credit rating has turned investment grade?
In the second quarter, you had alluded to opening up of further limits. Where are we in that process? What has been the reason for the delay? And also, what is the quantum of open trade limits that you are in discussions with from your vendors? Is this a fourth quarter phenomenon? Or is this likely to persist for FY '26 as well?

Sandeep Mathew: Yes. So , 2 things, Aejas. One is that for the target that we've effectively set out to do for the fourth quarter, we really do not need any additional further limits in terms of non -fund. I think what we currently have would largely suffice. The second thing is on the supplier credit itself; I think there has been a fairly large push from our side. And we've actually seen also some of the suppliers respond very positively. One thing that obviously happens with supplier creditors that -- your payment cycles tend to shorten a bit, which is fine. But yes, I mean, I think what we have been trying to do is push more towards on the supplier side and make up for the lack of limits as such, which has been the case.

Chandra Thakur : And Aejas just so most of the open credits payments now we have been paying in 40 to 60 days' time. So that's a good signal basically. So that's where we are getting -- I mean, the push -- we are able to give the push on to the revenue generation side.

Aejas Lakhani: And out of the INR7,300 crores of limit, could you just answer what is the actual limits that are available to the company at present?

Sandeep Mathew: About INR4,500 crores, Aejas.

Aejas Lakhani: Okay. I think last quarter, this was closer to INR 3,500 crores. So INR 1,000 crores of additional limits have opened up from the existing bank?

Sandeep Mathew: Well, so some of the limit has increased post the investment -grade rating upgrade.

Aejas Lakhani: Okay. So, are you saying that the limit is no longer INR 7,300 crores? It's higher ?

Sandeep Mathew: No, no. The ones that are available for use, Aejas.

Aejas Lakhani: Okay. But the total sanction limits were about INR 7,300 crores. Is that number broadly, correct?

Sandeep Mathew: Yes, that number is still broadly correct, yes.

Aejas Lakhani: Okay. And out of that, you have INR4,500 crores that you can draw today?

Sandeep Mathew: Correct.

Aejas Lakhani: Okay. And does the INR 7,300 crores include that IREDA INR 500 crores? Or IREDA INR 500 crores is over and above?

Sandeep Mathew: No, that is over and above.

Aejas Lakhani: Over and above. Okay, fine. The other one is that -- so what I'm now understanding, given that you've had an additional improvement sequentially in limits, your call out is that it's really the delay from the client side and the realignment from their side because of evacuation pressures that has led to this revenue shortfall. Is that broad understanding correct?

Chandra Thakur : Yes, Aejas . Your understanding is correct.

Aejas Lakhani: Okay. So, sir, then I have 2 questions on that. One is that the PSU pack, which you were expecting to sort of close out in this year, had a delivery deadline date, right? And if we did not meet that, there were implications that are there in clauses and contracts. So , will there be -- could you just explain that on account of all of this, what will be the impact beyond the revenue shift that will take place from 4Q to first Q? Will there be any additional impact to us?

Chandra Thakur : No, Aejas, because it's basically t

hat you have to align with the customer requirement and it's basically the constraints imposed by them. So therefore, together, we decided to pace out the work. And contractually, there won't be any impact.

Aejas Lakhani: Okay. And sir, secondly, from a fungibility standpoint, see if money was not a constraint, you had enough C&I orders as well that you could have executed executed to cover this shortfall and you could have realigned resources. So , could you just expand your thoughts on that?

Chandra Thakur : No. So IPP project, if we see, except a few projects where there had been initial land disputes, and that has really pushed the project progress. Other than that, we are almost on track. Every single project is on track. There is no delay.

Aejas Lakhani: Okay. And sir, just one last observation from my side that fiduciaries like ourselves, which are completely reliant on the management to provide us with business outlook. In that light, sir, your guidance keeps -- there's a consistent pattern of overpromising and underdelivering on that front. My request is that, sir, if you could introspect into this aspect and help us if you need to, in this matter a little more firmly sir?

Sandeep Mathew: Thank you, Aejas. We'll definitely take your feedback into account.

Moderator: The next question comes from the line of Shiwani from Monarch Networth Capital.

Shiwani: I wanted to understand about the pending litigation matter. What are the developments? And how confident we are of closing some of the litigation? So , some thoughts on that would be helpful ?

Sandeep Mathew: So, Shiwani, I'll start off and maybe CK T can add. I think one important development that has very recently happened is the Andhra Pradesh High Court had ruled favorably in a GST case that we've been fighting in the courts, where they have ruled that it's not to be taxed at 18% as the initial order was.
So, we are now planning to effectively contest this across the other states as well. And hopefully, if we get a positive development on this, we should be able to recoup some of the amounts that are currently stuck in those case -- in that particular GST-related case. Over and above this, there have been some positive developments in one of our Australian projects as well. And we should, hopefully, in the next quarter, have an update for you there on that as well. And anything else C.K. that you can think of?
Chandra Thakur : It's okay. Yes.
Sandeep Mathew: Yes. So those have been 2, I think, important updates that have happened. And as for the others, there things are moving procedurally. And I think we are fairly confident of our position on all the litigations that we are involved in.
Shiwani: For the projects you mentioned about, what is the corresponding amount that we're looking at?
Sandeep Mathew: So, we are about -- I think the total amount is, if I recall correctly, about INR 170-odd crores.
Shiwani: Okay. And the one in the US arbitration that is pending, no updates on that as of now?
Sandeep Mathew: Things are moving procedurally like I mentioned. Nothing incremental as such to report over here.
Shiwani: Sure. Also , could you quickly elaborate on the gross margin impact for the international project, which is to do with the legacy projects?

Sandeep Mathew: Yes. So , I think we had to take about AUD3 million cost that we incurred this quarter to achieve final punch points in one of the large projects that we had to essentially hand over in Australia. The client was, very honestly speaking, unreasonable or acting very unreasonable in our view. And contractually, our legal team is very confident of winning the case as well. But we didn't want to pick up another legal battle and -- so we just d

ecided to take the cost and complete it.
Moderator: The next question comes from the line of Nikhil Abhyankar from UTI Mutual Fund.
Nikhil Abhyankar: Sir, in this year or last year, we had done a BESS listing of 1 gigawatt from JSW. I think for that, the tariff hasn't been approved. So how are we placed over there? I mean, will we be incurring any losses for the amount that we have already spent?
Chandra Thakur : Can you come back again, please?
Nikhil Abhyankar: We have won a BESS order from a private company for which the tariff wasn't approved much recently ?
Chandra Thakur : Yes. So , you're talking about the BESS order from JSW. So yes. So, the tariff adoptions by the regulatory commission has been questioned and sent back to SECI. SECI and JSW, they are in discussions because the project has substantially picked up. And that could be -- that will be prejudice status at their end. Other than that, we have been not asked to -- I mean there is no termination kind of the situation at this stage.
And in fact, on the civil front for some of the portions which is long lead items kind of things, the project is still on.
Nikhil Abhyankar: Okay. So, we don't expect this to be a standard project going forward?
Chandra Thakur : As of now, yes, no, we don't expect.
Nikhil Abhyankar: And sir, how do you see at this risk? I mean, we are also witnessing that a lot of tenders are being bid out, but the PPAs are not being signed. So, can you just elaborate, I mean, how do you look at it going forward? Will it impact our execution as well?
Chandra Thakur : No. So not really. So , all those orders that we have, the PPA is already signed. So that will not be impacted in any case. For the next financial years, I mean all those orders, which are expected to be out for EPC contract, part of them are gradually being signed, and our expectations with the mix of the opportunities from PSU and IPPs, our growth potential for order bookings will remain as projected.
Moderator: The next question comes from the line of Aashish Upganlawar from InvesQ PMS.
Aashish Upganlawar: Yes. I just wanted to get clarity on this non-fund -based limit that have been talked about. You said the INR 4,500 crores is the usable limits. And would that mean INR 2,000 crores or INR 2,500 crores of top line is the max that can be achieved with this as of now? I mean just sort of understanding would help here ?

Sandeep Mathew: No, no, that's not entirely true. So effectively, INR 4,500 crores of non -fund -based limits comprises limits which are used for bank guarantees. These include both advanced bank guarantees and performance bank guarantees, and also for letters of credit, which are LCs, right? Now, obviously, in the case of older projects, once we complete them, the bank guarantees which were given, they come back. For new projects, we need to give them. So , it is essentially a pool with where there are projects coming in and go ing out. And at the same time, we also need to manage what effectively are these letters of credit as well. So, what really impacts us over here from the non-fund -based limits is essentially the letters of credit number. And there, we -- I mean, like I said, sometimes if BG s gets vacated, then we can utilize that facility for LCs and so on.

So INR4,500 crores, effectively, what we had indicated last time, with INR 1,000 crores of LCs, we should be able to churn it around once every quarter, at least that was the ballpark estimate that we have done -- we had given. Over and above that, you know that we already have taken a INR500 crores IREDA loan, which also will ease some of the cash flow constraints.

Our projects, in general, are negative working capital as well. So sometimes they throw up excess cash, which can be used for execution. And over and above that, you have

the support from the suppliers in terms of open credit . So, all these combination of factors are what eventually leads to the final execution run rate .

And basis what our current clients' requirements are and where we stand, we believe, like we had earlier indicated, we should be able to do about INR 2,300 crores to INR2,500 crores next quarter, which we hope will now become sort of an exit rate for the forthcoming quarters.

Aashish Upganlawar: Okay. And the progression that you would see going ahead on easing of these things? I mean you said that something is in the works and that would help probably. So, anything to share on that on the limits getting enhanced?

Sandeep Mathew: So yes, I mean, like I said, so this is a continuous process. The fact that today, we already have INR7,500 crore s worth of limits and only INR4,500 crores is usable. So, our attempt will be to try to get back to a higher number, right, than what we have currently. But that is a continuous dialogue with the banks that we are having on the side. And as soon as we have updates over there, we will keep you guys posted as well.

Aashish Upganlawar: So, the net number of INR1,000 crores between September quarter and now, that is the addition that we've had, right? I mean someone questioned on that. So, is that the right understanding?

Sandeep Mathew: So, these are essentially the unfrozen units. That's currently about INR 4,500 crores, yes.

Aashish Upganlawar: And that was INR 3,500 in September?

Sandeep Mathew: We'll have to check that number. But yes.

Aashish Upganlawar: Okay. And sir, I wanted to check on the overall scenario as well , because is competition coming in decently big, though the kind of macros for our business seems to be pretty good in terms of

order inflows typically for the sector. But how is competition shaping up in that? And because we've seen one of the players, I mean, reporting not so great numbers. So , I just want to check on is anything changing on that competition or the macro basically?

Chandra Thakur : Yes. So , I mean market is quite competitive. That is true. So many new players have come, but there are enough opportunities. As per our business models, we are selective on to the project qualities, both from the PSU and the IPP side. So as far as our target seems to be there and looking at the market opportunities, we don't feel that we are constrained upon achieving our target number.

Aashish Upganlawar: And any impact on our profitability of competition or maybe aggression in that sense? Because we've seen gross margins are a bit lower compared to maybe it's because of the mix or anything you could just highlight?

Chandra Thakur : No. So even in the intense market, we have been able to grab some of the projects at a fairly good margin, like GIPCL recently, we have won this order. This had fairly good margin. A nd this was again a very competitive bid, right? So sometimes it's all market specific and the market is obviously competitive. But our business model says that at what business time, the margins we have to operate. We are, I mean, fairly trying to work around that only.

I don't think that because of this, I mean there is going to be a huge pressure to the margin because ultimately , I mean it's a question of -- some quarters could be good scenario, some quarters could be probably too intense. But then we have to position ourselves to see that we are as per our own business understanding.

Aashish Upganlawar: Okay. And lastly, nothing to add on the Nigeria bi t, given the elections in the US are over. So , any sense further that you're getting into it? Or we are status quo on what's been happening over the last 2, 3 quarters?

Sandeep Mathew : So, like I earlier alluded to, in -- on Nigeria, things are procedurally moving in a positive way. So

just -- we'll just have to wait it out until we actually get the order.
Moderator: The next question comes from the line of Alisha Mahawla from Envision Capital.
Alisha Mahawla : Just taking the question of the previous participant. The ordering inflow for some pl ayers and even for us, probably is slightly slower than what was expected. We still stand to a guidance of INR8,000 crores of order inflow. So, are we expecting maybe some order wins in the export market to bridge the gap in Q4?
Chandra Thakur : Alisha, so basically, if you see the quarter -- up to the 9 months order booking position, so we can say we are almost on track. So , we have INR2,000 crores sort of our -- the target. This quarter, the quarter 4 in domestic market, it is still very robust, both from the IPP -- mostly from the IPP and also from the PSU bids.
Obviously, we are very selective on to the overseas market. We don't want to be, I mean, just for the sake of reaching the target to grab any orders. We are very selective. We are working on

a few of the projects very seriously. Some of them may materialize, but we are confident of achieving the target which has been set forth.
Alisha Mahawla : In light of that, assuming that we close our order book at INR 10,000 crores by the end of FY '25 and like you mentioned in the call that customer realignment and delays from the customer end, how should one understand the execution period of this order book now?
Chandra Thakur : So typically, in Indian market, for the project si ze of say, 300 and above megawatt capacity, is around 9 to 12 months. So, all – I mean, some of the orders which have been booked up to, say, quarter 2, those would be -- part of them would be commissioned by March and a few of them can spill over as per the project timelines . The orders which we'll be booking now that definitely commissioning will go in the next financial year.
Alisha Mahawla : So, basically we still believe that we can execute this order book in 9 to 12 months despite the fact that currently some customers are requesting for a slower execution?
Chandra Thakur : Yes. So , whatever there would be -- I mean, the work has been p hased out. So there, we will be getting time extension and all. So , the 12 months, may shift into 15 months in a few cases. I mean that is as per the input requirement for the project commissioning which could be mean, evacuation delays and all such kind of stuff.
Moderator: The next question comes from the line of Suraj Malu from Catamaran Ventures.
Suraj Malu: Yes. My question was more like it might be repeat, but just to clarify, like the current order book, that is to be executed over what time frame exactly? Like is it 12 months or 15 months or 18 months?
Chandra Thakur : So that's what I was just telling the last question I was just responding to. So , the project timelines is highly -- depending upon the scope of the works and the complexity of the project, it all depends between 9 to 15 months in the domestic market, India market. So, few of the projects are with the time-lines of 15 months, few of them 12 months, few of them 9 months so like that.
Moderator: The next question comes from the line of Bajrang Bafna from Sunidhi Securities.
Bajrang Bafna: Yes. So just to understand some bit of clarity on the -- you have indicated in Q4, you are expecting INR2,000 crores worth of orders. But going into next year, considering the pipelines and competition, which currently you are working on, can you throw some light that what sort of order intake that we can target in FY '2 6? Because if we see the numbers which are going to throw from different sections of the market are going to be significantly higher.
We have done almost 30 gigawatts in FY '25 in terms of solar installations in the country. And hopefully, in FY '26 ,

those numbers are going to be upwards of almost 40 gigawatt. That is what broadly the industry is talking about right now. So , under that parlance, what sort of order intake that you can think of considering the -- and also the banking lines. You've already indicated we have been able to get INR 4,500 crores of bank limits right now in terms of LCs and BGs.

So, considering the banking constraints and clarity -- some bit of clarity on that for FY '25 will be really helpful ?
Chandra Thakur : So, in the pure play EPC space, if you see the opportunities are coming up, it's large. And assuming that our CAGR should be, say, 15% to 20%. So, this year, I suppose we will be closing at INR8,000. So, our target for next year could be safely around INR 10,000 crores. And looking at the -- I mean, the banking constraints and all, if you say that without the limit being enhanced, today we are able to do this, say, this quarter, say, we are between INR 2,300, INR2,500 crores. If that is the exit rate, so fairly, you can then expect that the -- our revenue target will also go substantially high. So, targeting a INR 10,000 crores order bookings from the execution

capabilities and looking at the other constraints -- I mean, is the fair ask.
Bajrang Bafna: So, the similar will be the revenue run rate, considering 12 -month execution cycle. So , the exit rate of INR 2,300 to INR 2,500 for Q4, looking at the current scenario next year, we would be targeting INR10,000 crores worth of execution also in terms of domestic market. And over and above, if we get anything from Nigeria or Reliance, that will be additional. That understanding should be okay for the time being?
Chandra Thakur : So, I think you're understanding right. So, we will be working on INR 10,000 crores of project execution. So , we'll be working on that kind of thing. Revenue numbers, obviously, all of them will not be commissioned in the next financial year, a few of them will spill over. So , the revenue numbers will accordingly be adjusted.
Bajrang Bafna: No. But right now, you will be exiting, let's say, with INR 8,000 crores order book, and you will be targeting INR 10,000 crores order book in next year. So, you'll be having the execution of INR18,000 crores. And even if I assume 9 to 12 or maybe 15 months execution cycle, achieving INR10,000 crores top line should not be an issue in FY '2 6.
Chandra Thakur : Yes. So , when I say the INR 10,000 crores order book -- fresh order booking next financial year, that would be, I mean, is spanned over 4 quarters, right? So, say, even 50% of that. So that means we will be starting our financial year '26 with INR 8,000 crores to INR10,000 crores -- INR10,000 crores of order booking like UOV, another INR 4,000 crores to INR 5,000 crores will be adding.
So, we'll be working say on -- at different stage of the project, we will be working on around INR12,000 crores to INR 15,000 crores, right? So , with this and the exit run rate of the revenues that we have, I mean, discussed now in the last quarters, it would be, I mean, safe to achieve approximately INR8,000 crores of order and revenue numbers next year.
Bajrang Bafna: Okay. Got it. And margins will be in the same range of 10% to 11% GP margins, that is what you're achieving right now? Correct?
Chandra Thakur : Absolutely right.
Moderator: The next question comes from the line of Bhavik Shah from MK Ventures.

Bhavik Shah: So, we understand like the Reliance trials are completed or are in progress and they have been positive on that. So, do you think it will take 1 year for the orders to come in? So , you are not building in anything in FY '26. So, is that understanding correct?
Chandra Thakur : I don't think so, Bhavik. So,

I mean I have told you that the pilot projects are -- would be definitely over in this financial year, and they have started working for a few other projects. Overall, I mean, the development plan is in the public domain that you can see. But in my understanding, now the movement seems to be there, and we are well -positioned. So, we are under dialogue with them to get some of the orders.
Bhavik Shah: So, we are in financial closure at that -- at this moment? Or we are still awaiting that?
Chandra Thakur : A few projects are clear ed by their Board and that discussion is going on.
Bhavik Shah: So, what I can understand is we get Nigeria as well as Reliance may be towards the end of FY '26 or in FY '27. So, do you think we have a bandwidth to execute both these projects together?
Sandeep Mathew: So, we've been talking about this in the past as well, right, that we will scale up as we go and as order inflow comes in. We will ramp up their teams to what we believe will be a sustainable level that is required. Specifically, for Nigeria, as such, we do not, at this point, see any need for additional overhead. For Reliance, as and when, depending on the scale of those projects, we will take a call once we have more clarity and visibility on the steady-state run rate over there.
Bhavik Shah: Sir, this INR 10,000 crores of order inflow for FY '26, this is excluding Reliance and Nigeria, right?
Chandra Thakur : True. That's true.
Moderator: The next question comes from the line of Amit Mehendale from RoboCapital.
Amit Mehendale: All my questions have been answered.
Moderator: The next question comes from the line of Eshwar from ithought PMS.
Eshwar: I just had a clarification on the slide that you've given. So , you said that the future scale up of the company has been realigned to the requirements of the domestic customers. Can you talk a little bit more on that, please?
Sandeep Mathew: We've already fairly in detail explained this. Is there anything specific that you would like to -- like us to add?
Eshwar: No, sir, is there any difference between the requirements of, say, North American customer or a Middle Eastern customer and a domestic Indian customer?
Sandeep Mathew: No, no. So, this essentially, just refers to largely our domestic customers, the realignment that we're talking about. And these have been, like CKT had earlier alluded to as well due to land acquisition related issues that they have been facing at their end. In certain cases, it has been

transmission issues and so on.

Moderator: Thank you. Ladies and gentlemen, that was the last question. On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: May 2025

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May 02, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
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Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Sub.: Investors Call Q4 FY 2 5- Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

In continuation to our letter s dated April 18, 2025 and April 25, 202 5, please find enclosed the Transcript of the Investors Call held on Friday , April 25, 202 5 at 10:00 a.m. (IST) on the Audited Standalone and Consolidated Financial results of the Company for the quarter and financial year ended March 31, 202 5.

The same is available on the Company's website at www.sterlingandwilsonre.com .

Request you to take the same on record s.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer
Encl.: As above

"Sterling and Wilson Renewable Energy Limited Q4 & FY '25 Earnings Conference Call "

April 2 5, 20 25

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25th April 2025 will prevail.

MANAGEMENT : MR. CHANDRA KISHORE THAKUR – GLOBAL CHIEF EXECUTIVE OFFICER
MR. AJIT PRATAP SINGH – CHIEF FINANCIAL OFFICER
MR. SANDEEP THOMAS MATHEW – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to Sterling and Wilson Renewable Energy Limited Q4 and FY '25 Earnings Conference Call.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Sandeep Thomas Mathew – Head, IR, for his opening remarks. Thank you, and over to you, sir.
Sandeep Thomas Mathew: Yes, good morning, everyone . And welcome to our Q4 FY '25 E arnings Call. We have with us today Mr. C .K. Thakur – our Global CEO; Mr. Ajit Pratap Singh – our CFO; and SGA, who are our Investor Relations Advisors.
We will start today's call with the key operational highlights for the quarter and the fiscal year, and the industry outlook by Mr. Thakur, followed by the financial highlights by Ajit, post which, we will open the floor for Q&A.
Thank you, and over to you, CK T.
Chandra Kishore Thakur: Good morning, everyone . Thanks, Sandeep . And a warm welcome to all the participants on this call. We are very happy to welcome our new CFO – Mr. Ajit Pratap Singh, to our team. Ajit's illustrious career spans 29- plus years, with the most recent being at Transrail Lighting Limited, wherein he served as its CFO, and was instrumental in getting the company listed in India through a successful IPO. Earlier, he handled leadership roles at OPG wherein he served as a Group CFO and Executive Director, along with leadership roles at large industrial conglomerates like JSW, Vedanta, Jaypee and Lohia Group. W e wish him a bright and successful future with us.
Let me begin with a quick update on our business operational outlook. B eginning with our order book position, we closed the full year with the total order inflow of Rs. 7,051 crores . Of the total order inflows, the domestic market contributed nearly Rs. 5,900 crores or approximately 84% of the total order inflow in FY '25, with the rest coming from the international market comprising the two South African projects we won earlier during the fiscal year. The domestic order inflow represents a healthy year -on-year growth of nearly 21% this fiscal year compared to the Fiscal Year ‘ 24.
In terms of order value, private IPPs contributed nearly 55% of the total domestic order inflow, while PSU contributed nearly 45%. Apart from our growing domestic solar EPC business, FY

'25 also marked our entry into two new important growth market ; battery energy storage solutions , and the wind EPC. With more and more projects in the renewable space moving towards the hybrid model, we believe a well -rounded offering, like we currently provide to our customers, is crucial to tap into the growth.
We bagged three new projects in the domestic EPC market in the 4th Quarter . We received our first order for wind EPC from a private IPP for a hybrid project in Rajasthan. The scope of work includes engineering, procurement and constructions of a 69.3 megawatts wind Balance of the Plant and 55 megawatts AC (75 megawatts DC) solar BoS, along with 132 kV/33 kV pooling substation. Our entry into w ind helps us provide holistic EPC solution for hybrid projects and opens up a new exciting segment for us.

The company achieved L1 status for a

turnkey solar project of 200 megawatts AC (260 megawatts DC) PV plant in Gujarat, India, from a leading PSU developer. The company has also received a Letter of Award for a PV plant in Rajasthan, India, from a domestic IPP.
Looking ahead, our India order pipeline continues to remain very strong, and we expect nearly 22- 23 gigawatts of orders to be bid out during this calendar year alone or in the next six to nine months. Over and above the solar EPC pipeline, we will continue to target BESS projects and select wind projects as well.
In the international market, our efforts are becoming more focused on select projects in select geographies, including MENA and Europe . And our pipeline has also, therefore, become smaller to devote our resources accordingly, which has resulted in a small decline in our overall pipeline compared to December 2024. Our unexecuted order value now stands at over Rs. 9,096 crores and continues to provide good P&L visibility for the forthcoming quarters. Over 84% of this order book comprises domestic Indian proj ects, while the international UOV comprises primarily two projects each in Europe and South Africa.
In terms of execution, our scale-up plans continue to remain on track, and the improved top- line of Q4 is a sign of our efforts, and we are committed to address challenges of increasing non-fund-based limits and achieving better open credit terms with the key suppliers. Thanks to our associates, partners, vendors and subcontractors, and our internal team members, for relentlessly working to achieve the Q4 top-line. We continue to judiciously evaluate projects in India and overseas and are mindful of having to remain patient in order to target profitable orders.
Moving to the Nigeria project, we are still awaiting final order signing and closure. Also, as has been mentioned in earlier calls, post order signing, we expect the project to take six to nine months to achieve financial closure.
We would like to reiterate that the lumpiness in order inflow is to be expected with EPC companies like ours, and timelines for achieving projects ’ closure could vary depending on a host of factors, including finalization of contractual terms, financial closures, etc.

Our O&M portfolio outlook remains strong, and our portfolio stands at 8.7 gigawatts as of March 2025. As stated in the previous call, our large stream of EPC projects, which are nearing completion in the next couple of quarters, will also feed a good pipeline of new projects for O&M, which should aid a meaningful pick-up in revenues in this segment from second half of Financial Year ‘ 26.
Moving to industry outlook. The Indian renewables story continues to make strong progress, and India will continue to be our single largest focus market. According to MNRE, the country's installed solar capacity reached 105.6 gigawatts as of Financial Year ‘ 25, just 35% of 300 gigawatts target set for 2030. Financial year '25 witnessed record -breaking additions of nearly 24 gigawatts in solar capacity, sharply up from 15 gigawatts in Financial Year 2 024. This surge was largely driven by utility-scale projects, which contributed nearly 17 gigawatts and is our core focus market. Despite the record achievement, the pace still falls short of annual run rate needed to reach 2030 target.
On the regulatory front, the Greenhouse Gases Emission Intensity Target Rules, 2025, sets a specific emissions intensity threshold across industries, reinforcing India's ambition to achieve Net Zero by 2070. There is a substantial financial and strategic i ncentive for industries, especially in steel, cement and aluminum to transition to renewable- based electrification, which, in our view, can continue to drive the private IPP market and C&I space.
As India integrates higher shares of intermittent solar and win

d power, the importance of grid stability has grown exponentially. Battery E nergy Storage Systems (BESS) are now pivotal to balancing supply and demand and ensuring a resilient grid. In a decisive move, the Ministry of Power has mandated that all upcoming solar projects include co -located solar storage systems with at least two hours storage capacity equating to 10% of the installed solar capacity. This initiative aims to improve grid reliability and will be essential to integrate the anticipated 500 gigawatts renewables capacity by 2030. The sharp decline in the cost of lithium -ion battery, bolstered by advances in technology and expanded manufacturing capacity, has also made BESS projects more viable.
Central Electricity Authority's National Electricity Plan outlines India's scale of storage ambitions, and the market is expected to grow exponentially in the next five years.
India's wind energy sector is also seeing a revival. A noticeable shift is underway in the structure of wind tenders. Increasingly, new capacity is being awarded to Firm and Dispatchable Renewable Energy (FDRE) projects, which combine solar and wind components and is a market we are increasingly looking to target.
While there are several positives, yet challenges remain. Competition in domestic EPC sectors has been pretty strong this

fiscal, but we have continued to hold our own with patience and
discipline. Domestic manufacturing of solar modules and cells have been trailing demand, and the DCR content requirement of cells poses a risk of pricing and availability. Proposed U.S. tariff has added another layer of complexit y, especially for our suppliers . And we are closely monitoring and working with our suppliers to mitigate pricing risk to the extent possible. With

a fast growing domestic market, and a strong balance sheet, we believe we are positioned to tap the growth.

With this, I will ask Ajit to take you through the consolidated financial highlights. Thank you very much.

Ajit Pratap Singh : Thank you, CKT. Thanks a lot. We are very pleased to report that the company achieved its highest quarterly revenue since listing, t hat's a big achievement . And our revenue has grown by around 114% year -on-year, that's more than doubled basically from last year, and 37% quarter -on-quarter to Rs. 2,519 crores , primarily aided by higher execution in domestic EPC projects and the new international EPC projects. For the full year also, we have seen substantial growth, and our revenue has grown more than double d, by 108% year -on-year to Rs. 6,302 crores . In respect of our gross margin, our consolidated Q4 gross margin was approximately 10.4%, while our full year gross margin was 10.1%.

Looking at the segment -wise result . Our full year domestic EPC gross margin has trended back to our target range of 10%, while our international EPC gross margin was approximately 8% because of certain legacy projects. Our O&M margin for the full year, if you see, that was approximately 21%, and there was a write-off of around Rs. 4 crores in the last quarter.

Our operational EBITDA, that is operating revenue less recurring overheads , was Rs. 158 crores this quarter , that's around 6.3% EBITDA margin ; compared to approximately Rs. 90 crores in Quarter 3 , and that is reflective of the operational leverage achievable through improving execution pace in the company. For the full year, we have achieved an operational EBITDA of Rs. 291 crores , viz-a-viz a loss of Rs. 13 crores in the last year. Reported Q4 EBITDA was Rs. 116 crores , that is 4.6% EBITDA margin, and that also got impacted by certain FOREX loss in the month of March 2025. For the full year, reported EBITDA was Rs. 276 crores ; that's a growth of impressive 411% compared to the last fiscal.

Quarter 4 profit before tax was Rs. 87 crores , and that's a g

rowth of around 112% sequentially.

And for the full year, our P rofit bef ore Tax was Rs. 163 crores , vis-a-vis the loss of Rs. 172 crores in the last year. Reported Quarter 4 PAT was Rs. 55 crores , and that's significantly high compared to last year. There was non -cash deferred tax asset charge of Rs. 18 crores in this quarter. We have been incurring this charge since Quarter 4 FY '24 due to standalone profitability. The remaining deferred tax asset on the books is approximately Rs. 23 crores . And we reported full year PAT of Rs. 86 crores compared to loss of Rs. 211 crores in the previous fiscal. As CKT alluded to in his opening remarks, we have continued to make positive strides in our execution scale-up as seen in Q4 results, and we will continue to do the same.

Now coming to balance sheet, our net debt has seen a marginal increase of Rs. 3 crores compared to last quarter and was at Rs. 178 crores at 31 st March 2025. Gross debt, however, has increased. We have taken a fresh term -loan from a bank worth Rs. 200 crores , and the disbursement was done towards the end of March '25. A nd that has also led to higher cash balance because that

loan was disbursed and we were keeping it in our books, and we have not utilized as on 31 March 2025.

With this, now we can open up the floor for questions -and-answers. Thank you.

Moderator: Thank you. We will now begin the question-and -answer session. The first question is from the line of Rohit Natarajan from Aditya Birla Sun Life. Please go ahead .

Rohit Natarajan: Thank you for this opportunity. My first question has more to do with a lot of projects of almost like 40 gigawatts of renewable energy is pending for PPA. So, will this impact the order inflow for FY '26 as such?

Chandra Kishore Thakur: So, the pipeline that we have indicated in my initial remarks, so the projects close to 22 - 23 gigawatts are slated to be bid out in Q1, Q2, that are not impacted because of the any other issues, PPA signing and other issues. I mean, the next quarters onwards it may, but in Q1, Q2 this does not have any impact on our order inflow.

Rohit Natarajan: If I look at the historical market share as such, would it be fair enough to say maybe we can clock out of this 22- 23 gigawatts total serviceable market, maybe 30% market share, 6 gigawatts

kind of order inflow should be possible?
Chandra Kishore Thakur: It's difficult to guide you at this stage because , historically if you see , the Q1 had been, I mean, witnessing the closure of the projects, which has spilled over from the Q4, right . So, there if you look at, I mean, out of 22 gigawatts , no new projects seem to be tendered out, only those projects are there in the market . And looking at our hit ratios, we are hopeful of getting better share out of, I mean , out of the projects that have been bidded out.
Rohit Natarajan: Got it. On the international front, the Nigeria order, we have been reading something about there are some import restrictions, local content policies, financial and currency challenges within Nigeria . And obviously, this has led to a prolonged delay and all the renewable energy projects in slow track in that country as such. A nd there do not seem to be like a near term fix for that , is that a cause for concern? Or do you see that probably we should expect further delays in this region to get further order inflows as such?
Chandra Kishore Thakur: I appreciate your concern. So, there have been delays, I mean , in the countr ies like African region, the things move slowly . But there is no negative news as such, even after the Trump tariff policy announcements, it's progressively getting delayed, that's it. So, I cannot say at this stage that the project is, I mean, has any negative news, should not really be a concern going forward.
Ajit Pratap Singh:

So, U.S. EXIM is still committed to the project; this is being funded by U.S. EXIM , and they are still committed for the project. So, there are delays, but there is no major concern we believe.
Rohit Natarajan: No, I was reading somewhere like the Nigerian Government was trying to promote the local manufacturing . So if you do not have the module and panels in there locally made, things can

possibly get further delayed . Plus, obviously, you have had Nigerian idiosyncratic issues like the currency issues, fiscal incentives not adequate enough, so I am talking about the country-specific issues that's the thing been lingering for a while?
Chandra Kishore Thakur: No, Mr. Natarajan, so I mean, since this is EXIM -funded project, right , and the supplies have to come from U.S. and other markets . And therefore, any local regulations on these supplies, I do not foresee that it will be deviating from the original terms and condition of the contract , that we have been discussing with them.
Rohit Natarajan: Got it. And sir, my final question is more to do with the financial results part on the non -recurring overheads, currency fluctuations part. I understand some 15% of the order backlog we still have in international exposure . If you could give us some guidance or some color on how these non-recurring overheads will pan out in FY '26? Plus, also the DTA impairment, how much further it is to be impaired in FY '26, will w e get back to the normalized tax rate as such?
Ajit Pratap Singh: Sure. So, in terms of non-recurring overheads , basically the portion is one -time write -off of bad debts and certain ECL provisions we have taken in the current quarter. In terms of FOREX losses, because the currency was very volatile in March, and these are primarily mark -to-mark translation losses , these are not the transaction loss, because of our exposure to our other subsidiaries in Dubai . So this is basically only a book entry, not the transaction loss. And what was your second question, sorry?
Rohit Natarajan: The deferred tax assets impairment .
Ajit Pratap Singh: Yes. In deferred tax, as of now , we have - basically this is due to the difference of the expenses which are not allowed in tax. P rimarily, as of now these are like provision for bad debts, leave encashment, provision for gratuity and provision for bonus. And as of now we have an outstanding amount of around Rs. 22 crores , Rs. 23 crores that is expected to be utilized next year or next one or two years.
Rohit Natarajan: Sure. That's it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Ganeshram Rajagopalan from Unifi Capital. Please go ahead .
Ganeshram Rajagopalan: Thank you for taking my question. I have two. This is just in follow -up to what Rohit had asked. The first one is on the foreign exchange loss, could you please detail that a bit more for us ? Because my understanding is that there are some hedges on the projects that you undertake and there is some amount that you give in terms of loans to subsidiaries that you do not hedge, but how come there is , I mean, this foreign exchange loss that you have incurred this quarter? And is this a ca sh loss or is this something that eventually, if the currency stabilizes, will be written - back? That's the first part.

The second is , on the deferred tax asset, could you please help us understand in more simpler terms as to exactly what this charge is? And maybe if I think ahead next year, what could be the extent of this charge? Just these two questions, please.
Ajit Pratap Singh: Yes. So, the FOREX loss, this is only translation loss, it is not the transaction loss, and it is not related to our operations. Basically, it is the exposure of what we h

ave as a standalone entity to our subsidiaries in Dubai. So the loans and advances given to them, that has been translated as on 31 March. A nd it is only a book entry, t he moment this currency will get stabilized, this will get squared off and will come back.
And on the second question on deferred tax, this has been created out of the expenses which are allowed as per the Companies Act, but not allowed as per taxation . And these are primarily the provisions which has been created for leave encashment, gratuity bonus, certain carry forward losses are also there. A nd this outstanding amount is around Rs. 23 crores , which will be utilized in next one to two years.
Ganeshram Rajagopalan: Understood. So, essentially you are saying another Rs. 23 crores that will be, I mean, prorated and extended over the year . So next year, if I look at FY '26, maybe Rs. 12 crores or something like that, that's what you are saying , is my interpretation correct ?
Ajit Pratap Singh: Yes. That will depend finally on the profitability how it is, but yes, we have Rs. 23 crores available to be utilized in future years.
Ganeshram Rajagopalan: Understood. And maybe if you could just tell us the non-fund limits, right, have the drawable limits and sanctioned limits changed?
Ajit Pratap Singh: Yes. So, as of now, we have a total non-fund -based limit of around Rs. 4,500 crores , as against the appraised limit that's very high, around Rs. 10,000 crores . Because now business is improving and margins are better, we are in constant touch with our lenders as well as some new banks to get sanction of some additional non-fund -based limits to help the operations.
Ganeshram Rajagopalan: Is there a timeline as to when that will be materialized ?
Ajit Pratap Singh: So, it will be gradual. We expect something to materialize in this month itself, basically in May, and in 1st Quarter some more limits might come.
Ganeshram Rajagopalan: If that happens, will you be able to execute around Rs. 2,500 crores a quarter sustainably , if you could highlight ?
Ajit Pratap Singh: So, that will have multiple factor. E xecution will be through non- fund-based limits as well as the open credit which we get from the vendors. So, depending on the execution speed and other factors, we can do the execution. So, non-fund -based limits is one of the factor. That will also help in getting new contracts. Basically, our non -fund -based limit is generally interchangeable between LC and bank guarantee. So, we can use judiciously wherever it is required to get new

projects and offer the bank guarantee for them or to give LC to our vendors and get more supplies.
Ganeshram Rajagopalan: I am sorry, I know it's a follow -up, but maybe let me just ask this another way, right? So, assuming you get the non-fund limits through, does this mean in Q1 and Q2 you can exceed your Q4 run rate, or will be muted compared to that?
Ajit Pratap Singh: So, last quarter, if you see, we executed more than Rs. 2,500 crores . It means we can execute even with the current limit Rs. 2,500 crores , if other factors are favorable to the company.
Ganeshram Rajagopalan: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Kunal Shah from DAM Capital. Please go ahead .
Kunal Shah: Yes. Hi, sir. So, a couple of questions. Now, the first bit, as the base has been like, reset for the company for F '25, how are we expecting the order inflow and revenues for F '26 in a base case scenario? Any revision or changes to the previous guidance?
Chandra Kishore Thakur: Yes. So, as you are aware that the renewable industries depends on host of factors . And while the Quarter 1 , Quarter 2 pipeline seems to be visible , a clear visibility for Q3 and Q4, project -by-project, is still to be worked out. While you can clearly see from the Natio

nal Growth Plan perspective, I mean, the overall opportunities in FY '25-'26 will be better than the last fiscal. And therefore, I mean, based on our trend, abilities and we, now, expanding into the wind and the solar, we clearly can foresee that, I mean, our order book position should be better than this fiscal.
Kunal Shah: Okay. Understood, sir. Just thinking a bit differently, let's say, we close with the Rs. 9,000 crores order book now. Out of this Rs. 9,000 crores, how much will get reflected in the F '26 as revenues based on the timelines?
Chandra Kishore Thakur: We can overall say that we will be exceeding this year's revenue target by 15% , 20% from the

UOV that we have on 1 st of April and the new orders will be coming. This is primarily because of many factors that is impacting the project commissioning and other things. But the growth prospect seems to be definitely better than this year's and , say, the growth would be something better than, I mean, in the range of 15% to 20%.
Ajit Pratap Singh: Yes.
Kunal Shah: So, F '26 over '25 should be 15% to 20% revenue growth, essentially?
Chandra Kishore Thakur: Yes.
Kunal Shah: Okay. Now, secondly, you mentioned on the fund and non-fund -based limits, like, now just when we start the year with this Rs. 4,500 crores non-fund -based limits, what is the revenue

potential basis that and some assumptions with respect to the open credit, etc. ? And secondly, for this 15% to 20% growth in terms of revenues, what are we factoring in in terms of our limits going up, basically during the first half of F '26, if any?
Ajit Pratap Singh: So, as of now, the limit is sufficient to meet our target. However, the moment we will get additional limits, our open credit we will reduce that because that's more expensive. Non -fund -based limits come at a better cost. And we expect some additional limits to come in 1st Quarter itself before June. And then, maybe some more limits will be tied up in Q2. So, we are speaking with the banks, existing lenders, as well as the new lenders. And we expect a good progress in terms of getting new non-fund -based limits. Fund -based limits we do not require. In fact, we do not get drawing power also because we are a negative working capital. So, we will require only non-fund -based limits for our business growth.
Kunal Shah: Understood. And is there any assumption of the open credit business that you will be doing for F '26? And what was it during F '25, if you could just help with that?
Ajit Pratap Singh: It's a mix of both, basically. Sometimes, like LCs, sometimes we give for three months , but we will get it paid in one month. So, we keep a judicial mix of both, open credit as well as the limits available. There's not a specific percentage that this much will be open credit, this much will be under non-fund -based limits. It depends on the availability, basically. And non-fund -based limits also, because it is interchangeable with bank guarantee and LC, so we use wherever it is requ ired both, for the growth. If we require more towards new business, we give bank guarantee instead of LC, using LC to vendors, and we get support from vendors to get the open credit.
Chandra Kishore Thakur: And that also depends on the project timeline, etc. , right .
Kunal Shah: Got it. And just lastly, there appears to be this constant volatility in the O&M gross margin business, like until last quarter, you thought we're nearing that 25%-odd steady state, b ut now there's some bit of dip this quarter again. Is there a one-off over here?
Ajit Pratap Singh: This is one -off for the quarter, but this O&M business, you have to see holistically for full year. For full year, we can safely assume this year we have done around 20% gross margin in O&M business; safely we can presume that we will be in 20% to 25% range i

n terms of O&M margin. This year, there were certain one- off expenses which we booked in the last quarter. That's why quarterly O&M margin is low, but full year it is 20%.
Kunal Shah: Understood. Yes, thanks. That's it from my side.
Moderator: Thank you. The next question is from the line of Sagar Parekh from OneUp Financial Consultants. Please go ahead . As there is no response, we will move on to the next question. It is from the line of Puneet from HSBC. Please go ahead .
Puneet Garg: Yes. Thank you so much. Just a follow -up on this, if you can elaborate on what kind of one -off expenses do you have to book in the O&M, which led to the fall in margins here?

Ajit Pratap Singh: So, there are certain provisions and one LD in one of the project s.
Chandra Kishore Thakur: Provisions in receivables.
Ajit Pratap Singh: Yes, certain provision in our receivables, that's what we booked in Q4 , and there was some LD s also which was booked in Quarter 4 , that has resulted in reduced margin for O&M.
Puneet Garg: Okay. Okay, sir. T hat's right. But you are saying 22% to 25% is the normalized margins one should run within O&M part of the portfolio?
Chandra Kishore Thakur: Correct. That's correct.
Puneet Garg: Secondly, if you can also talk a bit about any additional work that you are seeing from Reliance Industries?
Chandra Kishore Thakur: Yes. So, I mean, last time also we discussed and all of you are aware that we are doing their pilot project. So , for the portion of the project that was allotted to us, that is almost completed, under commissioning. A few of them have been commissioned. New parcel of land has been given to

us for say, around 9 megawatts , which is under construction now. So that's basically another pilot project. On the bigger size utility scale projects, we have submitted our offers, and they are under different stages of the planning and trying to understand that when the project s can be launched and all . But from our side, we have only submitted the offers. So, this is in the progress, you can say.

Puneet Garg: Okay. And is there an understanding that the project will come to you? O r can it go to the other vendors as well?

Chandra Kishore Thakur: Last time also I told you, this can go to other vendors, this can come to us, because the kind of pipeline they are discussing about, I mean, no such vendors in the country has that kind of capacity to, I mean, claim that he will be the only sole vendor - so it's not possible. So, they can decide based on the merit . And we believe that we are, I mean, very strong on our merit and therefore will get major portion of the orders should be coming to us. That's what I can tell you at this stage.

Ajit Pratap Singh: And just to add what CK said, the revenue guidance what we are giving, it is excluding Reliance and excluding Nigeria, without these two.

Puneet Garg: And lastly on the battery front, there have been a lot of new battery bids coming in at very low tariffs. Are you seeing the benefits of that , both in terms of newer orders and also lower cost on the battery prices for projects which you are executing?

Chandra Kishore Thakur: So, basically, the development of the projects that have been bidded out, right, around 9 gigawatts kind of projects have been allocated, right, to the various IPPs , but only a few of them have taken off. It is true that the lithium -ion battery prices have gone really historically down and that's the reason that the Government of India and the other s, in fact, in the other groups also

people are trying to move from intermittency to the fixed power kind of thing. So, either through the solar battery or through only BESS as an obligation in the existing solar plant, or the ot

her
establishments, or through maybe the solar, wind and battery. So, market tractions will happen, I mean, through these segments, that is for sure. And if you see the tariff, the fixed tariff , basically round -the-clock power tariff, if I say, so that is comparable to this, I mean, better than the fossil plant, that's what the people are claiming. So, market traction definitely will be seen in these segments.

Puneet Garg: No, no, what I am trying to understand is , other than the BESS projects with JSW, which is in the limbo currently, do you have anything else which you are executing on the BESS side?

Chandra Kishore Thakur: So, we have executed a few smaller projects for Reliance; we have executed a few projects outside India. So, currently, other than JSW, no. B ut frankly speaking, now there are a few tenders which are in the bidding stage. And having, I mean, got the very sound experience for the BESS projects domestically or internationally, we believe that we should be getting a few .

Puneet Garg: And can you give us a size of this opportunity here currently, which is available for tendering?

Chandra Kishore Thakur: So, see, currently the bids which are out , under process, they are around 100 -megawatt hour to 300 megawatt hour kind of things, few projects. But I mean, like NTPC is talking about 10 - gigawatt hour of the pipeline in next few years , so everybody is trying to understand that how it's going to impact the market, what kind of pricing will be there, so all those things . But since this obligation of 10% storage has come along with the solar plant, the market will definitely see the traction.

Puneet Garg: Understood. And lastly, one clarification, the J SW order is a part of your order book or is it still an MOU ?

Chandra Kishore Thakur: It's a part of our order book.

Puneet Garg: It's a part. Okay . And what is the value of that?

Chandra Kishore Thakur: It's around, I think, Rs. 234 crores. Around Rs. 250 crores. I do not remember the exact number, but it is, I mean, around Rs. 250 crores.

Puneet Garg: Understood. That's really helpful. Thank you so much and all the best.

Ajit Pratap Singh: Thank you.

Moderator: Thank you. The next question is from the line of Nirav Vasa from ASK Investment Managers. Please go ahead .

Nirav Vasa: Hello, and good morning, sir. Sir, my question pertains to the non-signing of PPA. The quantity of projects for which the PPAs have not been signed is quite huge. So, I wanted to understand your perspective, according to your understanding, why are the PPA s not being signed?

And the second part of my question is, like, how strong is the transmission and evacuation capacity in the country? The pace at which we are increasing the renewable capacity, is the transmission and evacuation capacity is working with the same length? These are the two questions that I have. Thank you.

Chandra Kishore Thakur: So, basically, this question does not pertain to EPC company, right, because EPC business comes only when the projects are basically in the market. So, you are right. But as the overall business , macro level if you analyze, then signing of PPA, which is tariff adoption, and the connectivity issues, so those are two areas which have been, I mean, primarily from the last couple of quarters, if you see, those have been impacting the expeditious devel opment of the project.

So, why is it happening is maybe basically because of , I mean, it's not our area to answer this question, but , I mean, just for the macro perspective I can answer you. That's basically the tariff adoption takes place in the state government, right , so it is for them to adopt the tariff. And some of the states, they feel that, I mean, because of the declining price and all, it's becoming difficult for them to adopt that. So, they are just taking a l

ittle , longer time . But the Government of India has been harping on every state government to expeditiously sign and adopt all the tariffs, right? So, that is one area.

On the development of the transmission systems, so there is a committee set up, I mean, Nodal Committee and all. So they are trying to ensure the grid stability, how the green corridors can be maintained . I mean, huge investments are there, a ll those pipeline projects are under advanced stage of construction and all. It will take some time . But temporarily, I mean, you are right that there is a jerk on the development of the PPAs that are stuck up because of the tariff reductions or some of the projects because of the transmission lines.

But otherwise, I mean , if you see that this year's target, the target was a little more than what , at a country level, that people have achieved. Otherwise, the solar capacity could have easily gone beyond 24 gigawatts that has been achieved this year. So, those are the micro things that are impacting the business development, but it's okay. I mean, other than that also, there are enough business pipeline that is being seen.

Nirav Vasa: Sir, but on one side, around 40 gigawatts of capacity doesn't have PPA, 26 gigawatts is what we add through the year. Maximum 30 gigawatts , 35 gigawatts of solar capacity can be added in a year as per my assessment. So, effectively, we have practically one year's capacity, for which PPAs has not been signed. So, according, in the light of this scenario, what are the chances that the impact of this can com e on the entire ecosystem, including EPC contractors ? Any delays in projects, any changes in terms, how do you see that?

Chandra Kishore Thakur: So, the number of projects that we have in hand, they are not impacted, right, the UOV. The number of projects that we are targeting in this financial year, they are also very clear. I mean, our share, if you see there from IPPs and from C&I sectors, the C&I secto rs are not impacted, the open access projects are obviously impacted . But then there are enough number of PPA and

connectivity already signed, like NTPC and all. So, they are all in the solar park , so they are all, I mean, through. So, the government tenders are not impacted because of that.

So basically, at the minor level if you see, yes, there is jerk. The people are worried about, for sure. But then, on the broader levels, then companies do not have any options, we have to meet the target of, 300 gigawatts by 2030. That calls for around 50 gigawatts of bidding every year, and execution of say, 35 gigawatts to 40 gigawatts , right . So even if there is a shortfall, there would be enough space for all us to play, right? So, that's basically the point.

Nirav Vasa: Thank you very much, sir.

Chandra Kishore Thakur: There will be a shortfall, but then we have enough space to play around.

Nirav Vasa: Thank you very much, sir.

Moderator: Thank you. The next question is from the line of Purva Jhaveri from OneUp Financial Consultant. Please go ahead .

Purva Jhaveri: So, I wanted to ask , how much of the order book is in Khavda? And what is the risk to the project execution if there is India-Pakistan war?

Chandra Kishore Thakur: India -Pakistan is a very --

Ajit Pratap Singh: Highly speculative.

Chandra Kishore Thakur: It's a very interesting question. I think, I mean, it's not, I mean so far logical to discuss this question in this call , right? I think I will skip this question , I am sorry.

Purva Jhaveri: But at least can you say how much is the order concentration in the Khavda order book concentration?

Chandra Kishore Thakur: Order book concentration is around 4-plus gigawatts in Khavda, and they are at different stage of the project. Yes, mostly completed, correct.

Ajit Pratap Singh: Our project i

s mostly completed in Khavda, so we are in advanced stage of execution.
Purva Jhaveri: All right. Thank you.
Moderator: Thank you. The next question is from the line of Subhash B . from Value Investments. Please go ahead .
Subhash B. : Okay. Sir, my first question was about the wind EPC order that you have got, the hybrid order. So, I think, three quarters ago I attended your concall and I asked you a question, whether you would be interested in wind EPC sector as well. But you clearly s aid that you are concentrating only on solar EPC and not on wind EPC. So, what changed this decision for you to take the

hybrid order? And also, I think the wind EPC has lesser margins than solar, right , so do you still stick with the same margin guidance of 10% odd, if you win more wind EPC orders?
Chandra Kishore Thakur: No. So if you can recall, I mean, we would have discussed this point. So, risk in the wind is basically from the wind turbine side, right , so land-related risk, access risk and the performance of the wind turbine. Our strategy for wind business is very clear , we are not going for procurement of the wind turbine or doing the land access . And it's only the BoS that we are, I mean, concentrating on. And this order is also for the BoS. So this is ample space. T he wind business overall growth is seeing , a huge traction . The BoS part which could be around 30%, 40% is also a good space for us. So, there is no risk as such. So, that gives the USP to basically provide a holistic solution to our customers.
Subhash B.: So, are the margins similar to our EPC or does it change, does it reduce?
Chandra Kishore Thakur: You see, the margin in the BoS, it's a similar job. So, solar BoS or the wind BoS, I mean, the equipment remaining same, the business remaining same, the margin remaining same.
Subhash B.: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead .
Mohit Kumar: Hi. Good morning, sir. And thanks for the opportunity. My question is on, what is the progress on NTPC execution? A nd how much is the order still to be executed? And have we commissioned the Khavda 1.3 gigawatts in this quarter?
Chandra Kishore Thakur: This quarter means, you say before June, right?
Ajit Pratap Singh: Yes.
Mohit Kumar: Before June, are you expecting to commission in this particular Q1 FY '26?
Chandra Kishore Thakur: No, so out of the total 3 gigawatts , yes, you are right, so slightly over 3 gigawatts . So, around 2 gigawatts for sure it will be commissioned . And another 1.2 gigawatts , they are at various stage, but then, we are still expecting modules to be supplied by them, right? So, if they are able to supply the modules in next couple of weeks, this can be seen, right, the commissioning is possible before, I mean, June. Otherwise, this may spillover. This is not basically because of our side. Our side, we are almost, you can say, we are in the advanced stage of installation of other things. Some of the interrelated work which can happen only after module is installed, that is only left out, like some cable connections and all those stuff kind of things. So, we are expecting the modules to be supplied soon, so that we can finish the project. But from our side, all civil works, everything, to that extent, is complete.
Mohit Kumar: Just to clarify, you are talking about 1.2 gigawatts commissioning in Q1 FY '26 and the balance later, is that right?

Chandra Kishore Thakur: So, I say that over 2 gigawatts will be commissioned before June, in June, and 1.2 gigawatts can spillover.
Mohit Kumar: Understood, sir. My second question, if I may ask, how is the opportunity looking in the Middle East? Of course, given that we understa

nd that the opportunity is very high, do you have the appetite to participate in the region again or can you just please throw some light?
Chandra Kishore Thakur: We are just evaluating this Middle East market. So, I mean, no doubt there is a huge opportunity; the project size also, it is a huge project size they are coming up, particularly in Saudi and the Middle East, right, Abu Dhabi and Dubai and all those such places. Two reasons that we are now keeping away from this market is that a lot of Tier 1 EPC players got into this market, and they are operating at a very lower margin. That is not our appetite. Number one.
Number two, the terms and condition of the contracts, they are not conducive. So, it is basically a lenders -driven market, right? It's very stringent terms and condition in terms of penalties, acceptance or in terms of the BG requirement and all. Therefore, we are just watching the market to get corrections . And then, as far as experience is concern ed, we have huge experience. We were the first to get the largest site of project in Sweihan , you know, you are aware, over 1 ,000

megawatts capacity. So, we have the office, we have our team, but right now, we are not bullish in this Middle East market.
Mohit Kumar: Understood, sir. Thank you, and all the best, sir. Thank you.
Moderator: The next question is from the line of Rishikesh from RoboCapital. Please go ahead .
Rishikesh Oza: Yes. Thank you for the opportunity. Sir, my first question is, if you could guide just what should we have as interest expense for FY '26?
Ajit Pratap Singh: So, if you see, current year, this has ranged between 1.2% to 1.7% of revenue and we believe that will be in the same range for next year also. The interest expense, what you see in the balance sheet is not exactly only on the debt, there are certain other interest also which includes interest on advances, interest on LC discounting and some bank charges, vendor financing. S o all those interests are there. So, interest cost you cannot per se link with the debt outstanding. Interest has a lot of other components also, as I mentioned. And overall guidance will be in the same range,
1.2% to 1.7%.
Rishikesh Oza: Okay. Secondly, on Nigeria, could you update exactly what is the status there ? And by when can we see the agreement to happen?
Chandra Kishore Thakur: So, I have just explained some time before, I am not sure whether you were there. I mean, it is very, clearly spelt out that , I mean, these things are getting delayed procedurally and it may take some time, right . But the project is on. It is difficult to say when to sign off the contracts . But I mean, it will take six to nine months after signing the contract for financial closure and then to get the NTP.

Moderator: Thank you. Sorry to interrupt. I would request you please come back in the queue for further questions. The next question is from the line of Bhavik Shah from MK Ventures. Please go ahead .
Bhavik Shah: Sir, I have few questions. Sir first is, what will be your order inflow in FY '26 ex of Reliance? And sir, how much time does it take for an order, like Reliance, to achieve financial closure once we get the order? And the third is, sir, what is the repeat of indemnity we are aiming in FY '26? And my last question is, why is the other income negative?
Chandra Kishore Thakur: So, I will answer for the first question first, and then Ajit will take up further another two questions. So, financial closure is not something which pertains to me. So it's basically, Reliance, once the project is concluded, the EPC order that we will go for. And I do not think that's basically an hindrance for Reliance projects to come up, right?
Bhavik Shah: So, you can immediately start with the project --
Chandra Kishore Thakur: Come back again, please.
Bhavik Shah: So,

will you be able to start with the project immediately as you get the project?
Chandra Kishore Thakur: For us, yes , the moment the project is awarded to us, as per the project timelines we can start doing the work.
Bhavik Shah: Okay. Yes. And sir, the other questions?
Chandra Kishore Thakur: Ajit, other two questions for you.
Ajit Pratap Singh: Sorry, can you repeat, if you do not mind?
Bhavik Shah: Yes, yes. So , what will be your order inflow for FY '26, excluding Reliance? How much repeat of indemnity we are able to get in FY '26? And why is the other income negative?
Ajit Pratap Singh: So, as we indicated, FY '26, we are looking for a growth of around 15%, 20% in terms of overall order intake.
Bhavik Shah: And I think that was for revenue, not for order intake.
Ajit Pratap Singh: Order intake also the same growth we are looking at , around 15% to 20%. In terms of indemnity, nothing has been crystallized. And yes, so crystallized indemnity is not there, but around Rs. 850 crores we can expect to receive, that has been intimated to the promoters and that should be due in September.
Chandra Kishore Thakur: No, so that will be based, I mean, it's the outflow from the project.
Ajit Pratap Singh: Rs. 850 crores is the current outflow from the project?

Chandra Kishore Thakur: So basically, I mean, the number that we see, that Rs. 850 crores is the outflow from the project, which is at the various levels of the litigations, understanding and all those things . Once crystallized, I mean, our expectation from the client is Rs. 850 crores. So, if out of Rs. 850 crores if something is falling short of, that will go to indemnity. And once the order comes in our favor, it will go to the project company.

Bhavik Shah: Understood. And sir, why's there negative other --
Moderator: I am sorry to interrupt, Mr. Bhavik, please come back in the queue for further questions. The next question is from the line of Faisal Hawa from H.G. Hawa & Company. Please go ahead .
Ajit Pratap Singh: And yes, one more question was there linked with other, other income is negative because of the FOREX loss that got configured over there. The FOREX loss has been adjusted against other income, that's why it came negative, for the quarter, not for the full year. For the quarter, it is negative. For the full year, if you see , it's a positive Rs. 39.6 crores other income positive.
Moderator: Yes, sir. Mr. Faisal, please go ahead with your question.
Faisal Hawa: Sir, what is the kind of reduction we are expecting from our fixed cost, like our c entral office expenses ? In view of so much competition coming on from other players in EPC, is there any chance that these expenses could be cut down , so that we are much more competitive for newer orders?
Ajit Pratap Singh: We will work on that, but as of now we will not indicate any reduction. We will continue with the same trend what we had in the last year.
Faisal Hawa: And sir, are there any international orders that we are bidding for also? A nd what is the size of those orders that we have already bid ? And have you budgeted for any wins there?
Chandra Kishore Thakur: Yes. So as I have told you that, I mean, our focus is more in the domestic market. International market, we are very select in a very select geography. And only those orders we are targeting which are very conducive to our requirement, right? So, good terms and condition, better payment terms, no t much risk. So, having burnt our finger in past, so we are very careful. So, if you see the last year, the order inflow, it was over Rs. 1,000 crores , before that in previous year also it was over Rs. 1,000 crores. So we are targeting the range of Rs. 1,000 crores to Rs. 2,000 crores orders if it keeps on coming from Africa and the European market. European market means, we say

that the Iberia, Balkans regions where not many players are there and then you can still command some better margins. So, only those regions we are targeting.
Faisal Hawa: And after appointing the new CFO, are we also trying to plug-in positions from people who have resigned in the last six to seven months ? Or we will let those posts be vacant mostly or just promote from the organization upwards?

Ajit Pratap Singh: So, I am reviewing the entire org chart and there would be some new recruitments also in certain key positions . And whatever we can manage with the additional resource, we will continue to manage it then.
Faisal Hawa: And is there a chance that Reliance --
Chandra Kishore Thakur: Just to supplement Mr. Ajit's answer . So basically, the organization is not starved off, so few people leaving us here and there does not impact the business - day-to-day business, right? But always, as you grow in size, there would be always requirement to see that if the fresh blood is required or something like this . But there has not been a mass exodus kind of situation and that's not really alarming us, very frankly speaking, yes.
Faisal Hawa: And is there a chance that we could get some large orders from Reliance in the first half itself because we have done the first pilot for them?
Chandra Kishore Thakur: No. So we have done the first pilot, a few projects are under bidding stage. It's difficult for us to assess at this stage that it will come in 1st Quarter or 2nd Quarter . But yes, the team is working from their side, from our side . We are engaged, again, fully. A nd we are working on this.
Faisal Hawa: Thanks for answering my questions so well, sir.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. With that, we conclude today's conference call. On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. We thank you for joining us . And you may now disconnect your lines. Thank you.

Call: Jul 2025

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July 24, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Dear Sir/ Ma'am,

Sub.: Investors Call Q1 FY 26 - Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

In continuation to our letters dated July 11, 2025 and July 18, 2025, please find enclosed the Transcript of the Investors Call held on Friday, July 18, 2025 at 10:00 a.m. (IST) on the Unaudited Standalone and Consolidated Financial results of the Company for the quarter ended June 30, 2025.

The same is available on the Company's website at www.sterlingandwilsonre.com .

Request you to take the same on records

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer

Page 1 of 17 "Sterling and Wilson Renewable Energy Limited Q1 FY '26 Earnings Conference Call" July 18, 2025 E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 18th July 2025 will prevail. MANAGEMENT: MR. C.K. THAKUR – GLOBAL CHIEF EXECUTIVE OFFICER MR. AJIT PRATAP SINGH – CHIEF FINANCIAL OFFICER MR. SANDEEP THOMAS MATHEW – HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good morning, and welcome to the Sterling and Wilson Renewable Energy Limited Q1 FY '26 Earnings Conference Call. Please note, this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance of the company and it may involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Sandeep Thomas Mathew, Head of IR, for opening remarks. Thank you, and over to you. Sandeep Thomas Mathew Yes. A very good morning to all, and welcome to our Q1 FY '26 earnings call. We have with us today Mr. C.K. Thakur, our Global CEO; Mr. Ajit Pratap Singh, our CFO; and SGA, who are our IR Partners. We will start today's call with key operational highlights for the quarter and the industry outlook, followed by the financial highlights post which we will open for Q&A. Thank you, and over to you, now C.K. C.K. Thakur: Thanks, Sandeep, and a very good morning to all the participants on this call. I shall begin with a quick update on our business operations and outlook. FY '26 is setting up to be a very good year for the domestic solar EPC market from the strong bid pipeline that we are seeing buildup. Awarding activities from both PSU and private IPPs is expected to begin to gain strong traction soon compared to the relatively quiet first quarter that we have seen for us and the market as a whole since bidding activities got pushed out due to various reasons, including escalating border conflict among others. This push out has resulted in our bid pipeline growing significantly, and now exceeds 30 gigawatts, including over 26 gigawatt pipeline for India alone. We expect the majority of this domestic pipeline to be awarded before December '25. Over and above the solar EPC pipeline we will continue to target BESS projects and select hybrid wind EPC projects as well. Our international pipeline also appears very promising, and we have been focusing on select PV and BESS projects in Africa and Europe. We started this fiscal year by bagging our first turnkey orders when we were declared L1 for a 290-megawatt projects in Gujarat worth approximately INR813 crores from a leading PSU. On the execution side, our teams have been making good progress and commissioned over 1 gigawatt of projects in Q1 alone. In terms of execution, our scale-up plans continue to remain on track and the improved top line of Q1, which has grown 93% year-on-year is reflective of the same. Ajit will also update you on some of the positive results of our efforts to increase non-fund-based limits during this quarter. Our unexecuted order book was approximately INR8,348 crores as of June 2025 and is expected to improve going forward with a pickup in domestic and international order inflows. Over 88%

of this order book comprises domestic Indian projects while the international UOV comprises primarily 2 projects each in Europe and South Africa. I'd like to reiterate that we continue to judiciously evaluate projects in India and overseas and are mindful of having to remain patient in order to target profitable orders. Our EPC business is lumpy in terms of order inflow, and time lines for achieving projects closures could vary depending on a host of factors, including finalizations of contractual terms, land and transmission availability

related issues. Our O&M portfolio outlook remains strong and continues to steadily increase. Our current portfolio stands at 9.3 gigawatt as of June 2025. As we commission our large stream of EPC projects, which are nearing completion, it will feed our O&M portfolio and should aid a meaningful pickup in revenues in this segment from second half of FY '26. In addition to our organic O&M portfolio growth, we are also targeting strategic third-party O&M contracts, which can be accretive to our existing portfolio, both in India and overseas. Now moving to industry outlook. India's clean energy journey has been nothing short of transformative thus far. Over the past decades, the country has recorded a remarkable surge in solar energy capacity, expanding from just 2.8 gigawatts in 2014 to 105 gigawatt by financial year '25. We have also witnessed a sharp decline in solar tariff, which have plummeted by nearly 80% from INR10.95 per unit in 2010 -- 2011 to just INR2.25 per unit today. This unprecedented cost reduction has made solar, even when coupled with the battery storage to provide round-the-clock solution, more affordable than conventional thermal power - fundamentally, reshaping the country's power economics. Reflecting this momentum, renewable continues to command an overwhelming share of all power sectors investments. India has also emerged as the world's top destination for clean energy financing. Clean energy investments have been growing rapidly, which is a testament to the investors' confidence in India's green energy future. Given India's renewable energy ambitions, it is clear that the pace of new capacity additions will continue to remain strong for India to achieve 300 gigawatt target by 2030. We are also seeing firsthand, the ambitious plans of some of our clients driving this growth. For example, the Government of India has laid out an ambitious road map to significantly scale up NTPC's green energy portfolio, aiming to expand its current renewable capacity from 6 gigawatts to 26 gigawatt in the near term with a bold target of reaching 60 gigawatt by 2030. In a major policy boost just a few days ago, the Cabinet Committee on Economic Affairs approved enhanced investment threshold for both NTPC and NLC India, signaling a strong intent to accelerate the clean energy transition. On one hand, while the integration of renewal energy is gaining strong momentum, a challenge of grid stability is going to become increasingly pronounced. The 2025 blackout in Spain stands as a cautionary tale. It underscores the vulnerability of power systems, heavily reliant on renewables without corresponding investments in grid forming technologies and robust energy storage solutions. This incident serves as a reminder that the clean energy transitions must be underpinned by parallel advancements into both grid infrastructure and storage system to ensure

long-term reliability and resilience. In this context, battery storages are emerging as a vital enabler for renewable energy integration. The Government of India is actively advancing policies around this, while also promoting circularity in solar and wind component life cycles and exploring green hydrogen potentials. This plays a crucial role in grid stabilization, power optimization and ensuring round-the-clock electricity supply, particularly as renewables penetration increases. Encouragingly, the cost of battery storage has come down dramatically from INR10 lakh to around INR2.5 lakh per megawatt per month, making it more viable than ever before. Despite the progress, India's installed BESS capacity remains modest at just 205 megawatt. However, a significant pipeline is building up, 3.3 gigawatts of projects are already lined up and another 12.5 gigawatt is currently under various stages of tendering processes. The country has set an ambitious target of achieving 74 gigawatt of BESS c

apacities by 2031, '32, which will be instrumental in balancing the intermittency of renewable power generation. Ministry of Power recently launched the second tranche of Viability Gap Funding scheme aimed at catalyzing the development of 30 gigawatt hour of BESS projects backed by a budgetary allocation of INR5,400 crores. Of this, 25-gigawatt hour will be distributed across 15 states, tailored to their individual storage requirements, while 5 gigawatt hour has been earmarked for NTPC alone. These projects are expected to be commissioned within 18 months from the signing of the battery energy storage purchase agreement or power purchase agreement reflecting the urgency and seriousness with which India is approaching storage deployment. Beyond batteries, the government is also reinvigorating pumped hydro storage. It aims to add around 3,000 megawatts of hydro pumped storage capacity in the near term with a broader objective to scale total pumped storage capacity to 50 gigawatts over the next 5 to 6 years. These developments signal a comprehensive strategy to strengthen India's green infrastructure and make the power sectors future ready for high renewables landscape. On the international EPC side, we are increasingly seeing attractive opportunities opening up primarily in Africa and Europe. We are also seeing a good number of European BESS projects to complement the renewable spurt seen in the market. Our current progress in ongoing projects has also been very positive. And with this, I'll ask Ajit to take you through the consolidated financial highlights. Thank you very much. Ajit Singh: Thank you, C.K.T. We are very pleased to report a very strong first quarter performance with a top line growing around 93% year- on-year to INR1,762 crores. Sequential decline in revenue is attributable to seasonality impact, since Q1 is usually slower than Q4. We also wish to thank our employees, suppliers, contractors, other stakeholders who put their utmost efforts to achieve this strong revenue growth in this quarter despite the disruption in various projects caused by cross-border conflict. Our majority of the projects were in Rajasthan and Gujarat and those were disrupted for around 40, 45 days. Despite that challenge, we could achieve this revenue growth. All 3 segments,

domestic EPC, international EPC and O&M contributed to the strong performance in quarter 1. With respect to our gross margins, our consol Q1 gross margin was approximately 11.7%, while our FY '25 gross margin was 10.1%. So this has moved from 10.1% to now 11.7% first quarter. Softening of some key input costs helped gross margin positively during the current quarter. Looking at it segment-wise, our domestic EPC gross margin was 10.8%, and that's above our target range of 10%, while our international EPC gross margin was approximately 12.3% and more reflective of the steady-state margin profile of that segment. Our O&M margin trended back to now 23%, which is, again reflective of a recurring margin profile of that segment. Our operational EBITDA, which is operating revenue less recurring overheads, amounted to INR123 crores this quarter, that 7% operational EBITDA margin compared to approximately INR25 crores we have seen in quarter 1 FY '25. And for for Q4 FY '25, it was INR158 crores. Our recurring overhead has been steady at INR83 in Q1 compared to INR77 crores in Q1 FY '25 and INR105 crores last quarter. Reported Q1 EBITDA was INR102 crores at a 5.8% EBITDA margin and up 175% year-on-year compared to INR37 crores in Q1 FY '25. And is very close to INR116 crores reported in Q4. Reported Q1 PAT was INR39 crores compared to INR5 crores for same period last year and INR55 crores in the prior quarter. The tax expense has been high during the current quarter due to higher stand-alone profitability in SWREL as well as in South Africa and Spain projects. Now coming to balance shee

t. Our gross borrowings have declined during the quarter due to start of repayment of our IREDA loan. Our net debt has increased by around INR205 crores during the current quarter. Because last quarter, we've taken disbursement from Bank of Maharashtra for INR200 crores, and that amount was utilized in the first quarter. A key development that I would like to highlight is a two-notch rating upgrade to BBB+ that we have received for our working capital facilities and term loan. We have also made progress on our banking limits front and have obtained fresh sanctions from 3 new banks for around INR900 crores, plus surety bonds of around INR200 crores we have got. We have also received favorable indications from our existing consortium banks as well as few new other banks for a request for additional credit lines. Our improved credit rating has also helped us in getting our LC and BG charges reduced going forward, and we have made significant progress in that direction with some of the consortium members. With this, we can now open the floor to questions and answers. Moderator: Thank you. We take the first question from the line of Kunal Shah from DAM Capital Advisors Limited. Please go ahead. Kunal Shah: So just a couple of things. So one, on the muted order inflow bit, could you just help -- I mean you did touch upon it, but was it more to do with the overall tendering activity being soft? Or are you still letting go off orders due to aggressive competitive intensity? And related to that, how do you see now for the full year order inflow shaping up? Like, do we maintain the previous guidance?

C.K. Thakur: Yes. So primarily the order has been pushed from the last few quarters to Q1, to maybe Q2 also, mainly because of few reasons, one prominently could be the ALMM II requirements for the cell and industry just watching to see that how the domestic solar modules could be produced and what price and all. So all of the developers have applied for the relief on the time lines for the projects. That is one of the reasons. The other reasons for the projects being pushed to quarter 1 and quarter 2 is basically some of the connectivity’s issues, so connectivity’s which were all planned by March 2025 have been pushed towards '25, '26, particularly in Rajasthan and Gujarat - some of the large size substations and all. So from our side, although the Q1 has been a little lumpy, but we are sure that with all the push to quarter 2 and quarter 3, there would be large opportunities, and we are well placed to follow the guidance that we have given to the investors. Kunal Shah: Understood. Just wanted to confirm, you mentioned about relaxation on ALCM time line, right? What we are sort of trying... C.K. Thakur: Yes. So deadline for the ALMM II on the cell has been decided by ministries as 1st June 2026 right. And I mean, you see the total capacity in the country, I mean, not basically, as of now, the manufacturing capability and other things are not up to the scale to that level that can meet the requirement of the country's development plan. So therefore, I mean, people have been approaching to extend the time lines. Now if that happens, then there is a confusion on the pricing on the module side, whether the pricing that could be considered in the international modules or international sales with the domestic tolling or maybe the purely domestic. So that's the reason basically, and all of them have been just watching, right. So this is the reason basically mostly that the development projects have been shifted, in fact, from last quarter to quarter 1, maybe a few of them will go to quarter 2. But quarter 2 pipeline seems to be very, very strong. Kunal Shah: Understood. This is very helpful. Second on the cross-border tension, could you just highlight on the quantum of revenue impact here? I mean, because you mentioned about 15 to 20 days of impact. I missed

that number, but could you just highlight on the revenue impact here? C.K. Thakur: Yes. So we could have done better than what we have been showing now. From the last week of April to the May almost full, the entire projects, bordering Pakistan, I mean, like Gujarat and Rajasthan projects were evacuated. And again, it was remobilized. So, we lost the productivity for, let's say, for 40, 45 days. And that has definitely impacted our revenue generation for this quarter. Going forward, because of monsoon, some impact could be there, but primarily, we feel we are very strong and we will make some adjustments because of monsoon and all, but nearly we should be on our target. Kunal Shah: Understood. And one last thing on the banking limits, like over the last 12-odd months, there has been like a slew of ratings upgrade consistently, but the commensurate increase in limits -- actual available limits from the banks has been like very slow. So how do you think of LCs opening up over the next 3 to 4 months? Like could you just help with the current positioning? And how do you see the non-fund-based limits opening up?

Ajit Singh: So this year, we have seen quite good progress this quarter, rating got upgraded now to BBB+ and that has helped us in achieving new sanctions for around INR900 crores from new banks who we are going to add in our consortium. Over and above, we are also speaking to our existing consortium members, as well as few new banks, and we are hopeful to get additional around INR1,500 crores lines in this year. Kunal Shah: So you're saying INR900 crores plus INR1,500 crores is the total number, right, that we are looking at? . Ajit Singh: Right. Over and above, we also got surety bonds from insurance companies, 3 insurance companies we have inducted and now using surety bonds also -- as the replacement of our EMD and performance guarantee requirement. Kunal Shah: Understood. And just one last bit on the bookkeeping, like you mentioned about softening of input costs in your presentation for the reason for improvement in gross margin. Now could you just touch upon here, like what are these costs, I mean, in that sense? C.K. Thakur: Yes. So what Ajit had mentioned about the input cost is basically a few of the orders that you had was with the turnkey solutions, right, so including the modules and all. So, because of the tariff war and all those things, U.S. imposing and others. So there was a good amount of the modules available in the market, right? So because of the overall requirements -- demand issues, so the module prices have gone down. And some of the modules that -- the portions of modules that were supplied during this quarter that has given us advantage. So on our normal way if you see them, you could have achieved probably what was the stated margin on the project, but the softening of some of the raw material costs like the module prices and all, that has supported us to increase our margin on the projects. Kunal Shah: Sir, just -- sorry for one of this follow-up, but it should not benefit or the margin should not be upwards or downwards, right, because of the back-to-back billing. So could you just help here because irrespective of module pricing going up or down, because we are doing back-to-back billing to hedge ourselves, why should it even be advantageous? C.K. Thakur: So basically, when we have got the project, it was ex-price of module suppose, right. And we have seen that we had cushion in the project schedule. And going forward, then we renegotiated the price of the modules. And the price that was fixed, I mean, have gone under change to take advantage of the existing market price. That was our business strategy and that has supported us to increase the bottom line. Kunal Shah: But sir, this strategy can work the other way around as well, right, in case if there is any inflationary bet on the modules. So just wanted to und

erstand. C.K. Thakur: No, but then the order was not stopped. The order was already, I mean, placed. So we were, in any case, protected. Kunal Shah: That's it from my side. This is very helpful. Sorry, sorry, go ahead.

C.K. Thakur: Yes. So you have around 1 to 2 months' time between the order placement and all this kind of understanding. So that has supported us to renegotiate better and get the pricing. Ajit Singh: So there has been a difference between we getting the order and placing order for modules - that also help us in better negotiation of terms. Moderator: The next question comes from the line of Akshay Mane from Nuvama Wealth Management Limited. Akshay Mane: So just wanted to understand, just sort of follow-up question from the point of view where the order inflows were lower in this quarter. I mean, going ahead, I mean, we've always maintained that order inflows of around INR6,000 crores to INR8,000 crores for full year. Can we expect a similar guidance for this year as well? C.K. Thakur: Yes. So last call, if you can recall, so we are giving guidance to the market that we will be growing at 15% to 20% on a year-on- year basis. So for sure, I mean, what was achieved during last financial years, we will be doing better than the last ones at the rate of, say, 20% growth on the order booking. Akshay Mane: Okay. Okay. And another thing, see there was this news regarding the ISTS waiver getting expired now. Is there any further update on extension of the same or if there is any clarity on that policy, which will actually hamper further round of bidding or any of that sort? C.K. Thakur: Firstly, also I think this is one of the reasons, apart from the ALMM II that I spoke. So connectivity is also an issue. So, one, that the infrastructure readiness is getting delayed. Other is that the ISTS waivers, people are seeking approval for extension, which has not been given as of now. But then the industries, particularly in C&I sectors, they are expecting that this to come, right, so that they can get the -- I mean, the advantage on to the tariff that they have committed in terms of pricing and all. So yes, you are right. So the ISTS waivers, of course, not announced as of now, but this is impacting the overall growth of the industries. Akshay Mane: Okay. And lastly, our other expenses were slightly on the higher side. Do we have any other exceptional item in the other expenses this quarter? Ajit Singh: Yes, Akshay, we have impaired some of the receivables on a conservative basis, around INR21 crores, for one of our international projects. That's why other expenses was a little high. So if you remove that, then we are in line and consistent in terms of our recurring overheads. Akshay Mane: Okay. Okay. And just lastly, any update on the couple of projects? I mean I think there was this NTPC project where we were facing delays because of module supplies. So, I believe that would have been sorted currently? C.K. Thakur: So basically, out of 2 projects, one project Khavda 1 has almost been sorted, hardly 100-megawatt module supply is still pending. But Khavda 2, yes, it is not sorted because we thought of the project getting commissioned by June, July, but the module supply has been delayed. And around 200-megawatt kind of modules have been supplied and rest is underway. The monsoon is still impacting. So the project would be further going on. But then because of all such delays, we have given very strong notice for time extensions and the claim to NTPC. So in any case, on our project finances because of delays on account of the customer input is not going to impact us. Moderator: We take the next question from the line of Puneet from HSBC. Puneet: My first question is, in your overall order book, what percentage of value is the projects with modules? C.K. Thakur: Perc

entage-wise, see 2 things. One, that until last financial years, some of the orders, which were placed to an EPC player that has been canceled, those were with the modules and that have come up now for the finalizations. And out of that, we have won, the first one that we have won, right, in the first quarter, this is with modules. So in the last financial year, if you see percentage- wise, it could be around 25% to 30%, right? This year, the trend could be reversed because of the ALMM requirements, most of the tenders are expected with the BoS schemes. Puneet: Understood. So then the responsibility will be with the developers to bring modules, not yours, right? Or will that module part come in later? C.K. Thakur: No. I mean it will be the responsibility of the developers. So, they will take the module in their scope and give us the free issue items. So that's the trend we are expecting, because of the uncertainty on the ALMM II decisions and all. Puneet: Secondly, if you can also comment a bit more on the color of your order inflow for this quarter. Was there any battery projects and who are the key customers for you in this quarter? C.K. Thakur: I mean trend is reversing. So now people are going under FDRE schemes or to remove the intermittency of the renewable energy nature. People are going more for the hybrid. So that's the trend we've seen. Of course, as of today, if you see in the country, we have only 205 megawatt battery capacity, which we added. But in the pipeline seems to be, as I told in my -- the opening speech also, so around 3 gigawatt clarity has come out, right, so various options and other things. For us, I mean, for sure, we are discussing with a few private clients, which are of the large size of the hybrid orders. That will I mean, the solar, that will include the wind and the battery storage. I don't want to name those clients at this stage, but then yes, there are a few large-sized orders which are expected. Puneet: But in Q1, none of those are there. It's fair to assume that? C.K. Thakur: No. Q1, I told that we have won only 1 order from NTPC and that is the turnkey EPC solutions with modules, but not with the BESS and other schemes. Puneet: Okay. Okay, understood. And lastly, any updates on Reliance side, on when they want to scale up for you?

C.K. Thakur: Yes. So basically, all of you are aware that we are doing 1 pilot project for them and that is the combination of various technologies and all. The project is doing well. Other than these projects, then they are still planning for the Kutch regions and other areas. So I mean, frankly speaking, the opportunities are not reflected in the market. But as and when it comes. I mean, all of you will come to know that. Moderator: We take the next question from the line of Anuj Jain from Globe Capital. Anuj Jain: Yes. Sir, I just want to understand like projects which we are doing from the solar EPC side and the order book, how much is allocated towards this battery energy storage system? What is the share of this BESS in the order book? C.K. Thakur: If you see the total -- I mean, the plan for the financial year -- the coming financial year, the next 9 months, 3 gigawatts out of the total 26 gigawatt opportunity in India, 3 gigawatt battery storage visibility is there. So, I mean, out of 26 gigawatt kind of batteries, so I understand this is around 15%, right. But as I have told in the previous answer, that the trend is reversing now under the FDRE schemes and the hybrid projects installation schemes and all. So going forward, the battery share has to improve to avoid the intermittencies of the renewables -- the solar renewables and the others. So the share will increase. As of now, for us, we are better placed because we are doing one of the largest projects for one of the clients in the solar. So we are better placed in terms of integration, in terms of understanding, in te

rms of everything. Anuj Jain: So sir, what is the revenue percentage contribution from this space as of now? C.K. Thakur: As of now, I mean, let's say, in 3 gigawatt, if you are able to grab around 400, 500 megawatt of hours, that would be the combination of our total battery space in this financial year going forward. Last year, there was hardly anything. one of the projects which we were doing, unfortunately, it has gone under the legal route with SECI and all. So that project is not stalled basically. But going forward, in this particular financial year, could we -- percentage-wise difficult to say at this stage, but could be miniscule, let's say, 500-megawatt hour kind of thing. Anuj Jain: Okay. Okay. So going forward, I mean, from probably next financial year onwards, we can expect some meaningful revenue from this battery energy segment? If I'm right? C.K. Thakur: Absolutely. Absolutely. For sure. Anuj Jain: And second question, sir, I mean like you have... C.K. Thakur: So what I say the interesting point here is that under the new scheme of the Government of India, now for all the new tenders, 20% capacity of the solar plants have to be supported with the battery, right. But this traction has started showing just now. So under this scheme, every single tender which will come out, that will be, I mean, demanding the battery installation of 20%. So let's say, if you have INR100 revenue, so for sure, then the battery cost of the solar plants and this, I mean, more or less being comparable, slightly higher from the solar and all.

So with this, you can expect that now going onwards, 20% revenue streams would be throughout the country. The industrial scenario would be like this. But I mean, this traction is to be seen. This is the policy. And then tenders have not started coming out, but I'm expecting that the quarter 2, quarter 3, most of the tenders will come on this scheme. And therefore, I mean, it would be reasonable to assume that at least 10% revenue streams would be coming from the battery and the other storage solutions. Anuj Jain: Got it, sir. Got it. And my second question is like we have increased gross margin in this particular quarter and our EBITDA margins are hovering in the range of 5-odd percent. So, from the perspective of next 2 to 3 years or 4 years, what is the -- I mean, guidance which you can give for the EBITDA margins and gross margins? I mean, definitely, it should be a range -- kind of range where we want to be. I mean what are the expected levels of EBITDA margin where we want to go? Ajit Singh: Yes. So our operational EBITDA, if you see it's around 7% for the quarter. And overall EBITDA was around 5.8%, and we expect to maintain the same range going forward. Anuj Jain: Okay. Okay. So that is our comfortable range. Moderator: We take the next question from the line of Faisal Hawa from H.G. Hawa & Company. Faisal Hawa: So my question is that, sir, what is the kind of order book that we can expect from overseas now in this current year -- financial year? And second is, sir, what is the involvement now of the promoters, Shapoorji Pallonji and Khurshed, with this company? Is it now -- are they now more involved? Or has the involvement come down? C.K. Thakur: No. So the management -- I mean, the shareholding patterns is on the public domain, right? And Mr. Khurshed Daruvala is well involved into the company, as the Chairman of the company. So as far as the management controls and other things are there, it is with the professionals under the guidance of Chairman, Mr. Daruvala. On the order guidelines that you have asked for, so I've already told that I mean, you should be expecting, let's say, 20% over and above the last financial year, right. So, we are well placed. Faisal Hawa: So sir, one more question is that with the overseas orders now coming down and a large part of the central office expenses were coming from

legal expenses, do you feel that these expenses now could go down a lot because that is what is causing our EBITDA margin to go down because of these large legal expenses? And also, do we expect any kind of large write-offs in this year on the debtor front? Ajit Singh: So in terms of order book, we are expecting new orders from international locations also. We are bidding in some of the geographies and are in active discussions. So that will come. In terms of legal expenses, because still most of the legal cases are continuing, the legal expenses also will continue at least for some time period. Faisal Hawa: So for 2 more financial years? Ajit Singh: Yes, at least 1.5, 2 years.

Faisal Hawa: And what -- would that -- will the quantum of these legal expenses be around INR40 crores a year or more than that? Ajit Singh: Yes, it will be around INR40 crores per year. Faisal Hawa: So in 2 years from today, maybe these expenses will come down to 0? Ajit Singh: Right. And we don't expect any substantial write-off in terms of any receivables, because most of the receivables are indemnified (legacy ones) and current receivables, these are all booked. Faisal Hawa: And sir, do you have any idea of what the NTPC pipeline will be for this financial year? C.K. Thakur: Come back again, please, NTPC.... Faisal Hawa: What is the bid pipeline? C.K. Thakur: Yes. So if you see the NTPC plan, so they want to become 60 gigawatt renewable company by 2032. They have now the operating asset of around 6 gigawatts, right. And, I mean, Government of India, as I have told in my opening speech also, so they have allowed them to invest around INR20,000 crores in the renewables, I think, this year and the next year. So steadily, they will -- I mean, touching up to 60 gigawatt, where by 2030 they are targeting around 16 gigawatt. Faisal Hawa: Okay. And sir, is the competitive intensity in the EPC players going down? Or is it still very high? C.K. Thakur: No. So the competitive spree, of course, is going high sometimes, I can say. This quarter, you have seen a spurt of a lot of infrastructure players coming for the solar EPC and all. I'm not sure how long and how best they can be continuing on, but then yes, it is cyclic. So sometimes you see that, I mean, there are only a few, but suddenly, you find so many people coming in, they take 1 or 2 projects, not able to execute, again they will exit. So this kind of situation is there. But yes, people are looking for this as a very attractive market. So this competition is still -- in my opinion, will be there for some time. Moderator: We take the next question from the line of Mayank Chaturvedi from HSBC Mutual Fund. Mayank Chaturvedi: Just one question from my end. In your order book of about INR8,000 crores order. How much of that will be dependent on DCR cell integration in the EPC projects? C.K. Thakur: No. So that's what I was just speaking. So as of now, the deadline for the DCR is is 1st June 2026, right. And I mean, now in 9 months' time, out of the 26, 27 gigawatt opportunity that you are seeing in the market, right. I mean people are just waiting. I mean, this 27 megawatts have to be added, there has to be extension of the time lines. So that is one particular point. And otherwise, you can say in 9 months' time, if everybody decides to go for the international these things - but the best part is that in our existing order book as of now, we don't have anything which is DCR components. Everything is basically the international sale and the module side. So, we don't have the -- in the UOV and the orders that we are getting, it is not affected because of this.

Moderator: We take the next question from the line of Nitin Gosar from BOI Mutual Fund. Nitin Gosar: Sir, just one clarification. If you can quantify in terms of rupee crores, you talked abou

t 3 gigawatt worth of battery order, which will float into the system this financial year. And would it be fair to multiply this number with INR2.5 lakh per megawatt battery price? How should one quantify this overall opportunity? C.K. Thakur: So the battery price is constantly evolving, but the EPC cost on this, you should be expecting between INR2.5 crores to INR4 crores per megawatt. Nitin Gosar: Okay. And there is pure EPC or this will also include the component, I mean, the battery itself? Ajit Singh: So we will do only BoS in battery projects. C.K. Thakur: So basically trend is that the battery is being supplied by them from PSUs. Outside India, basically battery, it comes with the battery supply. So we have to tie up. So we did a few small projects in Mali, Nigeria, which were along with the battery and all. So it is both basically. So in the domestic market, you see mostly the BoS, but outside, it could be with battery. Now even if it is with battery, we'll carefully evaluate and we can go with a turnkey solution. So I mean that's fine. Moderator: We take the next question from the line of Himanshu Dugar from Stylus Holdings. Himanshu Dugar: My first query was - is a follow-up on the previous, management comment that there has been some write-off of receivables. I think last -- I think 5 to 6 quarters, we have seen this kind of happening on and off. Is there any approximate number around this? What could be a potential risk category, in the overall receivables that we have today? Ajit Singh: So the write off which I spoke, that INR21 crores that we have taken on a conservative basis. There's no actually write-off. We have impaired, considering that we might have to put some expense in future in a particular project in international location. And otherwise, the receivables are good and there is no provisions need to be made. Himanshu Dugar: Sir, currently, what is the more than 6 months receivables outstanding, if you could share that number? Ajit Singh: I will get back to you. Primarily, retention amount. I will give you the exact number in some time. Moderator: We take the next question from the line of Aejas Lakhani from Unifi AMC. Aejas Lakhani: C.K.T. sir, could you just call out that the 3 gigs of BESS, is that more private sector or more public sector? And also, sir, I'm trying to get a slightly more nuanced textured view that -- so let's say that there is an existing asset, which is in place and then somebody wants to add the BESS component over and above on top of that.

What are the operational nuances or challenges? And how easy or difficult is it to do it? Is there like -- does that mean that like the flow of current has to stop for a period of time until you integrate it? What are the challenges with regards to it? And who is making these transitions today? Is it the private sector guys who are early in this trend? Or is it PSU pack? C.K. Thakur: Yes. So thanks, Aejas. If you see the overall -- the battery schemes basically, one that I have just informed the group that basically as per the policy, now 20%, let's say, the obligation for the battery to remove the intermittency. So that would be the requirement going forward. Now if -- I mean, this 20% would be detrimental for everybody, whether PSU or IPPs. And that is important, important to ensure the grid stability and security and other things. So any -- going forward, whatever bids will be coming, that will be both the PSU and IPP. As of now, the large-sized few orders which are getting traction in the market is basically coming from IPPs, which is visible. But for PSU side, if you see, I mean, NTPC and all, they are discussing on the long-term basis because they have to go forward with massive scaling up of the battery and storage and all. But no such one tender was there for the small project that has also been canceled because of some reasons. But the traction will happ

en in both the sectors, PSU and IPPs. Coming to your another questions of how difficult it would be to integrate in the existing facilities? It all depends on the land and level. So not necessary that in the existing only you have to install. Now maybe, the overall schemes you have to see, that you can choose any locations and all. But preferably, if you have to install into the same locations, as far as the integration is concerned, we don't have any nuances. You can do that. Solar plant may not be stopped and all during the commissioning. So I think -- I don't find any challenge. Aejas Lakhani: Yes. Okay. And sir just a follow-up on that, let's say that NTPC has an existing parcel on, say, I don't know, Gujarat, Rajasthan, and now they have decided that for an existing running asset, they want to put up a BESS. Is that going to be like a project-specific order or again, for the same, there has to be a tender that has to be issued and the same process has to be followed? C.K. Thakur: Obviously, they have to go only through the tendering process and the project code, project name, everything would be. The location could be same, but the project number will be different. So they have to go through the tendering process only. Moderator: We move on to the next question from the line of Gaurav from Harshad Gandhi Securities. Gaurav: Sir, I'm referring to Note number 7A and 7C of our consolidated notes to accounts. Sir, there are a couple of customer claims total amounting to approximately INR800 crores, which according to us are not tenable. So, I just wanted to inquire, so if the ultimate outcome doesn't come in our favor, then do these claims are part of the indemnity agreement with the promoters - referring to Note number 7A and 7C. Ajit Singh: It's not subject to indemnity. Gaurav: Both the claims? If the outcome is not in our favor, then it will have a major impact on our operation, right?

Ajit Singh: Some small portion is indemnified and some portion is not indemnified in these claims. Gaurav: So reason for asking, if we lose the case, then it can have a major impact on our operation, right? Because the claims are running hundreds of crores? C.K. Thakur: Yes. But based on the feedback we got from our lawyers and that has been agreed upon by the auditors also, that's why there is no impairment or any provision made for any such expenses. Moderator: The next question comes from the line of Chirag Shah from ICICI Securities. Chirag Shah: Sir, I just wanted to understand how BESS project would be different in terms of execution time and margins against stand-alone solar projects. C.K. Thakur: Can you hear me? Chirag Shah: Yes, sir. C.K. Thakur: Margin would be same as the solar projects. And in terms of time lines, it will be lesser than the solar projects because the complexity involved here is less, the civil works requirement is less. So you can say, 15% to 20% less time lines and same margin. Moderator: We take the next question from the line of Subhash from Value Investment. Subhash: My question is more towards the guidance that you had given. So last year, it was INR7,000 crores, but we ended up doing INR6,300 crores. But now looking at the Q1, the revenue is more than 90% of last year Q1. So -- and also considering that 45 days was affected in some regions due to the border tensions, as you mentioned, will Q2 be better than Q1? And also, I mean, for the FY '26 full year, will -- can we do almost more than INR8,000 crores revenue? And along with this, I just have one question, if you can answer along with this. So what is the per megawatt hour revenue conversion in battery energy storage EPC projects? C.K. Thakur: Per megawatt hour, right? Subhash: Yes, correct. C.K. Thakur: Yes. So first, I'll answer your first question. So on the revenue guidance, as I've already told that I it's a 20% growth year-on-year. So from last year to this year, i

t will be around 20% on the order booking side also in the same region. For the next quarter's revenue, we could have been expecting similar or a little better, but because of the productivity loss during the monsoon season and all, so it would be slightly cyclic, right? And on the second question, basically, on the BoS side, so let's say, the BoS revenue could be around INR30 lakhs to INR40 lakhs per megawatt hour kind of thing, right? So that's what our pricing is. So depending upon the size of the battery that you are running, but the revenue will be coming in this range. Moderator: The next question comes from the line of Vedant Sarda from Nirmal Bang Securities Private Limited.

Vedant Sarda: Sir, I wanted to know the accounting method we are following - input method or output method for the contracts? Ajit Singh: Input method, percentage of completion. Vedant Sarda: Yes. Like on the 10% cost we have incurred, 10% revenue we are recognizing on completion basis? Ajit Singh: Your voice is cracking. Yes. Vedant Sarda: Okay. So sir, quarter-on-quarter, we should not see in this revenue? C.K. Thakur: Direct cost plus margin, that gives us the revenue. Moderator: The next question comes from the line of Darshika Khemka from AV Fincorp. Darshika Khemka: My question is mainly around the international orders, particularly the Nigeria order, some clarity on that in terms of what the progress currently stands at? And even if we get the order this year, firstly, what is the probability of getting the order considering the entire scenario that is going on in terms of the geopolitical scene. And even if we get the order, I'm sure the revenues are not going to come in this year. And we are also seeing some sort of write-off that we have on the international order revenue. So, I just want to get some more clarity on the international order book. And what's the scenario like? What is the probability, like, of getting more orders in the international space? C.K. Thakur: Yes. So in our business model, if you see for this year, financial year, our target is to get around $250 million to $300 million orders, primarily in European and the African markets, it is split between these 2. On the Nigeria side, it is a procedural delay. Unfortunately, it is taking longer time. But yes, the project is on. And as you have rightly told that even if it comes, it will take some time, right, financial closures and the NTP and all. So the revenue for this year will not come from this project. Yes. So these 2 points you asked. Ajit Singh: I would like to respond earlier questions also. One was on the receivables more than 6 months. It's around INR330 crores, out of total receivables of around INR1,500 crore. And in terms of 7A and 7B note to the accounts, that claim is under 7A, which is not indemnifiable. Although there won't be any impact because the cash is already out. So in terms of cash flow, there won't be any impact. However, if the order goes against us, there could be impact in P&L, but not in cash flow, because we are already cash out in that. Moderator: We take the next question from the line of Mohit from Hem Securities Limited. Mohit: Sir, I have a book-keeping question. So sir, our subsidiaries are making constant losses. Why company is not making DTA and which all subsidiaries are making losses? Ajit Singh: So in international, whatever projects we are doing, those all are in profits, in South Africa, Spain and Italy, all are making profits. The losses are from those subsidiaries, where there is no projects, there are certain overheads like U.S., Australia, Dubai.

Mohit: So it means that all the legacy orders are now complete in the subsidiary as well, and we will not see any losses coming in the future? Ajit Singh: Legacy projects, they have losses because of -- primarily beca

use of the legal expenses and certain overheads we have in those projects, like, as I said, in Dubai, Australia, U.S. Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question-and-answer session. And also we conclude today's conference call. On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. We thank you for joining us. You may now disconnect your lines.

Call: Oct 2025

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October 26, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Sub.: Investors Call Q2 FY 26 - Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/ Madam,

In continuation to our letters dated October 11, 2025, and October 17, 2025, please find enclosed the Transcript of the Investors Call held on Friday, October 17, 2025, at 05:30 P.M. (IST) on the Unaudited Standalone and Consolidated Financial results of the Company for the quarter and half year ended September 30, 2025.

The same is available on the Company's website at www.sterlingandwilsonre.com .

Request you to take the same on records.

Thanking you,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer
Encl: As above

"Sterling and Wilson Renewable Energy Limited
Q2 FY 26 Earnings Conference Call"
October 17 , 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 17th October 2025 will prevail.

MANAGEMENT : MR. C.K. THAKUR – GLOBAL CHIEF EXECUTIVE OFFICER
MR. AJIT PRATAP SINGH – CHIEF FINANCIAL OFFICER
MR. SANDEEP THOMAS MATHEW – HEAD INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day and welcome to Sterling and Wilson Renewable Energy Limited Q2 FY 26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference o ver to Mr. Sandeep Thomas Mathew , Head Investor Relations for his opening remarks. Thank you and over to you, sir.
Sandeep Thomas Mathew: Yes. Thank you and good evening, everyone. We have with us today Mr. CK. Thakur our Global CEO and Mr. Ajit Pratap Singh , our CFO; and SGA, who are our Investor Relations Advisors .
We will start today's call with the key operational highlights for the quarter and industry outlook, followed by the financial highlights by Ajit, post which we will open up for Q&A. Thank you, and over to you, sir.
C.K. Thakur: Thanks, Sandeep. A very good evening and best Diwali wishes to all the participants on this call.
Before we move to the operational and financial highlights, I would like to begin by addressing certain important legal and financial developments during the quarter that have had a material bearing on our results.
During Q2 FY '26, three legal matters concerning our U.S. subsidiary, Sterling and Wilson Solar Solutions, Inc. (SWSS) reached critical stages. These pertain to legacy projects executed a few years ago.
The first issue is the Conti LLC arbitration . As previously disclosed, Sterling and Wilson Solar Solutions Inc. was engaged in arbitration proceedings with Conti LLC USA relating to a project executed a few years ago. During Q2 FY '26, the Arbitral Tribunal issued an interim award under which the cl aims filed by SWSS amounting to USD55.06 million , approximately INR485.64 crores were dismissed and Conti LLC was granted an award of USD 6.44 million, approximately INR56.8 crores plus interest.
As this amount of INR485 crores was reflected as receivables in our consolidated books, we have fully written off this amount during the quarter. Consequently, this resulted in a one -time non-cash impact on our profit and loss statement for Q2 FY '26 and the corresponding reduction in our consolidated net worth. Accordingly, we have written off an amount of INR580 crores in our books for the award value, including applicable interest and approx legal charges payable towards the amount awarded to Conti LLC.
Second issue -- the second matter pertains to our earlier disclosure regarding a customer of SWSS in the United States. During the quarter , the customer invoked a Standby Letter of C redit (SBLC) amounting to USD7.19 million, approximately INR63.47 crores, which was subsequently hono ured by the issuing bank and reimbursed by SWSS.

The SBLC invocation was related to a contractual dispute for which litigation is already ongoing with the said customer. We will seek recovery of the amount paid through the ongoing legal proceedings.
Lastly, we have concluded a mutual settlement with OEG Inc., another U.S. -based counterparty, thereby closing another litigation matter. As per the terms of settlement agreement signed on October 9, 2025, SWSS will make a settlement payment of USD2.25 mill ion, approximately INR19.95 crores , to OEG Inc. (as ag

ainst their claim of approximately USD7 million) in two tranches payable during October and November 2025. This settlement has been accounted for in Q2 FY '26, leading to a one -time financial impact of INR19.95 crores.
To summarize, the cumulative impact of these three matters, comprising the write -off of INR580

crores and the settlement payment of INR19.95 crores has materially impacted our Q2 FY 26 reported results, primarily as one -time non -recurring items. While these are largely legacy project -related issues in our U.S. subsidiary, the ir resolutions, while financially painful in the short term represents a significant step towards cleaning up the balance sheet and enabling management to focus squarely on operational performance and profitable growth going forward.
Now moving to the operations. Our order inflows have picked up a l ot of momentum. We have bagged five new orders since Q1 , including our first order from international market this year and four projects from domestic market. Our cumulative order inflow this fiscal now stands at approximately INR3,775 crores and we have already picked up orders of nearly INR3,000 crores since Q1.
In the international market, we received an LOI for a 115 -megawatt turnkey project in South Africa valued at approximately USD120 million. As we have stated in the call before, South Africa continues to remain a key focus market for us and this will be the third project that we will be executi ng there. In addition to these three projects, we continue to be in close dialogue with a few large players there and are hopeful of concluding a few more projects soon.
Our domestic solar EPC market has continued to grow at a rapid pace. And we have been able to bag new projects primarily from PSU space this fiscal. There was a slight pushback in the reverse auction calendar, which meant a large number of these auction happened in late September or towards earl y October and many more continue to be in the pipeline.
We have been awarded a 304 -MWp turnkey project in Khavda worth INR818 crores. In addition, we were also declared L1 in two Balance of System projects of a leading PSU in Rajasthan and Uttar Pradesh respectively. The combined EPC value of these two Bo S projects is approximately INR760 crores for 943 MWp . In addition to the PSU order wins, we also received an order from large privat e IPP for a 421 -MWp BoS project in Rajasthan worth INR372 crores. The values I have indicated are excluding taxes and O&M and ref er to the attributable EPC order value to our EPC order backlog.
Now coming to our unexecuted order value. It currently stands at INR9,287 crores compared to INR9,096 crores as of March '25 and approximately INR8,348 crores as of June 2025. About

84% of our current order book comprises domestic Indian projects, while the international UOV comprises primarily two projects in Europe and three projects in South Africa.
As I had indicated in the previous call, financial year '26 is stepping up to be a very good year for the domestic solar EPC market with the strong bid pipeline. Awarding activities from both PSU and private IPPs is expected to gain strong traction in the second half. And despite healthy ordering activities seen in first half, we are still seeing a pipeline of nearly 25.2 gigawatt with over 17 gigawatt slated for ordering in the second half of this fiscal in India alone. Over and above the solar EPC pipelin e, we will continue to target BESS project and select hybrid wind EPC projects as well.
In terms of execution, our scale -up plans continue to remain on track and execution remains steady despite the seasonal challenges associated with monsoons and the improved top line of Q2, which has grown 70% year -on-year is reflective of the same.
I would like to reiterate that we continue to remain pati

ent and careful and carefully evaluate
projects in India and overseas and are focused in targeting profitable orders.
Our O&M portfolio outlook remains strong. Our current portfolio stands at 9.1 GW as of September 2025. We are hopeful of bagging a few large third -party O&M orders as well as benefit from our internal large stream of EPC projects, which are nearing completion, which will feed our O&M portfolio and should aid a meaningful pickup in the revenues.
From the financial perspective, our Q2 FY '26 results include the full recognition of onetime exceptional item s arising from the legal matters discussed earlier. Excluding this, the core business performance continues to remain operationally strong. We continue to maintain our overall target margins , including O&M , in the range of 10% to 11% with the O&M segment sustaining margins of over 20% to 23%. Our focus remains firmly on timely execution, cash flow discipline, working capital optimization and profita bility.
With this, I'll ask Ajit to take you through the consolidated financial highlights. Thank you very much.
Ajit Pratap Singh: Thank you, CK T. Happy Diwali everyone. Our operational performance has been largely in line with our expectations during the first half. Execution continued to improve despite monsoon -related disturbances in Rajasthan and Gujarat.
Our second quarter revenue grew by 70% year -on-year to INR1,749 crores as against INR1,031 crores in second quarter of FY '25. Our first half FY '26 revenue are up 80% to INR3,510 crore s as against INR1,946 crores in first half of FY '25. Our top line performance in the first half is

fairly indicative of what we set out to achieve at the start of the fiscal year.
On the gross margin side, our first half FY '26 gross margin was 10.3% compared to FY '25 gross margin of 10.1%. Sequentially , our gross margin dipped to about 8.9% this quarter versus 11.7% in Q1 as domestic EPC margins were impacted by commencement of revenue recognition in a few large turnkey projects, including module in our scope, which tend to have overall l ower margins compared to sole Bo S projects.

Our operational EBITDA, which is operating revenues, less recurring overheads amounted to INR62 crores this quarter compared to approximately INR23 crores seen in Q2 of FY '25 and INR123 crores seen in prior quarter. Our recurring overheads saw a marginal increase this quarter at INR94 crores, primarily due to higher legal expenses.
As CKT has alluded to in his opening remarks, we had to provide for certain large one -off expenses related to U.S. arbitration ruling and final settlements , which pushed up non -recurring expenses to over INR637 crores and resulted in the reported EBITDA loss of INR470 crores during the quarter. Consequently, our PAT also was a loss for INR478 crores during this quarter.
In addition, in the standalone results, the company's investment in a subsidiary , loans given along with accrued interest thereon and othe r receivables aggregated to INR 3,196 crores. Considering the unfavorable outcome arising from the Conti arbitration order, which we've spoken earlier, resulting in loss of amounts t hat were considered recoverable and the outflow towards honouring settlements , INR600 crores are considered non -recoverable from the wholly -owned subsidiary and hence the company has written o ff the loan to that extent.
Further, considering the inordinate delays with respect to the Nigeria project, we have made an impairment provision of INR2,038 crores from the wholly -owned subsidiary during the quarter in our standalone financials. The said amount aggregating to INR2,6 38 crores has been classified under exceptional items in the statement of unaudited financial results for the quarter and six months ended 30th September, 2025. This was already consider

ed in consolidated results as
prior year losses from international bus iness. With this exceptional provision in the standalone financials, net worth of our standalone and consolidated financials will get aligned.
Now coming to the balance sheet. Our gross borrowings have increased to INR1,194 crores due to a fresh INR475 crores term loan that we availed and got disbursed from IREDA during Q2 FY '26. Our cash and bank balances stand at INR452 crores. Our net debt i ncreased during the quarter due to higher payment of vendors from the term debt of IREDA and Bank of Maharashtra and stands at INR742 crores.
We've also raised an indemnity claim for September 2025 on the promoters, SP Group and Mr. Khurshed Daruvala for approximately INR178 crores which is expected to be paid by November 30, 2025. We continue to make progress on our banking limits front and hav e cumulative ly been able to obtain sanction of fresh credit lines to the tune of nearly INR2,000 crores, since the start of this fiscal, including surety bonds. With this, we can now open the floor to questions -and-answers.
Moderator: First question is from the line of Pratik Jalan from Tradex Capital.
Pratik Jalan: Yes. Greetings for Diwali. My first question is regarding Nigerian project. What is the update on Nigerian project and the Reliance project?
C.K. Thakur: Hi, Pratik. On Nigeria , status quo remains , although there was been some development. The development is like the earlier in the last call, we probably discussed that the agreement was signed between the utilities of Nigeria Government, large utilities like NTPC in India and all with -- and Sterli ng and Wilson. Now the SPV has been formed and the terms of the agreement s

are -- procedurally it is taking a little time, but the project is still on, but I mean it is getting delayed unexpectedly.
Pratik Jalan: If you don't mind saying, the Nigerian project is on the book from past two years, and that's also creating a misleading to investors. Because a lot of people are investing just because of the Nigerian order and it's been delayed from past two years.
C.K. Thakur: That is true. So , the project is still not abandoned. . And once contract agreement was signed up between Sterling and Wilson and the utilities. So then thereon, whatever time line was slated for, that is procedurally taking a little longer. That's the concern basically, but then the project is still on.
Moderator: Next question is from the line of Saurabh Srivastava from Arista Consulting.

Saurabh Srivastava: Sir, since you people are present in Khavda in a big way and Adani Green is also present in a big way. Is there any possibility that you may take their some part of OEM maintenance part going forward in a bid or is there any plan of that sort?
C.K. Thakur: Yes. So basically, not only Adani . Adani, for sure. So they have invited us for the participation in the bid s for the O&M portfolio. Other than the Adani, there are other IPPs which may also look for the third -party O&M services. And we've been the largest there, we will be looking for these kind of business opportunities.
Saurabh Srivastava: That was my first question. What's the status about the Reliance new energy project? By what time can we see some sort of start?
C.K. Thakur: Yes. On Reliance, yes, so, I mean, I'm sorry, Pratik, you had asked on the Reliance also. I missed responding to that question. So good that Saurabh has asked. So on the Reliance side, on -- in the Khavda regions, in the Kutch region, I will say, not in Khavda, in the Kutch region nearby. So the prelims work, I mean they have started. But while the modules manufacturing have commenced, I mean it's difficult to say at this stage that when exactly project will start. But now it is expected that maybe Q1 of next financial year, they wi ll start t

endering activities.
So I mean , it is more or less in line with the announcement that they have made in their press release on the various calls and other things, right . So now the Reliance projects are getting momentum and the traction is happening now.
Saurabh Srivastava: And then the last question, sir. There is a lot of buzz about this battery storage thing. So are we getting there also in a big way, sir?
C.K. Thakur: Yes. So basically, yes, I mean the dynamics of the business today is that the few contracts are being -- RFQs are being floated for the hybrid projects. So hybrid with solar and battery or maybe wind and battery like this. And also the policy states that the 10% of the capacity of the solar plants necessarily have to be from this.
So we have advantage of earlier starting one of the largest BESS projects in India with JSW and a few projects on hybrids in international market. So the tenders are being out and a few of these

projects are still stuck up because of tariff adoption. But then, yes, we are well placed for participating in all the bids that are going to be floated.
Saurabh Srivastava: What margins can we expect going forward in this segment?
C.K. Thakur: It could be similar to the solar , I mean .Yes, around 10% or so.
Moderator: Next question is from the line of Maitri Shah from Sapphire Capital.
Maitri Shah : I just have a few questions. Firstly on the clarification, how you are calculating the operational EBITDA, the number that you gave INR62 crores in the presentation, i f someone can clarify that?
Ajit Pratap Singh : So operational EBITDA is basically after our cost of material and services and recurring overheads.
Maitri Shah: So sir, the guidance that we gave about 5.5%, 6% EBITDA margins that we want to maintain. Is this the operational EBITDA percentage that we are guiding for?
Ajit Pratap Singh: That's right.
Maitri Shah: Okay. Any reason why there was a dip in the operational EBITDA barring the exceptional items , that huge exceptional one -time loss that we had, there was still a dip in the operational EBITDA. Any reason for that?
Ajit Pratap Singh : Yes. As I mentioned in my opening remarks also, a lot of revenue during the quarter came from the projects, which are including module. And in those cases, the revenue is high, but the margins are low. So that's the reason operational EBITDA for the quarter was less.
Maitri Shah: So the current -- I would say, the current order book that we have of around INR9,200 crores, could you give us a split of the projects that we would need to include our modules and in the projects that we don't include our modules, what sort of split do w e have in the order book?
C.K. Thakur: Yes. So out of the total 5 projects, 4 are from domestic in this quarter and 1 is the turnkey EPC contract, which includes the module supply as well. And 1 international which is completely turnkey. So there also the module supply is part of the scope. Now since the module market is pretty stable, so we may expect better margins, in fact, going forward.
Maitri Shah: So now that we have a higher percentage of order book with modules included , do we expect the EBITDA margins to go down , maybe like even if the module market is pretty stable, do we expect the margins to even dip any further?
C.K. Thakur: Not to go down . You can expect around the same level.
Ajit Pratap Singh: 4% to 6%.
Maitri Shah: Any quantification? Could you give me a range?

Ajit Pratap Singh : 4% to 6% you can consider.
Maitri Shah: The next question I had was on the guidance. So we have been guiding for a 20% growth and we had exceptional growth in the first and the second quarter. And considering the 20% growth, we are seeing a 7% degrowth in our

second half. So are we going to reiterate our guidance or like maybe in crease it for the second half of the year?
Ajit Pratap Singh : We continue to maintain the same guidance what we indicated in the start of the year, around 20% growth in terms of revenue.
Moderator: Next question is from the line of Jayesh Shroff from Cask Capital.
Jayesh Shroff : So my first question is on the write -offs. So we've written off the investment and the loan amount. But there is still a hanging sword of corporate guarantees that we've given to the subsidiary to the tune of INR1,700 -odd crores. So what is the status of t hat? I mean, it could be revoked in the future? I mean, is that still working?
Ajit Pratap Singh : So now if you see the net assets in our foreign subsidiary , FZCO, that amount is recoverable. So there is no risk or negligible risk on the corporate guarantees being invo ked because the difference between stand -alone and consolidated net worth, we have already made a provision.
Jayesh Shroff: I didn't get it. Can you -- if you can clarify...
Ajit Pratap Singh : I'm saying earlier, there was a difference between net worth of consolidated and stand -alone financials , because the losses whatever international operations have incurred, those losses were accounted for in consol balance sheet, but that amount was considered good and recoverable in stand -alone balance sheet.
Now , because we have made a provision against the investments and loans given from Indian entity to Dubai entity, those losses have been accounted for. And now the net worth has been aligned between stand -alone and consolidated. So that's why the corporate guarantees whatever have been given, primarily doesn't have a big risk of invocation or doesn't have any big risk of having any future impact on our financial stand -alone.
Jayesh Shroff: So these guarantees are given to the banks or these guarantees are given to our customers or counterparties who may actually -- as in the past. So our customers can still revoke those guarantees. I mean that risk still remains, right?
Ajit Pratap Singh : So to that extent -- as I'm saying, to that extent, we have already incurred the loss and that loss has already been booked.
Jayesh Shroff : No, no, that loss has been booked, but I mean, customers cannot claim additional amount ?
Ajit Pratap Singh : Like, one of the customers, they have invoked the bank guarantee. And the money is already out. They have been paid.
Jayesh Shroff: Okay.

Ajit Pratap Singh : They got the amount . So that's why I'm saying because the amount has already been paid to the customer against the bank guarantee whatever was issued by US subsidiary. So there is no risk on corporate guarantee of Indian entity to be invo ked because the amount has been paid to the customer.
Jayesh Shroff: Right. So that may be one part. But like that, there may be many other customers who may still come and claim that, right?
Ajit Pratap Singh : Not exactly . All the litigations whatever are there, those have already been accounted for and disclosed appropriately in the financials.
Jayesh Shroff: Okay. But you earlier said that there is a very less chance of this getting revoked. So it is not a zero-chance situation or something like that.
C.K. Thakur: No. So basically, there is no fresh cases now. So all those old cases, legacy cases that we were discussing. So they are -- this kind of situations we have already accounted for. So going forward, all the orders that we are executing, they are all sound or ders.
Jayesh Shroff: Completely agree. I'm saying that legacy customers cannot come back to claim liquidated damages or whatever kind of damages, additional damages from us?
C.K. Thakur: So they have whatever -- I mean damages they were supposed to claim , that they have only encashed the bank guarant

ee and now the cases are under the legal, right? So a few of them were under arbitration, a few of them in the court. So -- I mean the consolidation of the cases have already happened. So there is no fresh lega cy cases where the -- I mean, the new course of the legal actions need to be initiated. So to that extent, we said that the cases are known. We know what was the impact to be taken, we have already taken, right?

Jayesh Shroff: Okay. My second question is regarding the Reliance -- delay in Reliance orders. So , if Reliance has started manufacturing the modules and our understanding was that the large amount of that module manufacturing included in the initial phase was for capital consumption. So are they selling that in the international market? Or -- and what is -- I mean, is there an y technical issue because of which the projects are getting delayed?

C.K. Thakur: No, not really. So I mean, we are really not sure about strategically, maybe -- they may be out. But since the technology is HJT, right, so the domestic market , on the price parity point of view, I mean they have to really reference them out, right? So, I mean for the domestic participation, they have to seek some kind of references for the plants that they have supplied and the performance is okay.

But for international market, they have been supplying either from the Singapore factory and the other factories. So , I don't think this is a concern because HJT is, I mean, one of the best technologies that have to happen. Slightly, it is costly at this stage of time. But going forward, for sure, they should be picking up the pace, right? And initially -- yes, you are right. Initially, I mean those will be used on ly for the domestic consumption , for their own captive conversions, right?

Jayesh Shroff: Right. And there is no plan on their side to take up EPC on their own or anything like that, right?

C.K. Thakur: This is difficult to answer at this stage, but then the kind of the megawatt level that they are planning. So I mean definitely, they would be distributing work. So -- and they will follow some kind of system, right?

So the system of selecting the EPC companies. So we will also -- we will stay at the arm's length distance, but no reason that we should not be competing, So for any other clients that we are competing, we are getting the largest share , right. So here also, then we are confident of getting, yes, absolutely.

Jayesh Shroff: All right. All right. I think that’s it from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Mohit from Hem Securities Limited. Please proceed.

Mohit: Yes. Sir, apart from these three legal cases for which we have given this provision or the exceptional item in profit and loss account, what are the other legal cases that are still pending for which we haven't made the provisions yet? And if the outcome of those come against us, what wi ll be the amount that will be charged to the profit and loss account?

Ajit Pratap Singh : So all these legal cases, whatever is going on has been appropriately disclosed in our financials. At this point in time, based on the legal advice and the status of those legal cases, we don't feel any amount will be charged in our profit and loss account . We are already out of money in certain cases where our bank guarantees have been encashed. So we are fighting for that , along with our claims against the wrongful invocation of our bank guarantees.

Mohit: In case if those are charged against us, then what is the amount that will be covered from indemnity?

Ajit Pratap Singh : Most of the legal cases whatever are going on are covered under indemnity. This Conti was the largest case which was not covered under indemnity, and that's why the hit came on Sterling and Wilson.

Mohit: Sir, can you

explain how this INR580 crores has been charged to profit and loss account? Is it the write -off of amount which you were expecting from our clients plus this INR56.80 crores, which we are supposed to pay to them?

Ajit Pratap Singh : The largest amount was already sitting in our receivables because we already executed the work and did the invoices. So that amount was lying in our receivables. Because we lost that case, the recoverability of the receivable has been written off, along wit h likely legal expenses and the interest cost in the said case.

Mohit : And last question from my side. What will be the guidance for FY '27 ? If we have the order book of around INR9,000 crores in your books. So you have the visibility. So what will be the guidance for FY '27 ?

C.K. Thakur: So I think it will be better if you can wait for some time for the next quarter and then see finally. Otherwise, normally, you can expect the similar growth that we have been witnessing, this quarter, last quarter, the balance quarter or the next year. So I mean, the industry is doing good. So we should be expecting the similar growth.

Mohit : And are you planning for any fund raise like QIP or through loans ?
Ajit Pratap Singh : Not at this point in time. We have already raised some debt, as I mentioned in my remarks. So at this point in time, we are not planning to raise any fresh equity.
Mohit : Okay. That's it from my side. Thank you.
Moderator: Thank you. Next question is from the line of Ishita Lodha from SVAN Investments. Please go ahead.
Ishita Lodha: Thank you for the opportunity. So the two L1 positions that you announced in Uttar Pradesh and Rajasthan, is it included in the order book of INR9,300 crores or it does not include?
C.K. Thakur: Yes, they are included.
Ishita Lodha: Okay. So when are we expecting the LOIs to come?
C.K. Thakur: Normally, after the L1 announcement, it takes around two to three weeks. Intimation has already come and intimation for the award positions or our -- I mean, L1 positions have already come for these projects. Detailed LOA and contract signing will happen in two to three weeks' time.
Ishita Lodha: Okay and apart from the INR600 crores of exceptional item, any other non -recurring overheads charged in P&L in current quarter?
Ajit Pratap Singh: No.
Ishita Lodha: Okay. So this INR600 crores is already paid and reflected in our cash flow or is it to be paid in next half of the financial year?
Ajit Pratap Singh : No, it is not a cash outflow of INR600 crores. The cash outflow would be around probably USD 8 million to USD 10 million. So this is basically a reversal of receivables, whatever is not recoverable because of the adverse ruling from the Arbitral Tribunal.
Ishita Lodha: Okay, got it. So the legal expenses and the interest cost that is already paid or yet to be paid?
Ajit Pratap Singh : That is yet to be paid. That is yet to be finali sed actually. So as of now, we got the interim order. The moment they issue the final order , that will be with the legal cost.
Ishita Lodha: Got it. And can you give the split of the order book, INR9,300 crores. How much of this is BOS and how much of this is with modules?
C.K. Thakur: As I've told sometime before, so out of the projects, five projects, right? So two projects, let's say, the first one is which module which is around INR800 plus crores. And the second ones

which have come from South Africa. So that would be around close to INR1,200 crores, right? Rest all are the BOS project s.
Ishita Lodha: Okay. And this time, we have seen that your creditor days have decreased to 130 days. So I remember, we were talking earlier up in the call that we were getting support from the vendors in the form of supplier credit.

So right now, what is the scenario?
Ajit Pratap Singh : So what happened during the quarter, we raised a debt, INR475 crores from IREDA and that has helped us in payment to creditors and reduction of creditors days. Now we have -- over and above, we now have sufficient non -fund-based limits from the banks, bank guarantees and LCs. And we are also optimally utilizing our non -fund-based limits to get the credit period wherever we need.
So we can get the LC issued for 180 days where the vendor can get the discount -- the LC discounted and get the money upfront, whereas we'll give the credit of around 180 days. So that flexibility is available because of our additional credit lines availab le.
Ishita Lodha: So currently, how much of our non-fund-based limits are not utilized, which we can use for future order inflows?
Ajit Pratap Singh : So our utilization is around 80% total -- utilization changes every time - but around INR1,000 crores would be the unutilized limit. And we are also getting support now from insurance companies in the form of surety bonds. So we have availed surety bonds from 5 insurance companies , put together the value would be in the range of INR400 crores to INR500 crores. So there is another option available to us. So we can -- based on the cost and availability of credit lines, we can use our limit, banking limits or surety bonds.
Ishita Lodha: And what is the cost of this new IREDA term loan .
Ajit Pratap Singh : It's 11.15%.
Ishita Lodha: Thank you. That's it from my side. All the best.
Moderator: Thank you. Next question is from the line of Faisal Hawa from HG Hawa and Company . Please proceed.
Faisal Hawa: So sir, this will lead to a whole cascading effect now to us because our net worth is eroded and banks will now downgrade our credit ratings. So again, the liquidity will become tight. So how do you propose to take even more orders? And how will you execut e those orders? Because even now our suppliers will be wary of supplying to us.
Ajit Pratap Singh : So generally, we have not seen bankers taking back the lines, whatever they have sanctioned, particularly the PSU banks. And if you see the recent sanctions, our sanctions are from PSU

banks. So as of now, we don't foresee any major issues in terms of avai lability of credit lines...
Faisal Hawa: No, no, generally, credit rating agencies are slow on this. So they will downgrade you in maximum 30 days from today. And when that happens, the interest rates will go higher and the projects that you have already taken , will get difficult to execute. And what I'm not able to

understand is that there are three promoters sitting in this. But yet, there is no one promoter who puts up his hand and says that I'm going to take charge of the situation and get this company out of the mess it is into.
Ajit Pratap Singh : So in terms of cash flow, we will also get the amount from erstwhile promoters in the form of indemnity payment, which is likely to come in November, around INR175 crores. So cash flow wise also we feel that will be quite good and strong. And as I said, in terms of credit lines, even if the rating changes, we don't foresee any issue in withdrawal of existing credit lines, whatever we have , because these are from PSU banks.
And earlier also, we have not seen PSU banks withdrawing the limit. So we are hopeful that there won't be any significant impact in our credit lines as well as in terms of business forecast whatever we get there.
Faisal Hawa: And sir, I mean if at all, there is some problem with the credit line, do we then expect that our turnover will just remain stagnant at what we are at or because taking more orders would then be extremely risky.
C.K. Thakur: No. So not really. I mean, business growth will happen. So because of this onetime impact and as Ajit has already told th

at it has not majorly impacted on the cash flow side. And I mean, the apprehension of rating reduce and all , that in any case, it is not going to impact our -- the limits and other things , then we have ability to expand further and the business growth will happen .
Faisal Hawa: Thank you, sir.
Moderator: Thank you. Next question is from the line of Naveen from Sai Investments Limited. Please go ahead.
Naveen : Yes. So I don't have any questions, but I have suggestion because I'm following all the calls in the last three to four years. So I'll point out specific things. So I think that management should take care of it. So this onetime cost, which happened just now. So from last few years, I think when we were clearing the balance sheet for -- like we were saying there will be no any this kind of write -off again, I think, before three years. So the same thing happened three years before, and I think the same story is repeating.
And previously, I think 2 quarters back when we have this war kind of situation, one of the person in the call, he pointed it out that what will be the impact in situation of a war. Then, I think the CEO laughed and then they say, no, there will be not any impact but when the next quarter come and the impact has been shown.
So this shows and one more is like when we removed or say we say we -- the CEO, he stepped down, they promised over and then delivering less. So I think something is not setting up right. So we are here just to support or it's our benefit also, but we are thinking betting on the company and to the management. But we don't think things are what you are delivering, saying and what is executing is all on the same page or either you are not able to see what is coming. Yes, that's all from my side.

Moderator: Thank you. Ladies and gentlemen, we will take this as a last question for today. With that, we conclude today's conference call. On behalf of Sterling and Wilson Renewable Energy Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

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January 23 , 202 6

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001

Scrip Code: 542760 National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (East), Mumbai – 400 051

Symbol: SWSOLAR

Sub.: Investors Call Q 3 FY 26 - Transcript

Ref.: Regulation 30 read with Part A of Schedule III of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

In continuation to our letters dated January 12 , 2026 and January 15, 2026 , please find enclosed the Transcript of the Investors Call held on Friday, January 16, 2026 , at 10:00 A.M. (IST) on the Unaudited Standalone and Consolidated Financial results of the Company for the quarter and nine month s ended December 31 , 202 5.

The same is available on the Company’s website at www.sterlingandwilsonre.com .

Request you to take the same on records .

Thanking you ,

Yours faithfully,
For Sterling and Wilson Renewable Energy Limited

Jagannadha Rao Ch. V.
Company Secretary and Compliance Officer
Encl: As above

“Sterling and Wilson Renewable Energy Limited
Q3FY2 6 Earnings Conference Call ”
January 16, 202 6
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th January 2026 will prevail.

MANAGEMENT : MR. C.K. THAKUR – GLOBAL CHIEF EXECUTIVE

OFFICER
MR. AJIT PRATAP SINGH – CHIEF FINANCIAL OFFICER
MR. SANDEEP THOMAS MATHEW – SENIOR VICE
PRESIDENT , INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day, and welcome to Sterling and Wilson Renewable Energy Limited Q 3 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Thomas Mathew, Senior Vice President, Investor Relations, for his opening remarks. Thank you, and over to you, sir.

Sandeep Thomas Mathew: Yes. Good morning, and very welcome to our Q3 FY '26 earnings call. We have with us today Mr. C .K. Thakur, our Global CEO; Mr. Ajit Pratap Singh, our CFO; and SGA, who are our IR partners. We will start today's call with the key operational highlights for the quarter and industry outlook by Mr. Thakur, followed by the financial highlights by Ajit, post which we will open the floor for Q&A. Thank you, and over to you, CK T, sir.

C.K. Thakur: Thanks, Sandeep, and a very good morning to all of you. This investor earnings call marks my first anniversary as Global CEO of Sterling and Wilson, and I would like to thank all stakeholders for their continued support in this exciting journey.

I'll begin today's call with a quick update on business operations and outlook. The third quarter has been an eventful and exciting time for our business with the company achieving some important milestones, which is expected to have a long -term positive i mpact on the c ompany's future operations.

We have been able to deliver on the key order inflows guidance, which is a critical lead indicator of the company's business health. While we had conservatively projected 15% growth in order inflows at the start of this fiscal year, we have already achieve d INR6,929 crores of new orders this fiscal till date . Of this, INR3,086 crores of new orders was bagged in the third quarter through 4 new project wins.

We are happy to announce that with the orders already achieved and a few more orders in advanced stage of closure, we are increasing our order inflow guidance to more than INR11,000 crores in this fiscal, which is more than 60% year -on-year growth in order inflows and will mark this fiscal as one of the most successful ever i n terms of order bookings for the company.

We bagged 4 new orders this quarter totaling INR3,036 crores. The first was a gigawatt scale order from Adani Green for a balance of system package for 3 solar power projects at one of the world's largest RE projects at Khavda Renewables Energy Park, Gujarat. This order is valued at approximately INR1,381 crores.

We also took a meaningful step towards deepening our engagements by entering into a multiyear strategic partnership framework agreement with Adani Green Energy Limited. This framework

is intended to support future utility scale renewables deployments through our structured and enduring engagement model and reflects a growing industry preference for experienced EPC partners that can deliver large , repeatable project scopes with speed, consistency and rigorous risk management.

We view this partnership as a strong endorsement of our execution capabilities and operating discipline as well as a recognition of our increasing relevance in India's next phase of large format

renewable energy development, where scale, reliability and re peatability will be critical differentiators.

We are confident of delivering the projects within stipulated timelines which we a lso hope will start to showcase our ability to deliver domestic gigawatt scale projects in a short 12 months time frame or lesser, which we expect will increasingly become the norm for the project in Kutch regions where a huge 100 -plus gigawatt scale PV project pipeline is building up.

On the domestic side, there has been 2 more key project wins in the third quarter, including a 210-megawatt project from a private IPP and the large 790 -megawatt hour battery energy storage project from Serentica. After the JSW BESS order award last year, the Serentica project win really establishes our BESS credentials strongly in the market.
In the international market, we continue to make strong inroads in South Africa, where we have bagged our second order win this fiscal with a 240 -megawat t turnkey project worth nearly USD 147 million. This will be the fourth project we will be executing in South Africa, and we have made strong progress with the first 2 pr ojects in South Africa as well.
At this point, it may be worth reiterating that all our post -COVID international projects have been moving along expected lines and profitability, indicating that our strategy to only work as per our terms and risk appetite in the international market is b earing fruit.
On the execution side, we are continuing to scale up and deliver as per expectation. This is evident from our top line, which is up nearly 48% year -on-year and also well ahead of the revenue guidance at the start of the year.
Moving to our unexecuted order value. It currently stands at INR10,413 crores compared to INR9,096 crores as of March '25 and approximately INR9,287 crores as of last quarter. About 75% of our current order book comprises domestic Indian projects, while the international UOV comprises primarily 2 projects in Europe, which are in advanced stages of completion and 4 projects in South Africa. A larg e proportion of new wins is coming from clients with strong balance shee ts, projects with clear er land and trans mission visibility.
Our operations and maintenance business continues to be a steady and growing annuity stream and has now touched the 10-gigawatt portfolio mark. The O&M portfolio has crossed critical scale, supported both by third -party contracts and the steady commissioning of our own EPC projects. As more large projects move from construction to operation, we expect this segment to contribute meaningfully to revenue stability and margin resilience over time.

Now coming to the industry outlook and how things are shaping up for us in quarter 4 and beyond.
We have nearly 6 to 7 gigawatt of orders that are likely to be b id out this quarter in India alone. And we are fairly confident of making further headway in so me of these bids. We also have some interesting projects lining up in the international side, where as I mentioned earlier, we are beginning to find work along with terms that we prefer and find equitable. I would like to reiterate that we continue to remain patient and carefully evaluate projects in India and overseas. We stay focused in targeting pr ofitable orders. We did see some aggressive biddings in the last 2 quarters on the PSU side, especially from smaller new EPC entrants.
Last but not least, our new order inflow guidance does not capture any potential order inflow from Reliance , where we continue to remain in active dialogue on the ir large multiyear multi - gigawatt RE rollout. Those will be over and above our current guidance for this fiscal. For financial year 2027, we are already beginning to see a strong third -party EPC pipeline continue to build and expect the market bids can surpa

ss ove r 30 gigawatt.
What gives us greater confidence is the character of our order pipeline. We are increasingly engaging in projects that are part of multiyear capacity rollouts. These programs will typically involve repeatable scopes, standardized engineering and tight inte gration with transmission and historic infrastructures, and an environment where scale, experience and process maturity becomes distinctly advantageous.
Over the past quarters, we have seen a visible shift in how large developers engage with EPC partners — moving away from purely transactional contracts towards longer horizon engagement framework s and deeper operational coordination. This evolution aligns well with our strategic intent to grow through repeatable executions rather than episodic wins. These developments are structurally significant for EPC players like us.
A broader outlook for India's renewable synergy sectors remains fundamentally constructive. Installed capacity continues to rise. Costs are tending lower. And ecosystem is deepening across manufacturing, energy storage and emerging building sectors such as hydrogen and ammonia.
As India accelerates its transition towards renewables, the availability of reliable large -scale battery storage systems is becoming essential for round -the-clock power. Despite its strategic importance, India's installed BESS capacity is at a very nascent stage. As of June 2025, cumulative operational capacity stood at roughly 0.5 gigawatt hour. CEA estimates India will need 34.7 gigawatts and above of BESS capacities by the end of financial year 2027. This widening gap between current capacity and future requirements is now driving a significant reallocation of capital across the power value chain where we hope to play an active role in the coming years.

With this, I'll ask Ajit to take you through the consolidated financial highlights. Thank you very much.

Ajit Pratap Singh: Thank you, CK T sir, and good morning, everyone. Our quarterly performance has continued to pick up pace. We achieved our highest ever third quarter top line performance since listing with revenues reaching INR2,092 crores. For the 9 -month period, our revenue has grown 48% year - on-year to INR5,602 crores. The strong top line performance is largely attributable to improved execution pace witnessed in our domestic EPC business aided by the availability of nonfund - based limits in recent quart ers, among other factors.
Our unexecuted order book of INR10,413 remains healthy and diversified, providing revenue visibility for the future periods. Importantly, the nature of the outlook continues to improve with commercial structures that minimize commodity price exposure, acce lerate cash flows and are less demanding on our balance sheet. This reflects our conscious decision to prioritize quality of earnings over aggressive bidding, a principle that remains central to our operating philosophy as we prefer to chase margins rather than changing only the top line growth.
On the gross margin front, our 9 MFY26 gross margin was 10% compared to FY25 gross margin of 10.1%. Third quarter gross margin of 9.5% has shown improvement, both sequentially where it was 8.9% in previous quarter and versus same period last year, where it was about 9.4% in Q3 FY '25.
Our operational EBITDA, which is operating revenues less recurring overheads amounted to INR105 crores this quarter compared to approximately INR90 crores seen in Q3FY25 last year and INR62 crores seen in prior quarter. On a 9 -month basis, operational EBITDA is up 115% to INR289 crores from INR134 crores in the same period last year. The operational EBITDA is a key indicator of how operational leverage can favourably aid bottom line as execution scale pickup.
Our recurring overheads have remained flat in this quarter at around INR93 crores an

d at levels
similar to seen in last quarter. Our nonrecurring overheads for this quarter was impacted by an additional charge on the Conti matter towards legal expenses of Conti as a result of the final order, which we received in Q3, that resulted in us having to provide for some additional costs, thereby impacting our reported PBT and PAT.
Now coming to the balance sheet numbers. Our debt levels have remained stable during the quarter, with net debt decreasing by approximately INR4 crores compared to last quarter and stands at INR738 crores. Our net working capital has shown improvement at negative INR407 crores compared to negative INR279 crores in previous quarter. And we continue to operate in a negative working capital cycle.
We have been able to retain our credit rating during the quarter and continue to make progress on fresh limits on non -fund as well as fund -based requirement. We have been able to raise fresh funds to the tune of around INR2,500 crores since the start of the fiscal. That includes both fund - based as well as non -fund based limits. With respect to indemnity proc eeds, we have received the ful l amount from Mr. Khurshed Daruv ala, while we are expecting Shapoorji Group payment by January 31.
With this, we can now open the floor to questions and answers.

Moderator: Thank you very much. The first question is from the line of Sameer Dalal from Natverlal & Sons Stockbrokers. Please go ahead.
Sameer Dalal: So two questions. The first is, we've scaled up our operations very well, which is -- congratulations on that. You've got INR2,000 crores revenue. But obviously, the gross margins have not come in very good , for the simple reason that if you look at your overall costs have not gone up, but your operating margins overall have not gone up, in fact, have gone down quarter - on-quarter. So what was the reason for that lower gross margins? And how do we see gross margins moving going forward, given t hat we are working on this kind of open costing model, especially the one we tied up with Adani?
Two, INR30 crores, again, we took additional loss. I'm guessing now this is completely over. But going forward, do we -- I mean, are there any other known or unknown risks that lie in the balance sheet like the one we had? And if you can just elaborate a little bit on that?
Ajit Pratap Singh: Sure. Sure. So in terms of gross margin, as we've indicated earlier also, we expect a gross margin in the range of 8% to 10%. And the gross margin is changing based on the orders we execute,

whether it is a turnkey order or it's only BOS, because in genera l, in percentage terms, margins are better if the order is only BOS.
If it is coupled with the module supplies, in terms of margin percentage, the margins come down a little bit. But on an overall basis and absolute number terms, our margins improved. So we'll continue to maintain the guidance of around 8% to 10% overall margin, and I think we are in the same range.
Coming to the second question on Conti matter. Last time when we gave our investor presentation, that time, we have received the interim order under Conti matter. And that interim order has a variable element, which was legal fees of the Conti lawyers whic h was to be reimbursed on an actual basis.
And this INR30 crores is towards that legal fees of Conti lawyers. We now received the final order and with that, we believe the Conti matter is over in terms of the impact in our financials.
Going forward, most of the legal cases are covered under indemnity. Conti case was the largest case, which was not covered under indemnity, and we don't foresee any large impact in future like Conti in our financials.
Sameer Dalal: I understand that. My question is, are there any small -- you said this is the largest one. Are there any smaller ones that we need to look o

ut for, which will have smaller impacts, no doubt. If you
can just tell us if there is any possibility of anything coming up surprising because that is what has hurt the stock. People don't like these sudden losses, sudden exceptional losses coming up.
So, can you just tell us what exactly is there in the book? Even if it's small INR10 crores , INR5 crores , whatever, what is the possibility of any loss, I think, which is not stopped by the erstwhile promoters?
Ajit Pratap Singh: There is -- at this point in time, there is no crystallized foreseeable loss which is not covered right now.

Sameer Dalal: No, my question is not the crystallize d. I'm saying what is there in the books? Is there any contingent liability that we need to worry about? And what is that amount?
C.K. Thakur: No. So, Sameer, so basically, you see there are 2 things. One is that some kinds of the non - recurring things coming out of the court cases. And the other part is that if you can foresee some of the losses through operations, right? So if you see the operational losses, I don't see any such eventualities coming in, right . So as of now, we don't have any claims from the client. There's no operational deficiencies, absolutely not, right? So I don't foresee any such things to happen again.
On the court side cases, right . So we are pretty confident that whatever court cases are pending for the U.S. matters, once it is -- I mean, we are pretty confident about winning those cases. But the court case is a court case, you know that, right? So -- but then our all experts' opinio ns, legal experts' opinions, I mean, stay confident about winning these cases.
Sameer Dalal: All right. So what is the value for those court cases . That's the question.
C.K. Thakur: No. So I mean court cases are basically -- all of you are aware that this is all basically the -- I mean the encashment of the bank guarantee, right? So those against that encashment of the bank guarantee we have moved to the court. That's it. Otherwise, t here is nothing that the client has basically -- knowing the process, this goes -- I mean, clients have some claims. We have some claims. But it's all about basically against the bank guarantee encashment , that we moved to the court.
Ajit Pratap Singh: So our cash outgo at this point in time is around INR750 crores towards legal cases, which is covered under indemnity.
Moderator: The next question is from the line of Puneet from HSBC.
Puneet: Can you also talk in detail about what is the framework agreement that you have with Adani? Does it lock in your margins, any volumes?
C.K. Thakur: Yes. So this is 5 years or more framework arrangement and the scope is defined. Contractual terms and conditions have been agreed between both the parties. And if you can successfully complete this project, which is in hand, basis that since they have a lot of ambitious plans in Khavda regions to go on - we are expecting that at a similar rate or even more than that, we could be getting EPC orders year -on-year basis.
Margins, typically, if you see it is aligned with the numbers that Ajit has just spoken, so this comes to be around INR10 lakhs per megawatt, kind of things, right? So which comes to be aroun d 10%, something like this.
So it is all aligned at the market. But what is important is that it is all in the same region without any risk of the module price going up and down or transmission lines or the land issues. So we have assured business, right? So with this kind of business propositions, we feel that our stability towards the margins and all would continue.

Puneet: Is there any quantum of how many gigawatts you will execute over the period or each year?
C.K. Thakur: Yes. So this year, the first order that we ar

e ex ecuting is over 1 gigawatt and for the value of
INR1,381 crores and they have the huge capacity to add it there. Initially they were doing their internal EPC. Now they have moved to the third -party EPC. So there are 4 -5 parties. We and L&T are the major players there. So , depending on our performance, which we are, I mean, pretty sure about delivering good, we should be expecting, if not more, at least the same gigawatt level kind of operations every year for them.
Puneet: So 1 gigawatt each year broadly.
C.K. Thakur: Minimum. That's what I said. Minimum. 1 Gigawatt and more, right? Yes.
Puneet: Okay. And any further clarity from when the Reliance will start for you?
C.K. Thakur: So I mean, things seem to be on the ground now. The infrastructure development activities are going on. And we are expecting that some more traction will take in this quarter, end of this quarter.
Puneet: Okay. And will we have bandwidth to do both Adani and Reliance at the same time? Or would you have to rely on any external help here?
C.K. Thakur: I think it's a very interesting question. Today, we are doing almost 10 gigawatt in the country, right, and overseas. And every single segment is defined in a manner that a particular -- I mean, operational region is sufficient to deliver that kind of goods. So while we're talking about Reliance, obviously, we have to build up our capacity. That's how the organization expa nds. So , Reliance -- Adani has a separate setup that has already been defin ed.
When we are moving to Reliance, then Reliance setup will be different. Everything will be different. So as far as capacity is concerned, no organization from day 1 say that we are there to handle everything, but gradually have to improve, and you have to k eep on building up. So that exercise, we will continue doing, but we are confident of deliverin g.
Puneet: Understood. And just lastly, if you can elaborate why Conti was not covered in the indemnity?
Ajit Pratap Singh: Most of the cases with customers, those who were covered under indemnity when Reliance came as a new strategic investor in the company . Conti being a case with subcontractor that was not considered during due diligence and negotiation with Reliance when they joined as an investor.
And case also started after the Reliance came. So -- it was not before that .
Moderator: The next question is from the line of Bajrang Bafna from Sunidhi Securities.
Bajrang Bafna: Just need to understand your gross margins during the quarter was above 9%. But despite that, our EBITDA margins on a consolidated basis is around 3% or maybe slightly better than 3%.
So can you cite is there any one -off in the operational numbers on conso lidated basis also?

Ajit Pratap Singh: So I think as we alluded during our discussion, one, Conti matter came that we have shown around INR30 crores cost for that. And yes, so that has impacted our EBITDA margin from our gross margin.
Bajrang Bafna: But that too you have shown as an exceptional item. So I'm not talking about that. That has been mentioned in the consolidated numbers. But even after excluding that, your EBITDA is somewhere around INR65 crores or INR67-odd crores on a consolidated basis. So normally, you indicated that our recurring cost is around INR93 crores. So the numbers are not matching up because still the EBITDA looks a little lower on percentage terms and also on absolute terms.
So any other one -off in the numbers apart from this INR30 crores?
Ajit Pratap Singh: In one of the case in Australia, we have incurred certain expenses on defect liability during O&M. So those costs have been accounted for, but those are normal business expenses basically, although one off, but normal business expenses in terms of our O&M cost. So O&M margin, that's why came down a little bit dur ing the

quarter, and that has impacted our EBITDA.
Bajrang Bafna: Okay. Got it. So sir, next year, excluding, let's say, Reliance is something that also we expect maybe some time in the near future. That is also something which is expected. But barring Reliance, in FY '27, considering our order book is about INR10,000 crores, with Adani also in the foray, can we expect INR9,000 crores sort of top line in FY '27 with at least 9%, 9.5% sort of GP margin and close to 5% EBITDA margin. Is that a right assumption?
Ajit Pratap Singh: Yes. So in terms of revenue growth, we have guided for the current year around 15% to 20% growth over last year. We are on the same guidance. And for the next year also, we can consider

similar kind of growth, 15% to 20% in the revenue with the gross margi n, what I indicated during our discussion. So...

Bajrang Bafna: Got it. And sir, just on the interest cost part, during the quarter also on the consolidated basis, interest costs have shot up to almost INR45 crores or INR47 crores. So any broader reasons for that shoot up? And how do we see interest cost panning out into FY '27 , because our debt is more or less stable, and we are almost a negative working capital company. So just some highlights on that will be really helpful.

Ajit Pratap Singh: So during -- if you remember, during last discussion, we have disclosed that we have obtained a loan from IREDA that was disbursed in September 2025. That was for INR500 crores. So interest expense out of that loan came during this quarter for full quarter, and that has increased overall interest expense.

Plus during the current quarter, we have also taken another loan from an NBFC, for INR100 crores. So this put together the INR600 crores addition in our gross debt. That has increased the interest expenses. With the repayment of these loans, majorly in the next year, FY '27, we expect the interest cost to come down.

Bajrang Bafna: Okay. So can we expect the run rate to be around INR30-odd crores per quarter basis on FY '27?

Ajit Pratap Singh: It will change. First quarter will be high and then gradually it will come down until fourth quarter. My Q4 interest costs would be highest because we'll have INR500 crores impact of

IREDA loan, plus INR100 crores what we've taken recently, Q4 interest would be the highest one and then gradually it will come down. We can expect around INR35 crores, INR40 crores per quarter on an average basis.

Moderator: The next question is from the line of Anuj Jain from Globe Capital.

Anuj Jain: Congratulations on the good set of numbers. My -- just a simple question. I mean in terms of revenue visibility, we are doing a lot of many things, and it is shown in the numbers. But again, the same is not reflecting in the bottom line. That is the main c oncern over the last, I would say, 7, 8 quarters - that we have a very lumpy kind of bottom line due to some event or the other? So when we can see a stabilized number going -- I mean by which quarter or which year we would be able to see the stabilized number that these are our gross margins and we have so much lumpiness in the EBITDA margins. So any stability in kind of numbers as an investor because it's pretty difficult in every quarter, we don't see any improvement on the bottom line side. So I just want to understand what is the way forward?

Ajit Pratap Singh: So one of the unforeseen issue was this Conti legal case, which we were hopeful to win, but ultimately, we lost and that has resulted in an exceptional loss in the last quarter as well as this quarter - of around INR30 crores this quarter, we have got the impact. With this , looks like most of the se exceptional an d unforced things are resolved.

And -- now in terms of cost also, we are in the process of rationalizing the cost and overhead. So we're expecting in the future , the EB

ITDA margins to be in the range of 5% plus and gross margin, as I indicated, 8% to 10%. So that's what we can guide at this point in time.

Anuj Jain: By when we can see that stability. I mean from the Q4? From the next financial year?

Ajit Pratap Singh: That's right. Yes.

Anuj Jain: From Q4, you're saying?

Ajit Pratap Singh: Q4 onwards. Yes.

Anuj Jain: Okay. Okay. And one more thing. Any colour on this Nigeria project? I mean do we have any discussions going on or still it is not there or...

C.K. Thakur: Yes. So Nigeria, it is still on. I will not say -- I mean now what has happened is that basically the Ministry of Finance has taken over the SPV operations, right? So they say that now this project is to be under SPV. So the project is still on, but their internal discussions, it has moved to Ministry of Finance. So at this stage, I can only say that there's still things are going on.

Anuj Jain: Okay. Okay. And in your order win, you have one order win for the battery energy BESS thing. So can you quantify that thing? I mean how big that order is? And what kind of things are lined up in the battery energy storage system vertical?

C.K. Thakur: Yes. So , this order is for about 790 -megawatt hour, although the battery supply is sourced from the client. But the rest of the integration is with us. So on the risk part, if you say, in a way, this

is better. right? Value is less, but then at least the battery risk is not there. Recently, you must have seen the battery prices are again going up and all. So , after the JSW orders last year, so this

is the first large size BESS order that we have got.
Anuj Jain: So what kind of margins do you expect in this BESS project?
C.K. Thakur: Margin. Yes. So margin would be in the same range for all the EPC works, I'd say, whether it is the BESS project -- except for the BOS - the margin slightly goes down. But for all such BESS projects, all the margin remains the same, about 10%. So here also, it is more than 10% only.
Anuj Jain: And sir, value -wise, what did you say, I mean, in terms of value -wise BESS project, I mean.
C.K. Thakur: So this value is around INR170 crores .
Moderator: The next question is from the line of Danesh Mistry from Investor First Advisors.
Danesh Mistry: First of all, congratulations on a good set of numbers and revenue going pretty well. I had 2 questions. One, actually, you had alluded to a previous caller earlier, where you spoke about the O&M margin. But if you could give us a sense on , when do you think these would kind of come back to where they were. So if I were to see in December '24, your margins were close to 25%. And today, you're at approximately 3%. I understand there are one -offs that are there. But do you, at any point of tim e, see these margins coming back? Or will they be lower? That's question number one.
Question number two, sir, you also spoke about the Adani order, there's roughly 1 gigawatt a year, what would that translate in value terms? And any indication or colour on what would be the order booking next year, sir? That's it from my end.
C.K. Thakur: So I'll take the second question first, right? So , on the Adani order side, the value of the orders for over 1 gigawatt is around INR1,381 crores, right? So INR1,381 crores. And this is pretty aligned with the normal market orders that we get from the various clients from the PSU and then the IPP. So a better impact, we'll say. And as I have told, I mean, just now that this is a long-term framework agreement. So based on our performance in these projects, we'll keep on getting this kind of the megawatt level orders or even more. This, I think you see how the India is progressing. So last year has been around 62 gigawatts of the tendering. More -- I mean, part of them, the contract signing still has to happen between the im

plementing agencies and the developers. But with this, I mean, this pace has to continue.
But in the other energy transition element, the hydrogen and this and the other things coming up. So the requirement of solar for sure is going up only. So what we have seen this year, let's say, around 40 gigawatt plus we will be achieving. So I'm expecting the similar, I mean, traction will happen in a few years to come again, right? So whatever order guidance that we have given now, right? So I mean, around this level order s for sure will be coming. That's what I believe.
Ajit Pratap Singh: And in case of O&M margin, you are right, we have consistently given 20% to 25% O&M margin, and that's what we delivered also in the past. During this quarter, our O&M margins were around 18%. And there is a little bit dip in terms of O&M margin because of one-off

expense we have incurred in a defect liability in one of the international locations. So that has reduced our O&M margin for the quarter a little bit. But otherwise, we continue to maintain the guidance of 20% to 24%, 25% in the times to come.
Danesh Mistry: Got it, sir. Because if you see, even last quarter, September quarter, I'm just seeing your consolidated numbers, the segment, your O&M top line was about INR63 crores, and your O&M EBIT was about INR9.5 crores. So that's about 15%. So I'm just trying to understand, sir, if we -- if O&M, if it remains at about INR60-odd crores is the top line, will your margin come back to the INR10 crores , INR12 crores number? Or is the new normal about INR8 crores, INR9 crores.
C.K. Thakur: No. So basically, see, I mean, our business model remains the same. With some kind of risk that we are taking for O&M project, which is operational risk, that means we have to maintain the performance ratio, we have to maintain the availability, right . That is the term s in our scope. We maintain sufficient inventory of the spares and the plant operation and maintenance practices are strictly followed with our SOPs and all .
In this particular quarter, one of the Australian projects basically. So the panel, which normally doesn't fail, right? Normally such equipments are never supposed to fail. We have -- I mean rarely it will fail. But somehow these top panels, I mean, I don' t know, because of what reasons, but then is still under the due diligence. But then the se panels failed.
Although we took a lot of actions to airfreight the panels to ensure that the down time becomes less and all. But despite all the actions, there were unavailability for few days, right, for a few days. So , the generation loss during that day because of unavailability of one of the panels has really caused the penalty to be incurred. And that's the reason that this quarter it has gone down. Otherwise, if you see over the several quarters or I mean, historically, our margin at O&M level remains the same. So this one kind of event does not mean that it is cyclic. And then again, in the next quarter, we were going to get a hit also. No. So the margin will continue in the range

that we have been getting from the O&M business.
Moderator: The next question is from the line of Sagar Parekh from Renaissance Asset Management.
Sagar Parekh: So, first question is this recent export rebate, which was taken out by China on the module prices. So do you see that impacting any of our projects, especially on the turnkey where the modules we have to supply. So I'm assuming the prices of mod ules will go up because of this?
C.K. Thakur: It's a very good question. So fortunately, see, it has happened in the past also several times that we -- because of the sale price, the modules prices have fluctuated over 2x, and industry has suffered because of this. Fortunately, for us, the orders that we have, the se

modules, all the orders are tied up.
And one project that where we are L1, we can discuss, I mean, so the order is yet to come. And this will give us some time, some time for us to take a decision. And by that time, I'm expecting that the market will be again stabilized. So of course, yes, your apprehension is right. I mean, maybe there will be some slowdown on to the development part. But I think again, it will recoup

and it will happen because market forces is such a big force that, I mean, nobody can afford to basically slow down to the extent that, I mean, we are expecting.
So -- and then particularly for Indian market on the DCR components. So even if the cells for some more time will be coming from China, but the domestic market is gearing up. So next few months of times, I am expecting that all the domestic market, the Indian market will be immune from the kind of fluctuations in my opinion, right . So this is the dynamics, but we have to keep watching. But then we are not affected. We are not affected for any of our orders.
Sagar Parekh: Right. So India, anyway, we have been BOS largely except I think on e EPC order . But -- so there is less kind of impact. But in all the South African orders and in the past also, we had tied up all these modules and then the module prices went up, and they backtracked on their contract. So that is the apprehension that I'm coming at?
C.K. Thakur: No. So basically, you are right. So earlier, we used to take the module risk from the date of submission of the bids and all. Now the course we have taken is that the module price risk is to the customers' account till the date the NTP is given to us, right? And once the NTP is given , that means any fluctuations in the module price are to the clients' scop e.
So after that, there is hardly any risk. So once the NTP is given and that price is taken care of, that means we are on to the current market level. And I mean it does never happen that every single day, the module price is going up. So we have 3, 4 months ' time of window. And during this time, then we ensure that the module supplies are happening.
So, whenever we have suffered in the past from the -- I mean, from our experience, if you see for international projects, they are all basically -- primarily the prices were agreed some years before. And then during the course of execution , the prices have gone up, and there we have no contractual protection. But now every single contract that we are s igning , the contract has protection that the client has to take responsibility till NTP date.
Ajit Pratap Singh: And post NTP we generally tie up with the supplier without further delays.
Moderator: The next question is from the line of Kartik Sharma from Anand Rathi Institutional Equities.
Shweta: Shweta here. Sir, taking forward the industry question only. Number 1 is, where are we in terms of let's say, future order inflow, not next 2 years, 3 years, but if this MNRE order , the 43 gigawatt PPA signing, which has been delayed, what kind of impact can it have on us and EPC players in general?
C.K. Thakur: So see, our business model now is basically -- so we're getting from 3, 4 verticals. So one is the international orders that we're talking about. In domestic markets, we are now in a framework with Adani, which can give you a better stability in terms of o rder inflow. Then we are expecting Reliance to start, that will give us the better stability.
In terms of overall India level, if y ou can say, then you are right. So out of the 60 gigawatt that was, I mean, tendered out, around 40 gigawatt kind of contract yet to be signed. So that means the PPA adoption issue or some other issues, the land acquisitions or maybe there are so many

policy -rela

ted issues. So -- but I'm sure that all those orders with a delay, but then soon, these are all going to be sorted out.
It won't be -- I mean, pending for ever. Otherwise, the Government of India programs for

achievement of the 500 gigawatts would be under trouble. So industry is watching. And historically, if you see, this is for the first time that such a large gigawatt level of PPA signing is pending, and the re has been a hue and cry and the people are pushing -- trying to solve it as early as possible.

Shweta: Correct. Sir, taking that module pricing question forward, I really -- I did not clearly understand how does that module price -- changes in the module prices affect the international orders? Because even if we are transferring the modules -- even if we ar e making on a BOS basis, the sale prices -- the rebate has been cancelled on sales and wafers too, correct?

C.K. Thakur: No. So you see in the value chain, the wafer price is basically smaller than the cell price, correct? And now the large manufacturers in India when after 1st September 2025, when the DCR components, any bids which are going out from after 1st September 202 5, I mean, necessarily, you have to follow the ALMC, which is the domestic makes .

Now under this scheme, so today, our module manufacturing capacity would be around 125 gigawatt, right? And the cell would be around 60 gigawatts, something like this, right? And in the value chain, the wafers are also coming up.

So I am expecting that at least for the large players like Adani, Reliance, the Waaree, Vikram s, all those domestic capacity would be sufficient to cater to the requirement of Indian market. Indian market is around 40 gigawatt a year, and that means capacity is already demonstrated. Now since it's going out and all those kind of things. But once the ALMC condition is imposed, the domestic requir ement is to be fulfilled first.

So I don't foresee any reasons that with all those things coming up and the the pricing mechanics would be evolved when everything would be on the DCR. So then it is part of the contract. Then maybe the tariffs will also go to higher end kind of things.

Shweta: Do we expect LCOEs to inch up in that case?

Moderator: Sorry to interrupt, Shweta. Please rejoin the queue for more questions. The next question is from the line of Bhavik Shah from Invexa. Please go ahead.

Bhavik Shah: So my question is the bid pipeline stands at around 8.4 gigawatts versus the last quarter bid pipeline of 25.4 gigawatts. And we have received around orders of around INR3,000 crores in this quarter. So what gives us the confidence 8.4 gigawatts, we should be able to win us under INR4,000 crores of orders, one. And how much in this inflow you have accounted for Adani ?

C.K. Thakur: Yes, so I think it's a good question. So basically , we are already L1 in one of the very important PSU for the large size project, right? And then we are at the advanced stage of closing few orders with the private IPPs, also international. So with all those things, we are pretty confident that we'll be crossing or we'll be achieving this INR4,000 crores mark.

Bhavik Shah: Okay. And can you just throw some light on the South Africa project. How are the margins there? Because we are actually moving towards an international order book and shifting from the domestic focus which we had in the recent couple of years.

C.K. Thakur: No. So we are not shifting our focus from domestic to international, as we have told that in the investor speech also. So we are very carefully evaluating the project s outside domestic market. And those projects are at better margin and the terms and conditions are conducive to our requirement, those projects we are taking, right? So we are not , just for the sake of increasing our share in the international market again.

Bhavik Shah: But do we have the forex risk there?

C.K. Thakur: No. No. So this is all -- the contract is in dollar. So there is no forex risk. So we are -- the payment would be done in dollars.

Bhavik Shah: Any guidance for the next year?

C.K. Thakur: Well, I think with this rate only will keep on increasing. So see now I mean, 3 to 4 projects we are getting every year. So at least we can say this year, we have 2 and other years also will target 2, 3. So we'll go conservatively. We will not go for -- I mean, any number of projects that we want to pick up. We'll go for the projects only those are good for us.

Ajit Pratap Singh: So, all the ongoing projects internationally, we are just towards completion only. So those 4 projects, 2 in South Africa, 1 in Spain and 1 in Italy. These are likely to be completed in the next 3, 4 months. So , these 2 new orders will give us some momentum to continue business internationally. And in terms of guidance, we can say around 15%, 20% of our overall revenue or order book would be international. Otherwise, our focus primarily would be domestic market.

Moderator: The next question is from the line of Amit Agicha from HG Hawa & Company.

Amit Agicha: Yes. So the recurring overheads are like about INR93 crores in Q3, what is the steady state quarterly overhead run rate as the business scales? And what is operating leverage roadmap?

Ajit Pratap Singh: So we are in the process of rationalizing our costs though, but on a conservative basis, we can consider the similar kind of run rate to go ahead.

Amit Agicha: Approx. INR100 crores every quarter?

Ajit Pratap Singh: Yes, around INR90 crores.
Moderator: The next question is from the line of Rabindra Nath Nayak from Sunidhi Securities.
Rabindra Nath Nayak: I have a couple of questions. Regarding the consolidated shipment performance, you can see that the operational O&M margin has come down substantially in this quarter. Does it have something to do with the gross margin , because the gross margin has not improved substantially, but the EPC margin has improved. Does it have something to do with the gross margin? That is my question -- first question.

And regarding the interest cost and also the overhead cost, interest cost -- you mentioned that the interest cost has gone up due to the additional loans you have taken in this quarter. And also probably this quarter will remain elevated -- interest costs. And also the legal expenses you were saying that a lot of cases have been resolved. So do you see that the legal expenses will go down. And also, will we see the other expenses, which is now INR66 crores in this quarter consolidated level will go down in the coming quarters. That is my second question.
And the last question about this tax outgo , which is very low in this quarter. Could you highlight what are the reason for this. And the guidance update for the extraordinary expenses in the P&L. And what are the projects which are running the reserve bases, which has come after the Reliance has taken the stake in the company.
Ajit Pratap Singh: Sure. We'll try to answer as many as possible. So in terms of O&M expenses or margin, as Mr. CK Thakur has also spoken. In one of the case in Australia, we had to incur certain expenses because that project was under defect liability period, and that has r esulted in additional costs being booked under O&M and that reduced our margin. So our gross margin in O&M for the quarter was around 18% as against our normal margin, which remains in the range of 20% to 24%. So that has ultimately resu lted in a reduction in O&M margin. That's one.
In terms of interest costs, as I mentioned, we have taken INR500 crores loan in last quarter, September end. And this current quarter, we have taken about INR100 crores. So interest cost would remain elevated during this quarter as well, Q4 and then it will start coming down from Q1 of FY '27 onwards.
In terms of tax, tax expenses are low because we have booked exceptional expense during the last quarter as we lost case in Conti, and that has resulted in our PAT being negative on a consolidated basis as well as on a stand -alone basis, and we got that benefit so that our stand -alone tax profit has come down basica lly it is negative and there won't not be any tax obligation on my stand -alone balance sheet going forward for -- in this current quarter also and some of the future quarters as well until the time we set off the entire losses. So that has resulted in our tax expenses getting reduced in the quarter.
Rabindra Nath Nayak: Okay. So can you please give guidance -- what is the guidance of the sales and gross margin for this year?
Ajit Pratap Singh: Say, for the current year, we have given a guidance of 15% to 20% growth over last year, and we continue to maintain the same. In terms of gross margin for the full year, it would be in the range of 8% to 10%. And going forward, also, we continue to mainta in the same guidance.
Moderator: The next question is from the line of Aniket Madhwani from Steptrade Capital.
Aniket Madhwani: Yes. First of all, congratulations on a good set of numbers. And I just want a clarification. You have mentioned 15%, 20% growth over the FY '25 or the quarter -on-quarter basis?
Ajit Pratap Singh: FY '25. For the full year, 15% to 20% growth, yes. .
Aniket Madhwani: Okay. And what is the current order book in hand, outstanding orders?

Ajit Pratap Singh: At this point in time 31 st December was at INR10,000 crores plus order book. Plus another INR4,000 crores orders are in the final stage of negotiations, which we can expect during Q4.
Moderator: The next question is from the line of Sarang Joglekar from Vimana Capital.
Sarang Joglekar: So my question was more on the imports. So do you see any decline in the non -DCR module prices?
C.K. Thakur: Decline in the non -DCR module prices. So yes, we are expecting, if you see around 6 months before, DCR module prices were quoted at around INR18 per megawatt peak. INR18 to INR19 per megawatt, then it came to INR17. Suddenly, the wafer prices -- I mean, cell prices has gone up slightly. So therefo re, some wafer also will go up.
So for 1, 2 months, I can see some turbulence. I'm not sure that how much it will impact, right? But then some turbulence will be there for next couple of months. But going forward, then if the Indian capacities, all the developers are reaching to that lev el of the capacity building up that

they have promised, I'm sure . that I mean, this will not impact the market at large then, right?
Sarang Joglekar: Understood. So non -DCR this is you're talking about, right?
C.K. Thakur: No, DCR I told about, right, I told about DCR. You are asking for DCR only, right?
Sarang Joglekar: Sir, non -DCR, I'm talking about.
C.K. Thakur: No, no, non -DCR, I mean, yes, for non -DCR, sure, I mean the market is under fluctuations for couple of months, and everybody is watching. Let's see, because of the subsidies that the Chinese government were giving to their manufacturers, that have been drawn. So , all those kind of things and suddenly, the market has gone up. So 1.5 to 2 cents , I mean, so this has to be stabilized. You have to keep watching.
Moderator: The next question is fr om the line of Saurabh Srivastav a from Arista Consulting.
Saurabh Srivastava: Congratulations on the good numbers. Hope the bottom line will follow soon. My first question is that you just mentioned that tax offsetting clause or something like that. You have -- you need not to pay that tax going forward for some quarter. Can you please explain it?
Ajit Pratap Singh : Sure, sir. On stand

-alone profit because of the Conti case which we lost, and we took a hit -- in terms of tax profit, we are tax negative. Basically, we had activated tax losses which can be set off over some future periods of profit. So that's why in our stand -alone financials, now we are not getting any tax impact.
Saurabh Srivastava: Okay. So can I presume that these losses which we have occurred will be taken care of in form of taxes going forward?
Ajit Pratap Singh : Yes. So we got the tax benefit because of the loss, you can say that.
Saurabh Srivastava: Yes. And second thing, sir, what sort of margins can we expect from this Reliance New Energy project, gross margin and net margin?

C.K. Thakur: I think this is too premature basically to talk about this. Yes, but it will come up. Once I think -- I mean soon , this traction has to happen, so then we will give you the guidance on this.
Saurabh Srivastava: Can we see something by quarter 1 in this regard?
C.K. Thakur: Yes, for sure. So we are expecting that the things will start now in this quarter end or maybe first quarter. So the momentum has already gained . So once it is concluded, then we'll come back to you.
Moderator: Ladies and gentlemen, we will take this as a last question for today. With that, we conclude today's conference call. On behalf of Sterling and Wilson Renewable Energy Limited, that concludes this conference. We thank you for joining us, and you may now di sconnect your lines.
Ajit Pratap Singh: Thank you, everyone.
C.K. Thakur: Thank you. Thanks, everyone. Thanks for your support.

Call: Apr 2026

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